

DCM Shriram Ltd. (DCMSHRIRAM)

Conference call transcripts, oldest-first. 13 call(s). Generated 2026-06-08.

Call: May 2023

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SCRIP CODE : 523367 SCRIP CODE : DCMSHRIRAM

Sub: Analyst s/ Investor s Call Transcript

Dear Sir(s),

Pursuant to Regulation 46(2)(oa) of the SEBI (Listing Obligations and Disclosure Requirements) Regulations, 2015, please find attached the call Transcript of the Investors ' Earning Call on Audited Financial Results (Standalone and Consolidated) for the quarter and year ended March 31, 2023 held on May 5 , 2023.

Kindly take the same on record.

Thanking you,

Yours faithfully,
For DCM Shriram Ltd.

Sameet Gambhir
Company Secretary and Compliance Officer

Dated : 12.05.2023

Encl.: as above

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DCM Shriram Limited
Q4 & FY'23 Earnings Conference Call
May 5 , 2023

Moderator: Ladies and gentlemen, good day and welcome to the DCM Shriram Limited Q 4 FY'23 Earnings Conference Call.

As a reminder, all participant lines will be in the listen -only mode and there will be an opportunity for you to ask questions after the presentation concludes. Should you need assistance during the conference call, please signal an operator by pressing '*' then '0' on your touchtone phone. Please note that this conference is being recorded.

I now hand the conference over to Mr. Siddharth Rangnekar from CDR India.

Thank you and over to you, Mr. Rangnekar.

Siddharth Rangnekar : Thank you. Good evening and welcome to DCM Shriram Limited's Q 4 & FY'23 Earnings Conference Call.

Today, we have with us Mr. Ajay Shriram -- Chairman and Senior Managing Director; Mr. Ajit Shriram -- Joint Managing Director ; Mr. K.K. Kaul -- Whole -Time Director; and Mr. Amit Agarwal -- CFO of the company.

We shall commence with remarks from Mr. Ajay Shriram and Mr. Ajit Shriram.

Members of the audience will get an opportunity to pose their queries to the management following these comments during the interactive question -and-answer session.

Before we begin, please note that some of the statements made on today's call could be forward -looking in nature and a note to that effect has been included in a conference call invite circulated earlier.

I would now like to invite Mr. Ajay Shriram to give us a Brief Overview. Over to you, sir.

Ajay S hriram: Thank you, Siddharth . Good afternoon, ladies and gentlemen. Thank you for taking the time to join us for our Q4 and Financial Year '23 Earnings Conference Call . I trust each of you and your families are keeping safe and are in good health. I will commence with the strategic imperatives of our businesses followed by Ajit with perspectives on our business performance.

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India is growing steadily at a reasonable rate of over 6%, in contrast to developed nations that are facing headwinds of high inflation, rising interest rates and slowing economy in the wake of unprecedented disruptions over last 3 years. So , India is in a comparatively sweet spot.

We have consciously planned for managing higher volatility in key business lines and have strategically lined up effective measures in the form of higher scale , efficiencies and diversification to create better value in our businesses . We continue to look at growth through already announced investment programs and more are expected to follow .

Our CAPEX projects of Rs. 530 crore have already been commissioned relating to Sugar businesses and other projects of about Rs. 2900 crore , largely in chemical are likely to be commissioned over the next 2 quarters. Our less capital -intensive businesses of Fenesta and Shriram Farm Solutions are witnessing good growth . With this round of CAPEX nearing its completion, we are actively looking at opportunities in related and adjacent businesses for future growth opportunities . Our efforts on sustainability are gaining traction. We are taking steps to enhance our share of green power while working actively on the circular economy. The 50 megawatts Hybrid Green Power project and the increase in biomass in our coal-based power plant , will increase our green footprint as well as help us in reducing our cost of production.

The K 2SO 4 Fertilizer Project will add value to our distillery ash and is an import substitution. The Anhydrous Sodium Sulphate and carbonization of sludge will reduce waste and improve resource utilization. The energy and steam saving initiatives will further reduce our carbon footprint. Some of the benefits have already started accruing .

With this I would like to walk you through our views on various businesses :

Chemicals:

Global capacity utilization, especially in Europe and China, has picked up although the global demand remains subdued driven by growth slowdown across large economies. This has put pressure on international demand and hence prices of caustic soda . No major capacities are being added globally in the near -term other than in India, which will keep the global demand -supply balanced over the medium -term.

Domestically, the demand trend was softer owing to weaker momentum in end use industries, except aluminium.

We have seen stable demand for chlorine. New capacity additions are exacerbating the situation. Product prices have softened over the last 2 quarters. Energy prices have started to decline but are still quite high . Our capacity utilization stood at 89% in Financial Year '23.

The country saw exports of 4.24 lakh metric tons during Financial Year '23 up from 2.71 lakh metric tons in the last year. Imports stood lower at 1.39 lakh metric tons in Financial Year 23 which was 2.34 lakh metric tons in the previous year.

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Our Bharuch facility is amongst the highest hydrogen selling complexes in the country with daily volumes of 2 lakh cubic meters and further being expanded to 3 lakh cubic meters per day.

Our projects for developing downstream chemistries including expanding the scale are on track and the plants will be commissioned during the next 2 quarters. Lower coal prices, efficient 120-megawatt power plant and access to green power will serve as a cushion on the margins in light of softer product prices.

Chemical is becoming a large multi -revenue business with emerging growth platforms like epichlorohydrin and hydrogen peroxide .

Vinyl:

Globally, the dual impact of inflation and high interest rates is leading to slowdown of housing and construction in US and Europe. Even in China, the real estate has not picked up. This has led to lower demand for PVC globally and a significant drop in international prices.

Domestically, the economy

is robust and so is the PVC demand but imports are trending higher. The industry awaits government action in the form of anti-dumping duties and increasing customs duty. Prices for both PVC and carbide are under pressure. The cost of production stood higher due to coal and carbon material prices but has started correcting slightly and will ease pressure on margins in the coming quarter.

Sugar:

International prices have been firm on lower production expected from major producing nations, and with prospects of additional exports from India also abating. The world sugar balance sheet is expected to be marginally surplus in sugar season '22-23. International prices are expected to remain firm. Indian sugar stocks are expected to end lower at 4.5 million metric tons for sugar season '22-23 with sugar production estimated now at 32.4 million metric tons and consumption at 27.5 million metric tons. This along with higher international prices, should support domestic sugar prices in coming months.

The state of UP increased the state advised price (SAP) by Rs. 25 per quintal to Rs. 350 per quintal in '21-22. The domestic sugar prices have till now not offset the increase in sugarcane prices done in the last season.

We are on the verge of concluding crushing operations. Our crush and recovery this season is expected to be higher than last season led by better climate, commissioning of our Ajbapur expansion and conversion of Ajbapur and Hariawan sugar factories to refined sugar.

Our domestic releases have been better this season and we have already executed the entire export quota allotted to us.

On the other hand, the government has achieved ethanol blending of 11.6% as of April '23 and is aggressive in meeting its target of 20% by Financial Year '25. Around 408 crore liters is said to have been blended in petrol in the supply year

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ended November '22 and the contracted volume for the coming year is 505 crore liters already.

We have produced 14.4 crore liters of ethanol and ENA versus 11.56 crore liters last year. We have commissioned a 120 kiloliters per day distillery on molasses feedstock and the 260 kiloliters per day Grain-Based Distillery attachment is ready. The approval for commissioning is likely in this quarter.

Our other Agri businesses comprised of Shriram Farm solutions, Bioseed, and fertilizer.

Shriram Farm Solutions:

The business has worked well in consolidating its leadership in wheat seeds. Its research and development has started yielding results with 4 new products introduced this year, including two in wheat seeds. All the products have been received well. Growth in this business will continue from the planned expansion of portfolio, manufacturing of crop protection chemicals which start this year and should be further cemented by our foray into manufacturing of water-soluble fertilizers and biologicals by Q4 of Financial Year '24.

Our manufacturing of biological based agri inputs is a conscious choice to work on new technologies and also promote sustainable and organic farming. This business is also increasing its geographical strength and is making inroads in Southern India.

Bioseed:

I would like to talk about Bioseed. Bioseed is on track to turn around its business. The losses have come down significantly. The product pipeline is more focused. The product basket of research activity is being rationalized and we expect the business to do better in the coming year.

Fertilizer:

The fertilizer business has seen a correction in urea prices during the quarter, led by lower energy prices. The government has revised energy norms with effect from October 1st, 2020, till March 31st, 2023, and our energy efficiencies have also been better.

The subsidy outstanding as of March 31st, 2023, stood at Rs. 310 crore as compared to Rs. 435 crore last year.

Fenesta Building Systems

Business

The Fenesta Building Systems business is witnessing good momentum quarter-on-

quarter. The project segment is driving good growth . As the core business expands , we are adding more categories, adding new offerings and increasing our geographic strength, including in the international space . We have added products in UPVC and aluminum windows , in WPC and engineered wood doors and will be launching glass façades and also continue to add further to this range . In view of the rising demand this year we commissioned our Bhuvneshwar factory and added one more factory in Hyderabad . We are commissioning an expansion at our Kota

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Extrusion Plant . The fabrication unit for façade is under construction and will be commissioned by Q2 Financial Year '24.

Our growth strategy is underlined by well -executed initiative towards business expansion and product diversification along with enhancing operating efficiency. We see our businesses of Chemicals, Sugar, , Shriram Farm Solution and Fenesta as key drivers for our growth going forward.

I will now request Ajit to give you the perspective on the business performance.

Ajit Shriram: Thank you. Good afternoon, everyone.

We will now go through the business performance for Q4 & FY23 .

The net revenues net of excise duty in this quarter were flat at Rs. 2720 crore versus Rs. 2796 crore in the previous year and PBDIT stood at Rs. 372 crore down by 44%.

Chlor -Alkali:

Chlor -Alkali business revenue was down 13% year-on-year and PBDIT was also down 53% mainly due to lower ECU that declined 17%, though volumes were marginally higher. Higher energy costs impacted the margins . Also, the electricity duty on auxiliary consumption had an impact of Rs. 11 crore related to prior periods during the quarter.

Vinyl:

Vinyl business revenue declined by 44% year-on-year at Rs. 168 crore and PBD IT was at Rs. 1 crore versus Rs. 1 22 crore on account of lower product prices and volumes.

PVC prices were down 35% year-on-year and carbide prices were down 26% year - on-year.

Overall , capacity utilization was lower at 91% versus 96% last year. Higher cost of product led by power and carbon materials impacted margins. Also , electricity duty on auxiliary consumption related to previ ous years had a negative impact of 10 crore during the quarter.

Sugar:

Sugar business revenue net of excise duty was up 24% and PBDIT increased by 10% year-on-year on account of higher volumes of sugar and distillery coupled with higher realizations . Margins were lower since the last year increase in SAP is not compensated by the increase in product prices.

In terms of crush, we are likely to close this season at about 650 lakh quintals versus 549 lakh quintals last season attributed to better crop and commissioning of sugar project s. Sugar recovery till date on final molasses is better by about 20 basis points over last year.

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Fenesta Building Systems:

Fenesta Building Systems revenue reported a growth of 13% year-on-year and PBDIT was stable. There was volume increase in the project category . Margins were better in projects as well as retail categories . Both the categories witness ed improvement in the order book that was up 10% year-on-year.

Shriram Farm Solutions:

Shriram Farm Solutions revenue and PBDIT witnessed a decline due to seasonality factors . For the year as a whole, the business witness ed growth .

Fertilizer :

Fertilizer revenue declined by 4% year-on-year, driven by lower gas prices, which is a pass through. Volumes were higher by 4% YoY. PBDIT witnessed a growth of 44% owing to higher energy efficiency, energy saving rate and volumes . Fertilizers subsidy this year was lower as stated earlier .

Bioseed :

Bioseed revenue is better , however, Q4 is an off season. PBDIT improvement was led by higher volumes and inventory provisioning in last year.

Coming to the highlights

of FY23:

FY23 net revenues net of excise duty was up 20% year-on-year at Rs. 11,547 crore and PBDIT down 9% year-on-year at Rs. 1726 crore .

Chemicals revenue and PBDIT were up 27% and 15% respectively due to better ECUs led by prices of I ye in the first 9 months of the year and improvement in chlorine prices and improved volumes of caustic. Margins were moderated by higher input cost.

Vinyl revenues and PBDIT were lower by 31% and 84% respectively, led by significantly lower prices. Volumes were also lower. Margins were further affected by higher input costs of coal and carbon materials. Product prices seem to have bottomed out and coal prices are declining. This should help margins going forward.

Sugar business revenues were up 21%, mainly on account of higher domestic and export volumes of sugar together with better prices across products. Distillery volumes were stable at 11.87 crore liters versus 11.95 crore liters . Production from distillery was higher as stated earlier . PBDIT was lower by 20% since the sugar prices increased and did not fully compensate for the increased SAP in the earlier season and non -availability of purchase molasses from the market . Better export realizations added to the profitability .

Fenesta also reported a good performance , revenues and PBDIT increased by 32% and 7 0% respectively. This was on account of a strong order book, which increased by 23% and growth in volumes in projects and margins across categories.

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Fertilizer revenues increased 50% year-on-year on account of higher gas prices, which is a pass through and better volumes . PBDIT was up 62% with energy efficiencies, better energy norms and a higher savings rate as a result of prices of natural gas .

Shriram Farm Solutions revenue and PBDIT were up 7% and 37% respectively, aided by an improved product mix and better prices, SFS witnessed healthy margins across categories and remains the leader in wheat seeds.

Bioseed revenues were up 19% and PBDIT was at Rs. (-2) crore versus Rs. (-70) crore on account of better volumes . PBDIT was also better due to higher inventory provisions made in the last year.

Our income tax payout was at Rs. 246 crore as compared to a tax charge of Rs. 502 crore as a result of MAT Credit available.

With healthy cash flows across our businesses, our debt levels remained at comfortable levels despite the continuing CAPEX . Our net debt as on 31st March 2023 is Rs. 681 crore as compared to Rs. 4 crore on 31st March 2022.

Return on capital employed for March '23 came in at a comfortable level of 27%.

The Board has recommended a final dividend of 180%, amounting to Rs. 56.14 crore in this Board meeting . The total dividend for the year is at 700% amounting to Rs. 218.32 crore .

Despite the macroeconomic concerns and higher input costs , our Company has had a good year.

That concludes my opening remarks and I would like to request the moderator to please open the forum for the Q&A session. Thank you.

Moderator: Thank you very much, Sir. Ladies and gentlemen, we will now begin the question - and-answer session. We'll take our first question from the line of Riya from Aequitas Investment Consultancy . Please go ahead.

Riya: My first question in terms of Fenesta. So, basically , the order book has grown by 10%, however, in the past few quarters were growing on a higher run rate. So , how is the demand scenario panning out there and what is the situation for Fenesta ?

So, I want to know the demand scenario as well as the margin impact for the quarter , why the margin is lower with the lower raw material price ?

Amit Agarwal : The demand is pretty stable, although in this segment we are seeing competition coming up from larger players as well. But Fenesta continues to remain the pioneer and has a big brand value that is point number one . Second , coming to the margin. The margin has come off, I

think by about 1% from about 21% in the same period

last year to about 20%. That's, I would say, very marginal but fundamentally, as I had also mentioned in my last call, that business like Fenesta should ideally have a margin in the range of around 15 % to 20% so let's say ballpark 17%, that's the right kind of margins for this business .

Riya: Is it because of higher competition because since the raw material prices are getting lower so we should see an improvement in margin on a Q oQ basis?

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Amit Agarwal : I just said if there is a reduction in the raw material prices, some part of it will be passed on to consumers as well. So , I don't see margins improving from here.

Riya: So, Q4 numbers are sustainable.

Amit Agarwal : Yes. And as I said the range should be around 17% (+/-2%) that's the right number, because if you see in FY22, the margin of this business was 16%. So, that was closer to the right kind of number.

Riya: And with increasing competition, do you think we will have a price war kind of a scenario where we have to reduce prices more?

Amit Agarwal : It's difficult to say at this stage depends. They have just started so we will see how it pans out.

Ajay S hriram: I'll just add that I think Fenesta's position in the market is fairly sound. We are a leader in the market . And the good thing is the market is growing so I think there is space for everyone but it depends a lot of course on the product quality plus the service. How do you take care right from the time you book an order till the time you install and commission and hand over the door or window to the customer so I think we have a good edge there . So, that's the positive sign for us.

Riya: I think this makes sense. My second question is in regards with the sugar sector. So, basically, what was the cost of production for us last sugar season and what is the cost of production for us this sugar season?

Amit Agarwal : The cost of production last season was around Rs. 3,300 per quintal and this year, March end, was about Rs. 3210 -3220 per quintal

Riya: It is reduced ?

Amit Agarwal : Yes, because as you mentioned that our production is higher and secondly, our recovery is better by about 20 basis points.

Riya: However, I was reading that in UP the wage norm has increased and the lot of ancillary cost which has piled up so what kind of impact is there on the cost of production?

Amit Agarwal : It could have been further lower I don't have the number exactly by how much but marginally lower definitely but that's our cost.

Riya: And in terms of production, what kind of acreage or production increase have we seen for the current year?

Amit Agarwal : I don't have the acreage number, but the crush is 650 lakh quintals of sugarcane . We are nearing that number by the time our mills close versus 549 lakh quintals which we did last year.

Riya: Mills will close by May end?

Amit Agarwal : So, out of four mills, three mills closed and one mill, which is operational will close in next 3 to 4 days.

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Riya: And in terms of the current untimely rainfall , does it have an impact on the crop?

Ajit Shriram: I think it's a very positive thing as far as the crop is concerned. We've had a very dry winter spell, so any rainfall is always welcome because this aids the farmer in terms of irrigation free of cost virtually.

Riya: My second question is in terms of ethanol , what is the kind of offtake are we seeing from the government and what are the current volumes and the next year volumes we are wanting to do with the enhanced capacity from Q1 FY 24?

Amit Agarwal : In terms offtake you're talking of at the industry level offtake?

Riya: Yes, industry as well as for DCM .

Amit Agarwal : Industry level offtake as CMD mentioned , the total contracted quantity this season already is about 505 crore liters. For us in the coming season

, we have the capability to produce 18 crore liters. Last year we had about 14 crore liters. Next year we should be progressing towards 18 crore liters .

Riya: Industry wide offtake last year would be around ?

Amit Agarwal : I don't have the figure. 404 I think that's what CMD sir said, about 404 crore liters .

Riya: In terms of diversion on an industry perspective , I think 4 million ton is the amount we are seeing.

Amit Agarwal : Yes.

Riya: This was last year around 3-3.5, 3.4 million ton or something ?

Amit Agarwal : 3.5 million ton .

Riya: For ethanol what would be your transfer price molasses , are we doing juice based or how is it?

Amit Agarwal : We are producing primarily on B-Heavy . We have done a small experiment on juice

based as well but primarily it is B-Heavy ethanol. Transfer price I think one should look at overall, if you have sugar as a business, every business every company might have their own transfer pricing mechanism as per the accounting standards. I think we look at it as a Sugar business as a whole because it's very dynamic whether we produce B-Heavy or we produce C-heavy or different feed stock mix. Riya: In terms of the ECH demand that we are hearing about the Epoxy we are hearing that the demand is decreasing and a little sluggish outlook on the entire space. So, what is your opinion around it?

Ajay S hriram : I think these businesses we are getting into will come in the next couple of quarters. It will take a little while to stabilize the plant. Our way of looking at business and industry is we're not in it for the short term. We are in it for the long haul. Our objective is to come up with a class product and supply to the customers

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who are satisfied with our product. So, the market's ups and downs are part of the ballgame. We've seen that in every industry across the board. We are quite bullish on the long-term, positive in medium-term, positive impact of ECH and H₂O₂ as our growth plans go forward because of the plants we are putting up, the technology we've got and the team of people we have who will make sure that the plant runs efficiently and we have a good relationship with our customers.

Riya: By when do we expect the plant to be commissioned or stabilized?

Ajay S hriram : Before the end of Q 2.

Moderator: We take a next question from the line of Ahmed Madha from Unifi Capital.

Ahmed Madha: My first question is on the cement business. This year we reached close to 50 crore loss. I know that we set up this facility about 30-35 years back. I just wanted to understand the rationale how this business has a relation with our Chloro-Vinyl business. Does any byproducts are used as a raw material for this? Can you give some clarity? How was this business initiated?

Amit Agarwal : So, see cement business is essentially a waste utilization or the pollution control mechanism in a way because the sludge that's gets generated when we manufacture PVC through carbide route that sludge goes into cement for conversion. I think we at least look at it like that. Yes, there have been times when cement has given us reasonably good profits and now because we are on a wet process, our cost of production is higher, visibly appears and therefore the realizations were not commensurate with cost. I think the way one has to look at least for us, the way we look at it's a pollution control or waste management mechanism.

Ahmed Madha: Is it fair to expect that with the coal prices coming down and even the cost of production for a Vinyl business coming down the losses will reduce going forward?

Amit Agarwal : One, the chemicals and the Vinyl business are not into losses. Whether the margins will improve or reduce will also depend on how the prices move. But yes the costs are expected to come down definitely going forward.

Ahmed Madha: I have a few questions on the Sugar

business. Number one, how much exports we are supposed to do in April or even Q1 quarter? I think we have done about 8.5 lakh quintal till Q4. So, how much is left for Q1 April month?

Amit Agarwal : One, we've completed everything by April. That is point number one. I don't have the exact number, 1.2-1.3 lakh quintals is what we exported in April. That ends our export quota.

Ahmed Madha: And this was at what prices?

Amit Agarwal : Around Rs. 40 a kg.

Ahmed Madha: And another question on the ethanol side. We did production of more than 14 crore liters and our sales was 11.8 crore liters. So, what explains this difference? For the next year how should we look at the ethanol total production with the grain based facility also coming up?

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Amit Agarwal : So, one, these are timing differences based on tenders and things like that. That gets covered up over, I mean this commodity will get sold. This is all committed contracted kind of thing. These are timing differences as I said earlier that is one.

Second with grain based distillery coming in, so our capacity to manufacture goes up to 18 crore liters. So, we'll try to maximize that.

Ahmed Madha: How much sugar production we have done so far in Q1 roughly?

Amit Agarwal : I don't have the Q1 numbers. When you say Q1 you are saying for this month, month of April, right?

Ahmed Madha: Yes for this month?

Amit Agarwal : I don't have the month number right now. I'll share it with you after the call.

Ahmed Madha: No issues . The last question on the caustic business. So , with the caustic prices coming down further in March and then in the April month , it is expected that also the realization ECU will go down. So , I have two questions on this. Number one , how is the chlorine pricing as of now in the market? Number two , with the coal prices also going down , how should we look at the profitability for the caustic business? Do you expect that there will be from Q 4 base there will be further significant decline or do you see that the decline in the caustic prices will be offset by the decline in the coal prices and then our power plants coming up?

Amit Agarwal : The situation is very dynamic right now. We do expect prices to improve from H 2. At least that's what our marketing team estimates. In H1 we expect them to be distressed . Costs are coming down. But we've seen coal prices , they were low in March. In April actually they picked up marginally. So , it's really dynamic situation. So, it'll be difficult to really comment. We also have to just watch the trend for 1 or 2 months and then we'll be able to give better guidance.

Ahmed Madha: And any comments on the chlorine pricing?

Amit Agarwal : Yes, chlorine is still negative but it's not that bad. Like in Q 3 last year it was almost 10,000 negative. Now it's about 3000 -4000 negative.

Ahmed Madha: How much export we did for caustic in Q4?

Amit Agarwal : How much export for us?

Ahmed Madha: Yes, for caustic for this year?

Amit Agarwal : I won't have that export s number for the quarter. Yes, I don't have that number right away .

Moderator: We take a next question from the line of Vivek Ramakrishnan from DSP Mutual Fund.

Vivek Ramakrishnan: My questions are around the CAPEX —I'm sorry I joined a little late if I missed the number —what is the balance CAPEX in terms of amount that is to be paid off which is there in the current year and where will your peak debt levels be? That's my only question.

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Amit Agarwal : The total CAPEX program that we had was for Rs. 3,500 crore . Now out of this , we have already commissioned close to about Rs. 600 crore . Rs. 530 crore in sugar and about Rs. 60-70 crore in chemicals. So , we are left with Rs. 2,900 crore . Now what we have spent till date is close to about Rs. 2,000-2,500 crore , approximately Rs. 2,000 crore on project.

So, we have another Rs. 1,500 crore to go in the next financial year, which is FY24. Our peak debt as I see , net debt by March will be in the range of around Rs. 1,500 to Rs. 1,800-1,900 crore . That's the range.

Moderator: We take our next question from the line of Saket Kapoor from Kapoor & Co.

Saket Kapoor: Just to clarify the last number once again , when we look at your capital work in progress , it stands at Rs. 1,600 crore . I think the Rs. 530 crore sugar CAPEX will be accounted for and has been capitalized in the first quarter . Can you give this in relation to the number of capital work in progress how is this number going to shape up?

Amit Agarwal : You read it correctly Saket. As I mentioned we have spent close about Rs. 2,000 crore and Rs. 600 crore is what got capitalized. Balance is close to about Rs. 1,500 crore which is standing in CWIP .

Saket Kapoor: Sugar we have capitalized in March itself?

Amit Agarwal : In Q3 and in Q 4.

Saket Kapoor: So, that Rs. 530 crore has been capitalized. This Rs. 530 crore CAPEX how is it going to contribute going ahead? What would be the turnover ratio?

Amit Agarwal : The Rs. 530 crore of CAPEX should give us a ballpark return of close to about 20%. I think we should live with that.

Saket Kapoor: The turnover will be what , for Rs. 530 crore what will be the asset turnover ?

Amit Agarwal : Turnover because there are some measures where our refinery capacity has gone up. There are some measures where our feedstock has changed . I mean the feedstock is a different feedstock on grain. There are some dynamics which will support cost and there are some dynamics which will support sales.

Saket Kapoor: In the presentation about 120 MW power plant is also mentioned. What would be our annual savings and the commissioning of the same?

Amit Agarwal : This 120 MW power plant the total project cost is close to about Rs. 500-550 crore and we expect this to give us savings in the range of around Rs. 100 to 125 crore on an annualized basis .

Saket Kapoor : Will we be getting the benefit for the entire full year or that is this power plant has been commissioned or what is the update?

Amit Agarwal : So, as CMD mentioned , the power plant is expected to be commissioned by Q 1 end.

Saket Kapoor : For nine months we will be getting the benefit of it his?

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Amit Agarwal : It takes time to ramp up any large project.

Saket Kapoor : On a full year basis it will be a Rs. 100-crore savings that will be expected from next year onwards in totality ?

Amit Agarwal : Yes, from next year.

Saket Kapoor : In the opening remark MD sir you mentioned about some hydrogen production part. I missed your comment on the same. What were you trying to convey for the Bharuch unit? If you could elaborate more ?

Ajay S hriram : Just to clarify when we make caustic soda chlorine , another product which is made automatically in the process is hydrogen. Today we make about 2 lakh cubic meters of hydrogen per day. Now once we commission our expanded capacity at our Gujarat factory, we will come to almost 3 lakh cubic meters of hydrogen per day and we are selling this so that is also a good source of revenue for us.

Saket Kapoor : Turnover wise can you give a yearly number for the same? What has been the contribution from the sale of hydrogen?

Amit Agarwal : Last year we had a turnover of about Rs. 155 crore on account of hydrogen and our sale was close to about 2 lakh NMQ per day and EBITDA on account of that is about Rs. 129-130 crore .

Saket Kapoor : On a sale of Rs. 150 crore ?

Amit Agarwal : Yes.

Saket Kapoor : One more point about this ESOP part. If you could explain to us, why did we choose this route of creating trust and then buying the shares from the market rather than going for direct ESOP, what has been the differentiation?

Amit Agarwal : So, Saket this is an old policy , existing poli

cy that we have which we had framed in

2013. The policy is continuing. We already have shares under this policy which is reflected in our balance sheet as well. We are just adding shares for the benefit of the employees.

Saket Kapoor : But the other route of direct ESOP credit coming .

Amit Agarwal : Saket I don't think I can do that discussion here because these are longish discussions to explain what is the difference between an ESOP and ESPS. What are the benefits. I think we connect one-on-one.

Saket Kapoor : I conclude with my last question. Taking into account the commentary and the type of CAPEX that we have envisaged, going ahead for this year will we be starting to reap the benefits of the entire CAPEX for the chemical segment or it will take another 1-year for the entire thing to capitalize ? I want to understand the trigger for FY24 , what are the key triggers ?

Ajay S hriram : As I have mentioned earlier Saket we expect all our chemical expansions to be completed by the end of Q 2 financial year '24. Now you'll appreciate it whenever an expansion is made, especially when a new product line comes in , one can't expect that within 1 week you come to 100% capacity utilization. It doesn't work that way.

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It will take a little while to get stabilized , to get the market going which is already working on the market in any case so it will take some time. We will not get the full benefit of this financial year '23-24 but we will definitely get the full benefit of that in the year '24-25.

Saket Kapoor : On the caustic market side, I think you mentioned that globally there has been no any big capacity addition. It is only the Indian market where a 1 million tons capacity was added. Taking into account the expanded capacity what have been the average utilization for the country as a whole?

Ajay S hriram : I think the utilization in the country as a whole is running at about 72 %-73%, which is pretty good. Our was a little higher, which is beneficial because we have a lot of our chlorine supply which goes directly by pipeline to many customers around our Gujarat factory. In our caustic soda factory at Kota, we use almost over 50% of our chlorine ourselves for making PVC and stable bleaching powder , etc. So, our utilization was higher but with the capacity coming in you're right , it will take a couple of quarters to stabilize and we hope the international economy also picks up or stabilizes so the demand from there also picks up a little bit . Because ultimately end of the day , today whether it's caustic you can just import it there's no issue. So, our objective is how do we actually have going down the line little balance in the capacity in India and international prices going up.

Saket Kapoor : And just for the textile sector there was a big dampen in the demand from them. How is the textile sector looking up for the month which has gone by? Have the textile sector opened up post the corrections in the yarn and the cotton prices the inventory written down and also, I think so getting adjusted for the year. What's the outlook from the textile sector? Any feelers you can share?

Ajay S hriram : Textile sector discussions we've had and our people have had. The textile sector as you rightly said has gone down a little bit . In the textile sector is important because the use in the textiles also as well as in dyes etc. which are used in the textile sector , caustic soda is used in both. We hope down the line with the Indian economy moving at (+6%) this textile sector also picks up over the next few quarters which should give us a little positivity.

Saket Kapoor : Lastly on the power and fuel front. If you could explain once a gain what led to this increase in power and fuel cost , Q-on-Q basis also; year-on-year there's a significant gap of 100 crore , even on Q -on-Q, there's a 40 -45 crore change on even lower turnover

er. If you could explain the mix that led to the escalation in power and fuel cost ?

Amit Agarwal : Saket the power cost has been going up . It is only in let's say by February -March when the spot prices of coal started coming down but the company carries inventory for its operational safety . So, that inventory by March we more or less liquidated the high -cost inventory which we had bought in the month of November - December -January and now we are seeing our fuel prices or the coal prices coming down , the consumption rates coming down .

Saket Kapoor : Can you share the mix , what is the coal part and how much is the direct purchase from grid?

Amit Agarwal : So, about 38% we purchase d from the grid for our chemicals complex at Bharuch and as well as Kota.

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Saket Kapoor : The balance 62% is coal -based coal and gas both because it is for fertilizer if you...

Amit Agarwal : Coal primarily but then we are also using biomass now in a big way. We are using almost 20% biomass in Kota and nearing over 10% biomass in Bharuch .

Saket Kapoor : So, the grid pricing can you share? How are the grid pricing shape up for Q -on-Q or a year-on-year basis?

Amit Agarwal : Grid pricing that also keeps changing with the coal prices. There's a fuel surcharge but that ranges between Rs. 7 to Rs . 8.

Saket Kapoor : Because I was just trying to make sense of this 9% to 10% increase Q -on-Q basis. Is it only because of the inventory?

Amit Agarwal : We will discuss that offline Saket .

Moderator: We take our next question from the line of Riya from Aequitas Investment Consultancy .

Riya : This is just in regards with the cost of production for sugar. You had said that last sugar season was Rs . 33 and this time it's 32. This includes the Rs. 25 incremental , per quintal SAP increase ?

Amit Agarwal : Yes, so even last year this Rs . 25 was there. This increase in SAP happened in the last season. What JMD sir mentioned , was actually saying that the increase in SAP in the last season which is '21-22, the sugar that is produced in that season is sold in the next season. That is where the cost increase had happened but we didn't get the benefit in terms of the price equivalent benefit in the price increase and therefore, the margins were lower . This year in any case there has been no SAP increase but because of production and recovery our cost is lower.

Riya : Can I know the cost of production for sugar season '21 or the year before the SAP increased?

Amit Agarwal : That was close to about Rs . 2,950 so I may be off by Rs. 10 -15 but ballpark.

Moderator: We take our next question from the line of Ahmed Madha from Unifi Capital .

Ahmed Madha : First on the epichlorohydrin realization so we see that the prices of epoxy and ECH both have come down significantly. In FY24 as we progress for our CAPEX will be based on the spreads which are on the export basis will we do break even for ECH? I know that we have plans for the long term and the business will be very supportive for the long term but how should we look at the near term? Should we break even or no ?

Amit Agarwal : Ahmed I think what you're looking at is and if I'm not wrong, you're looking at the prices which you are right over the last 1-year have come down from about Rs . 200 per kg to now about Rs .120 kg. But then even the glycerin price has halved like the crude glycerin is from Rs . 65 a kg has come down to Rs . 32 per kg. So, ballpark my spread so if I look at my margin , my EBITDA margin is still in the range of about

20%-24%. Yes, absolute number is lower and therefore quantum will come down. I don't deny that but it is not under too much pressure, I would say it is fine.

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Ahmed Madha : Second question is on the Bioseed I know that in this year we have made efforts to turn around the Bioseed business. So, can you give some outlook how do we look

at FY24 -25 and how does our product pipeline and product launches look for the Bioseed's business?

K.K. Kaul : FY24 we are looking at the same kind of growth that we have seen in FY23 because of the products which have been accepted in the market and because of some new good products which we have in the pipeline. We are having products almost all the crops that we deal whether cotton, corn or paddy or even vegetables. I think FY24 should be even better than FY23 and we should be coming over that in terms of turning around.

Ahmed Madha : Over the long-term beyond FY24 -FY25, how should we look at the business and the viable margins in the business?

K.K. Kaul : As of now the long-term looks good but it has to be seen year-on-year because the market also somebody else comes with a better product but we also have a very good end products so we do see in the next 3-4 years we should be growing and doing better.

Moderator: As there are no further questions from the participants, I would now like to hand the conference back over to the management for closing comments. Over to you sir.

Ajay Shriram : Thank you. Ladies and gentlemen thank you very much for your participation in our Q4 and financial year '23 earnings conference call. We are committed to deliver better earnings and growth. We are making efforts in that direction by growing our economies of scale, new product lines, increasing efficiency, fostering innovation and promoting a circular economy and focus on sustainability. We also prioritize maintaining a strong financial position and continue to look for new avenues of growth. Thank you once again for joining our call and wish you all good health always. Thank you.

Moderator: Thank you very much sir. Ladies and gentlemen on behalf of DCM Shriram Limited that concludes this conference. Thanks for joining us and you may now disconnect your lines.

Call: Aug 2023

BSE Limited
Phiroze JeeJeeBhoy Towers,
Dalal Street,
Mumbai - 400 001 National Stock Exchange of India Ltd.,
"Exchange Plaza",
5th Floor, Plot No. C-1, G Block,
Bandra-Kurla Complex, Bandra (E)
Mumbai – 400 051

SCRIP CODE : 523367 SCRIP CODE : DCMSHRIRAM

Kind Attn: Department of Corporate Communications/Head - Listing Department

Sub: Intimation under Regulation 30 of SEBI (Listing Obligations and Disclosure Requirements) Regulations, 2015 regarding Transcript of Analysts/Investors Call

Dear Sir(s),

This is in continuation to our earlier intimation dated July 18, 2023 regarding Q1 FY'24 Earnings Conference Call for Analysts/Investors of the Company scheduled on Thursday, July 27, 2023 at 4:00 PM (IST), following the announcement of the Company's Unaudited Financial Results for the quarter ended June 30, 2023.

Pursuant to Regulation 30 of the SEBI (Listing Obligations and Disclosure Requirements) Regulations, 2015, please find attached Transcript of the said Analysts/Investors Call.

The said transcript will also be available on the Company's website (www.dcmshriram.com).

Kindly take the same on record.

Thanking you,

Yours faithfully,
For DCM Shriram Ltd.

Sameet Gambhir
Company Secretary & Compliance Officer

Dated: August 2, 2023

Encl.: as above
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DCM Shriram Limited
Q1 & FY'24 Earnings Conference Call
July 27 , 2023

Moderator: Ladies and gentlemen, good day and welcome to the DCM Shriram Limited Q1 FY'24 Earnings Conference Call.

As a reminder, all participant lines will be in the listen -only mode and there will be an opportunity for you to ask questions after the presentation concludes. Should you need assistance during the conference call, please signal an operator by pressing '*' then '0' on your touchtone phone. Please note that this conference is being recorded.

I now hand the conference over to Mr. Siddharth Rangnekar from CDR India. Thank you and over to you sir.

Siddharth Rangnekar: Thank you Neerav . Good afternoon and welcome to DCM Shriram Limited's Q1 FY'24 Earnings Conference Call.

Today, we have with us Mr. Ajay Shriram -- Chairman & Senior Managing Director; Mr. Vikram Shriram – Vice Chairman & Managing Director ; Mr. Ajit

Shriram -- Joint Managing Director ; Mr. K.K. Kaul -- Whole -Time Director; and Mr. Amit Agarwal -- CFO of the company.

We shall commence with remarks from Mr. Ajay Shriram and Mr. Vikram Shriram. Members of the audience will get an opportunity to ask their queries to the management subsequent to their remarks during the interactive question -and-answer session.

Before we begin, please note that some of the statements made on today's call could be forward -looking in nature and a note to this effect has been included in a Conference Call Invite that has been circulated earlier.

I would now like to invite Mr. Ajay Shriram to give us a brief overview . Over to you, sir.

Ajay Shriram: Thank you, Siddharth . Good afternoon, ladies and gentlemen. Thank you for joining us for our Q 1 Financial Year '24 Earnings Conference Call. I hope all of you are keeping safe and in good health.

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I will give you an overview of the "Operating Environment " of our businesses and progress on our "Growth Initiatives ." following which Vikram will give a perspective on our "Business Performance ."

The world economy continues to face headwinds and is yet to stabilize from the effects of the COVID -19 pandemic and extended Russia -Ukraine conflict. These factors have led to cascading effects of high inflation, high interest and slow growth globally .These have severely impacted the supply chain balance . Climate change is further adding to uncertainties and it is a tough operating environment .

Our Chemicals and Vinyl businesses are facing challenges as a result of global disruptions in demand, supply and costs. Our ongoing investments to optimize costs, enhance scale and integration will provide strength to the Chemicals business.

The Sugar business environment is stable and the recently concluded CAPEX cycle will add to the earnings.

Our Shriram Farm Solutions and Fenesta businesses are witnessing good growth and have become significant contributors to our earnings.

Sustainability is key to our business performance and growth. We are cognizant of the impact of climate change and have taken steps to reduce our carbon footprint, improve resource utilization and conserve water. Out of the total direct energy consumed, 42 % is green and we are 12 times water positive. The supply of up to 43 megawatts renewable power has started in this quarter.

There are multiple initiatives being undertaken at the manufacturing plants to optimize energy , reduce waste generation as well as add value to waste. We also have a strong framework on social issues and governance . We have been ranked among the top 7% global chemical company as per the "Sustainability Assessment by S&P Global, based on Dow Jones Sustainability Index.

With that, I would now like to walk you through our various businesses :
Chemicals:

The global supply outweighed demand in major consuming regions and more notably, in India, given the significant capacity additions . There is demand slowdown in major economies such as Europe and US for the reasons stated earlier, which is impacting demand in India, especially in the textiles and related industries as well as other downstream chemical industries . These factors have led to consistent fall in product prices globally and in India over the last three quarters. Hydrogen demand and prices continue to be stable. The product cost has started coming down sequentially. However, the decline in finished product prices is sharper, leading to lower margin. We expect our cost structure to improve from 3rd Quarter and onwards with benefits from further decline in coal prices, commissioning of our new 120 MW coal -based

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power plant and 43 megawatts of renewable power . We have started sourcing renewable power from June. onwards and it is being ramped -up.

Our projects will start getting Commissioned from 2nd Quarter onwards with the 120 MW power plant. All other the projects will get commissioned within the 3rd Quarter . Our team is putting in its best efforts to commission them as per stated timelines.

Vinyl:

Global demand for PVC is driven by the housing sector. High interest rates

have led to slowdown in growth in this sector in most of the large economies . The capacity utilization of PVC plants worldwide have increased hence the supply is outweighing demand. China is the largest producer of PVC and has added capacities. However, the demand has not picked up and they are dumping PVC into global markets. China is also the largest exporter to India because of the freight advantage . The global prices have remained subdued including in India, which imports about 55% of its requirements. We are improving our cost structure and have been able to reduce the energy costs with lower coal prices and a significant

increase in the use of biomass at our Kota complex .

Despite these efforts, our margins are subdued. Industry has made representation to the Government with respect to re-imposition of anti-dumping duty, however, we are yet to get a favorable response.

Sugar :

World sugar balance is expected to be marginally in deficit for sugar season '22-23. The international prices are firm at around USD 690 per metric ton for white sugar. However, this has limited impact on domestic prices because of restrictions of exports and the domestic release mechanism .

Domestic sugar production estimates for sugar season '22-23 is at 32.8 million metric tons and the season -end inventory level is expected to be 4.5 million metric tons.

We concluded sugar operations in the month of May with significantly higher sugar cane crush as well as better recovery versus the last season .

Most of our sugar expansion projects were commissioned last year. The 260 kiloliters per day grain -based distillery process was started in the current quarter . We will see the full year benefits of all expansions in the current financial year.

The Central Government recently increased the FRP of sugar cane to Rs. 315 for the upcoming season . However, the cane cost in Uttar Pradesh continues to be higher at the state -advised price of Rs. 350 per quintal . The increase in the state -advised price happened in season '21-22, which has not yet been fully compensated by the increase in sugar and ethanol prices.

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Recently FCI has stopped the supply of rice for ethanol production. This will impact grain -based distillery operations across India. There is a need to have more rational and consistent government policy for sugar as well as ethanol which supports the farmer , the industry as well as the consumer.

The Board of Directors have approved a 12 tonnes per day compressed biogas project at Ajbapur unit with an investment of Rs. 131 crore to be commissioned by Q4 Financial Year '25. This will add to our green footprint along with value -addition to press mud , a byproduct of the sugar operation.

Fenesta Building Systems:

The business has emerged as a notable contributor to our performance. We continue to record healthy growth on the back of enhanced distribution and wider product range.

Our Project segment continues to record good growth both in volumes and pricing. In addition to products in UPVC categories, we are growing in aluminum windows and in WPC and engineered wood doors .

The expansion at our Kota extrusion plant and the fabrication unit for glass facades is expected to commence towards the end of this quarter.

Shriram Farm Solutions:

This is another business that has emerged as a notable contributor to our performance. We are focusing on new technologies and our own research -based products which has already started contributing and will drive the growth of the business going forward.

We started our own manufacturing of some of Crop Care Chemicals last year and by Q4 -2024 we will start manufacturing some of the plant nutrition products like water soluble fertilizers and biologicals at our factory at Kota. We are also entering into technology tie ups to bring new and innovative products to the farmers .

Fertilizer:

The business is stable . Gas prices have come down, which implies lower turnover since this is a pass through and lower subsidy build up. Subsidy payments from the government have been absolutely regular .

Bioseed:

The business is seeing better traction in India. International business is stable. We are focusing on the pipeline for new products. We are also optimizing costs and will further improve performance in this segment.

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Ladies and gentlemen, our growth agenda is nearing completion. We shall harness the combined benefits of our strategic CAPEX that is designed to give key segments a growth and value crea

ting impetus . This CAPEX will also augment our capability to better navigate the volatile industry dynamics . We will continue to invest in growth driven by our cash flows and a healthy balance sheet .

I will now request Vikram to give you a perspective on our business performance. Vikram, over to you.

Vikram Shriram: Thank you. Good evening everyone.

I will now take you through the "Business Performance " for Q1 Financial Year '24:

Net revenues for Q1 Financial Year '24 stood at Rs. 2,780 crore versus Rs. 2851 crore in Q1 Financial Year '23, a decline of 2% impacted by lower prices and volumes in Chloro -Vinyl segment .

Sugar , Fenesta and Shriram Farm Solutions led growth for the quarter. PBDIT for Q1 Financial Year ' 24 was at Rs. 183 crore versus Rs. 464 crore in Q1 financial Year '23, a decline of 60% driven by lower product prices of Chloro -Vinyl segments.

Chemicals:

The Chemicals business reported revenues of Rs. 536 crore , a decline of 40% year-on-year.

ECU prices were lower by 41% and volumes of caustic soda were down by 9% year-on-year.

Hydrogen volumes and prices are stable. PBDIT was Rs. 36 crore , down 90%. Input cost, especially energy prices, have started coming down but are still at elevated levels versus last year.

Vinyl:

The Vinyl business saw a decline in revenue s by 32% year-on-year at Rs. 164 crore impacted by decline in prices of PVC and Carbide by 39 % and 30% respectively. However , volumes of PVC and Carbide increased by 4% and 19% respectively. P BDIT was Rs. (-3) crore versus Rs. (+70) crore last year. Costs have come down but are not enough to mitigate the impact of lower prices .

Sugar:

In the Sugar business revenues net of excise duty was at Rs. 958 crore , an increase of 35% year-on-year due to higher prices and volumes . Sugar volumes were up 41% year-on-year due to higher domestic releases and exports.

The v olumes of ethanol were 359 lakh liters versus 350 lakh liters last year.

Sugar prices both domestic and exports were also higher by 3% and 25%

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respectively. Ethanol prices also were higher. P BDIT was higher at Rs. 88 crore as against Rs. 22 crore for the above reason. Increase in sugar and ethanol prices are still not commensurate with the increase in sugar cane costs done in the last season .

In terms of cr ush, we closed this season with the cr ush of 652 lakh quintals versus 549 lakh quintals last season attributed to better crop and commissioning of sugar expansion projects. Sugar recovery on C-Heavy molasses operations is 11.44% higher 1 9 basis points over last year.

We diverted approximately 11 lakh quintals of sugar for ethanol production via B -Heavy and juice.

Fenesta Building Systems:

Fenesta Building Systems revenue increased by 15% year-on-year to Rs. 192 crore and PBDIT by 23% to Rs. 40 crore . Growth was driven by volumes and pricing in the projects category .

Retail and projects categories both saw higher order bookings in the quarter with an overall increase of 13% year-on-year at Rs. 208 crore .

Shriram Farm Solutions :

Shriram Farm Solutions revenues increased by 8% year-on-year at Rs. 236 crore , supported by a strong performance in the category of seeds and crop

protection . PBDIT for the quarter came in at Rs. 11 crore as against Rs. 18 crore last year on account of higher marketing expenses. The team is working on strengthening the S hiram brand and increasing geographical expansion .

Fertilizer:

Fertilizer revenues were higher by 18% year-on-year at Rs. 378 crore and PBDIT was Rs. 23 crore versus Rs. (-17) crore last year . Planned maintenance shutdown in the last year resulted in volumes for this year being higher by 62% along with better efficiencies and lower maintenance costs. In Q1 Financial Year '24 prices were lower by 28% year-on-year on account of lower energy prices, which are a pass through .

The urea subsidy o

utstanding is at Rs. 83 crore versus Rs. 462 crore at the same time last year.

Bioseed:

Bioseed segment revenue increase of 4% year-on-year at Rs. 213 crore and PBDIT was up 17% at Rs. 23 crore . This was primarily led by the domestic revenues, which increased by 5% year-on-year at Rs. 186 crore .

Debt:

The Company's net debt has increased from Rs. 8 crore as of June 30th, 2022, to Rs. 926 crore as of June 30th, 2023. This is on account of the ongoing expansion projects amounting to Rs. 3500 crore .

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Return on Capital Employed:

Return on Capital Employed for June '23 came in lower at 21% as compared to 37% for June '22.

On the whole, we will aspire to deliver a continuous and sustainable growth, keeping our balance sheet and cash flows healthy.

This brings me to the end of my opening remarks. I would now like to request the Moderator to please open the forum for a question -and-answer session.

Thank you.

Moderator : Thank you very much. We will now begin the question -and-answer session.

The first question is from the line of Ahmed Madha From Unify Capital .

Please go ahead.

Ahmed Madha: My first question is on the caustic business. If I look at the way the prices were in March and if I look at the import prices, it was about \$440 to \$430 a ton and it has fallen to about \$390 to \$ 400 a ton which is a fall of about 7 % to 8%. But if I look at our realization, which we reported in a presentation in March was about 36,000 and in June it is about 27,000, which is about 25% fall so what explains this divergen ce between 7% fall and 25% fall ?

Ajay Shriram: In terms of the prices ac tually speaking year ago, the price was in the range of about \$650 and in the month of July, international price came down to \$310. That is the reason why there is this sharp drop in prices of the final product because international prices have dropped dra matically and people can import it and you are aware that there is a match between international price delivered and domestic prices.

Ahmed Madha: But still the divergence isn't large which doesn't explain the fall for our domestic realization ?

Ajay Shriram: No, I'm saying that prices have fallen and also what happens is that capacities are coming up as you are aware within India . Due to that when there is a pressure on chlorine then chlorine has its own negative pricing. So that has an added impact o n making the ECU, which is combined price of caustic and chlorine , even lower, so that is the market price at which we are selling now.

Amit Agarwal: Just want to add Ahmed that in the month of January, February, March international prices were ranging from about \$600 in January and they came down to close to about \$420 as you rightly mentioned in March so even the average international prices were better and therefore our realization averaged around 37,000 in Q4. Now in Q1, the average international prices have been around \$420 and the international prices are definitely further come down from about 37,000 , now they have come down to 310 in July. And the domestic price has seen a little sharper fall. And that also as CMD sir rightly mentioned that the capacities that have come up in the country, that's also putting pressure.

Ahmed Madha: And on the cost side over last quarter first our understanding was that there was some inventory which we had for the coal and that was depleted and

from Q1 we were supposed to have low-cost inventory. but I don't see a decline of cost here. So, what explains that thing?

Amit Agarwal: If you look at sequentially the sequentially my cost of production has come down by about 10% . However, the fall in prices has been much sharper . The fall in prices has been about 20% between Q4 last year to Q1 this year. So that's the reason why we're not seeing an impact in the margins but otherwise costs have come down over 10% and as we mentioned

in the

opening remarks, we should see a little more decline in Q2, but a major decline will then start coming from Q3 onwards.

Ahmed Madha: In the PVC segment, do we still see the weakness which we saw in Q1 or is there any improvement which we are witnessing?

Ajay Shriram: On the P VC front India actually last year we had the most remunerative prices ever. It starts at Rs. 1.50 lakh per metric tons & around that. Then they dropped to about Rs. 75,000 per metric ton in the last few months. And the international price also was over \$780 , now it has gone up marginally. The international prices have gone up to over \$800 to \$810. But it's too early to say because China has also got back into manufacturing, but the economy is not picking up adequately for consumption , so they are dumping. As I mentioned earlier, we are working with the Government to see how to bring in some anti -dumping duty coming in from China. So , we hope that can happen over the next couple of months that should help us in improving our prices a little bit, but there is pressure because India imports about 55% of the P VC requirement so we are linked to the international price .

Amit Agarwal: And here again, just to add on the cost front, we are consistently improving quarter -on-quarter and this quarter again there will be improvement, but then prices are not in our control.

Moderator: Thank you. Next question is from the line of Riya Mehta from Aequitas Investments . Please go ahead.

Riya Mehta: My first question will be in terms of what are the current domestic ECUs in the month of July?

Amit Agarwal: They are a little below 27,000.

Riya Mehta: And what will be the chlorine cost in this negative ?

Amit Agarwal: Chlorine ballpark around (-4000).

Riya Mehta: Second would be in terms of we were seeing some demand in exports for caustic , last year also we've seen some growth. So , are we seeing continuing growth there?

Amit Agarwal: Exports have grown but I would say they're not to what we expected given that again as mentioned in the opening remarks that globally the supply is increased because of better capacity utilization in Europe because we were exporting to Europe and many other countries We are not flooding the market and even Europe has become an exporter of caustic. So , there is an oversupply situation globally .

Riya Mehta: And in terms of demand, we're seeing some comeback in paper demand as well as other alumina, etc. Do you think that will make up for the loss of demand in textile or maybe the H2 demand would be better ?

Ajay Shriram: Sorry, can you repeat that please?

Riya Mehta: We're seeing some growth and demand in paper sector as well as alumina sector. So , do we think that that will offset the decline in textile and the capacity utilization will increase going forward?

Ajay Shriram: We feel that a couple of quarters there will be a little stress because even though you're right, textiles is also stable, but papers are also going up, but new capacity additions are happening so that creates its own stress. So , this is something which is a matter of concern and international prices are low. So, all that combined, I think there is going to be stress for a little while.

Riya Mehta: My second question is in terms of ECH, what are the current prices and are we still seeing some traction there and when do we plan to commission our plant there?

Amit Agarwal: ECH current prices are in the range of Rs. 102 to Rs. 103 per kg and the crude glycerin , which is a key raw material would be around Rs. 31 to Rs. 32.00 per kg. So, both of them have come down and therefore the margins , although they are lower in absolute terms but the EBITDA margins would be in the range of around 18 % to 19%. And in terms of our commissioning as mentioned, we will be commissioning the ECH plant in Q3.

Riya Mehta: My third question is in

terms of sugar; we've been hearing that in UP there is some problems relating to OMC off-take of ethanol. Are you facing something like that and what is your view on that?

Amit Agarwal: No, there is no issue in terms of OMC off-take of ethanol. They have to meet their targets. There is enough gap between the tender and the contract.

Riya Mehta: Because we heard that there are some logistics issues at the end of the OMCs and they are filled with ethanol so they're not buying anything right now in Q2 ?

Amit Agarwal: Temporary issues can be there.

Riya Mehta: And in terms of grain-based facilities and since the Government is not going to provide with broken rice anymore, what will be the impact on the margins for this as compared to when we had planned in the planning stage ?

Amit Agarwal: It's a little early right now say because we will look at one option is the FCI rice. The other option is to get from the market. Now there are a lot of factors, I don't think it's right time to give you the impact on the margin. Yes, some impact will be there but how much is difficult to say because we would like to now procure it from the market that is one and we don't know till how long the FCI ban will stay so there are multiple factors, too early right now.

Riya Mehta: And in terms of profitability post this non-availability of FCI rice, will it be B-Heavy then syrup and then grain, am I right?

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Ajit Shriram : As Amit mentioned, it's a little early to talk about this because there are discussions going on with the Government for grains for ethanol otherwise we will not be able to meet the PM's target for ethanol blending percentage. So those discussions are on and we do hope that some kind of a resolution comes up in the next few days.

Amit Agarwal: I would also like to add that the total contracted value for grain-based ethanol is 130 lakh liters and what has been supply till now is only 60 lakh liters so that itself is a gap. So that also has to be covered otherwise it'll be less amount available.

Riya Mehta: In terms of Vinyl, my question is since we are working at currently negative EBIT levels, till what price will we go and produce more of Vinyl ?

Ajay Shriram: We are actually making Carbide and Vinyl PVC so we play between the two, whichever gets the better realization will come. We are not trying to stop production by any chance.

Vikram Shriram: And anyway, there's a contribution.

Riya Mehta: It is actually (-7) crore EBIT.

Vikram Shriram: No, but there's a contribution and there's a fixed cost before the EBIT.

Riya Mehta: And what will be the current Chlorine utilization for us?

Amit Agarwal: Chlorine utilization in the Baruch plant, where we have almost 60 % to 70% of the current capacity there 40% we are supplying through pipeline and captive is about 4 % to 5%, which will increase to 15% once all of the downstream plants come up. And so ballpark as you can assume that Bharuch will be close to about 50% to 55% captive or through pipelines. The Kota complex is almost 30 % to 35% captive.

Moderator: Thank you. Next question is from the line of Pratik Tholiya from Systematic Group. Please go ahead.

Pratik Tholiya : Just wanted to understand one thing typically the understanding that we had was when the prices come down and the cost is high, many small and marginal players tend to rationalize their capacity in order to reduce the supply, which kind of supports the realizations and therefore there is some balance that we see in the industry. If anything of that sort likely to happen, considering that the costs are still pretty much higher like you mentioned, and realizations are at 27,000 so anything like that are we foreseeing?

Ajay Shriram: No, that is something which is not allowed either and industries are trying to gain whatever they can make by own, everyone is running at a

reduced

capacity, so it's already running at reduced capacity where each one working on their own position in the market.

Pratik Tholiya : We are basically backward integrated and we also have a captive power so we would be still better off in the cost curve versus some of the others who will be actually leading at current realization levels. So, would they not be kind of curtailing their capacity?

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Ajay Shriram: So, each one is working on whatever works out for them and some people are working in a little higher capacity utilization, some are working a little lower depending on the cost of production, depending on the offtakes within the radius of their factory where the freight costs are also within control, each company has to work out their own economics.

Pratik Tholiya: And just secondly, could you just talk a little bit on this CBG plant that you're putting up, what sort of opportunity is available and this Rs. 130-crore that we're investing, what sort of IRRs are we targeting over here?

Amit Agarwal: This is a coming up sector one because this is from biomass and for us it's like adding value to our byproduct. And the other thing is if you see CBG is equivalent to CNG, which is a cleaner fuel, so the opportunities are immense.

We've just made our first beginning here and in terms of returns it will be in the range of around 18% to 19% return on investment. And probably we do see that going forward, the technology will improve from the way it is right now. That should further improve efficiencies and help return further. This sector will undergo a change. This is just starting.

Pratik Tholiya: And the raw material you said will be basically press mud, which is a waste product in the sugar.

Amit Agarwal: Yes.

Moderator: Thank you. Next question is from the line of Rohit Nagaraj from Centrum Broking. Please go ahead.

Rohit Nagaraj: My first question is broadly from a medium-term strategy perspective, now that most of our plans are likely to get commissioned in near future, from a capital allocation perspective, particularly talking from the Chemicals business, what is the thought process from the management in terms of diversifying into any other streams of chemicals apart from the existing ones where we already are amongst the market leader and we have first mover advantage in ECH, etc. So, what's the broader thought process from a medium-to-long term perspective? Thank you.

Ajay Shriram: As a group, we keep exploring what are the opportunities available to us. We took up the initiation of expansion of our caustic soda plant, expanding aluminum chloride and doubling that capacity at Bharuch, adding ECH, adding H₂O₂. We are studying various other areas of value-add down in these two chains at the moment. We have set up R&D Center in Vadodara, which is working on what more value addition can be done on ECH and H₂O₂, even in chlorine what more can we do down the line. So, we are continuously exploring what are the options and alternatives open to us. So, at the moment, we already have these projects online but we are looking at more projects and at the appropriate time, the Board will take a decision of investing further and that's part of our strategy. We have to keep growing. We have decided to move on the value-added chain more so that will happen in due course of time.

Rohit Nagaraj: Second question is you already talked about you've been talking with the Government on the import of PVC from China and supposedly the quality is also bad. So, when is the likelihood that the Government will take some action on this, given that it's been in the talks since fairly long time? Thank you.

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Ajay Shriram: I know it's a big challenge. I wish I knew when it will happen. But we are following up with the Government. We are telling them in terms of the quota

s

and QR issues, etc., how to restrict it because it's not good in terms of the extent and the quality of the PVC. So, the industry is following up with the Government, very difficult to say Rohit by when it will happen.

Moderator: Thank you. The next question is from the line of Pratiksha Daftari from Aequitas Investments. Please go ahead.

Pratiksha Daftari: I just wanted to understand what is the contribution of refined sugar in our volumes right now and what is the realization for refined vis-à-vis the other sugar?

Amit Agarwal: Around 60% of our total volumes now are under refined sugar and differential is anywhere ballpark around Rs. 70 between sulphated and non-sulphated sugar.

Pratiksha Daftari: Rs. 70.

Amit Agarwal: Rs. 70 per quintal.

Pratiksha Daftari: And what would be our conversion cost for sugar production right now as in apart from cane like cost of production, if I were to just deduct the cane?

Amit Agarwal: As of date the inventory we hold, we are holding at about Rs. 3150 to Rs. 3160 per quintal .

Pratiksha Daftari: Okay, I got it. Thank you

Moderator: Ladies and gentlemen that was the last question . I now hand the conference over to the Management for closing comments.

Ajay Shriram: Thank you, ladies and gentlemen for your participation in today's call. We remain focused on pursuing our strategic direction on business growth through scale, diversifying revenue streams, optimizing costs and achieving greater integration. We are committed to maintaining a robust balance sheet and healthy cash flows. As a company, we are equally focused on environment and community welfare. We aim to forge stronger relationships with all our stakeholders. Once again, thank you for joining us on our Q1 Earning Call . We wish that you stay safe and in good health. Thank you very much. Goodbye .

Moderator: Thank you very much. On behalf of DCM Shriram Limited that concludes this conference. Thank you for joining us. You may now disconnect your lines. Thank you.

Disclaimer: This is a transcription and may contain transcription errors. The transcript has been edited for clarity. The Company takes no responsibility of such errors, although an effort has been made to ensure high level of accuracy.

Call: Nov 2023

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SCRIP CODE : 523367 SCRIP CODE : DCMSHRIRAM

Sub: Analyst s/ Investor s Call Transcript

Dear Sir(s),

Pursuant to Regulation 30 read with Schedule III of the SEBI (Listing Obligations and Disclosure Requirements) Regulations, 2015, please find attached the Transcript of the Investors ' Earning Call on Unaudited Financial Results (Standalone and Consolidated) for the quarter and half year ended September 30 , 202 3 held on November 02 , 202 3.

The above said transcript will also be available on the Company's Website i.e. www.dcmshriram.com .

Kindly take the same on record.

Thanking you,

Yours faithfully,
For DCM Shriram Ltd.

Sameet Gambhir
Company Secretary and Compliance Officer

Dated : 08.11.2023

Encl.: as above
Page 1 of 17

DCM Shriram Limited
Q2 & FY '24 Earnings Conference Call
November 02, 2023

Moderator: Ladies and gentlemen, good day and welcome to DCM Shriram Limited Q2 FY24 Earnings Conference Call. As a reminder, all participant lines will be in the listen -only mode and there will be an opportunity for you to ask questions after the presentation concludes. Should you need assistance during the conference call, please signal an operator by pressing star, then zero on your touchtone phone.

Please note that this conference is being recorded. I now hand the conference over to Mr. Siddharth Rangnekar from CDR India. Thank you and over to you, Mr. Rangnekar.

Siddharth Rangnekar: Thank you, Jacob. Good afternoon and welcome to DCM Shriram Limited's Q2 FY24 earnings conference call. Today we have with us Mr. Ajay Shriram, Chairman and Senior Managing Director, Mr. Ajit Shriram, Joint Managing Director, Mr. Aditya Shriram, Deputy Managing Director and Mr. Sanyog Jain, Deputy CFO of the company.

We shall commence with remarks from Mr. Ajay Shriram and Mr. Ajit Shriram. Members of the audience will get an opportunity to post their queries to the management following these comments during the interactive question and answer session.

Before we begin, please note that some of the statements made on today's call could be forward - looking in nature and a note to that effect has been included in the conference call invitation that has been circulated earlier and is available on the Stock Exchange websites. I would now like to invite

Mr. Ajay Shriram to give us a brief overview. Over to you, sir.

Ajay Shriram: Thank you, Siddharth. Good afternoon, ladies and gentlemen and thank you for taking time to join us for our Q2 FY24 earnings conference call. I wish to take this opportunity to convey our festive greetings to each one of you ahead of Diwali. I will commence with the strategic imperatives of our business, followed by Ajit giving a perspective on our business's performance.

The fresh conflict in the Middle East threatens to roll back the already weak economic recovery in key developed economies. Inflation remains the primary disruptor to normalization of growth as central bankers are already setting the tone for a tighter policy regime.

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The combined impacts from geopolitics, higher interest rates and non-linear risks from climate change will intensify problems for nations with bloated debt and weak economies. We are already seeing adverse impacts in our Chloro-vinyl businesses from these factors. The steps we are taking to diversify our product mix and bring in higher efficiencies shall mitigate these issues to a certain extent.

Sugar industry continues to operate in a stable political environment and is likely to remain insulated from the global dynamics given the fall in production estimates.

Shriram Farm Solutions, our business vertical in rural ag

ri-input area, has continued launching new products, including from our own research and has also started working towards creating a manufacturing footprint.

Fenesta business continued its growth momentum and we augmented our extrusion capacity to support growth in the uPVC segment and are also looking at expanding geographically and increasing our product offerings. Sustainability, being central to our initiatives, one will see progress in water and energy conservation, green energy and circular economy. We have also raised a sustainability linked loan to mark our unwavering dedication towards the ESG objectives.

I would now like to walk you through our various businesses.

Chemicals :

The major economies are yet to see the path to sustained economic revival due to geopolitical factors. Caustic soda, being a key product that gets consumed by several key segments of the economy, its demand has remained subdued in the first half of the fiscal year, driving inventory levels higher. In India, new capacity additions have led to lower operating rates as the demand pickup is not commensurate to capacity additions. Also, during the first half of the year, the net exports were lower at 1.16 lakh metric tons versus almost 1.4 lakh metric tons correspondingly last year.

We continue to face price pressures due to international prices and continue to work on the cost side to improve margins. Our captive green energy plant was commissioned in the last quarter and the 120 megawatt more efficient power plant has started trial runs and will yield results from this month.

Other projects are under advanced stages of execution and will be commissioned before the end of this financial year.

Vinyl:

South Asia continues to attract imports as demand from North America and China remains subdued. Demand across India was strong. However, China, with its excess capacity and aggressive pricing, continues to put pressure on prices in the country. The volumes have been higher this year. Also, the raw materials, mainly power and carbon costs, have corrected and have kept margins positive. PVC prices have further softened and we are maximizing carbide sales.

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Sugar :

World sugar balance is expected to be balanced and hence international prices remain firm. Presently, it is approximately \$7.30 per ton for whites and \$0.27 per pound for raw sugar. Domestic market being insulated from international market, sugar prices continue to be much lower at approximately INR3,800 to INR4,000 levels.

Indian sugar stocks as of September 30, 2023, at 4.5 million metric tons, along with sugar production for the sugar season 2023/2024, estimated to be around 30 million metric tons, should support domestic sugar prices in the coming months.

The Uttar Pradesh government is yet to announce the State-Administered Price, SAP of sugar cane for the upcoming season. The industry will be expecting a parity with the central government's FRP, the Fair Remuneration Price, also factoring in the impact of the country liquor policy of Uttar Pradesh. We plan to commence sugar cane crushing in the first week of November and are expecting a good crop for the year.

Our distillery operations were slightly impacted due to non-availability of molasses for the few days in the current season due to the irrational country liquor policy. However, this will be mitigated to a large extent in the upcoming season with change in the feedstock mix. The government has achieved ethanol blending of 11.7% as of August 2023 and has also increased the prices of damaged grain ethanol to ensure higher blending in the balance ethanol year.

The prices of feedstock, that is sugar and damaged grain, continue to be high and therefore industry is expecting an increase in the ethanol prices for all categories of ethanol to ensure higher blending rates in the coming season.

Moving on to agri -rural businesses which comprise of

Shriram Farm Solutions, Bio seed and Fertilizer .

Shriram Farm Solutions :

We have seen healthy growth on the back of research wheat and hybrid seed volumes. In our drive to introduce more research -backed products, we introduced three new products including a novel product in speciality plant nutrition. We are also working towards enhancing our brand -centric promotion.

The winter rain is expected to be low and thus we are expecting Rabi to be weaker for crop care and speciality plant nutrition verticals. Our project to manufacture water -soluble fertilizers and biologicals continues on -track and will be commissioned in Q4 FY24.

Bioseed :

Bioseed witnessed higher revenues in vegetable seeds in India and corn seeds in Philippines. New and superior performing hybrids have been introduced and well received by farmers in corn and cotton in

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the target markets of India. More launches are lined up for wheat and vegetables in the upcoming Rabi season. Based on the strength of these products and strong pipeline, we are optimistic about significantly increasing our market share in the coming season.

Fertilizer :

The raw material prices have come down sharply, impacting both top line and bottom line of the business. Profits for the quarter were lower for the above reason . However, the profits for the half year were higher due to maintenance shutdown in the last year. Subsidy outstanding stood at a negative INR267 crores as compared to INR683 crores last year and INR310 crores as on 31st March 2023.

Fenesta Building Systems :

We have seen performance trends sustaining with both our project and retail segments, showing healthy improvements in volumes. We have commissioned two new extrusion lines at Kota and this will help in sustaining this growth momentum.

We have also formed a strategic partnership with a UAE -based firm for our facades business. We are looking to grow both by geographic and SKU expansion, backed by a strong brand and business processes.

We are once again at the cusp of economic volatility on the global arena. The transmission of softer demand trends in India, in tandem with firmness in energy costs, is impacting key sectors of the economy. Our strategic investments in enhancing the business mix and efficiency in operations are expected to be fully achieved before the end of the financial year. As a strongly growing country, India remains a sweet spot for high consumption and as a multi -business entity, we shall be prepared to grow smartly.

Our healthy cash flow and healthy balance sheet will supplement our growth initiatives. I would now like to ask Ajit to cover the financial perspectives with you. Ajit, over to you.

Ajit Shriram: Thank you. Good afternoon everyone. I will now take you through the financial highlights of the Q2 and H1 FY24 results. Net revenues for Q2 FY24 were at INR2,708 crores versus INR2,740 crores in Q2 FY23, a decline of 1% year -on-year, adversely impacted by lower volumes and prices of chloro -vinyl segment. Sugar, Fenesta and Shriram Farm Solutions led the growth for the quarter. PBDIT for Q2 FY24 was at INR136 crores versus INR302 crores in Q2 FY23, a decline of 55 % year -on-year. Chloro -vinyl segment revenues declined 30% year -on-year to INR 656 crores and PBDIT was down 81% at INR47 crores.

The chemical segment reported revenues of INR509 crores, a decline of 35% year -on-year. ECU prices were lower by 40% year -on-year and volumes of caustic soda sales were down by 2% year -on-

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year. Therefore, PBDIT was down 85% at INR38 crores. However, the segment continues to see good demand and prices for hydrogen. Margins are currently positive, led by reduction in energy costs. Vinyl saw a decline in revenues by 5% year -on-year at INR147 crores largely on account of a decline in prices of PVC and carbide by 13% and 27% respectively. However, volumes of PVC and carbide increased

by 15% and 7% respectively as there was a power plant breakdown last year. However, PBDIT saw an improvement over last year at INR9 crores versus negative INR10 crores led by lower power and carbon costs.

Sugar business revenue, net of excise duty, was at INR970 crores and increase of 57 % year-on-year due to higher prices and volumes in both sugar and ethanol businesses. Sugar volumes were up 30% year-on-year due to higher domestic releases. Volumes of ethanol were at 541 lakh litres versus 256 lakh litres owing to the commissioning of the 120 KLD multi -feed distillery. Sugar and ethanol prices were also higher.

PBDIT came in higher at INR15 crores as against negative INR15 crores for the above reasons despite taking a charge of INR45 crores in the current year on account of the irrational country liquor policy by the state government.

Fenesta building system s' revenues increased 18% year -on-year to INR209 crores and PBDIT by 23% to INR45 crores largely on account of higher volumes. Order book was up 48% driven by project segment.

Shriram Farm Solutions revenues increased by 18% year -on-year at INR280 crores supported by volumes of research wheat and hybrid seeds. Prices of hybrid seeds were also higher. PBDIT for the quarter came in at INR44 crores as against INR36 crores last y ear on account of better margins in research wheat.

Fertilizer revenue was lower by 37% year -on-year at INR368 crores. PBDIT was down by 48% year -on-year at INR28 crores on account of lower volumes by 7%. Also , prices were lower 33% year -on-year on accoun t of low energy prices which is a pass -through.

The bio seed segment saw a revenue increase of 46% year -on-year at INR128 crores. This was primarily led by domestic revenue increase by 53% year -on-year at INR91 crores due to higher volumes in vegetable s eeds whereas international revenues increased by 31% year -on-year at INR37 crores due to higher volumes in corn seeds.

For the half year ended 30th September 2023, revenue net of excise duty was at INR5,488 crores reporting a marginal decline of 2% year -on-year. This was mainly on account of lower prices in segments of chemicals, vinyl and fertilizer .

Volumes were higher in vinyl and fertilizer due to breakdown and shutdown in last year and were higher in sugar led by higher sugar releases and commiss ioning of the 120 KLD multi -feed distillery.

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Fenesta and SFS continued its growth journey. Accordingly, PBDIT is at INR320 crores, a decline of 58% year -on-year.

The company 's net debt is at negative INR203 crores as on September 30, 2023 as against INR681 crores as on March 31, 2023 largely on account of sugar off -season. Return on capital employed for September 2023 came in lower at 18.5% as compared to 36% for September 2022.

In conclusion, our overall performance reflects our commitment to sound inves tment strategies and with a strong balance sheet and cash flows, we are well positioned for the future. Our focus on healthy sustainable growth has paved the way for continued success and prosperity. This brings me to the end of my opening remarks and I wo uld like to request the moderator to please open the forum for the Q&A session. Thank you.

Moderator: Thank you very much. We will now begin the Q&A session. The first question is from the line of Ahmed Madha from Unifi Capital. Please go ahead.

Ahmed Madha: Thank you for the opportunity. My question was first on the caustic business. Can you give some comments on how do you see the current global prices and how is the demand supply behaving in the global market as well as the domestic market? And also we are witnessing that there is some uptick in the prices in the last couple of months. So is it fair to expect that from quarter 2 to quarter 3 there will be some improvement in our realizations?

Aditya Shriram : Yes, sure. So in terms of the global demand supply situation,

we do see that there was a slight

increase in prices as you suggested as well. This was largely due to China not being in the market aggressively in the past few weeks. But post the Asian Games, we have seen that the supply from China has increased again. So that was a slight uptick in the market and that has corrected. So we do expect that in the coming short term period, next quarter or so, the prices are likely to be range bound.

Ahmed Madha: Okay. And one more question o n the caustic side. We see that the cost has come down from the last quarter. So can you quantify how much are the savings from the renewable power plant and how much are the savings from the decline in coal prices?

Sanyog Jain: So as far as the renewable power is concerned, because of that there is going to be a saving on the variable cost of around 10%. And we will not be able to quantify in terms of how much is from the renewable and how much is from the other sources. But that will be ballpark number .

Ahmed Madha: Okay. Fine. And on the sugar business, are there any one -offs in the sugar business this quarter? I am trying to understand. I know that this is the weakest quarter seasonally, but we have very significant growth in volumes both for sugar and ethanol. So is it just related to the inventory cost which we were carrying from last quarter or are there any one -offs?

Sanyog Jain : Our inventory is valued at around INR3,200 per quintal. So we are carrying an inventory of 12.9 lakh quintal as of now. I hope I have answered your question.

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Ahmed Madha: I just wanted to understand, I mean, there was loss in this quarter and the volumes were really good. So is it just a factor of the inventory cost or is there any other reason why there w as loss?

Ajit Shriram : No, as mentioned in the opening remarks, we have taken a hit of INR45 crores because of the change in the country liquor policy. So that has been a massive hit in the bottom line in the current quarter which we have taken o n our P&L and balance sheet .

Ahmed Madha: Okay. Fine. Got it.

Ajit Shriram : Because of the revaluation of molasses because we manufactured through the B -heavy route and the state government equated B -heavy and C -heavy at the same level whi ch is not rational really.

Ahmed Madha: Okay Fine. So was this like a one -off or is it recurring?

Ajit Shriram : No, it's because of the policy where the alcohol output from B -heavy is double that of C -heavy but

then they equated it at the same level. So it's a one-off. The new policy has come out yesterday and we are evaluating our strategy of what we should do in the current year going forward.

Ahmed Madha: Okay. Got it. Thank you. And just last question on the capex. How is the update on the capex? So what will be the timeline? Should we expect that it should be commercialized by Q4 all the capex which we have for the caustic chlorine business?

Aditya Shriram: Yes. So I think as mentioned earlier on the call as well, we are making good progress with the capex and most of the mechanical completion is almost done. The pre-trials and pre-commissioning will begin. So we expect that by Q4 we will be commissioning and completing the capex.

Ahmed Madha: Okay. And how much balance capex will do for second half?

Sanyog Jain: So we will be doing close to around INR500 crores in the second half.

Moderator: Thank you. The next question is from the line of Parth Vasani, an individual investor. Please go ahead.

Parth Vasani: Thank you for the opportunity. In the chemical segment, the capex that we would have done like for the epichlorohydrin, for the hydrogen peroxide and for the caustic soda. So what would be the total amount if you can guide in terms of the capex that we have spent or we are supposed to spend?

Sanyog Jain: So the total spent would be around INR2,500 crores in the chemical segment. And out of that another INR500 crores we will

be spending in the next, H2.

Parth Vasani: So additional INR2,500 crores will be spent in the next coming years. That's what you are saying?

Sanyog Jain: No, INR500 crores only.

Ajay Shriram: I think just to clarify what you are asking, Parth sir, INR2,500 crores has already been spent on a 120 megawatt power plant, on aluminum chloride expansion, on the ongoing caustic soda expansion, ECH

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expansion, H2O2 expansion. And we will be spending approximately INR500 crores more in the second half of this financial year.

Parth Vasani: Okay. Got it. And in terms of the epichlorohydrin, when do we expect to get it commissioned?

Aditya Shriram: So yes, we expect it to be commissioned by Q4 this financial year.

Parth Vasani: Okay. Second question, we are also expanding the caustic soda capacity. And what I understand is chlorine is something which is a bottleneck in terms of because it is sold at a lesser price. So I just wanted to understand, once we expand the caustic soda, how we will be managing the chlorine considering the negative price generally prevailing in the market?

Aditya Shriram: So you are right. Chlorine is a key factor in expansion of caustic soda as well. I think we have a couple of factors. One is that we have captive consumption that is also increasing from the past. We are putting up an epichlorohydrin plant, as you know, that will consume chlorine. We have already commissioned an aluminium chloride plant that is already consuming some of our chlorine.

So that will be captive support for the expansion as well. And additionally, we have very strong partners in our customers as pipeline customers. So they have been on the growth journey along with us and we truly value that partnership. So as they also continue to expand, we are confident that a large percentage of our chlorine will be consumed through the pipeline and captive.

Parth Vasani: So currently what percentage will you be consuming in current capacity and what will be post-expansion?

Aditya Shriram: So currently it is close to 40% as a combination of captive and pipeline as you mentioned earlier. And after the commissioning, we expect this to go up to 50%, close to 50%.

Parth Vasani: Okay. This includes both the internal consumption and the pipeline customers?

Aditya Shriram: Captive consumption and pipeline customers, yes.

Ajay Shriram: Up to expanded capacity.

Moderator: The next question is from the line of Riya Mehta from Aequitas Investments. Please go ahead.

Riya Mehta: Thank you for giving me the opportunity. I have two-three questions. First is in terms of what is the current caustic realization as far as China has started and we have seen internal utilization also improving – so on that?

Sanyog Jain: It is approximately around INR26,000. We are talking about ECU.

Riya Mehta: INR26,000. Is it fair to assume that INR26,000 and July was kind of a bottom out.

Sanyog Jain: So as we said that, it will be in the range of around INR25,000 to INR 27,000 and so right now, it is at INR26,000. ECU, I am talking about.

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Riya Mehta: And my second question is in terms of sugar. So what would be our cost of production for last season?

Sanyog Jain: As we said it is already been mentioned. It is at INR3,200.

Riya Mehta: That's inventory, right?

Sanyog Jain: Right. Inventory valuation.

Riya Mehta: I am talking cost of production?

Ajay Shriram: That's the direct cost of production.

Riya Mehta: Okay. That's the direct cost of production. Got it. And in terms of timeline for the current capex for the distillery?

Ajit Shriram: No. We have already commissioned the distillery. The 120KLD multi-feed distillery, it is already commissioned.

Riya Mehta : Right. And in terms of the new 2,100 TCD which we have just announced?

Ajit Shriram: That is expansion of one of our sugar plants and that will be commissioned by the

the sugar season '24 -

'25. It will be ready by October '24.

Riya Mehta : October '24. It will be ready. So recently in UP, there are other peers who said that the FCI for the grain based is not getting grains and they have shifted to maize and like. So what is our strategy there?

Ajit Shriram: So our strategy keeps evolving depending on the price of the raw materials available. So as mentioned earlier, ours is a multi-feed distillery. We can process rice, wheat or maize. So depending on the prevalent spot prices, we will take a call.

Riya Mehta : Okay. And what are the yield expectation and the cane crushing expectation for the next year for us?

Ajit Shriram: That is a little difficult to say. But this year, we will be utilizing the fully expanded capacity in Ajbapur, which was commissioned by, three weeks after the season started last year. So we will be utilizing our entire 41,000 TCD.

Riya Mehta : 41,000 TCD entirely, right? And actually I was talking in terms of the cane area and the crushing, do we expect it higher than last year, apart from the new incremental capacity addition?

Ajit Shriram: Yes. The crop looks good. So we do expect a higher crush compared to last year.

Riya Mehta : Right. And in terms of Fenesta, what are the details of the strategic partnership if you could give in the new announcement of the facade which we have given today? If you could elaborate more on that.

What is the kind of revenue potential out of the capex?

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Ajay Shriram: Basically in Fenesta, we have been making windows and doors for many years now and we are the leader in that. But we are getting into facade, which is the fixed windows like you have in airports and other multi-storey office buildings, etcetera. So for that, we have tied up with a party in Dubai to get their input and their technology to put up a manufacturing plant in India. So that is what we are working on.

Riya Mehta : Right. And what will be the kind of revenue potential for the capex involved in this?

Ajay Shriram: I think it's a little early because we are still discussing with our potential partners of what is the size, scale, scope of this plant. And we will be growing it starting with a size which is more practical and then keep growing it. So we have not yet worked out the details of what is the capex on it.

Riya Mehta : Got it. And in terms of power cost savings, what is it? Could you give your outlook there going forward and in the coming quarters by. How would the power cost savings? Because we have commissioned the new plant as well and the power prices have also gone down. So what would be the savings in that aspect?

Sanyog Jain : Okay. So what we expect is that, there will be a saving in the variable cost approximately of around 10% because once this power plant comes in, it becomes critical.

Riya Mehta : Okay. For 10% improvement we can see in terms of...

Sanyog Jain : Yes. Approximately, INR1 per unit. That is what we expect.

Riya Mehta : INR1 per unit, right. Thank you so much for answering my questions. I will get back in queue for further questions.

Moderator: Thank you. The next question is from the line of Saket Kapoor from Kapoor and Company. Please go ahead.

Saket Kapoor: Yes. Greetings, sir. And thank you for this opportunity. Sir, just dwelling to the last point, what would be the annual savings in the absolute number if you could share for the power cost, from power cost?

Sanyog Jain : It would be close to around, what we expect is INR100 crores of savings when it is operational at its full capacity.

Saket Kapoor: And there are two components to it. First is the new power plant and then is the renewable one also. So for the renewable segment, 43 megawatts, what is the plant load factor and average we are taking into account?

Sanyog Jain : Renewable power is 43 megawatts. Actual load would be around 22 megawatts that we will receive. An

and what the price at which we will receive is around INR4.20 per unit. So that is the expectation from the renewable power.

Saket Kapoor: But this INR100 crores number is only from the thermal power plant?

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Sanyog Jain : That's right. Yes.

Saket Kapoor: And the capex we have done for this thermal power plant, what is the payback for this plant?

Sanyog Jain : It's around 20%.

Saket Kapoor: 20%?

Sanyog Jain : Yes.

Saket Kapoor: Correct, sir. Sir, as you were mentioning that the ECU currently is in the band of INR26,000 to INR27,000. So earlier also, we have seen historically that PVC and this caustic prices have an inverse correlation because of the reasons explained by you earlier also.

But what currently is the outlook in terms of, especially for the caustic prices, the capacity built up has been, in our country domestically, there has been one million tonne additional capacity that has come up. But globally, how are things shaping up? If you could give some more color on the same.

Aditya Sriram : Sure. So fundamentally, we are seeing that at a global level, the demand is not very, very robust. Of course, Europe, there are challenges in terms of demand. The war also has created an uncertain outlook. The other factor which can have implications is of course China. And China has been pushing material into the global market aggressively as well.

So we do expect that in the coming quarter or couple of quarters, the prices are likely to be range - bound. And in India, yes, as you indicated, there is an increase in supply. So unfortunately there is a demand factor and a supply factor. Which is why in the short term we see prices to be range -bound. Medium to long term, we expect a positive outlook.

Saket Kapoor: Sir, when we look at your capital work in progress, it has moved up to now closer to , it is INR2,357 crore . So for the coming for H2, what percentage -- what amount would get capitalized? And if you could just dwell, which projects are going to get commercialized within this financial year?

Sanyog Jain : So we are saying that ECH, H2O2 and the P120, all these projects will , and also caustic 850 TPD. All these projects will get capitalized in H2.

Saket Kapoor: Okay, so we have spent the entire amount?

Sanyog Jain : No, so we still have to spend around INR500 crores on these projects.

Saket Kapoor: Okay. But we were about to commission something for the third quarter, I think. The December quarter we will be commissioning...

Sanyog Jain : P120, we will be commissioning sometime in November.

Saket Kapoor: Come again, sir, I missed your point.

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Ajay Shriram: The P 120 plant trials have already started. So it is already running. We are gradually taking it up. So by the end of November we expect it to run to a reasonable capacity which will contribute to the power requirement for the plant.

Saket Kapoor: Sir, P120 , can you elaborate? I am not aware .

Ajay Shriram: We are putting up a new power plant of 120 megawatts.

Saket Kapoor: Okay, P120 power plant. Okay, fine, sir.

Ajay Shriram: Now trials have started and we will then keep increasing capacity gradually in a structured way based on the rules and regulations laid down for reaching full capacity of a power plant.

Saket Kapoor: Correct. Sir, when we look at your net debt number, we were cash positive. So how did we achieve this for the first half ?

Sanyog Jain : So it is largely because of the liquidation of the sugar stocks and also receipt of the FICC dues.

Saket Kapoor: The subsidy part?

Sanyog Jain : Yes, yes, fertilizer.

Saket Kapoor: Fertilizer, and that is the reason why you have mentioned in the subsidy segment that that is also carrying a negative balance ?

Sanyog Jain: Yes, correct. It carries a negative balance which will get adjusted against the future billing.

Saket K apoor: Okay, so for FY '24, what should be the debt num

ber, closing debt number we should look forward?

Ajay Shriram: Yes. Too early to give that number because it depends on government policy also regarding the FICC dues.

Saket Kapoor: Correct, sir. Now, sir, coming to this, our farm, the bio seed part and the farm production business, particularly for the bio seed segment, if I correctly remember two quarters back you did mention about some policy changes and things to be put into place so that this segment will start contributing. So where are we in midst of the bio seed part of the story?

Ajit Shriram: So as mentioned in the opening remarks, I mean, we made good progress in our vegetable seed and we are doing trials based upon the R&D. And with government permissions, we are doing extensive trials on a couple of other crops and more launches are lined up on wheat and vegetables in the upcoming Rabi season.

Saket Kapoor: So, what should be the outlook for this sector two, three years down the line , what kind of business profile will this segment shape up going ahead?

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Ajit Shriram: We see a positive outlook because our pipeline is strong and I mean, it's very difficult to say, depending on climatic factors and very strong El Nino in prediction for next year. But we do see a strong outlook.

Saket Kapoor: Sir, coming to the sugar distillery part, my second point was I think the sale of grains by FCI was abruptly stopped. What is the status on the same and our dependence on FCI sale?

Ajit Shriram: No, so we are buying from the open market and as I mentioned earlier, ours is a multi -feed distillery. So depending on the spot prices of grain, broken rice or maize, we take a call depending on a spot basis and purchase whichever raw material is more advantageous at that point of time.

Saket Kapoor: And how are the prices being sir? The raw material price basket, since it is now all from market sources ?

Ajit Shriram: Compared to FCI, it is higher. And we are now waiting for the revised ethanol prices both on the sugarcane juice, B -heavy, C -heavy and different grains going forward from the central government.

Saket Kapoor: Sir, the prices were revised higher, sir, I think so, last quarter itself? The September month...

Ajit Shriram: For the grains, yes.

Saket Kapoor: I didn't get you, sir. Is it from the grain part only?

Ajit Shriram: For grains, yes. They were revised for the grains. And now, again, a new revision is due which should come within the next week or two weeks.

Saket Kapoor: Right, sir. Sir, also in the ethanol part, I think in the liquor -- country liquor part we mentioned in your presentation that there was a INR45 crores loss we had booked because of some government policies.

Can you tell more about what was this all about? This INR45 crores is for the first half?

Ajit Shriram: As I mentioned earlier in answering a question, the state government has equated the quantum of country liquor supply or alcohol supply for B-heavy and C-heavy. However, the output from B-heavy is double that of C-heavy. So, if you make a 'X' reservation for C-heavy, based on C-heavy, you are supposed to make a 50% reservation based on B-heavy. So, equating both B-heavy and C-heavy is not correct.

Saket Kapoor: So, we have made our presentation and this will be revised or it is done and dusted?

Ajit Shriram: As I mentioned earlier, the new policy for reservation has come out only yesterday. We are studying it and depending on what is most desirable for our company, we will take that method forward in the coming season which starts this week.

Saket Kapoor: Okay, sir. Can you come again? Which policy, sir? I missed your point.

Ajit Shriram: The reservation policy of molasses for country liquor.

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Saket Kapoor: Okay, for this sugar season? The current sugar season?

Ajit Shriram: For sugar season, for '23-'24.

Saket Kapoor: Correct, sir. Thank you, sir

. I think the only growth part in our total segment is currently for the Fenesta. And as you were earlier mentioning also, taking into account the pillars that you are getting and also improving our product profile. Sir, say three years down the line, what kind of business are we looking up to set up from the Fenesta vertical itself? If you could throw some more light on the same, sir. And the key competitors in the segment?

Ajay Shriram: I will just correct you. The growth part is happening in all our businesses, except fertilizer manufacturing business. We growing in all our businesses. And please appreciate, it is very difficult to give a clear picture. When you are still moving in a growth path, one cannot give any figures like this.

Saket Kapoor: Correct, sir. Thank you for the presentation, sir. It is very vivid and very elaborate. And we hope for the continuity, sir. And happy Dipavali to the entire team, sir. Thank you, sir. All the best.

Moderator: Thank you. The next question is from the line of Narendra from Robo Capital. Please go ahead.

Narendra: Hi, thanks for the opportunity. Sorry if the question is repeated, but I wanted to know domestic sugar prices given there are reports of lower harvest in the season?

Ajay Shriram: Sugar prices?

Narendra: Yeah, domestic sugar prices, yes, right.

Ajit Shriram: So, the domestic sugar prices as was mentioned in the opening remarks is between INR38 and INR40. And sugar being a controlled commodity, the government releases on a monthly basis. So, I do not see the sugar prices firming up any further going forward.

Narendra: Okay, got it. And could you please mention your ethanol capacity once?

Ajit Shriram: Ethanol capacity is roughly 18 crore litres per year.

Narendra: Okay, 18 crores litres. And in the KLD terms?

Ajit Shriram: That depends upon the raw material mix being used. Be it C-heavy or B-heavy or cane juice. So, it will depend upon the mix of your raw material.

Narendra: So, I was talking about the caustic environment, caustic soda environment. You know, the demand and price point. So, do we see it improving in the near term, say in the next couple of quarters?

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Aditya Shriram: So, as we shared earlier also on the call, the near term outlook, we expect the pricing to be range bound. But in the medium to long term, we do see positive upside.

Narendra: Yeah, yeah. Could you repeat that? I missed it.

Aditya Shriram: So, as we said earlier, in the near term, given the demand supply scenario, we expect the prices to be at their current levels. But going forward in the medium and long term, we are bullish on where the prices will go.

Narendra: Okay, Thank you so much. Happy festivities. All the best. Thank you.

Moderator: Thank you. The next question is from the line of Pratik Tholiya from Systematix. Please go ahead.

Pratik Tholiya: Yeah, hi sir. Thanks for the opportunity. So, what is the chlorine prices currently?

Sanyog Jain: So, it is around 26,000. Chlorine? Chlorine is negative INR5,000 /T.

Pratik Tholiya: Chlorine is negative INR5,000 /T. And this is the same number for Q2?

Sanyog Jain: Pardon?

Pratik Tholiya: The second quarter is INR5,000 /T. This is currently in the month of October?

Sanyog Jain: Between INR3,000 /T and INR3,500 /T.

Pratik Tholiya: And so, this INR26,000 /T that you said was ECU and not caustic, correct?

Sanyog Jain: Yeah, yeah. Correct.

Pratik Tholiya: Okay. And the second one is sugar business. Is there any red rots sort of incident happening in our cane area also? Because some of the companies in the ir call have been mentioning about red rot

infestation in some parts of UP, especially in the low -lying regions. So, are we also seeing anything on that front?

Ajit Shriram : Yes, there has been red rot in our area as well. However, our cane team is taking very proactive steps and mitigating the red rot. And also

so, we are progressively changing the variety of 238 to other varieties which are less red rot.

Pratik Tholiya: So, what is the mix right now with respect to our cane variety? How much of our cane variety has now shifted outside of 238?

Ajit Shriram : It will be difficult to give that estimate as of now.

Pratik Tholiya: Okay. Sure. And so, we are also hearing about cane SAP going up. Has there been any formal announcement on that front? And what sort of numbers are we expecting?

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Ajit Shriram : No, there has been no announcement so far.

Pratik Tholiya: Understood.

Ajit Shriram : However, the FRP by the central government was raised by INR10 a quintal three months ago.

Pratik Tholiya: Right. Right. So, is it going to be in line with that or higher than that? What is your say?

Ajit Shriram : There has been no announcement so far.

Pratik Tholiya: And lastly, I think, Fenesta has really done well. We are now clocking almost INR200 crores of quarterly top line with an 18% EBIT margin. So, I am guessing our EBITDA margin will be 20% plus. So, what is the roadmap over here? Is this sort of a revenue run rate, quarterly revenue run rate now sustainable? And also on the margin front, you think this 18%, 20% sort of margin is now sustainable? So, what is really changed in this business and how do you look at this, going forward over the next two, three years?

Ajay Shriram: I think I will put it this way that as we discussed, we expect growth of 15% to 20% in the Fenesta business. Going forward by moving into new geographies, introducing new products. As I mentioned earlier, we are looking at facades. That is a new business we are getting into. This is an ongoing business. We put up two more extrusion plants at a Kota factory, which gives us a larger number of profiles available.

And we are seeing that the real estate market in India is growing. And the aspiration of people is growing. They want a better product, better quality, which gives better insulation, less dust, less noise, less heat. And this is where products like ours have a positive impact. So, we are positive on this business.

Pratik Tholiya: Understood, understood. That's very helpful. Yeah, that's it from my side. Thank you so much and wish you all the best.

Moderator: Thank you. As there are no further questions. I now hand the conference over to the management for closing comments.

Ajay Shriram: Thank you.

Thank you, ladies and gentlemen, for your participation in today's call. Our strategic investments in diversifying our product mix and enhancing operational efficiency are on track to yield results by the end of this financial year. With India continuing to grow, we are well prepared to grow intelligently across our diverse business portfolio. Thanks to our healthy balance sheet, we are well equipped to fuel our growth initiatives and drive positive change in the markets we serve. And thank you all for being a part of our journey.

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We thank you for taking out time during the onset of the festival season. And we take this opportunity to wish you along with your families a very safe and happy Diwali and a healthy and prosperous year ahead. Thank you very much.

Moderator: Thank you. On behalf of DCM Shriram Limited, that concludes this conference. Thank you for joining us and you may now disconnect your lines.

Disclaimer: This is a transcription and may contain transcription errors. The transcript has been edited for clarity. The Company

takes no responsibility of such errors, although an effort has been made to ensure high level of accuracy.

Call: Feb 2024

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Sub: Transcript of Investors' Earnings Call under SEBI (Listing Obligations and Disclosure Requirements) Regulations, 2015

Dear Sir(s),
Pursuant to Regulation 30 read with Schedule III of the SEBI (Listing Obligations and Disclosure Requirements) Regulations, 2015, please find attached the Transcript of the Investors' Earning Call on Unaudited Financial Results (Standalone and Consolidated) of the Company for the quarter and nine months ended December 31, 2023, held on February 02, 2024.

The above said Transcript will also be available on the Company's website i.e. www.dcmshriram.com.

Kindly take the same on record.

Thanking you,

Your faithfully,
For DCM Shriram Ltd.

Sameet Gambhir
Company Secretary & Compliance Officer

Dated : 08.02.2024

Encl.: as above

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DCM Shriram Limited
Q3 & FY'24 Earnings Conference Call
February 02, 2024

Moderator: Ladies and gentlemen, good day and welcome to the DCM Shriram Limited Q3 FY'24 Earnings Conference Call.

As a reminder, all participant lines will be in the listen -only mode . There will be an opportunity for you to ask questions after the presentation concludes. Should you need assistance during th is conference, please signal an operator by pressing '*' and then '0' on your touchtone phone. Please note that th is conference is being recorded.

I now hand the conference over to Mr. Siddharth Rangnekar of CDR India.
Thank you and over to you , sir.

Siddharth Rangnekar: Thank you , Dorwin. Good afternoon and welcome to DCM Shriram Limited's Quarter 3 FY'24 Earnings Conference Call.

Today, we have with us Mr. Ajay Shriram -- Chairman & Senior Managing Director; Mr. Vikram Shriram -- Vice Chairman & Managing Director ; Mr. Ajit Shriram -- Joint Managing Director; Mr. Aditya Shriram -- Deputy Managing Director ; and Mr. Amit Agarwal -- CFO of the company.

We shall have remarks from Mr. Ajay Shriram and Mr. Vikram Shriram today . Members of the audience will get an opportunity to pose their queries to the management following these comments during the interactive question-and-answer session.

Before we commence , please note that some of the statements made on today's call could be forward-looking in nature and a note to that effect has been included in the Conference Call Invite that has been circulated earlier and is also available on the stock exchange websites .

I would now like to invite Mr. Ajay Shriram to give us a brief overview . Over to you, sir.

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Ajay Shriram: Thank you, Siddharth . Good afternoon, ladies and gentlemen. Thank you for taking the time to join us for our Q 3 Financial Year '24 Earnings Conference Call. Here is wishing all of you a very healthy and happy 2024 .

I will share my thoughts on the business and industry dynamics and then Vikram will share views on the financial and operating performance.

The global context today is characterized by delayed economic recovery for major economies, rising geo-political sensitivities .

The central banks are grappling with the inflation, interest rates and growth paradox. There are also deepening trends around climate change, generative artificial intelligence that have led many countries to look at policies around these concerns more aggressively.

2024 will also be a year of elections. 30 democracies, including three of the largest, which are India, U .S. and Indonesia, will go to the polls, accounting for about 46% of the global population and nearly 60% of the global GDP. This is likely to generate regulatory and policy uncertainty in the short and medium term. We as an organization are cognizant of these developments and keep preparing ourselves for possible eventualities. We have already taken conducive measures in terms of enlarging product portfolio as well as sustainability. This is a key focus area for all our businesses and we will ensure that we keep growing along these lines.

All our businesses continue to witness good growth except Chloro -Vinyl wherein we are witnessing price softening led by oversupply of Caustic in India and imports of PVC into India.

I will now discuss about the key industry dynamics across our various businesses. First is chemicals.

Chemicals:

Demand trends in major economies for key end-user industries that utilize Chlor -Alkali have been subdued leading to a sharp decline in prices of Caustic soda in Q4 of the last year, post which the prices have remained low and range bound . U.S. has witnessed some capacity shutdowns in last couple of years and Europe is looking at reducing production amid lower demand. Demand continues to be lower in China as well. However, they operated at a higher rate and exported surplus to contain falls in their domestic prices.

The Indian scenario did not change much from last quarter and operated at lower capacities with sluggish demand growth and new capacity addition. We expect this scenario to continue for a couple of more quarters.

We are cognizant of the imperative and consistently matched capacity augmentation with efficiency initiative. Our energy costs have come down and the new 120 MW power plant will further support lowering energy costs from Q4 Financial Year '24.

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The sourcing of green energy that started in June '23 is helping us in costs as well as in our endeavor towards sustainability. However, given the industry scenario, we expect the businesses to be under pressure for a few quarters. The other initiatives, ECH and H 2O2 projects are expected to come online in

Q1 financial year '25 and expansion of Caustic soda capacity is expected to be operational in the current quarter. These are aimed at making the overall business more resilient, more efficient and more diversified in terms of the product range.

Vinyl :

High interest rates have meant that the housing sector continues to underperform in the major economies including China, thereby impacting PVC demand and prices globally. The disruption of logistic lines in Panama Canal and the Red Sea may spurt the freight costs and increase prices in consuming countries.

India is registering a healthy growth in demand but the prices continue to be subdued due to excessive imports from China and therefore the margins are negative for PVC in spite of cost savings in terms of lower energy prices.

Carbide prices have also declined but margins continue to be

positive and we are maximizing carbide sales.

Sugar :

Globally, sugar demand and supply is expected to remain balanced and this is supporting firm sugar prices. Domestic sugar production estimates have been revised to 31 million metric tons with impact of El Niño in Maharashtra and Karnataka.

Sugar cane prices have been increased, the Fair Remunerated Price by Rs. 10 per quintal and the Uttar Pradesh State -Administered Price by Rs. 20 per quintal. There is a significant gap in margins between Maharashtra and Uttar Pradesh mills. Policy intervention will be required in this regard.

Ethanol industry received two setbacks this year. Firstly, the Central government restricting sugar diversion for ethanol production to 1.7 million metric tons and secondly, Uttar Pradesh government increasing the country liquor obligation on molasses. The positive side was that the Central government has increased the ethanol price by Rs. 6.87 and Rs. 5.79 per liter for C-heavy molasses and damaged corn -based ethanol respectively. In spite of this, we feel that feedstock availability with the distillery will be challenging this year and blending will see a decline from about 12% blending achieved this ethanol year. We feel that there is a need for consistency of direction from Central government and state government.

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We started sugar operations in this quarter and have planned majority of our operation on C-heavy route. The crop is looking good so far. Our expansion initiatives at Loni and CBG projects are proceeding as per timelines.

Our Potash fertilizer project commissioned in January 2024. The CBG as well as potash fertilizer are part of our initiatives on sustainability through circular economy.

Fenesta:

Consistent measures to enhance the portfolio have translated into better performance metrics for this business. During the quarter, we have delivered healthy growth owing to increase in volumes and pricing. The trend remains positive and the bookings are also up at 9%.

We have commissioned our fabrication unit for façades at the Hyderabad facility recently. We have also increased the uPVC extrusion capacity at Kota to enable growth and better service. Strategy-wise, we are accelerating presence in new territories and product categories, and this is translating into better performance. For the last few years, Fenesta has become a significant contributor to our earnings.

The agri business portfolio comprises of our Shriram Farm Solutions, Fertilizers and Bioseed business.

Shriram Farm Solutions:

Shriram Farm Solutions have seen good growth, given better volumes in seeds, especially research wheat. The new varieties that we introduced for research wheat last year have received a positive response from the farmers as they are attuned for higher yields and enhanced heat tolerance.

Our production facility for water-soluble fertilizers and biologicals under a subsidiary was commissioned during the quarter. Over the last few years, Shriram Farm Solutions has become a significant contributor to our earnings.

Fertilizers :

Lower gas prices , that is a pass-through , impacted both top line and profits . Also last year, we have received arrears on account of revision in energy norms. Subsidy outstanding, as on December 31, 2023, stood at a negative Rs. 21 crore as compared to Rs. 461 crore in the same period last year and Rs. 310 crore as of March 31, 2023.

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Bioseed:

The business saw improvement in volumes both in India and Philippines. This is on the back of the new high performing hybrids that have been introduced by us in corn, cotton and vegetables. Our pipeline for the coming seasons remain attractive as our team is focused on developing newer and promising varieties.

Frequency of economic volatility, vagaries of climate and their impact on business have increased in t

he recent past and these have become a part of business. So, India continues to show buoyancy in economic growth led by infrastructure development and investments across various industries. Some impact of these events cannot be ruled out in the coming year, and we feel our investments directly to enhance sustainability, business mix and efficiency in operations will help us sail through these challenging times. We continue to have a healthy balance sheet, and this will support further growth initiatives. I would now like to invite Vikram to cover the financial section with you. Over to you.

Vikram Shriram: Thank you. Good afternoon , everyone. I will now take you through the financial highlights of Q3 and 9 months Financial Year '24 results.

Net revenues for Q3 Financial Year '24 were at Rs. 3,035 crore as compared to Rs. 3,236 crore in Q3 financial year '23, a decline of 6% year -on-year.

Revenues were impacted by prices in the chemicals, vinyl and fertilizer segments. Growth for the last quarter was driven by sugar, Shriram Farm Solutions and Fenesta .

PBDIT for Q3 Financial Year '24 was at Rs. 480 crore , as compared to Rs. 588 crore in Q3 financial year '23, a decline of 18% year -on-year.

The revenues in the Chloro -Vinyl segment declined 31% year-on-year to Rs. 663 crore and PBDIT was at Rs. 56 crore as against Rs. 237 crore in the last year.

- The chemical segment reported revenues of Rs. 535 crore, a decline of 29% year on year. ECU prices were lower by 40% year-on-year which were partially compensated by Caustic volumes being higher by 6% year-on-year. PBDIT declined 71% to Rs. 63 crore. However, hydrogen sales along with lower energy costs have helped to mitigate this to some extent.

- The Vinyl business noted a decline in revenue of 37% year-on-year at Rs. 128 crore, mainly on account of decline in prices and volumes of PVC by 12% and 29% respectively and lower carbide prices and volumes by 20% and 16% respectively. Volumes declined on account of a partial shutdown in Q3. PBDIT was at negative Rs. 7 crore , as compared to Rs. 19 crore, led by subdued prices of P VC and carbide

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as well as volumes. However, this was partially offset by lower energy and carbon costs.

Sugar business revenue , net of excise duty , was at Rs. 891 crore and increased 22% year-on-year due to higher volumes and prices in both sugar and ethanol business. Domestic sugar volumes were up 24% year-on-year at 14.7 lakh quintals due to higher domestic releases although last year there were exports of 2.3 lakh quintals in the same period. Volume of ethanol was at 349 lakh liters versus 231 lakh liters supported by the commissioning of the 120 KLD multi - feed distillery. PBDIT came in higher at Rs. 188 crore , as against Rs. 102 crore , led by better prices and lower costs versus the same period last year. Co-gen. volumes from the expanded capacities at Ajbapur were also higher. Revenues of Fenesta Building Systems increased by 20% year-on-year to Rs.

214 crore and PBDIT grew by 8% to Rs. 43 crore, largely on account of higher volumes and prices. The order book was up by 9%.

Shriram Farm Solutions' revenue grew 17% year-on-year at Rs. 596 crore as compared to Rs. 512 crore last year. The segment saw higher volumes and prices in seeds, especially research wheat. PBDIT for the quarter came in at Rs. 180 crore, as against Rs. 143 crore, a growth of 26% year-on-year due to higher volumes and margins in research wheat.

Segment revenues of fertilizers declined by 36% year-on-year at Rs. 418 crore and PBDIT declined by 72% year-on-year at Rs. 26 crore attributed to lower gas prices which is a pass-through. This led to lower energy savings rate and hence impacted the earnings. Also in the previous year, Q3 saw a one-time positive impact of Rs. 49 crore due to revision of energy norms of the earlier

period.

The Bioseed segment saw a revenue increase of 29% year-on-year at Rs. 138 crore. This was primarily led by domestic revenue increase by 29% year-on-year at Rs. 95.5 crore due to higher volumes. The international revenues increased by 30.8% year-on-year at Rs. 42.2 crore owing to higher volumes in the Philippines. The Bioseed business is improving, and it's expected to reach near breakeven in the current financial year.

For the nine months, December 31st, 2023, revenues, net of excise duty, were at Rs. 8,523 crore reporting a marginal decline of 3% year-on-year. This was mainly on account of lower prices in segments of chemicals, vinyl and fertilizers which saw lower ECU, PVC, carbide and gas prices. Our business segments of sugar, which was aided by the commissioning of the 120 KLD distillery, Fenesta, SFS and fertilizers, saw higher volumes year-to-date. Accordingly, the PBDIT is at Rs. 800 crore, a decline of 41% as compared to Rs. 1,354 crore last year.

The company's net debt is at Rs. 314 crore as on December 31st, 2023 as against Rs. 681 crore as on March 31st, 2023. Return on capital employed for December '23 came in lower at 16% as compared to 27% for the financial year 2023 due to the reasons mentioned above.

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In summary :

Our balanced performance is anchored on a diversified portfolio, commitment to smart investments and sustainability and the strong financial foundation as can be seen by our balance sheet and cash flows. As we embrace the future-ready mindset with a focused approach on growth, we are strategically positioning ourselves for long-term viability and growth in the evolving new business segments also.

This brings me to the end of my remarks, and I would like to request the moderator to please open the forum for the Q&A session. Thank you.

Moderator: Thank you. We will now begin the question-and-answer session. The first question is from the line of Parth Mehta from Vallum Capital. Please go ahead.

Parth Mehta: I just have two questions. First is on caustic soda volumes, which in the presentation it shows that there has been a flattish growth for nine months in caustic soda. Help me out for the reason why the volumes have remained flat?

Ajay Shriram: And the second question?

Parth Mehta: And the second one is on epichlorohydrin, the new capacity that is coming up. So, one of our competitors is also adding new capacity. So, wanted to know what is the demand supply scenario and would that lead to any oversupply in the industry?

Aditya Shriram: Just answering your first question on caustic soda volumes, so actually our new capacity is yet to be commissioned. So, these volumes are with the same capacity as was there in the previous year. So, we have marginally moved up on the sales from the existing capacity. And this quarter we will be commissioning the new capacity, and after that the volumes would see an increase.

With regards to your second question on epichlorohydrin, you are right. There is one other player who has commissioned capacity, and we would be the second one commissioning capacity in this space. There is, I think with all products and chemicals, we are seeing growth in demand in parallel.

So, we do expect that in the coming quarters, as we ramp up our capacity gradually, the material will be absorbed in the market, and we will be exploring

markets all over, whether it's domestic or international as well. So, we do expect that in the coming quarters, this capacity will get absorbed.

Parth Mehta: And thank you so much for this answer. Just one more on ECH. What would be the payback period for our CAPEX? And how much CAPEX have we done in ECH?

Amit Agarwal: So, the payback should be in the range of around 4 to 5 years, 5 years ballpark and the CAPEX will be in the range of around Rs. 500 to Rs. 600 crore.

. I don't

have the exact numbers right now, but that should be the range.

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Parth Mehta: And the CAPEX in caustic soda new capacity that we are coming up with and what would be the capacity change?

Amit Agarwal: So, the capacity there is about 850 tons per day and there is also a flaker plant of about 600 tons per day. Put together, the CAPEX is again in the range of around Rs. 800 to Rs. 900 crore.

Parth Mehta: Oh, sorry, I missed out the numbers. You said 50 tons per day?

Amit Agarwal: 850 tons per day.

Parth Mehta: Okay, 850.

Moderator: Thank you. The next question is from the line of Pratik Tholiya from Systematix. Please go ahead.

Pratik Tholiya: Congratulations on good set of numbers especially in the sugar, agri and Fenesta and I think even your chemical has sequentially done better. So, just firstly on chemicals on your, so what was the ECU realization for the month of January? I mean, the average price during January?

Ajay Shriram: Average price.

Amit Agarwal: For January, Pratik, the average prices are around Rs. 25,500.

Pratik Tholiya: And sir, this is ECU level. So, chlorine is still negative?

Amit Agarwal: Chlorine is still negative.

Pratik Tholiya: And that could be how much?

Amit Agarwal: Around Rs. 3,000 to Rs. 4,000.

Pratik Tholiya: And sir, what is the, you know, slightly medium to longer-term view on the caustic demand front because of the over capacity that you are seeing? So, by when you expect the entire capacities to get fully absorbed and then we can expect the prices to go up?

Aditya Shriram: Yes, you are right that in the short term, we are seeing an increase in supply and demand as we have already shared earlier in the call has been subdued. But we put up capacities with the long-term horizon. And we do expect that in the coming quarters with the robust demand for a country like India across sectors that this capacity will get absorbed.

So, it's hard to put an exact time timeline or a price in the future and we normally don't give forward-looking statements. But we expect that with our chlorine integration as well that we are focusing on, that this capacity will get absorbed and running fully in the next financial year. That is FY '26, it will be full.

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Ajay Shriram: I will just add that, as mentioned by Amit earlier, we are also installing a 600 tons per day flaker plant. That gives us flexibility for exports. That opens up another avenue of selling our products, if the pricing is suitable.

Pratik Tholiya: And secondly, could you just share some details on your agri business because I think your agri has done exceptionally well in a kind of a challenging quarter because most of the other companies that are reporting numbers, especially in the agri and seeds front, are putting a top line degrowth while margins for most of them have been better. But you reported healthy top line growth as well. So, you know, if you could just share something on the product details.

Amit Agarwal: Pratik, in our Farm Solutions vertical, or Farm Solutions segment, we have three verticals: the crop care, plant nutrition, and seeds. Now, crop care and plant nutrition have been flat in terms of top line, and bottom line also is largely flat, and for the reasons that we just mentioned, that industry is going through a rough patch.

But our seeds vertical has done exceptionally well, and December quarter, Q3, is also a Rabi season, where the wheat seed, the research wheat seed, where we are market leaders, that is sold, and that has done exceptionally well. So, that

is the key reason for the growth that you are seeing for this segment, in this quarter.

Pratik Tholiya: And then what can we expect going forward, the trajectory in terms of for the upcoming Khari f season?

Amit Agarwal : So, as I mentioned, so in

Khari f also there should be growth, is what we are expecting, across the verticals. We are seeing this growth.

Pratik Tholiya: No, I mean to say, in terms of any product launches that we are anticipating for Khari f, which can add to further growth?

Amit Agarwal : There are launches which are lined up, but you know, these launches take time to mature. So, it would not happen that we launch in this financial year, and immediately we see, they take time to mature. And in the past, whatever launches we have made, they are contributing about 10 -20% of the top line, are coming from the launches we have done in last 2 years. So, it takes time to pick up. So, this business will overall, as we are mentioning in the past, will grow at about 15% CAGR so we do expect that. And also as a pivot for this business is the manufacturing wherein in plant nutrition we have started manufacturing which will mature over a period of maybe about one year to two years and also when crop care where last year we started our own manufacturing. So, I think these are all steps to help the business grow.

Moderator: Thank you. Ladies and gentlemen we will proceed with the next question which is from the line of Subhankar Ojha from SKS Capital. Please go ahead.

Subhankar Ojha: A couple of them I have. So, with respect to this new power plant that you said 120 megawatt is likely to get commissioned in quarter 4. So, how much of cost saving will come from this one.

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Secondly, this caustic soda plant which is going to get commissioned in quarter 4 what are the other CAPEX basically which will probably come in quarter 4 or H1 '25 that second and third what will be our CAPEX for '25?

Amit Agarwal : So, answer your first question in terms of savings from the 120 MW, that should be in the range of around Rs. 10 crore to Rs. 12 crore a month that's the kind of once it gets commissioned and is fully operational. So, that's point number one.

Second in terms of CAPEX as we mentioned that the 120 MW and 850 TPD, that will get commissioned in this quarter and EC H, H₂O₂ will be commissioned in the next quarter.

Subhankar Ojha: And the CAPEX that is announced for 25?

Amit Agarwal : That we haven't announced any new CAPEX as of now. What we're already now in, what we are completing and then let's see if there is anything new that comes up in the board meeting next.

Subhankar Ojha: How much of this is pending out of the announced CAPEX?

Amit Agarwal : The majority of it is spent Subhankar because we are nearing completion, about 70%, 80% has already been spent in terms of cash outflow for these CAPEX.

Subhankar Ojha: So, this net debt figure of 314 on December end not likely to go up much from here?

Amit Agarwal : 300 and ...

Subhankar Ojha: I think the December end net debt figure is 314.

Amit Agarwal : See net debt will go up. So, by March I'm expecting the net debt to be around Rs. 1,900 to Rs. 2,000 crore and the reason for that there are three key reasons.

One this is the sugar season. So, therefore debt goes up as the inventory for sugar builds up.

Point number two is urea subsidy which is very abnormal right now, which is negative Rs. 20 which means we have to pay. So, if they are putting certain notifications which are pending there. If they come then probably there will be outflow about Rs. 350 crore there. So, that will add up and obviously there will be some outflow on CAPEX as well.

Subhankar Ojha: And with respect to your business outlook for Fenesta I mean can you share some outlook I mean I can understand that the order book has gone up this quarter by some 9%. Can you throw some more color on the same business with respect to the prospect of this?

Vikram Shriram : Broadly speaking the Fenesta business was established and has a long history and is the market leader in uPVC windows and doors. The aluminum windows and doors were established or

good traction and are moving at a fast pace and I think the order book has exceeded over Rs. 100 crore in a pretty quick period.

As far as the third new business which is the facade business that is just being launched. So, in fact now it is the first launch sort of post launch trial facades that are being put up for builders on their building. We've got orders for those trial facades.

So, the process is in the facade business, you put trials first and then you get the approvals of the technical specs and then you get the commercials and then you get the orders. It's a bit of a longer gestation, but that's the nature of the business cycle of facade.

So facade business will really take off maybe in terms of some meaningful volumes may be 9 months to 12 months from now because till then it will be market feeding and development. You first put up the factory, then you put up the trials, then you get the approvals of the product at the customer end and then you get the orders.

Moderator: Thank you. We have the next question from the line of Riya Mehta from Aequis Investments. Please go ahead.

Riya Mehta: My first question is in terms of the caustic demand, so a big part of the user industry 20%, 25% is the textiles and we're seeing the revival in the textile industry. So, what's your outlook on the demand for the caustic front?

Aditya Shriram: The textile industry is one of the drivers for caustic demand. I think it will be slightly lower than the range that you had mentioned, but yes it is one of the important drivers for demand.

So, the advantage with caustic actually is that there's multiple industries which lead to the demand. So, even if one of the industries is slightly down, the other industry consuming industry can support.

So, we do expect that in the medium term the demand will grow and will be robust and in the long term it is likely to come back fully. So, we expect in the next one or two quarters to be tight, but we are optimistic that going forward after that, there will be a good demand.

Riya Mehta: And in terms of the overcapacity situation which we are looking at what kind of growth supply are we looking at?

Ajay Shriram: Pardon me what sort of oversupply.

Riya Mehta: So, I think a lot of our competitors have also come up with capacity with Gujarat Alkali also having spare capacity. There is a lot of supply in the market?

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Aditya Shriram: That's right. There has been a significant increase in supply and it will be going from 5.6 million tons per annum to approximately 6.7 million tons per annum.

So, we are seeing a significant increase in supply in the short term.

One of the key factors with caustic is usually chlorine. So, evacuation of chlorine is often constrained as well. So, we are working actively on plans to integrate there and mitigate the impact of that.

So, we do expect that it will take some time for our capacity utilization, therefore, to ramp up. So, FY25 it will ramp up gradually, but FY26 onwards we expected to be robust.

Riya Mehta: So, our incremental 850 TPD plant which will come up in maybe say the quarter end, by when do we expect to have a capacity utilization as compared to 80%, 75% - 80% like the current company utilization level?

Amit Agarwal: I think see the project which comes up in this quarter, in FY25 the utilization should be around 50% and FY26 is when it should reach the levels of 75% - 80% and by end of that year we should be around 90%.

Riya Mehta: So, it will take 2 years to fully ramp it up?

Amit Agarwal: Yes.

Riya Mehta: Also, the fourth quarter 600 TPD caustic lye project that would also have similar ramping up frequency?

Amit Agarwal: That's a 600 TPD flaker plant. So, that's like a subset. So, you have a, 850 TPD coming up, 600 TPD lye doesn't add to the capacity. It's only a

subset, it drives

the liquid lye, that gives us flexibility as Chairman mentioned, it gives flexibility to export and it's becoming an SKU.

Riya Mehta: Got it. Although you're seeing a lot of Chinese players dumping PVC into our market. So, currently what is the situation in January and do we see any improvement, also exports from India for PVC has reduced because of the Red Sea crisis. So, is there a kind of a glut and what is the scenario there?

Amit Agarwal : So, in PVC see the issue is the imports coming from China were also the anti-dumping duty was removed about a year and a half back. So, although the demand is very robust in the country, there is oversupply because of imports. And unless we have the demand seeing improvement in China as well as in the Western world the prices are expected to remain in that range where they are right now.

Riya Mehta: Do we export PVC and caustic and how has that been for us?

Amit Agarwal : So, PVC from India is generally not exported because Indian manufacturers only need about 45% of the demand and 55% is imported. As far as caustic is concerned we do try our very best although the quantities are lower, the

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information is mentioned in our investor presentation , that there are exports happening from country for caustic soda.

Riya Mehta: But they reduced considering if we were exporting to European regions and there are issues in the logistics sectors to reach?

Amit Agarwal : We have marginally come off in the 9 month period.

Riya Mehta: So, what would that number be if I want to see YoY?

Amit Agarwal : So, in terms of 9 months , our exports as a country or as industry were about 2.98 lakh metric tons versus 3.08 lakh metric tons.

Riya Mehta: And my second question is in terms of sugar. So, with a new sorry I missed the question I think earlier participants had asked what would be the capacity with the 120 KLD coming in incremental?

Amit Agarwal : So, our total sugar capacity is now about close to 550 -570 KLD ethanol capacity.

Riya Mehta: And how much of that would be grain based?

Amit Agarwal : 250 KLD is grain based now.

Riya Mehta: Our competitors are looking taking grain based from maize etc ., so are we also kind of looking at alternative feedstock?

Amit Agarwal : Yes.

Riya Mehta: But they are lesser in profitability so what would be the major stuff for us in grain based?

Amit Agarwal : As I said we are looking at both rice and maize and the margins are more or less the same in both the products.

Riya Mehta: I was just talking in terms of Bioseed what 's the overall outlook?

Amit Agarwal : So, for Bioseed , as was mentioned in the Vice Chairman speech that we are expecting it to breakeven or near breakeven in this financial year. So, over last 2 years if you see the business is seeing improvement based on the new products introduced in the market and better marketing activities as well.

So, we do expect the trend to continue, and we are working actively on certain research things as well. So, we do expect it to improve, but that improvement will be gradual.

Riya Mehta: And with the decrease in fertilizer prices, do we expect losses anytime soon?

Amit Agarwal : No, there would not be any losses in our fertilizer business. The reduction in revenue as we mentioned is because the gas prices came down significantly

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from about \$24 last year for MMBTU to about \$15 -\$16 MMBTU in the current quarter which gets reflected in the revenue and has some impact on profitability as well, but we don't see any losses in this business in the near future.

Moderator: Thank you. The next question is from the line of Saket Kapoor from Kapoor Company. Please go ahead.

Saket Kapoor: Sir, firstly if you could give the import number for caustic soda for the quarter and also for the 9 months also net of export if that number you can give?

Amit Agarwal : Saket

those numbers are mentioned in investor presentations that is there on our website as well as on the stock exchange.

Saket Kapoor: Sir, how are the user industry faring currently, how are the consumption rate from the user industry for this quarter and what's the trend going ahead?

Aditya Shriram : So, the user industry is diverse for caustic it includes textiles, paper and pulp,

alumina, other chemicals etc, So, the growth rates of each of these industries varies. In the short term like what we've seen for many chemicals, not just caustic there has been a reduction or not a reduction a slowdown in the growth in demand, but we expect that in the coming quarters the demand is going to pick up and therefore the demand overall for costing will be robust.

Saket Kapoor: Sir, if we take the current realization the ECU realization sir how profitable are the global companies also and domestic companies also. So, where is the breakeven point from where which the thing starts turning given what's going God forbid, but going ahead if you could throw some light on the same?

Amit Agarwal : See Saket the breakeven point is itself a very volatile number because it depends on what the costs are and energy cost being the biggest contributor it all depends where the coal costs are moving. So, I don't think it's feasible to give a number on a breakeven price.

And therefore how other globally whether they're profitable or not it's very difficult. I mean our business has been a profitable as you can see from the numbers, but yes the profitability has been low, it has come off significantly from last year.

So, let's see how it pans out. It will be a function of cost and prices, although we've worked on cost. So, our variable costs have come off, but prices have declined more.

Saket Kapoor: And sir on the utilization level I think so what have been the utilization levels for us for this quarter and QoQ how are the utilization levels were?

Amit Agarwal : Around 80% Saket.

Saket Kapoor: 80% is for Q3 what was the number for Q2 and 9 months?

Amit Agarwal : It will be around that level 80% to 90% range what we are operating.

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Saket Kapoor: And we will be expecting to exit the next quarter also in the same vicinity?

Amit Agarwal : Yes, I think we should be at this level in Q4 as well.

Saket Kapoor: And for the vinyl segments sir how are the utilization levels current currently?

Amit Agarwal : So, currently they're close to about 90% to 100%.

Saket Kapoor: And for the last point is on the capacity that we are going to augment in this quarter. You have explained I think how the ramp up will happen. So, what should be the ramp up for the next year and also for this quarter, what kind of capitalization will happen for Q4?

Amit Agarwal : Saket I think that is what Mr. Ajay Shriram had explained that utilization levels will be peaking by end of FY26.

Moderator: Thank you. The next question is from the line of Riya Mehta from Aequitas Investments. Please go ahead.

Riya Mehta: Just a follow up what would be a current cost of powers for us considering we have so much built the captive power in so many years?

Amit Agarwal : Riya we generally don't share our cost of power, but as I mentioned has been coming down with the lower coal prices as well as with the green power that we started sourcing in Q2 and with the 120-megawatt coming up, it should further decline.

Riya Mehta: What would be the quantum of decline if you could just quantify with the new capacity coming up 120 megawatt?

Amit Agarwal : For Rs. 10 crore, Rs. 12 crore will be the savings on account of 120 megawatt coming on in power.

Riya Mehta: 10 crore to 12 crore savings?

Ajay Shriram : Per month.

Riya Mehta: And in terms of coal prices how much are we importing and how much do we have with coal India?

Amit Agarwal : So, for Bharuch plant we largely import, but again it's very

dynamic Riya. We

actually try to follow whatever the pollution control guidelines are. So, in Bharuch there's a mix of coal and there are certain other substitutes that we try and see to reduce costs. We also use biomass. Similarly, at our Kota factory also where the coal is primarily domestic, but there also a large component is biomass about 14% - 15% at Kota is biomass in terms of energy.

Riya Mehta: Are we seeing a decrease in coal pricing in the imported coal?

Ajay Shriram : We are seeing a declining trend.

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Moderator: Thank you. The next question is from the line of Navneet an Individual Investor. Please go ahead.

Navneet: I have three questions. First your new caustic plant of 300 TPD in terms of annual capacity will be about 100,000 tons. Just I wanted to reconfirm my Maths ?

Ajay Shriram : This is which plant?

Navneet: The new caustic capacity which is coming up this quarter?

Aditya Shriram : So, the capacity of a new plant is 850 tons per day which is approximately 300,000 tons per annum.

Navneet: And you mentioned the overall industry is increasing from 5.6 to 6.7 million tons in India the supply. So, beyond that what are the new capacities that have been announced over the next 2 years, 3 years?

Aditya Shriram : These are the capacities that we are aware of at this point in time. Beyond this, we don't have any clear announcements and as they come in the public domain we'll be aware of them.

Navneet: And it takes approximately 2 years, 2.5 years to set up a new capacity like it took for you?

Aditya Shriram : Yes it depends on case -to-case, but it can take up to 3 years also depending on land acquisition, environment clearance and then executions.

Navneet: My second question is on your capital allocation in your presentation you mentioned that you're looking for more opportunities especially in the chemical segment for fresh projects. So, what type of chemicals are you looking at would it be commodity chemicals or similar stuff that you're already there or less cyclical commodities ? What 's the thought process over there?

Aditya Shriram : So, as you will be aware we are expanding our core which is caustic soda, chlorine. We are also expanding a couple of adjacencies which is epichlorohydrin and hydrogen peroxide, both those plants are expected to be commissioned in Q1 FY25 and over time we are always exploring opportunities across the spectrum whether it is in a commodity chemicals or intermediate chemicals or even specialty chemicals. So, we are continuously evaluating opportunities and as the Board approves, we will approve them and specifically also exploring opportunities linked to future sunrise sectors including green chemicals, etc. So, we're exploring all these opportunities.

Navneet: So, bulk of your fresh projects are expected in the chemical division only, right in terms of capital allocation as the bulk of capital deployed, that's what was mentioned in the presentation as well rather than the other divisions?

Amit Agarwal : See for us the capital -intensive businesses are two chemicals and sugar and the other two growth businesses which is farm solutions and Fenesta are not so

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capital intensive and therefore majority of the capital allocation will happen in chemicals followed by sugar.

Moderator: Thank you. The next question is from the line of Sandeep Bhehl an Individual Investor. Please go ahead.

Sandeep Bhehl: Just want to check whether you have any plans of demerging and listing separately the Fenesta, and the Shriram Farm Solutions business given that both the business has become sizable and significant as you mentioned in the presentation as well?

Amit Agarwal : So, the Board will take view at the appropriate time. As of now, we have not had any discussion with the Board on that.

Moderator: Thank you. Ladies and gentlemen, we have no further questions. I would

do now

like to hand the conference over to the management for closing comments.

Over to you, sir.

Ajay Shriram : Thank you, Ladies, and gentlemen for your participation in today's call.

Navigating and challenging global business environment our domestic landscape remains the beacon of positivity.

Despite the business challenges we are diligently implementing efficiency enhancement and sustainability initiatives within our operational framework.

Acknowledging the pivotal roles of driving efficiencies across diverse business segments, we are confident in our ability to deliver robust overall performance over the medium term.

Through strategic resilience and our commitment to adaptability we are well positioned not only to navigate prevailing challenges, but also to capitalize on emerging opportunities in the dynamic business landscape. Thank you very

much once again. Goodbye.

Moderator: Thank you. On behalf of DCM Shriram Limited that conclude s this conference.
Thank you for joining us, and you may now disconnect your lines.

Disclaimer: This is a transcription and may contain transcription errors. The document has been edited for clarity. The Company takes no responsibility of such errors, although an effort has been made to ensure high level of accuracy.

Call: May 2024

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SCRIP CODE : 523367 SCRIP CODE : DCM SHRIRAM

Sub: Transcript of Investors' Earnings Call under SEBI (Listing Obligations and Disclosure Requirements) Regulations, 2015

Dear Sir(s),
Pursuant to Regulation 30 read with Schedule III of the SEBI (Listing Obligations and Disclosure Requirements) Regulations, 2015, please find attached the Transcript of the Investors' Earning Call on Audited Financial Results (Standalone and Consolidated) of the Company for the quarter and year ended March 31, 2024, held on May 7, 2024.

The above said Transcript will also be available on the Company's website i.e. www.dcmshriram.com.

Kindly take the same on record.

Thanking you,

Your faithfully,
For DCM Shriram Ltd.

Sameet Gambhir
Company Secretary & Compliance Officer

Dated : May 13, 2024

Encl.: as above

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DCM Shriram Limited
Q4 FY'24 Earnings Conference Call
May 07, 2024

Moderator: Ladies and gentlemen, good day, and welcome to the DCM Shriram Limited Q4 FY '24 Earnings Conference Call. As a reminder, all participant lines will be in the listen-only mode and there will be an opportunity for you to ask questions after the presentation concludes. Should you need assistance during the conference call, please signal an operator by pressing '*', then '0' on your touchtone phone. Please note that this conference is being recorded.

I now hand the conference over to Mr. Siddharth Rangnekar from CDR India. Thank you, and over to you, sir.

Siddharth Rangnekar : Thank you, R ayo. Good afternoon, and welcome to DCM Shriram Limited's Q4 FY '24 Earnings Conference Call. Today, we have with us Mr. Ajay Shriram, Chairman and Senior Managing Director; Mr. Ajit Shriram, Joint Managing Director; Mr. Aditya Shriram, Deputy Managing Director; and Mr. Amit Agarwal, Group CFO of the company.

We shall commence with remarks from Mr. Ajay Shriram and Mr. Ajit Shriram. Members of the audience will get an opportunity to post their queries to the management following these comments during the interactive question-and-answer session. Before we commence, please note that some of the statements made on today's call could be forward-looking in nature, and a note to that effect has been included in the conference call invitation that has been circulated earlier.

I would now like to invite Mr. Ajay Shriram to give us a brief overview. Over to you, sir.

Ajay Shriram : Thank you, Siddharth. Good afternoon, ladies and gentlemen. Thank you for taking out time to join us

for our earnings conference call for Q4 and financial year 2024.

I will commence with thoughts on business and industry dynamics, and then Ajit will share the perspective on our financial performance.

The various global events over the last couple of years have made us believe that the uncertain economic environment is here to stay in the medium term. This uncertainty will continue to emanate from geopolitics, climate change and global health hazards. Developing financial and operational resilience in business is the only way to sustain such challenges.

In response to these uncertainties, we have taken steps to make our business more resilient to industry cycles. We have taken measures towards scale, forward integration, diversification, continuous focus on cost efficiency along with a strong balance sheet, led by prudent financial principles to prepare ourselves for such eventualities.

Page 2 of 18 Sustainability is a focus area for our business and we strive to act consciously to take strategic initiatives to achieve sustainability across our business operations. In

addition to the work in the

sphere of water conservation, energy conservation, green energy and circular economy, we are working towards newer ideas in above areas that can lead to quantum improvement in carbon footprint and water efficiency. Over the last 1 year, we have tied up to INR 300 crore towards sustainability linked loans, which demonstrates our commitment towards the environment.

Our financial performance for the quarter and year ended March 31 2024, has been in line with our expectations with Chloro-Vinyl segment under pressure due to disproportionate capacity additions compared to demand growth in the Chlor-Alkali sector and excess global supply in the Vinyl segment. Sugar and ethanol business performed better and Shriram Farm Solutions and Fenesta business systems continued the growth trajectory. With our committed Capex getting commissioned during the first half of FY '25, the quality of our performance will see improvement.

I will now turn the discussion on key industry dynamics across our various businesses.

Chlor-Alkali

First, I'll talk about the Chemical industry. Global Chlor-Alkali prices showed some improvement following short supplies owing to maintenance shutdown in U.S. logistics issues in the Red Sea and uptick in demand from consuming industries, mainly Aluminium. China continues to struggle with the slowing economy and hence, continue to export more.

Domestically, the demand has stayed healthy with pick up in the downstream activities. However, given the surplus capacities in the region, the pricing is expected to remain under pressure. There has been improvement in cost structure and is expected to improve further with the 120-megawatt power plant getting commissioned shortly. Despite this, the margins are suboptimal.

On the projects front, I am happy to share that 850 TPD caustic soda expansion has been commissioned and this will add significant economies of scale to our business in the medium term. Hydrogen Peroxide plant is also in advanced stages of commissioning and will commence operations within the next 2 months. 120-megawatt plant has been on trial runs for the last few months and reached up to 70% of its installed capacity, however, it encountered some technical issues at higher capacities, which is now being corrected and expected to recommence by end of June, early July 2024. Epichlorohydrin project commissioning activities will take a little more time and it will get commissioned in Q2 FY '25. These initiatives have been strategically planned to augment the business growth and contribute to healthy performance.

Vinyl

Second is Vinyl. Global demand for PVC has been subdued giving muted downstream demand and has led to softer prices. We expect this scenario to continue as interest rate cuts are expected to be slower than expected.

India PVC demand continues to be strong, in line with GDP growth, although the prices were lower, owing to lower cost imports especially from China. Our business team has worked to keep the input

Page 3 of 18 costs under check with use of different energy mix. This has also been supported by reduction in energy prices.

Sugar

Global sugar supply and demand is expected to be marginally surplus owing to favourable weather conditions and uptick in production in Brazil. Global sugar prices continued to be strong and were trading above \$550 per ton.

Domestic sugar prices remain insulated from global prices led by trade restrictions and were traded much lower. Domestic sugar prices should improve given the increase in cost of production due to an increase in sugarcane prices, which has not yet been compensated. Central Government has further increased the FRP for the upcoming sugar season '24-'25 by INR 25 per quintal. SAP has also been increased by INR 20 per quintal in the sugar season '23-'24.

India's sugar production is expected to be

down by 0.8 million metric tons to 32 million metric tons in

sugar season '23-'24. With exports not being allowed the season-end inventory is likely to be about 8 million metric tons that is equivalent to 3 months consumption. Domestic demand is also showing good growth with consumption now at around 29 million metric tons.

Moving to ethanol, the government has targeted a blending of 15% for the current year. Government of India has limited the diversion of sugar to ethanol in the form of B heavy molasses and syrup during the season to 1.7 million metric tons which were recently revised to 2.5 million metric tons and also discontinued FCI surplus rice as feedstock for ethanol production in June last year.

Further, in Uttar Pradesh, sugar mills continue to face the burden of country liquor policy, which is detrimental to the Central Government ethanol blending policy and the state sugar industry. Due to these factors, blending targets of 15% looks challenging this year. There is a need for a consistent policy from both the center and the state governments.

Sugar season '23-'24 is nearing the end and central and western Uttar Pradesh has witnessed lower sugarcane crush led by extreme weather, higher diversion of K handsari including Gur and red rot issues with sugarcane variety CO238. Our units also ended the season with a lower crush of 579 lakh quintals and lower recovery at 11% on final molasses. This along with the increase in SAP has led to higher cost for the season. Our business team is working to ensure the right variety balance and agronomy practices to ensure healthy crush in the coming season. The business has started production of Sulphate of Potash using distillery ash through a wholly-owned subsidiary.

Our projects at Loni, sugar capacity expansion and at Ajbapur with respect to CBG are progressing as per schedule.

Fenesta

Fenesta continues to deliver a strong performance supported by volume and value growth in both projects and retail categories. Order booking remains firm and we closed the year with over INR1,000 Crore in order booking. A combination of wider assortment of SKUs, new product lines and enhanced footprint has allowed us to sustain this growth.

Moving on, the agri business portfolio comprises our Shriram Farm Solutions, Fertilizers and the Bioseed businesses.

Shriram Farm Solutions

Firstly, on Shriram Farm Solutions. SFS continued to strengthen its leadership position in research wheat. The year saw healthy growth on the back of enhanced contribution from all the verticals – seeds, crop protection and specialty plant nutrients. Leveraging social media and digital tool enhanced our demand generation and sales promotion efforts.

Our newly operational manufacturing facility at Kota in one of our 100% subsidiary company for production of high-quality Specialty Nutrition products will enable stable supply chain operations. Our focus on new technologies and new products will help in maintaining this level of momentum. The investment being made in manufacturing setup as well as planned geographic expansion will assist in growing as we go forward.

Fertilizers

The urea business environment continues to be stable. Our business performance in the current year has been impacted for two reasons. First, the lower gas price, which is a pass through, led to lower revenues and lower earnings; and second, the Energy norms had been revised lower. We had taken a maintenance shutdown in March 2024 and have restarted in early April. We continuously focus on improving energy consumption. The government has allocated reasonable amount for urea subsidy in the budget for the current year, and we expect the subsidy outstanding to be at reasonable levels.

Bioseed

Bioseed India business performance has improved while it turned positive in FY '24. New and superior performing hybrids introduced

in the previous and current financial year are being received well by farmers in key target markets of corn, cotton and paddy in India. However, there are production constraints in India, leading to delay in scale up of the business. We believe that our future pipeline across the various verticals shall help us in the business in the medium term. I will now request Ajit to cover the financial performance of the company.

Ajit Shriram: Thank you. Good afternoon, everyone. I will now highlight the business performance for Q4. The net revenue net of excise duty in this quarter was at INR 2,399 crore as compared to INR 2,720 crore in the previous year, a decline of 12% year-on-year. The decline in revenues is mainly driven by subdued prices and lower volumes in the Chloro-Vinyl segment. Accordingly, PBDIT stood at INR 289 crore, which is down by 22%.

Chloro-Vinyl: The revenue in the Chloro-Vinyl segment declined by 25% to INR 691 crore and PBDIT was at INR 64 crore as against INR 175 crore last year.

Page 5 of 18 ■ Chlor-Alkali business revenue was down 28% year-on-year, and PBDIT was also down 71% due to lower ECU that declined 30%. Volumes were also slightly down by 6% in the current quarter. However, this impact was partially compensated by energy prices that have reduced due to lower coal cost and the commissioning of 43 megawatts of renewable energy.

■ Vinyl business revenue declined by 8% year-on-year at INR 153 crore and PBDIT was at INR 14 crore versus INR 1 crore last year. PVC prices were down 15% year-on-year and carbide prices were down 17% year-on-year. However, input costs reduced during the quarter versus last year and sequentially.

Sugar: Sugar business revenue net of excise duty was down 6% to INR 879 crore. Sugar exports were

NIL due to government policy as against 3.3 lakh quintals last year. PBDIT has increased by 11% year-on-year to INR 236 crore on account of better prices of domestic sugar and volumes in distillery. Domestic sugar prices were at INR 3,857 per quintal, an increase of 10% year-on-year. Ethanol volumes were higher by 7% at 375 lakh litres owing to the commissioning of the 120 KLD multi-feed distillery.

Fenesta Building Systems : Fenesta Building Systems has reported a growth of 21% year-on-year in revenues to INR 209 crore and PBDIT has increased from INR 34 crore to INR 44 crore. The increase is driven both by volumes and prices. Order book was up 21% year-on-year and has crossed INR 1,000 crore mark.

Shriram Farm Solutions : This quarter is an off-season for the business and the revenues and PBDIT were in line with last year.

Fertilizers : Fertilizer revenue declined by 17% year-on-year to INR 354 crore driven by lower gas prices, which is a pass-through. Volumes were also lower by 12% year-on-year due to the maintenance shutdown taken in March 2024. Outstanding fertilizer subsidy this year was lower at INR 90 crore, however, it is expected to inch up over the period, but will remain at reasonable levels.

Bioseed : Bioseed revenue is lower by 12%, however, Q4 is an off-season. PBDIT improved from negative INR 25 crore to negative INR 8 crore during the period.

Coming to the highlights of FY '24:

FY '24 net revenue, net of excise duty was down 5% year-on-year at INR 10,922 crore and PBDIT down 37% year-on-year at INR 1,089 crore. We expect the performance to improve in the coming year.

Notable aspect of our performance during the year was the significant pressure on the profitability of the Chloro-Vinyl business, which was mitigated by the performance of the other businesses. Sugar and Ethanol business witnessed a 64% increase in PBDIT, led by higher volumes and prices. Fenesta and SFS PBDIT grew by 20% and 21%, respectively, driven by volumes. Bioseed India business turned around to become PBDIT positive during the year.

Page 6 of 18 Capital employed in the Chloro

-Vinyl and Sugar business has increased significantly on account of the ongoing capital expenditure and working capital requirement, respectively. Further, Fertilizer business saw considerable reduction in the capital employed, driven by lower subsidy outstanding. With healthy cash flows across our businesses, our debt remained at comfortable levels despite the continuing capex. Our net debt as of 31st March '24 is at INR 1,434 crore versus INR 681 crore on March 31, 2023.

Return on capital employed for March '24 came in at 14% as against 27% in the last financial year mainly due to lower PBIT levels as compared to last year due to the reasons explained earlier.

The Board has recommended a final dividend of 130% amounting to INR 40.54 crore in this Board meeting. The total dividend for the year is at 330% amounting to INR 102.92 crore.

Notwithstanding the macroeconomic concerns, all our businesses, except Chloro-Vinyl and Fertilizers have grown at double digits.

That concludes my opening remarks, and I would like to request the moderator to please open the forum for the Q&A session. Thank you.

Moderator: Thank you very much. We will now begin the question and answer session. The first question is from the line of Jainam Ghelani from Svan Investments. Please go ahead.

Jainam Ghelani: Hi sir. Thank you for this opportunity. As you have mentioned in the presentation the caustic soda import prices have risen by almost 15% to 20% quarter-over-quarter, but there was no major difference in the ECU realization for us. So what was the reason for the same?

Aditya Shriram: So global prices are different in different regions of the world. One of the important factors actually for India, especially Western India where our capacity gets impacted is the import from Iran. And from Iran, the imports were coming at lower prices. That has an implication on the pricing in the Western market which has been associated with that.

Amit Agarwal : I would just like to add here that given that in domestic market there is surplus capacity. So as a result of which even if the international prices are better, there will be an impact on domestic prices. They may not follow the similar trend.

Jainam Ghelani : Okay. And so what is the peak debt that we are planning to take and what is our cost of debt?

Ajay Shriram: Pardon me, could you kindly repeat that?

Jainam Ghelani : So what is the peak debt level that we plan to take and what is the current cost of debt for us?

Amit Agarwal : So the current cost of debt blended short term, long term is around 7.5% and see debt level will be governed by the cash flows and the next year plan. So still as we mentioned that we would like to maintain our debt-to-EBITDA level that's what our financial prudence principle is, it should be in the range of around 1.5x to 2x.

Page 7 of 18 Jainam Ghelani : Okay. And sir, once our additional capacity comes in for caustic how do we plan to dispose of the

additional chlorine that would be coming from it?

Aditya Shriram: So for chlorine, actually we have a multipronged strategy. One is, of course, we are putting chlorine downstream capacities ourselves. So that will be captive chlorine consumption. Second is at least in our Bharuch site we have a very long-standing relationships with our customers. And so they

consume pipeline chlorine from us, and that's been the backbone for us. And they are also increasing their capacity going forward. So that a large part of the chlorine will also be consumed along with our pipeline customers and over time we expect the market to grow steadily as well. So we foresee that in the coming year and beyond the chlorine consumption will increase that way.

Jainam Ghelani : So sir currently, if we consider we almost consume 40% of our chlorine captively. So post our expansion what will be the total chlorine consumption?

Amit Agarwal : So see at Bharuch w

hich is the largest site now it's at 2,225 tons per day. See there the current is let me put this way post expansion and everything that comes up in terms of epichlorohydrin, our captive consumption will be about 15%. Further, as Aditya mentioned, if we add the pipeline supplies that's about 40%. So about 55% to 60% we have ready markets in terms of almost like virtually captive consumption and the rest will be market, but there also we are looking at certain tie-ups and multi-pronged strategy is there to see that we increase our chlorine disposal.

Jainam Ghelani : And sir, in your initial remarks you indicated about the higher import coming from the Iran in terms of caustic. So if you look in the month of April and May what was the import situation and what is the ECU as compared to the exit of the Q4 numbers?

Amit Agarwal : Can you repeat your question, please and be louder please?

Jainam Ghelani : So just wanted to understand as you indicated that there is a huge presence coming in from the import in terms of the caustic and the subdued demand. So just wanted to understand that given the exit price of the ECU in month of March what is the current situation in the month of April and May?

Amit Agarwal : Yes. So the current ECUs in the Western market is in the range of around 28,000.

Jainam Ghelani : Okay, sir. That's all from my side. If I have further questions will come back in the queue and all the best.

Moderator: Thank you. The next question is from Nirav Jimudia from Anvil Research. Please go ahead.

Nirav Jimudia: Thanks for the opportunity sir. So just wanted to understand your thought process on the chlorine. So if you can just walk us through in terms of what are the feedbacks you are receiving from the customers in terms of improvement in their existing capacity utilization where chlorine is used? And you mentioned about the expansions also which have been carried down by your customers there. So how do you see the schedule of -- or some understanding about the improvement in the chlorine demand because I think our ECU portion is largely impacted by the chlorine part and hence for the Page 8 of 18 utilization on the caustic part also. So if you can just give us some sense on the customer side in terms of the feedbacks what you have been receiving, that would be very helpful?

Aditya Shriram: Sure. So actually in the last past year or so there has been some subdued demand in some verticals especially agrochemicals and other related industries, but the way we are seeing it is that a lot of our customers are also expanding their capacities anticipating the demand increase in the coming quarters. So along with our capacity increase, a lot of our customers are also increasing their capacities which will consume our chlorine. So we expect that in the short term, yes, there's a lot of caustic capacity that has come in, but in the medium term and long term we expect a robust growth sort of aligned with the GDP growth. So we are very optimistic in the medium to long term.

Nirav Jimudia: And sir, are you seeing any pockets in terms of the consuming industries where the demand for chlorine is picking up apart from the agrochemicals?

Amit Agarwal : Aluminium will be the other segment where India is seeing capacity additions. So that's the other segment where the demand is picking up. But that's for caustic. But in chlorine, I think it will largely be as overall sector picks up in textiles we'll also see dyes and chemicals picking up. I think over the period this demand should pick up.

Nirav Jimudia: Got it. And sir is there any benchmark on which you work upon, let's say, when -- before 2 years when the textile was doing good, agrochemicals had a good pickup in terms of the demand. How much fall in the demand for chlorine possibly you would have witnessed over the last 2 years which is justifying the current suppressing capacity utilization for ca

ustic soda too? So is there any benchmark,

let's say, before 2 years we were at 100% for the chlorine consumption for these two sectors, how much they have fallen over last 2 years? Is there any benchmark which you have done sir?

Ajay Shriram: I think I'll put it this way. Compared to 2 years ago and if you are saying 100% whatever capacity industry was running at. In the last 2 years a lot of capacity addition has happened which has made the chlorine availability much larger than what it was 2 years ago. So I think the optimism of all of us on the Indian economy growing at 7%, 7.5% in the next many years, few years anyway. I think we are bullish on the Indian economy and any commodity products which compared to 2 years ago when the prices were very healthy that's the new additions have come in.

It takes a couple of years for the prices to stabilize, demand to match out and then we'll come back to a sound position once again of the chlor-alkali industry. So I think we are optimistic overall not only on chlorine consumption, but even on caustic consumption to get a reasonable satisfactory ECU in the medium term.

Nirav Jimudia: Got it, sir. Sir, second question is on the VAP side. So if I recall a few of the conference call, you have mentioned that our contribution to sales and EBITDA in the caustic soda business from VAP was close to 18% to 20%. So how has been in FY '24 in terms of the contribution both in terms of

sales as well as operating profit or PBIT whatever you can give us, sir?

Aditya Shriram: Sorry, can you just repeat that? Are you talking about value-added products?

Page 9 of 18 Nirav Jimudia: Yes, yes. Value-added products, including the hydrogen part if I'm not wrong, sir?

Amit Agarwal: So if I look at this year, hydrogen would have added almost 60% to 70% of the total earnings, total EBITDA.

Nirav Jimudia: Okay. And the rest could be divided between poly aluminium chloride, SBP and other value-added products which we will be manufacturing?

Amit Agarwal: Yes. I mean I would say largely caustic soda would be the largest after this. Others are more in terms of consuming chlorine so that they can help the capacity utilization of caustic. So however, SBP is picking up. In the last six months, we have seen good traction in SBP.

Nirav Jimudia: Got it. So is it safe to believe that whatever PBIT we have reported, close to 60% is contributed by hydrogen?

Amit Agarwal: Yes.

Nirav Jimudia: Got it. Sir, last question is on the hydrogen part. So with this expansion, the excess hydrogen will be producing out. So some would be consumed in the hydrogen peroxide, rest of the hydrogen are we planning to sell in the domestic market or we'll be using for our captive caustic flaker plant?

Aditya Shriram: Yes. So again, like for chlorine, I think we have the advantage of having strong partners and pipeline customers for hydrogen as well. So over time, we expect the demand for hydrogen through pipeline also to increase. We also sell hydrogen through banks in the markets around our units. And of course, we will be adding value ourselves as we mentioned also, through hydrogen peroxide. So we have multiple avenues through which we'll add value to hydrogen. And it's an important stream for us as well.

Nirav Jimudia: Got it. What will be the total flaker capacity now after this addition of 850 TPD of capacity at Bharuch?

Amit Agarwal: We are expanding by another 600 TPD for flaker.

Aditya Shriram: So total will be close to 900 TPD at Bharuch.

Nirav Jimudia: 900 TPD, right, sir?

Aditya Shriram: 900 TPD at Bharuch and 200-plus TPD at our Kota site.

Moderator: The next question is from Rohit Nagraj from Centrum Broking.

Rohit Nagraj: Sir, my first question is on the industry front. So you mentioned that there has been a capacity addition, which has happened, so what is the current domestic chlor-alkali capacity? What are the utilization grades?

And I guess that there is one more conglomerate who is going to put up chlor-alkali capacity in the near future. So how do you look at the overall demand-supply equation. And given that the capacities or supplies will be higher, will the ECUs remain benign, at least for the near to medium term? So your thought on this? Thank you.

Page 10 of 18 Amit Agarwal: Yes. So one, the current capacity, the caustic soda capacity in the country is about 5.6 million tons.

And the overall production is about 4.5 million tons. That comes to about 80% is the capacity utilization in the country. However, we are close to about 90%. So that is one. What was the next question?

Rohit Nagraj: Sir new capacities are also coming up, like we have recently now put up 850,000 then there is another conglomerate who is also putting up 22,000 tons of capacity?

Amit Agarwal: Yes. So the total capacity should go up to buy other 0.5 to 1 million tons. That will be added over the next one year. So it depends from one our capacity is already added, and it all depends how their plans go, but ballpark is 0.5 to 1 million ton getting added.

Rohit Nagraj: Right. So the ECU environment will remain benign in such scenario and supplies are higher and demand has growing at a reasonable pace?

Aditya Shriram: So actually, we anticipate that the demand is going to continue to grow. So caustic soda actually can be moved globally. So as the capacities increase in India, the export from India will also increase.

And so it will be driven to an extent by the global market scenario as well. Of course, the chlorine that gets produced along with the caustic is more of a domestic play because transporting chlorine internationally is not easy.

So therefore, our focus also continues to remain on chlorine utilization and we are taking active steps to make that happen. So we expect that in the short term, prices do remain range-bound, and in the medium term, we are bullish on the demand situation.

Rohit Nagraj: Sure, sir. That answers the question. The second question is in terms of the future capital allocation.

So whether we are looking at any other subsegments where we want to do the capex. So any adjacencies that we have found similar to what we did in, say, ECH a couple of years, a few years ago. So are there any other such areas where we are looking at given that in domestic market, chlor-alkali as you said the capacity additions have been happening even in ECH today, the capacity is more than the demand. So any other areas which we are actively looking at? Thank you.

Aditya Shriram: Yes. So we are continuously exploring new avenues for growth, not only in the chemicals business, but across all businesses in the group barring maybe one or two. So there's a lot of interesting options that are being evaluated. And as the Board approves them of course, that become public knowledge. Within chemicals itself, one of the areas in which the Board has approved an in principle go ahead is

for epoxy, advanced materials in the sphere of epoxy. So that is something which we are working very actively on. And at a suitable time, we will declare that as well.

Moderator: The next question is from the line of Ahmed Madha from Unifi Capital.

Ahmed Madha: I have few questions. First on the caustic part, can you explain what is the reason for increase in cost on quarter-on-quarter basis compared to Q3?

Ajay Shriram: Could you kindly repeat that a little louder, please?

Page 11 of 18 Ahmed Madha: So my question is, if I look at the numbers for caustic business compared to Q3 last quarter, why has

the cost structure increased? I thought that cost was supposed to improve compared to Q3 and Q4. So

is there any specific reason?

Amit Agarwal: Yes. So the cost structure has improved. But if you see in the month of January, the prices had -- in December, January, the prices have come off. So that's the reason why overall

performance was a

little lower than previous quarter. But overall cost structure has improved.

Ahmed Madha: And on the sugar side, I have two questions. First, on the prices, do you see the current level of INR 39, INR 40 sustaining in the next season? First question. Second question, is it fair to expect that we should do 17 to 18 crore litres of ethanol in next financial year?

Amit Agarwal: So on your first question, in terms of prices, see, the point is yes current prices are in the range of INR 3,900 to INR 4,000. Now given that FRP has increased and even SAP went up in the last season, given that the prices should increase. However, it's very difficult to say given the sensitivity of the commodity. What was the second question?

Ahmed Madha: On the ethanol side, we did, I think, around 16 crore litres this year. Next year, we should be doing 18 crore litres?

Amit Agarwal: So our capacity is about 18 crore litres. But it depends on the feedstock, depending we're using maize, we're using surplus rice, C-Heavy, B-Heavy, all that impact sales. But on B-Heavy, let's say, it's about 18 crore litres.

Ahmed Madha: Okay. And as of now, how much we are doing ethanol from sugar and how much from non-sugar feedstock?

Amit Agarwal: So see, our capacity on non-sugar is about 250 KLD out of total about 550, 570 KLD capacity that we have per day.

Ahmed Madha: But can you tell me, individually production number? Is it possible?

Amit Agarwal: I can. So in the total what we produced in the last financial year, total we produced from grain was about 6.6 crore litres.

Ahmed Madha: Okay. And this will remain the same in the next year as well based on whatever current scenario is?

Amit Agarwal: See again, it will depend how much from maize and how much from surplus rice, but it should be in this range. As I said, the capacity is 250 KLD, and we operate our distilleries to almost 330 days, 330 to 340 days what we try. On that basis, about 8.2 crore litres is what we can do maximum.

Ahmed Madha: Okay. And on the fertilizer part, the sales volume is still like near 1 lakh ton. So I don't see issue under the volumes part. So how much shutdown expenses we have taken on P&L?

Amit Agarwal: Because of fertilizer?

Ahmed Madha: Yes, because of fertilizer.

Page 12 of 18 Amit Agarwal: I don't have that number right away, Ahmed. I can probably provide it to you separately. I don't have

the number right away.

Moderator: The next question is from the line of Riya Mehta from Aequitas Investment. Please go ahead.

Riya Mehta: My first question is in terms of cost of sugar.

Ajay Shriram: A little louder please. Can I request you to please speak a little louder?

Riya Mehta: Congratulations on good set of numbers. My first question is in regards to the cost of production for sugar for the season.

Amit Agarwal: Yes. So for the season, the cost of production is INR 3,590 per quintal.

Riya Mehta: Okay. And what was it last year for FY'23?

Amit Agarwal: It was about INR 3,200 approximately.

Riya Mehta: INR 3,200, got it. Also, what is the current chlorine cost, prices?

Aditya Shriram: In the range of minus INR 2,000 to minus INR 2,500.

Riya Mehta: Okay. And when we are seeing the increased incremental capacity addition in caustic, how are we looking for incremental sales of chlorine, like apart from the capacity addition of already existing pipeline customers, what other avenues are we looking for?

Aditya Shriram: So as we said earlier as well, it's a multi-pronged strategy that we are offering. One is captive consumption. So we already have captive consumption of chlorine and we are going to look at newer avenues for consumer chlorine in-house as well. The second very important for us is our pipeline customers, especially in Bharuch. And they are also growing continuously. So we have long-standing partnerships with them, and that

will continue as well. And fundamentally, we expect the market to

grow as well, steadily. So that will also help in increase of chlorine consumption.

Riya Mehta: Got it. Also, you mentioned about exports of caustic soda as a further opportunity for us. So what's

the current export level? I guess last year, we had good export number, but it had declined. So what is the current scenario? And where would we export if we are exporting?

Amit Agarwal : See, the export numbers have not declined. For the full year, if you look at it last year, we were about 4.25 lakh metric tons. This year, also, it's around the same level, a little higher 4.39. What has happened is imports have gone up from about 1.4 last year to 2.4 lakh metric tons.

Riya Mehta : Got it. And where do we export primarily?

Aditya Shriram: It's fairly global depending on the market situation, and exports are in the form of caustic soda lye and caustic soda flakes.

Page 13 of 18 Riya Mehta: Got it. And you just said that we are increasing our flaker capacity. So where are we seeing the demand for flaker? Is it entirely for exports?

Aditya Shriram: Not entirely, it will be both for domestic market as well as for exports, and we continuously evaluate where it is that we are getting the best value and then take decisions accordingly.

Riya Mehta: Got it. And overall, globally, you said there's a lot of import happening. So is there demand slowdown globally also? And what would be the cause for that?

Amit Agarwal : Globally, Riya , now the demand is improving. We're not seeing demand, as Chairman had mentioned in his opening remarks as well, that globally, demand is improving.

Riya Mehta: Right. But for us, I think you mentioned that in our region specific, we are seeing a lot of imports happening , from Iran?

Amit Agarwal : Yes.

Riya Mehta: So what's led to that? Like is there a surplus capacity addition there? Or the lack of demand or other places are more self-sufficient? What has led to this incremental change?

Aditya Shriram: So it is a dynamic situation based on the regional demand -supply balance or imbalance, also based on trade rates, based on disruptions like we had in the Red Sea disruption, etc. So it's a dynamic situation. There are times when we see imports and sometimes from Iran, they tend to come at a lower price, and that impacts the domestic market disproportionately. But again, with a close to 100 million metric ton global size and growth of 1.5% to 2% at a global GDP level, so we expect the demand for caustic also to grow. So therefore, the domestic prices and demand will be balanced by the global growth in demand as well.

Riya Mehta: Got it. And even in a domestic scene, there's a lot of capacity additions. We would see some time till we see further hike in ECUs, right?

Aditya Shriram: Yes. So it's, of course, hard to predict the price going forward because there are many factors that get involved. And yes, you're right that the domestic capacity has increased significantly more than the domestic demand. And so in the short term, we do see some of those challenges, which is why we tend to focus back also in caustic to move outside the country.

Riya Mehta: Right. And in terms of ECH, I was just asking that since our competitor is currently at around 50%, 60% capacity utilization, how much time will we take to ramp it up? And are we planning to export ECH as well?

Aditya Shriram: Yes. So it will take some time to ramp up like it does for any new capacity, and it's a new product for us as well. But we have strong teams in place, and we expect both domestic consumption and exports. There is an approval process for ECH with the customers, largely ECH goes into the manufacturing of epoxy and we have good relationships with a lot of the epoxy customers as well. So we expect a positive movement over the coming quarters.

Page 14 of 18 Riya Mehta: Got it. And when

do we see entire ramping up of the capacity?

Amit Agarwal : See, it will take about 2 to 3 years to achieve about 90% to 100% capacity utilization.

Riya Mehta: Okay. And post our ECH capacities around for the next 2 years, our chlorine consumption or captive would increase, right?

Amit Agarwal : That's right.

Moderator: The next question is from the line of Saket Kapoor from Kapoor & Company. Please go ahead.

Saket Kapoor: Thank you to the team for a very detailed investor presentation, and we hope for the continuity of the format. Sir, I missed the point on the ECH part and epichlorohydrin part of the story, if you could just explain once again my line got disconnected. The last few statements that you made.

Aditya Shriram: So what is the question specifically?

Saket Kapoor: Regarding the ECH contribution going ahead and the epoxy chloride, which you mentioned that they will start contributing in a meaningful way. So when can we expect that to happen?

Amit Agarwal See, in the initial period, let's say, in the first year of operation for ECH and H2O2, the ramping up will take time. I think the meaningful contribution can happen only, let's say, in Q4 of this year and then full year impact will come in FY'26.

Saket Kapoor: Okay. And we will be commissioning it in the first half itself, the H2O2 and the ECH facility?

Amit Agarwal: As mentioned by Chairman in his opening remarks, the hydrogen peroxide should get commissioned in next 1 to 2 months. And ECH will get commissioned in Q2.

Saket Kapoor: Q2. And the total capex -- yes, sir?

Amit Agarwal: Pardon me?

Saket Kapoor: Okay. And the total capex we have spent on these two products, sir?

Amit Agarwal: That will be close to about -- these 2 products put together will be in the range of INR 1,100 crore plus/minus INR 100 crore .

Saket Kapoor: Okay. So out of the INR 1,700 work in progress, INR 1,100 will get capitalized by Q2 of this financial year?

Amit Agarwal: Yes.

Saket Kapoor: And the balance amount of the odd INR 600 crore ?

Amit Agarwal: See, there are projects in other businesses as well. Like in sugar, we mentioned there are CBG and there is a capacity expansion also happening in sugar. And there will be some other projects in other Page 15 of 18 businesses as well. So they all -- and there will be some normal capital expenditure as well. So it's summation of all that.

Saket Kapoor: Okay. Sir, when we look at chlorine as the byproduct and the evacuation and the utilization of chlorine being the key figure determining the utilization levels for the caustic players, I think the investment in the PVC segment has been due for over ages, if I may use it, and also a lot of big corporates have lined up projects for setting up big PVC projects going ahead in 2, 3 years down the line. So what is the update that we are getting on the PVC? I think the PVC is still imported in the country. There is inherent demand. So what is the thought process and what are the feelers on the front of setting a big PVC complex and then this chlorine dynamics changing completely?

Ajay Shriram: Well, I'll put it this way that, yes, India imports today almost 60% of the PVC requirements. And based on our cost structure, we actually took a view that we are not looking at investing in PVC expansion right now. As you are aware, there are 2 of the large groups, which are looking at setting up large capacities in PVC. So that's moving in its own direction. We are looking at the more value-add segment now in a more aggressive manner. And we are seeing what more we can do in the value-add front.

Saket Kapoor: Right, sir. So when we look at the country as a whole, what is the annual chlorine demand and the availability of chlorine with the expanded capacity at 5.6 million tons from the existing -- all the existing caustic soda players?

Ajay Shriram: Well, chlorine is actually a

bout 0.88% of caustic production.

Aditya Shriram: That's right. So the production, that is the linkage. What we see is that over the past many years, the capacity utilization at an industry level has been a fairly healthy 85% plus/minus kind of range. There was a sudden increase in capacity. In the short term, this will reduce capacity utilization will reduce driven to a large extent by chlorine. But again, as we are saying that in the medium term, we expect the demand is going to be robust. And so we expect that it should come back, the utilization should come back to its levels which have been there historically.

Saket Kapoor: No. Suppose we are factoring in an increase in caustic prices also globally. So in that case, we would be able to increase the utilization level only to the extent chlorine gets consumed. So I was just alluding to that fact to reach from average 80% to another 90%, 94% as have been the averages earlier also. What kind of chlorine consumption capacity should be in the anvil so that evacuation happens? Or how will the metrics work?

Amit Agarwal : So Saket, as we've mentioned, I think there have been multiple questions on this call with respect to chlorine utilization, right? So we have mentioned that we're looking at there is a multi-pronged strategy that we have as the board approves, we will take that up. Our utilization is around 55%, post all expansions coming in. We will be having 55%, including the pipeline. And we are in advanced talks for further adding up to just captive consumption. So we'll come back to the shareholders once those plans get firmed up.

Page 16 of 18 Saket Kapoor: Sir, on the debt level numbers, I think the INR 1,400 crore is the net debt as on 31st March. So this is

the peak amount or what should be the debt number say for H2? And for H1 closing for FY 24 -25?

Amit Agarwal : For our kind of a company, the kind of businesses we are in, the March debt is always the peak debt.

Saket Kapoor: Correct .

Amit Agarwal : Right. So H1, it will -- by end of H1, it will be lower. And then it again goes up by end of H2.

Saket Kapoor: But factoring into the current -- yes, yes. I join the queue. I want to just understanding currently, the current -- what are the current maturities lined up and just joined the queue .

Amit Agarwal : We keep our repayment at least for the next 1 to 2 years, if I remember correctly, the repayment in the range of around INR 100 crore , INR 150 crore .

Moderator: Thank you. The next question is from Rohit Nagraj from Centrum Broking. Please go ahead.

Rohit Nagraj: Just 1 question. In our presentation, you have mentioned that we have sanctioned a power cost optimization project with capex of INR 120 crore . What is it exactly? And how will it help? Is it pertaining to the chlor-alkali project? So if you can give a little more details on this one. Thank you.

Amit Agarwal : So we are looking at doing certain modifications in our turbines, especially the older turbines. Now that will improve the efficiency of the power generation, thereby reducing the cost. So that is something we keep looking at innovative ways to reduce our costs because that's something which is in our control. And with that objective, the board has sanctioned this project.

Moderator: Thank you. The next question is from Parth Vasani , who is an individual investor. Please go ahead.

Parth Vasani : Yes. Thank you for the opportunity. I just wanted to know about the epoxy plant. So what is the capacity of it and by when you're expecting to commission the same?

Aditya Shriram: So that, as we've mentioned in the past, we have a non-principal approval from the Board. We are doing a lot of the technology evaluation, detailing out capacities, et cetera. And once it is approved by

the board, we'll be able to share all those details.

Parth Vasani : Okay. Any date as such by when you're expecting or that is still yet to be

finalized?

Aditya Shriram: So we expect that in the next couple of quarters, we'll be able to go ahead with moving forward with the project after approval internally.

Moderator: Thank you. The next question is from Shantanu Naik, who is an individual investor. Please go ahead.

Shantanu Naik: My question is...

Moderator: Shantanu, I'm sorry to interrupt, but we can barely hear you if you could please speak a little louder.

Page 17 of 18 Shantanu Naik: So my question is regarding Fenesta. So what kind of total revenues from Fenesta. What would be the percentage...

Ajay Shriram: Can you kindly repeat yourself?

Shantanu Naik: Okay. So my question is regarding Fenesta. So of total revenues from Fenesta, what would be the percent share of projects, retail and commercial?

Amit Agarwal : So out of the total revenue, about 35% is projects. The rest is retail.

Shantanu Naik: Okay. And in -- and with respect to growth, what kind of growth do we expect in UPVC compared to aluminium? Considering aluminium right now is doing almost 20% of total revenues from Fenesta, so.

Amit Agarwal : So if I got your question right, you're saying the growth of aluminium versus UPVC, have I understood it right?

Shantanu Naik: Yes.

Amit Agarwal : Yes. Aluminium actually is growing faster, but we had a much lower base. So it's definitely growing faster. Put together, we have seen at least our business growing at almost around 20% year-on-year.

Shantanu Naik: Okay. And do you see that in medium term, aluminium and UPVC sharing equal in percentage of total revenues for Fenesta?

Ajay Shriram : Frankly, for Fenesta business, it's now been expanded to UPVC windows, aluminium windows. We are into doors, we've started façades . So we've got a range of product and down the line more things will get added . So we are hoping that the aluminium window as well as the UPVC windows both grow rapidly, and they both have a separate market segment. So we are focusing on both very aggressively.

Moderator: Thank you very much. We'd like to take that as the last question. I would now like to hand the conference back to the management team for closing comments.

Ajay Shriram Well, ladies and gentlemen, thank you very much for your participation in our earnings conference call. We are committed to deliver better earnings and growth. Initiatives taken by us to enhance capacities, raise efficiencies and promote sustainability will begin delivering intended outcomes in the coming years. The commissioning of our new projects in the Chemical business will usher in a new area of growth. Further, we continue to evaluate adjacencies to enhance our portfolio in the core area.

Thank you once again and wish you all, all the very best always . Thank you.

Moderator: Thank you very much. On behalf of DCM Shriram Limited, that concludes this conference. Thank you for joining us. Ladies and gentlemen, you may now disconnect your lines.

Page 18 of 18 Disclaimer: This is a transcription and may contain transcription errors. The transcript has been edited for clarity. The

Company takes no responsibility of such errors, although an effort has been made to ensure high level of accuracy.

Call: Jul 2024

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Sub: Transcript of Investors' Earnings Call under SEBI (Listing Obligations and Disclosure Requirements) Regulations, 2015

Dear Sir(s),
Pursuant to Regulation 30 read with Schedule III of the SEBI (Listing Obligations and Disclosure Requirements) Regulations, 2015, please find attached the Transcript of the Investors' Earning Call on Unaudited Financial Results (Standalone and Consolidated) of the Company for the quarter ended June 30 , 2024 , held on July 25, 2024.
The above said Transcript will also be available on the Company's website i.e. www.dcmshriram.com .
Kindly take the same on record.

Thanking you,

Your faithfully,
For DCM Shriram Ltd.

Swati Patil Lahiri
Acting Comp any Secretary & Compliance Officer

Dated: July 31, 2024

Encl.: as above
Page 1 of 15

DCM Shriram Limited
Q1 FY'25 Earnings Conference Call
July 25 , 2024

Moderator: Ladies and gentlemen, good day and welcome to the DCM Shriram Limited 's Q1 FY'25 Earnings Conference Call.

As a reminder, all participant lines will be in the listen -only mode . There will be an opportunity for you to ask questions after the presentation concludes. Should you need assistance during th e conference call, please signal an operator by pressing '*' and then '0' on your touchtone phone. Please note that this confe rence is being recorded.

I now hand the conference over to Mr. Siddharth Rangnekar from CDR India. Thank you and over to you , sir.

Siddharth Rangnekar: Thank you , Michelle . Good afternoon and welcome to DCM Shriram Limited's Quarter 1 FY'25 Earnings Conference Call.

Today, we have with us Mr. Ajay Shriram – Chairman & Senior Managing Director , Mr. Vikram Shriram – Vice Chairman & Managing Director , Mr. Ajit Shriram – Joint Managing Director , Mr. Aditya Shriram – Deputy Managing Director , Mr. Amit Agar wal – CFO and Mr. Sanyog Jain – Deputy CFO of the company.

We shall commen ce with remarks from Mr. Ajay Shriram and Mr. Vikram Shriram. Members of the audience will get an opportunity to post their queries to the management following these comments and during the interactive question -and-answer session.

Please note that some of the statements made on today's call could be

forward-looking and a note to that effect has been included in the Conference Call Invitation that has been circulated earlier and is also available on the stock exchange websites .

I would now like to invite Mr. Ajay Shriram to give us a brief overview . Over to you, sir.

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Ajay Shriram : Thank you, Siddharth . Good afternoon, everyone . Thank you for taking out time and joining us today to discuss the company performance based on our Q1 Financial Year 25 Results . I commence with views on the industry dynamics and our strategic direction , following which Vikram will share the financial Perspective .

The global economy has become more resilient and is growing at 3.2% despite facing geopolitical conflicts, high interest rates and climate challenges. There can be uncertainties arising in future as the economic and geopolitical events unfold . India continues to maintain economic momentum and with policy continuity, the growth is set to further accelerate. The Union budget has laid out the growth agenda with focus on agriculture, employment, research and development and infrastructure, among other areas. We have aligned our strategy to focus on creating growth opportunities in businesses through capacity, capability, technology, new products and value addition . In order to address economic uncertainty, we continue to work towards making our operations more cost efficient . The initiatives that we have outlined are backed by a healthy balance sheet and are in line with our plan.

Sustainability is the core element of our philosophy, which is well integrated into our operational and strategic pathways. Water and energy conservation are the core elements of our sustainability journey, along with social upliftment.

I shall now move to the discussion on industry perspectives across our business lines.

Chemicals Business :

First is the chemicals business. Globally, the supply chain of caustic is balanced and the prices are stable, although on the lower side . There was an interim price uptick in the month of March '24, led by maintenance shutdowns in the US that are now back in operation. India witnessed capacity coming online this quarter of more than 1200 tonnes per day, including ours taking the industry capacity to more than 6 million metric tonnes per year. Indian industry continues to operate at a healthy rate of about 80% excluding the recent capacity addition . This is resulting in an oversupply of caustic as well as chlorine in the market and therefore lower ECUs. India continued to be a net exporter of caustic this quarter as well.

Our performance has been better both year-on-year and sequentially, mainly led by reduction in energy prices and higher volumes due to capacity addition. Prices have also been better during the quarter . We commissioned 850 tonnes per day capacity in May 2024. The capacity ramp up will be gradual given the oversupply in the domestic market. The 120 MW captive power plant also got commissioned in June and has started contributing to a better cost efficiency . We are positive on the caustic and chlorine outlook over the medium term given the steady growth in the consuming industries.

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Our hydrogen peroxide plant has started trial runs and is expected to be commissioned shortly. Epichlorohydrin plant will start trial run in the second quarter of this year . As this round of the CAPEX is nearing completion, we are actively working on starting activities on epoxy and other downstream products including chlorine downstream .

Vinyl :

Global demand for PVC in key economies is still sluggish. International PVC prices have firmed up mainly because of elevated sea freights due to the container shortages and the ongoing Red Sea issue. The domestic demand for PVC in India is robust and estimated to have grown by about 17% in this quarter in the wake of agriculture and construction activities . PVC imports in India accounted for about 68% of the demand and has grown by 21% in Q1 Financial Year 24. Pricing improvement has been further supported by softening trend of input costs, especially energy costs. The prices may revert back gradually , once the inc

rease in ocean freight reverses .

Sugar and E thanol :

Global sugar demand and supply for sugar season '23-24 is expected to be balanced with the surplus of 1 million metric ton nes similar to that of the last season. Indian sugar season '23-24 is expected to end with the stock of about 8 million metric ton nes as compared to about 5 million metric ton nes in the last season. The increase in the stock is mainly attributed to restriction on sugar exports and limitations on diversion for ethanol production . Diversion of sugar to ethanol in current season is 2.5 million metric ton nes versus about 4 million metric ton nes last year.

Our cost of production has gone up due to increase in cane prices by UP government and adverse climatic conditions. While the price of sugar has increased, they are still not commensurate with the increase in the cost leading to margin pressure .

On the ethanol front , Government of India is committed to its 20% ethanol blending target by 2025. For ethanol sup ply year '23-24, there is a good progress in ethanol blending with current blending rates at 12.7% despite restrictions on sugar -based ethanol . The grain based ethanol has surpassed sugar based ethanol led by maize as the feedstock. There is a need to have more rational and consistent government policy for sugar as well as ethanol, which balances the feedstock, supports the farmer, the industry, as well as the consumer . Sugar cane crushing capacity expansion at Loni and the CB G plant at Ajbapur Sugar Unit ar e moving as per agreed timeline s.

Fenesta Building S ystem :

The broad performance in the business remains encouraging with strong accretion in order booking . The elections in the first quarter had an impact on the real estate activity in the country, which slowed the growth momentum in the b usiness . We are expanding across geographies and SKUs. The
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business is investing in newer revenue platforms and capacity enhancement in order to deliver a health y momentum on an expanded base.

Now moving on to the agri bu sinesses, which comprise of Sh riram Farm Solutions, Fertilizers and the Bioseed business.

Shriram Farm Solutions :

SFS has maintained its growth momentum and its top line has grown in double digits. This growth is driven by all the business verticals namely seeds, crop protection and specialty plant nutri tion. During this quarter, we have launched 6 new p roducts in crop protection and s pecialty plant nutrition verticals . Out of which , two are from our own R&D and are first time launches in India. The gro wth focus of the business is led by our own R&D collaborations and exclusive arrangements to bring new age products and global te chnology to the Indian farmers.

Fertilizers :

The urea business environment continues to be stable. Our business performance has been lower because of maintenance shutdown taken in the current quarter . The gas prices are similar to the last year. We continuously focus on improving efficiencies including energy consumption.

Bioseed :

India operations continue to expand with help of novel hybrid for key crops that we have introduced over the last few years. International operations have contributed well too. We have a robust pipeline of products and with that, we are expecting to grow the business going forward .

I would now re quest Vikram to take this forward by covering the financials .

Vikram Shriram: Thank you. Good afternoon everyone.

Our Financial Performance during Q1 Financial Year '25 was in line with our expectations.

Chemicals and Vinyl businesses saw improvement, backed by supporting cost of environment . Sugar and ethanol businesses, margins were under pressure due to cost increases that were not commensurate with the increases in market prices . Shriram Farm Solutions and Fenesta Building Systems businesses continue to grow and deliver. The CAPEX in chemicals business i

s nearing completion. The 850 TP D caustic capacity and 120 MW captive power plant have been commissioned during the quarter. We are confident of adding scale, newer products platforms and bring ing further improvements in our cost structu re.

I will now highlight the Financial Performance of Q1 FY25 :

The net revenues net of excise in this quarter were at Rs. 2,876 crore as compared to Rs. 2,780 crore in the previous year. The increase in revenues is mainly driven by Chloro -Vinyl segment, despite moderation in sugar business. Accordingly, PBD IT stood at Rs. 274 crore which is up by 49% year-on-year.

Coming to Chloro -Vinyl :

The revenue in Chloro -Vinyl segment increased by 15% and PBD IT was at Rs. 177 crore as against Rs. 33 crore last year.

The Chlor -Alkali business revenues were up 18% year -on-year and PBD IT was up at Rs. 133 crore as compared to Rs. 36 crore last year due to higher volumes and significant savings in energy costs led by 44 MW renewable energy and lower coal costs . ECUs were slightly down by 2% year -on-year; however, were up by 8% quarter -on-quarter.

Vinyl business revenues increased by 6% year -on-year and PBD IT was at Rs. 44 crore versus negative Rs. 3 crore last year. Volumes of both PVC and Carbide increased. PVC prices were up by 4% year -on-year and Carbide prices were down by 14% year-on-year. The input cost reduced during the quarter versus last year and sequentially , this has led to the better earnings. Further, there was a one -time positive impact of Rs. 16 crore each in Chemical and Vinyl businesses on account of reversal of electricity duty on auxiliary consumption of power in our power plants.

Coming to Sugar Business :

Sugar business revenues were in line with last year. Domestic volumes were also similar while sugar exports were nil this year as against 2 Lakh Quintals last year . PBDIT has decreased by 57% year -on-year to Rs. 38 crore on account of higher cost of production, mainly attributable to increase in SAP in the state of UP and adverse climatic conditions and lack of exports of sugar this year. Ethanol volumes have increased to 413 lakh liters representing 15% increase year -on-year. Domestic sugar prices were at Rs. 3,900 per quintal , an increase of 6% year -on-year.

Fenesta Building System:

Fenesta Building Systems reported a growth of 7% year -on-year. PBDIT slightly moderated to Rs. 36 crore as compared to Rs. 40 crore in the last year on account of higher fixed costs incurred due to setting up of newer revenue platform and enhancing capacities and also due to higher sales promotion and business development expenses. Order book was up by 20% year-on-year.

Shriram Farm Solutions:

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Shriram Farm Solutions revenues increased by 15% year -on-year, supported by both volumes and prices across the vertical. PBD IT for the quarter came in at Rs. 20 crore as against Rs. 11 crore last year, despite higher marketing spends directed towards strengthening the Shriram brand and higher R&D expenditure.

In the Fertilizer business :

The revenues declined by 13% year -on-year due to lower volume owing to maintenance shutdown taken between quarter 4 '24 and quarter 1 '25. PBDIT was at Rs. 23 crore similar to last year. There was a one time net impact of Rs. 15 crore , positive , on account of reversals of provision. Fixed expenses were higher as a result of maintenance shutdowns . Outstanding fertilizer subsidy this year was Rs. 133 crore as against Rs. 83 crore in this period last year.

Bioseed :

Bioseed revenue is stable . PBDIT has improved to Rs. 29 crore from Rs. 23 crore last year led by the product mix and prices.

Our net debt as on 30th June 2024 is Rs. 1,459 crore as against Rs. 926 crore as of 30th June 23 and Rs. 1,434 crore as on 31st March 24.

With a strong balance sheet and healthy cash flows, we continue to evaluate

adjacencies

in our core businesses to strengthen and enhance our portfolio and look for other opportunities for growth and cost efficiencies .

That concludes my opening remarks, and I would like to request the moderator to please open the forum for the Q&A session. Thank you.

Moderator: Thank you very much, sir . We will now begin the question -and-answer

session. The first question is from the line of Pratik Tholiya from Systematix .
Please go ahead.

Pratik Tholiya: Sir, just couple of questions. Firstly, in the chemicals, you said almost 1200 TPD of additional capacity is coming which I think 850 belongs to yourself. And the presentation also you mentioned there is a good demand from end user industries. So, you could just talk a little bit about the end user industries where you are seeing this kind of demand and in how many quarters can we expect the entire additional capacity to get fully absorbed ?

Aditya Shriram : Yes. So, in chemicals actually for caustic soda as you may know, it is used across a wide variety of industries including textiles, paper and pulp , alumina, other organic , inorganic chemicals. So, it's sort of linked with GDP demand. If GDP is growing well, then the caustic demand also is expected to grow . So, we are very optimistic that while there is some over capacity in the short term. In the medium term, this capacity will all be absorbed comfortably.

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Pratik Tholiya: And sir with this whole logistics issue, I think the cost also would have gone up for import, anyone who's importing caustic. So, what would be the imported caustic price and does that mean that Indian industry would slightly be better off , so the domestic price should also catch up with the total price ?

Amit Agarwal : So, Pratik , one , the imported prices are around \$450 and frankly the imports are not very significant. If you see in the Q1 , only about 40,000 tonnes of caustic got imported. So, there is no significant advantage coming as of now from exports because see the point is that it's the freight, freight is not being used either by the importer or the exporter .

Pratik Tholiya: Sure. And secondly, I see that in the sugar business kind of see a sharp decline in the profitability while sugar prices have also moved up. And so just trying to understand whether it is the sugar business which has seen lower profitability or whether there is something in ethanol because C-heavy , I think large part of it we would have done C-heavy ethanol , so, because of that there has been hit ? If you could just explain within the sugar division whether it is in the sugar segment of the ethanol which has got hit?

Amit Agarwal : So, as mentioned in the opening remarks as well, it is primarily in the sugar business , not ethanol. So , sugar got impacted one because there were no exports ; last year same quarter, we exported about 2 Lakh tonnes and the cost of production went up and the selling price increase was not commensurate . So, that is the key reason. And the increase in SAP was about Rs. 20. So, to answer your question, it's primarily in the sugar business.

Pratik Tholiya: Some of the other competitors of your in the same business are in UP have not really highlighted a similar sort of cost pressure that you have experienced in this quarter. So, other than the Rs. 20 MSP and zero sugar exports , are there any other reasons which has led to a significant drop in the sugar profitability?

Amit Agarwal : No. See one is this. The other is this recovery has been lower and that has been across UP . Most of the mills especially in our region , the recoveries also have been lower. So, that also led to a little higher cost.

Pratik Tholiya: And sir lastly in Fenesta also again over year I am seeing margin compression of almost 400 basis points YoY. Can you just explain what has really happened over here?

Amit Agarwal : So,

see one , if you look at contribution margins, they have been largely intact . Now as again mentioned in the opening remarks, the revenue growth has been lower than what we would have expected because of elections. And therefore what we witnessed was that although our retail business grew even quarter -on-quarter ; however, the B2B business, which is largely to build ers – the institutional segment that has, I mean I would say that had degrowth, although year-on-year it is grown, but sequentially there's been a degrowth. So, that is the reason I think which is temporary. It should get corrected , maybe we are still seeing some impact, but it should get corrected over next 1-2 months. And the other thing is on the fixed cost which as we mentioned

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it's like investment where we are investing for future growth. So, we have 2 new factories which came up in last year and we also have facade business which was set up. So, all these add to the fixed cost along with the sales and business development cost. I think once if the revenue catches up , then it should be fine.

Pratik Tholiya: Understood. And sir did you say that project business was down? So, does it mean the project vertical has a higher margin versus retail?

Amit Agarwal : No, the retail business has the higher margin, but then ultimately it is the mix. So, if the volumes don't catch up, then obviously it will have an impact on the amount that is available to cover the fixed cost.

Moderator: The next question is from the line of Ahmed Madha from Unifi Capital. Please go ahead.

Ahmed Madha: My question was on the caustic volume growth. Can you give some sense where we have grown our volumes - is it on domestic part or export side this quarter, for the new capacity?

Aditya Shriram : Yes. So, it is largely on the domestic front that we have grown and exports as well we have grown, so it's been on both in fact. Exports for us including lye and flakes last year in the same quarter was 0.092 million metric tonnes. This time it is 0.12 million metric tonnes in this Q1 FY25. So, we have grown on both, domestically and exports.

Ahmed Madha: And can you mention the key countries where you are exporting as of now?

Aditya Shriram : So, it's largely going to the Middle East, Africa and the Southeast Asian countries.

Ahmed Madha: And is there a sense on how much time it will take to ramp up the new capacity to optimum utilization? It will take more than a year or this by the end of this year, we should be able to do.

Aditya Shriram : So, I think our entire team is focused on these efforts only to ramp up the capacity. I think we are seeing a steady growth in demand as well. So, we do expect that towards the end of the financial year, we will reach significant capacity utilization and by next year we will be able to reach optimal capacity utilization.

Ahmed Madha: And on the cost side, it is very clear that energy cost has come down. Is there any decline in the salt prices for us?

Amit Agarwal : Salt is only about 15% of the cost, so yes, there has been a decline, but the major impact comes from the energy cost.

Ahmed Madha: On the ethanol side, how are you managing the feedstock availability for non-sugar, whatever we need? Are we able to get the raw materials at a price where we can generate decent margins? So, how are we managing it?

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Amit Agarwal : So one, currently we are running on maize and we have a team which is procuring and we are procuring at a reasonable price and which is giving us reasonable margin.

Ahmed Madha: On the epoxy, you mentioned that we'll plan it now. So, are we at the stage where we can give some guidance, how are we thinking about the business or is it too early?

Aditya Shriram : So, I think it is something which is being actively considered by the board and once the board takes a final decision on it, we'll be able to share that publicly.

Moderator: Thank you. The next question is from the line of Jignesh Kamani from Nippon Mutual Fund. Please go ahead.

Jignesh Kamani: Just on the ECU realization, you mentioned it has increased around 8 % QoQ because of the stabilization in the prices and lower, you can say the power cost. Now with capacity coming up for you and you can say industry around close to around 1200 TPD in the industry. Do you think there will be pressure on the ECU or current level is sustainable and you can say the volume growth in the industry is also happening demand wise, we can gradually improve from current ECU?

Aditya Shriram : So, it is of course difficult to predict prices going forward. As we've shared there has been significant capacity addition in the industry in the last 2 years.

The capacity of the industry is now more than 6 million tonnes per annum.

So, we do expect that in the short term, it will be range bound. The prices are on the lower side compared to earlier. But again in the medium term, we expect with the robust demand growth that prices will move up.

Jignesh Kamani: And second thing on the in-house chlorine consumption which you can say is the additional capacity coming up – what is our plan to increase the in-house chlorine consumption and what is currently our percentage of the in-house chlorine consumption?

Aditya Shriram : So, along with our caustic soda expansion, we are expanding epichlorohydrin so that will consume you know a healthy amount of chlorine as well. We have expanded aluminum chloride also at our Baruch site. That again is the capacity ramp up is going on and we are consuming chlorine over there. So,

along with captive consumption, for us a very important part is our pipeline customers and their growth journey, and our growth journeys have been in parallel over the last 20 years. So, they are valued customers of ours and in a way are the backbone for us as well. So, we look at it as captive consumption along with pipeline consumption. So, the two put together, we will be close to 55% chlorine consumption and the remaining will be sold in the market.

Jignesh Kamani: So, what is the pure captive consumption excluding pipeline? Because pipeline will still carry the negative realization depend on the chlorine price movement. And once our epichlorohydrin and other derivative products also commence in next 2 year and then what would be our in-house chlorine consumption?

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Aditya Shriram: So, in Kota we have a PVC and stable bleaching powder as well. So, in Kota our captive chlorine consumption is close to 30% and in Bharuch our captive chlorine consumption will be close to 20%.

Jignesh Kamani: And what it will increase once all the derivative capacity of epichlorohydrin and other will be utilized?

Aditya Shriram: So, this is including those capacity additions. But in parallel we are also evaluating other chlorine downstream opportunities as was mentioned in the opening remarks. Once the board approves those, those will also be commissioned in due course.

Moderator: The next question is from the line of Parth Gosani, an individual investor.

Parth Gosani: My first question is regarding the ECH. When are we expecting it to get commissioned, any tentative date?

Aditya Shriram: So, towards the end of this quarter we will be ready with the trials for the plant and early next quarter the plant will be commissioned.

Parth Gosani: And by when do we expect it to reach optimum?

Aditya Shriram: So, typically the process is for ECH we have to get approvals from the customers. So, after the plant is commissioned that process of approvals from the customers will begin. So, we expect that towards Q3 and into Q4 of this financial year the plant will be running steadily. But the ramp up will still take some time. So, a lot of the material benefit we expect will come in the next

financial year.

Parth Gosani: And one bookkeeping question that I have is, we consume coal in our power plant. So, that comes under the power and fuel cost, or it goes in to the raw material cost in the P&L?

Amit Agarwal: Power and fuel cost.

Parth Gosani: Power and fuel cost consumes the coal that we purchase for running up our plant, right?

Amit Agarwal: Yes.

Moderator: The next question is from the line of Rohan Gupta from Nuvama.

Rohan Gupta: First question is further in chlorine downstream. So, even the current plan which you have mentioned, 55% max including the pipeline, we will go in a captive consumption 45% kind of number still have to be sold outside which still remains a larger number given that in chlorine many more capacities are also coming. So, over next 3 to 4 years, do we have plans, internal strategy to go to 100% kind of chlorine internal consumption and if so then what kind of investment you think that will be required apart from epoxy which other product line you will be evaluating?

Aditya Shriram: So, to answer your question, yes we are evaluating other chlorine downstream opportunities of various sizes and scales. So, it would not be

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appropriate to comment on it until we have the approval from the board. But definitely, we are evaluating those actively and directionally we will look to increase our captive chlorine consumption. It might not reach 100% because we do want to remain in the market as well. But we will be increasing it continuously.

Rohan Gupta: Last year many of the industrial chemical plants were facing disruption and under pressure because of China. So, your chlorine consumption would have also been impacted. How is the scenario now? Has the chlorine demand picked up? And in the current ECH realization improvement, I think it is primarily driven by caustic soda only. So, chlorine prices still remain negative or lower and when you expect them to improve?

Amit Agarwal: So, the chlorine prices continue to be negative. And in terms of, what we are seeing is that chlorine demand in the country over next 2 to 3 years we see it

improving with a lot of chemical facilities coming in downstream. We ourselves are going to do a lot of downstream and we are seeing a lot of chemical capacities coming in. We should be consuming more and more chlorine. So, I feel this scenario should improve over the period, but it will take time.

Rohan Gupta: So, you are saying that chlorine still will remain negative and so ECH may remain under pressure unless we see chlorine going into positive or a sharp improvement in caustic prices?

Amit Agarwal : I am not too sure why should ECH get impacted? You're talking about ECU.

Rohan Gupta: ECU, yes.

Amit Agarwal : So, yes to that extent ECU may have an impact definitely. And that is the reason we have been saying that for next few quarters we do see the ECU 's to be suboptimal. But what is important is that on cost side, we have taken steps ourselves in terms of investing on improving cost and efficiency and the energy costs are lower which we expect to remain sustainable and therefore we should see reasonable margins.

Rohan Gupta: Next question is on our seed business. So, this year we have heard that there has been a shortage of seeds availability especially in cotton with the lower growing by the farmer, but we have seen growth and even further margin expansion in our business. So, do we also face any challenges in terms of the lower availability of seed and some outlook on that business for the current year?

Amit Agarwal : The cotton seed even on the demand side there have been issues because the acreage of cotton planting has been lower this year, significant fall in the acreage of the cotton seed.

Rohan Gupta: So, we understand that from some of the competitor, they have mentioned that there is a non-availability of cotton seed in the

market though demand is

strong. So, that's what I just wanted to clarify from you that because you have shown growth as well in seed business.

Amit Agarwal : At least I can talk about our company, we have not encountered that. And what we understand from the industry is that the planting has been lower, so

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there has been no shortage. So, that is one. And our performance has been good primarily because of the product mix and we are seeing good realizations for the seeds.

Rohan Gupta: On ethanol business you mentioned that it's because of your capability to procure the raw material grain base at a competitive price thing, that is giving you still positive margin or profitability in ethanol. Otherwise, ethanol would have been under pressure. So, just wanted to know that, it's a basically procurement area wise benefit you have within your nearby 30 to 40 - 50 km whatever area is there or any other benefit or there is surplus availability of raw material in your area that is driving the profitability in ethanol because otherwise we are hearing that the current grain prices and all ethanol is under pressure and not making money.

Amit Agarwal : I am not too sure about the competition but as far as we are concerned one because maize-based ethanol prices also had gone up and we are procuring in the most competitive or most efficient way, I would say. It's not competitive, it is more about procuring efficiently, at the right time and which is helping us with reasonable margins. It can be better but they're reasonable.

Rohan Gupta: So, can you give us a catchment area for maize or the procurement of grain for our refinery?

Amit Agarwal : So, it will come from let's say MP, Bihar partly UP.

Rohan Gupta: So, all across I mean nothing like that within or maybe 30 km, 40 -50 km catchment area, nothing like that.

Amit Agarwal : No.

Moderator: We'll take the next question from the line of Vignesh Iyer from Sequent Investments.

Vignesh Iyer: My first question would be, I wanted to know what is our total electricity, that is power and fuel that is consumed for the quarter coming from captive consumption, I mean coming from captive power?

Amit Agarwal : Majority of our power is captive.

Vignesh Iyer: So, that includes the 120 MW that has been commissioned in June. I mean would that 120 MW create a surplus type situation in Quarter 2?

Amit Agarwal : No, it doesn't create a surplus. It's about balancing the various power sets we have. So, the 120 MW has been put up once all the capacities that we are

bringing in, once all of them are fully operational at 90% capacity utilization. So, we will be fully integrated on power. But as of now yes, we will see which set is more efficient and run the sets accordingly. So, 120 being the most efficient set will have the maximum utilization and maybe another set, we have that capability because we have sets of 50 MW, 60 MW. We will see whichever is less efficient we will reduce the load on that set.

Vignesh Iyer: So, this 120 MW what is the nature of the power? I mean the plant that is commissioned.

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Aditya Shriram : So, it is a thermal power plant. The raw material is fossil based, so that is coal and lignite and also biomass based. So, it's a combination of these fuels.

Vignesh Iyer: So, if I get it right, I mean say in a non-rainy time you probably prefer for a renewable power since it is more efficient, and less cost compared to having to use coal? If I get it right, the idea is that?

Ajay Shriram: I'll just put it this way that we already have a contract to get 44 MW of renewable power. But when you look at it on a 24 hours basis because you can't get renewable power 24 hours. So, on an average we get about 24 -25 MW of renewable power based on banking and getting it back. So, we are already using renewable power. We are exploring can we get more renewable power also. But th

is coal-based power plant also especially 120, the new one, that price is also very competitive in terms of cost of production of power.

Vignesh Iyer: Also, coming on the PVC side of it how has the price panned out in July as compared to June?

Amit Agarwal: So, the current prices are around Rs. 84,000 -85,000. So, the international price also has come off. So, let's say in June they were around \$980. Currently they are about \$910 per metric ton. And domestic prices around Rs. 84,000 -85,000.

Vignesh Iyer: And all this movement from May to June and June to July has been primarily because of freight only, right?

Amit Agarwal : Yes.

Moderator: The next question is from the line of Deepika, an individual investor.

Deepika: My question is relating to the power cost. Would you be able to quantify what are the cost savings due to power in the chemicals business this quarter?

Amit Agarwal : So, it's difficult to give you that number right away. Maybe you can contact us separately through our investor relations cell. We will give you the details.

Deepika: And what would be the outlook for the chemicals business with the remaining part of the year?

Aditya Shriram : So, like we've shared earlier as well, in the last year or so the chemicals industry at an overall level has been under pressure. But now we are seeing that there should be a bottoming out. So, we expect it to be steady or gradually improve in the coming quarters.

Deepika: And do we expect exports to open or we have no comments on that for sugar?

Ajit Shriram : For sugar right now, there are extensive talks taking place with the government for allowing exports because as said in the opening remarks, last year our sugar stock on 30th of September was 5 million tons. And this year is going to be between 8 -9 million tons. So, we are trying to push for exports and

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our constant dialogue is on with the government, the old government and the new government.

Moderator: The next question is from the line of Aditya Singh from Robo Capital.

Aditya Singh: Until when do we expect to commercially commence the hydrogen peroxide and the ECH plants and what would be the optimum revenue potential from both the plants?

Amit Agarwal : As we mentioned that the trials for hydrogen peroxide plant have begun and we expect the hydrogen peroxide plant to commission in this quarter itself which is Q2. And for epichlorohydrin, we should commission the trials in this quarter which is Q2 and commercial production should start in the Q3, maybe early Q3 we should start commercial production.

Aditya Singh: And what would be the revenue potential for both the plants?

Amit Agarwal : For epichlorohydrin as we mentioned earlier, epichlorohydrin takes time to stabilize and to get the confirmations from the customers. We may not see very significant revenue coming or significant contribution to bottom line coming in this financial year. And most of it will happen in the next financial

year. Hydrogen peroxide, my sense is if you look at second half of the year, we should have close to about 40% -50% capacity utilization.

Aditya Singh: And regarding that 850 TPD caustic capacity that we commissioned in May '24. So, that led to a dip in the overall capacity utilization. So, for the entire year FY25, what capacity utilization do we see in this segment?

Amit Agarwal : So, the point is as you've seen, the overall production has gone up. Given the additional ; it will all depend how much capacity we utilize depending on market conditions and the new capacity is coming in. So, we do expect that the additional capacity that has come that is about 850 TPD for let's say second half of the year , we should reach close to about 50% or 40% to 50% there as well.

Moderator: The next question is from the line of Shantanu Naik from HCMR.

Shantanu Naik: I wanted to ask what would be the ECU pricing for this quarter?

Aditya Shriram : It's, always hard to predict the pricing going forward. Current ECUs are in the Rs. 27,000 -28,000 range and we expect it to be range bound or improve gradually.

Shantanu Naik: And second question is what would be the current contribution of chlorine derivatives in our revenue?

Aditya Shriram : There would not be any general number which applies to all . It is a case -to-case basis. So, anytime we evaluate any product we look at it giving a healthy return and then we move forward with those decisions.

Shantanu Naik: But still any ballpark figure in your mind?

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Aditya Shriram : As I said it will depend product to product. So, it's hard to give a number like that in general for chlorine downstream.

Shantanu Naik: And I just wanted to ask, I have been looking at the margins for SFS vertical, so why are they on a decline sequentially? Any specific reasons for that.

Amit Agarwal : That is because of seasonality. And I don't think there is a decline frankly.

Sequentially if you see March is not the season or March quarter is not the season for that business. So, that's not the representative either and actually the margins have not declined for that business sequentially.

Shantanu Naik: But if we see a previous quarter were 11 %, before that it was 14 %. So, I was just confused on that, so I asked.

Amit Agarwal: No worries. I think this is a more specific question. So, maybe we have to go vertical by vertical. You can connect with our investment or relations department and they will give you the details.

Moderator: The next question is from the line of Aditya Singh from Robo Capital.

Aditya Singh: I got dropped accidentally. I was asking that because of the addition of 850 TPD caustic capacity, the total capacity utilization has gone down. So, for the full year FY25 where do we see the capacity utilization for this segment, caustic soda?

Amit Agarwal : As I mentioned that in the second half of the year, the expanded capacity we should see a 40% to 50% capacity utilization. And the existing capacity, which is close to about 1800 tons per day, we should be utilizing about 80% - 85%.

Moderator: Thank you. Ladies and gentlemen , that was the last question for today. I would now like to hand the conference over to the management for closing comments. Over to you sir.

Ajay Shriram : Thank you. Ladies and gentlemen, thank you very much for your participation in our earnings conference call. We continue to be guided by our philosophy of growing through capacity, capability, technology, new products and value addition. Further with our commitment towards the environment and society, we keep sustainability integrated into our business practices. We strive to create long lasting value for our stakeholders along with delivering better earnings and growth. Thank you very much once again for participating in our Conference Call today.

Moderator: Thank you, members of the management. Ladies and gentlemen, on behalf of DCM Shriram Limited that concludes this conference. We thank you for joining us and you may now disconnect your lines. Thank you.

Call: Nov 2024

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Sub: Transcript of Investors' Earnings Call under SEBI (Listing Obligations and Disclosure Requirements) Regulations, 2015

Dear Sir(s),
Pursuant to Regulation 30 read with Schedule III of the SEBI (Listing Obligations and Disclosure Requirements) Regulations, 2015, please find attached the Transcript of the Investors' Earning Call on Unaudited Financial Results (Standalone and Consolidated) of the Company for the quarter and half year ended September 30, 2024, held on November 5, 2024.

The above said Transcript will also be available on the Company's website i.e. www.dcmshriram.com.

Kindly take the same on record.

Thanking you,

Your faithfully,
For DCM Shriram Ltd.

Swati Patil Lahiri
Acting Company Secretary & Compliance Officer

Dated : November 11, 2024

Encl.: as above

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DCM Shriram Limited
Q2 & FY'25 Earnings Conference Call
November 05, 2024

Moderator: Ladies and gentlemen, good day and welcome to the DCM Shriram Limited Q2 FY'25 Earnings Conference Call.

As a reminder, all participant lines will be in the listen -only mode, and there will be an opportunity for you to ask questions after the presentation concludes. Should you need assistance during this conference, please signal an operator by pressing '*' and then '0' on your touchtone phone. Please note that this conference is being recorded.

I now hand the conference over to Mr. Siddharth Rangnekar from CDR India.

Thank you and over to you, Mr. Rangnekar.

Siddharth Rangnekar: Thank you, Dorwin. Good afternoon and welcome to DCM Shriram Limited's Quarter 2 FY'25 Earnings Conference Call.

Today, we have with us Mr. Ajay Shriram – Chairman & Senior Managing Director; Mr. Vikram Shriram – Vice Chairman & Managing Director; Mr. Ajit Shriram – Joint Managing Director; and Mr. Amit Agarwal – Group CFO of the Company.

We shall commence with remarks from Mr. Ajay Shriram and Mr. Vikram Shriram. Members of the audience will get an opportunity to post their

queries to the Management following these comments during the interactive question -and-answer session.

Before we begin, please note that some of the statements made on today's call could be forward-looking in nature and a note to that effect has been included in the Conference Call Invitation that has been circulated earlier and is also available on the stock exchange websites.

I would now like to invite Mr. Ajay Shriram to give us a "Brief Overview". Over to you, sir.

Ajay Shriram : Thank you, Siddharth. Good evening and a very warm welcome to all of you and I hope you all had a great festive season.

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I shall commence with views on the strategic imperatives for our businesses, followed by Vikram, who will share the financial perspective.

The global landscape is currently marked by escalating geopolitical tensions and widespread instability. Since 2019, there has been a notable surge in trade barriers, indicative of a growing trend towards protectionism. This shift, combined with efforts to mitigate risks, is promoting a significant restructuring of supply chains worldwide.

India is in a sweet spot and stands poised to leverage emerging opportunities. India continues to maintain impressive growth rates while steadily improving its standing across various international rankings and indices.

In today's dynamic business environment, operational agility has become a crucial strategic imperative. Our strategic approach is designed to foster growth in our core operations through integration, both upstream and downstream. We are consciously working towards having backward and forward integration as the strategy going forward. This strategy aims to bolster resilience, minimize risks, and secure competitive edge along with growth, in an increasingly uncertain and competitive landscape.

To this end, we have unveiled capital expenditure plans focused on two key areas; Firstly, the downstream chlorine integration in our Chemicals division and secondly, upstream integration for Aluminium extrusion in Fenesta Building Systems' division.

Sustainability remains key for our operating processes and growth agenda. Resource conservation is a core objective for us along with positively impacting the communities and environment in which we operate.

Accordingly, we are further adding renewable energy to the tune of about 74 MW. This strategic move demonstrates the company's commitment to reducing its carbon footprint and embracing cleaner energy sources.

I will now turn the discussion on key industry dynamics across our various businesses.

Chemicals

During the quarter, global demand for Caustic remained balanced and the international caustic prices were stable, however towards the end of the quarter the prices have increased led by fears of supply constraints due to cyclone in the US & increase in demand in China led by fiscal stimulus.

Pricing volatility is bound to persist given the volatile geopolitical position.

India's caustic industry capacity is now around 6.2 million metric tonne and is currently operating at a rate of around 75%. This is resulting in an oversupply in the market and therefore leading to lower chlorine prices and hence, lower ECUs. India continues to be a net exporter of Caustic soda.

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The sea freight remains elevated, and this coupled with ongoing Red Sea situation continues to impact global trade & exports from India.

We commissioned our Hydrogen Peroxide plant in the last quarter. Our product is being well appreciated & accepted in the market and we are now expecting a much speedier ramp up. We are nearing 50% capacity utilisation. We have also commissioned a flexi-feed Caustic soda flaker plant that will give flexibility to optimize costs and increase exports.

The ECH plant faced some pre-commissioning delays which are being addressed by our technology partners and we are confident of commissioning the plant by Q4 FY25.

We have announced chlorine downstream projects of 100 TPD Aluminium Chloride & 225 TPD Calcium Chloride in Bharuch with a capex of Rs 310 crore at a new site near our existing plant. These projects will get

commissioned by Q1 FY27 and will enable a chlorine sink of upto 225 TPD. The marketing strategy for these products will involve tapping the export market and the business team is already in talks for tie-ups for these products.

Vinyl

Global demand for PVC in the key economies continues to be sluggish given the underperforming housing sector driven by elevated interest rates.

Domestic PVC demand has picked up and recorded 20% growth in H1. However, amid structural issues with Chinese economy that is facing crippled local demand and surplus product availability, there is a sharp increase in low priced PVC imports from Chinese suppliers that is being dumped into India. PVC imports accounted for ~70% of total demand in India during H1FY25. Recently we are again witnessing increase in freight rates from China which may positively impact prices in India. However, I am happy to share that the Ministry of Commerce has recently recommended an interim anti-dumping duty on seven countries, including China. We now expect the Ministry of Finance to approve it in the next two to four weeks. With the end of the monsoon season, domestic demand for PVC is expected to improve with the resumption of construction activities and agricultural demand.

Sugar & Ethanol

Global sugar supply & demand for SS 2023-24 is expected to be almost balanced with surplus of 1 Million Metric Tonne.

The Indian Sugar season 2023-24 is expected to end with a stock of ~8.4 million metric tonne with production estimate of 32 million metric tonne. For the next season the Sugar production estimate is about 31 million metric tonne and demand is expected to be around 29.5 million metric tonne. Prices are expected to remain rangebound for the FY 2024-25 between Rs 3850 -

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3950/Qtl, which are not commensurate with the increase in the cost of production owing to increase in SAP and climatic conditions in the last season. Simultaneously, industry is pushing for increase in MSP of Sugar and pushing for export for the next season.

On the ethanol front, the government has achieved 13.8% blending as of September 2024, with 57% ethanol derived from grains and balance from sugarcane. Further, the government has also removed restrictions on ethanol production from Cane Juice and B-Heavy Molasses.

We have commenced crushing for the current sugar season. The Sugar expansion at Loni unit and the CBG Project at Ajbapur unit are progressing as per schedule.

Fenesta Building Systems

Fenesta continues to deliver growth supported by volume and value in both projects and the retail categories. Growth could have been faster but for the temporary sluggish market being faced by building material industry.

The business is investing into setting up newer revenue platforms and enhancing capabilities and capacities to accelerate future growth.

The aluminium windows sector has been experiencing robust double-digit growth. To capitalize on this trend we are making an investment of Rs 149 crores to establish an Aluminium extrusion facility. The project is expected to be commissioned by Q4 FY '26. By integrating this process into our operations, we aim to enhance customer experience by providing end-to-end solution along with delivering reliable, high-quality and innovative products. This will improve our cost efficiencies too.

Moving on, the Agri-Input business portfolio comprises of Shriram Farm Solutions, Fertilizer and the Bioseed businesses.

Shriram Farm Solutions

SFS has once again delivered double digit top line growth and continues to contribute significantly in overall operating profits of the company. This growth is driven by volumes across the business verticals, particularly research wheat seed.

Abundant rainfall has ensured sufficient water availability, providing a favourable and optimistic foundation for the forthcoming rabi crop season.

Our continued emphasis on innovation and product development leading to unique offerings to the farmers has been instrumental in re-energising this business and will continue to be our key pillar for growth momentum for this

business.

Fertilizer

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The urea business environment continues to be stable. The gas prices have inched up slightly. The Company has been making continuou

s efforts towards

improvement in energy consumption, maximising urea production as well as controlling fixed costs.

Bioseed

India operations continue its turnaround journey with help of novel hybrids for key crops that were introduced over last few years. International operations have contributed well too. We have a robust pipeline of products and we are expecting to grow the business going forward.

I will now request Vikram to take this conversation ahead to cover the financials. Vikram, over to you

Vikram Shriram: Thank you. Good evening everyone and wishing you a very happy Diwali.

I will now take you through the financial highlights of Q2 and H1 FY25.

Net revenues for Q2 FY25 were at Rs 2,957 crores versus Rs 2,708 crores in Q2 FY24, an increase of 9% year -on-year driven by growth across businesses. Chemicals, SFS and Bioseed have led the growth for the quarter. PBDIT for Q2 FY25 was at Rs 235 crores versus Rs 136 crores in Q2 FY24, an increase of 73% year -on-year.

Chemicals

The business reported an increase in revenue of 19% year -on-year, led by Caustic soda volumes that were up 16%, on account of new 850 TPD facility that was operationalized in May 2024. PBDIT increased by 128% owing to lower input prices, particularly energy prices and efficiencies from the new 120 MW power plant. The segment continues to see good demand of caustic, however excess capacity in India is creating pressure on product prices especially in Chlorine. There was positive impact of about Rs 20 crores on account of state government incentive received in relation to projects commissioned in FY 2017.

Vinyl

The Business saw a decline in revenues by 8% year -on-year on account of lower volumes, mainly due to a planned maintenance shutdown in the current period. PVC and carbide prices for the quarter were in the range of plus / minus 2% over last year. PBDIT improved over last year, led by lower power and carbon material costs.

Sugar & Ethanol

Sugar & Ethanol business revenue, net of excise duty, was higher by 3% year-on-year due to increase in prices of both sugar and ethanol. Domestic volumes and prices of sugar was higher by 6% & 3% respectively. Volumes of ethanol were lower by 18%, owing to C-heavy operations in the last

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crushing season. Prices of ethanol was higher by 10% YoY. PBDIT for the segment was at similar levels as earlier.

Fenesta Building Systems

Fenesta building systems' revenues increased 6% year -on-year, led by increase in both prices and volumes across projects and retail segments. PBDIT for the quarter moderated by 6% due to higher fixed expenses for future growth, mainly due to setting up of new product platforms, higher marketing expense and enhancing manufacturing capacities.

Shriram Farm Solutions

Shriram Farm Solutions revenues increased by 33% year -on-year supported by volumes across all the verticals and led by research wheat. Prices were higher in research wheat, however there was slight moderation in prices of other verticals. We expect research wheat to perform better than last year in this financial year. PBDIT for the quarter was higher by 64% on account of better margins in research wheat, despite higher marketing expenses focused on strengthening of "Shriram" brand.

Fertilizer

Fertilizer revenue was higher by 5% year -on-year. PBDIT was also higher by 24% led by increase in prices and volumes. Outstanding fertilizer subsidy was INR 12 crores as against negative INR 267 crores last year

Bioseed

The Bioseed segment saw a revenue increase of 24% year -on-year and

PBDIT was higher by almost 6 times. The improvement is led by domestic business on account of higher volumes and prices in corn and hybrid paddy. Coming to the highlights of H1 FY25

For the half year ended 30th September 2024, revenue net of excise duty was at INR 5,834 crores, an increase of 6% year-on-year. This was driven

by

all the business segments except fertilizer in which there was a planned maintenance shutdown in the current period. SFS and Chloro-Vinyl segments' revenue increased by 25% and 13% respectively, largely driven by volumes.

PBDIT came in at Rs 509 crores, an increase of 59% year-on-year, largely led by the Chloro-Vinyl segment that saw its PBDIT increase by 218% on account of higher margins due to lower carbon material costs, energy prices and better efficiencies.

The company's net debt is at Rs 302 crores as on September 30, 2024 as against negative Rs 203 crores as on September 30, 2023 and Rs 1,434 crores as on March 31, 2024. The year on year increase was because of capital expenditure over last one year and higher sugar inventory. Over March '24 the decline is primarily because of reduction in Sugar inventory as well as Urea subsidy.

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Return on capital employed for September 2024 came in slightly lower at 15% as compared to 18.5% for September 2023, since capex incurred on the projects will start yielding returns in forthcoming quarters.

The Board announced an interim dividend of 100% amounting to Rs. 31.19 crores.

With the major investments in the chemical segment coming to end and a strong balance sheet and cash flows, we are evaluating opportunities in value chain around our core businesses. We look forward to a healthy and sustainable growth going forward.

That concludes my opening remarks and I request the moderator to please open the forum for the Q&A session. Thank you.

Moderator: Thank you very much. We will now begin the question-and-answer session.

The first question is from the line of Nirav Jimudia from Anvil Corporation.

Please go ahead.

Nirav Jimudia : Sir, I have two, three questions on the Chemical side. Sir, when I see your presentation, particularly in terms of the production of caustic, I think we have clocked something around 1,920 TPD of production this quarter. If we do some math and do the calculation, I think our chlorine production was close to 1,700 TPD. If you can help us explain how much we have consumed internally for our SBP, Aluminum Chloride plant, how much was the sales to the pipeline customers and how much we have sold in the spot market. And sir, if you can also share the market of chlorine within our area of operations predominantly Jhagadia because I was doing some sort of readings, and my understanding suggests that the market of chlorine within that Jhagadia region is close to 1,000 -1,100 TPD of chlorine. If you can share your thoughts, that would be very helpful.

Amit Agarwal : One, in terms of our captive consumption, see, we have two plants, one in Bharuch, Jhagadia, and the other is in Kota. Put together, our captive consumption is close to about 18%, and through pipeline it would be another 35-40%. Now in terms of market in Jhagadia, I do not have the number in terms of size of the market there right now, but what I understand is that the market is growing given that industries around us, whether it is Aarti, KLJ and other, they are also expanding and therefore we see the market growing.

Nirav Jimudia : Sir, in terms of the integration project what we have announced, I think that would further consume something close to around 235 TPD of Chlorine. So, eventually when we will have or be in operating at close to 90% utilization, what sort of integration from current level of 18% of chlorine could go up to? Any thoughts?

Amit Agarwal : So, that should go up from 18% to close to 32%.

Nirav Jimudia : On the 90% utilization assuming we continue to operate our plant at 90%?

Amit Agarwal : True. So, see the major delta will come in Bharuch business, our Kota will remain more or less the same. So, therefore, overall, as a chemical business from 18% will go up to 32%, and pipeline you can add another 35-40%. So,

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more

or less for the business as a whole , we will have 65 % virtual certainty of supply and rest we are comfortable that we can supply in the market.

Nirav Jimudia : And sir , when we speak of selling our chlorine to the pipeline customers , how does the pricing work there ? Because in the spot market , I think prices fluctuates a lot , and it lot depends upon the production of caustic also. So, when we sell through the pipeline customers, how the contracts, are there any fixed price contracts or are there formula -based pricing which is there and because of that the volatility in the Chlorine price is something like insulators from sales to our pipeline customers?

Amit Agarwal : So, Ni rav, it is more about giving exit to chlorine . I do not think it is so much about prices and the contracts are of all kinds, but mostly they are on spot basis.

Nirav Jimudia : Sir, second question is in the presentation , you have mentioned that though the capacities in India were increased and there were pressures on the realizations, but at the fag -end of the quarter, I think there were some spikes in the prices of caustic. So, just wanted to understand from you like in between the quarters, let 's say Q1 and Q2, the prices of caustic imported to India was close to \$470, but our realizations have fallen. So, our ECU has fallen from , let's say, 28 to close to 25.9 this quarter. So, it is more related to the Chlorine prices and whether the increase in the prices in the international market very recently, what you have alluded in the presentation. Similarly, do we have taken the price hikes also in the domestic market following the increases in the international market?

Amit Agarwal : One, I think the biggest reason why the prices have not followed international market s as in ECU is because of the chlorine . Chlorine, if I remember correctly , Q1 was about 4,000 negative and in Q2 it was about 7 ,000 negative . Currently, it is about 9000 negative . Right? And the other thing is there is always a lag in terms of international prices and the international prices went up only by September. September second half is when we saw prices going up. Ballpark, they have gone up by about \$70 over the last 1.5 months. And there is always a lag in terms of getting reflected in the numbers because there are always supp ly contracts for one to two months which are fixed. So, therefore, they have impact.

Nirav Jimudia : But sir, safe to assume that how much, so t he extent to which the Chlorine has gone negative from , let's say, -7,000 to -9000, that sort of price increases we have taken in order to maintain our E CU or slightly improve that.

Amit Agarwal : No, we do see our ECUs to be better in Q3 .

Nirav Jimudia : And sir, last bit from my side . So, when I was just going through our annual report, what we have clo cked in terms of PBIDT for particularly the Chemical business was close to INR190 crore. So, sir, safe to assume that last year was because of the pressure on the ECU and the other cost . Was it more from the value -added products like hydrogen and aluminum chloride and SBP and less from the caustic chlorine business?

Amit Agarwal: From last year 's perspective, what you are saying is right. But from this year 's perspective hydrogen will continue to add value. It is th e cost side where

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there has been a significant reduction in cost and therefore caustic also is going to be profitable. On top of it, there are more volumes.

Moderator : Thank you. The next question comes from the line of Jainam Ghelani from Svan Investments . Please go ahead.

Jainam Ghelani : Sir, my first question is on the anti -dumping duty. The anti -dumping duty is with the Ministry of Finance. So, if it is approved, how much benefit can we see in our profitability on the PVC segments?

Ajay Shriram : The anti -dumping duty ranges country to country. The way the gove

rnment

has approved, or the Ministry of Commerce has approve d. The anti -dumping duty ranges in US, Thailand, Taiwan, Korea, Japan, Indonesia and China from the range of about \$51 in Korea to C hina is between \$82 and \$125. China would be an average I would say about \$100. So, it is ranging between this level, the highest band is in China, second is in US, \$64 to \$104. So, I think with all these coming in, it is now with the Ministry of Finance , and this was just issued on the 30th of October. It is very early right now. So, it's gone to the Ministry of Finance and the industry is pursuing it with the Ministry of Finance.

Jainam Ghelani : And since our ECH plan t will be commissioning in Quarter 4 , we would need approvals from the customers. So, how long would the approval process be for the same?

Amit Agarwal: The approval process ranges between , for domestic consumers, it will be anywhere between 1 to 2 months. For overseas customers, it is a little longer. It depends on application -to-application, but that's the ballpark range .

Moderator : Thank you. The next question is from the line of Parth Vasani, an individual investor. Please go ahead.

Parth Vasani : My question is more related to CPVC resin. I just wanted to know, is there any plan to make that special PVC, which is required to make CPVC resin which I believe most of the companies import ?

Ajay Shriram : No, we actually have not talked about making CPVC resin in our company.

Parth Vasani : So, you are not planning to enter into the CPVC resin manufacturing?

Ajay Shriram : No.

Moderator : Thank you. The next question is from the line of Saket Kapoor from Kapoor Co. Please go ahead.

Saket Kapoor : First a small clarification sir, you mentioned that the Chlorine price was negative for the 2nd Quarter was 5000 and currently it is trending at 9000. Is this what you alluded ?

Ajay Shriram : Chlorine in the negative pricing, yes.

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Saket Kapoor : So, exit of September the negative has increased significantly . What factors have led to this, and will this lead to lower utilization levels for caustic?

Amit Agarwal: So, Saket, this is the other way around. One, this negative increase has happened more recently. 9000 I was giving you the number as on date. For the quarter ending, I mean quarter ending September, which is 2nd Quarter , it was close to about 6,700 to be precise average negative. And to answer your point that in fact, caustic utilization is the reverse. The more chlorine, today what's happening, what is leading to lower prices is that more chlorine is being produced. As new capacities have come up, prices are better for caustic, hence people are increasing their capacity utilization leading to more chlorine and therefore lower prices of chlorine.

Saket Kapoor : And for the offtake of chlorine, sir, I think you did allude to our steps we are taking for increasing the portfolio of value -added products. Where are we in terms of the current captive use of chlorine and the external sales and what should be the number for H2 and next financial year?

Amit Agarwal: So, if I look at captive consumption including pipeline for the business as a whole located in Bharuch as well as Kota, I am at about 48% including pipeline and going forward once these capacities come up which is ECH, calcium chloride and enhanced aluminum chloride then I should be about 65% to 70% including pipeline .

Saket Kapoor : We have also heard about Reliance coming up with a big PVC complex. They made this announcement sometime in their AGM in the month of August. So, how are the dynamics of the industry going to change with this huge 1.5-million-ton PVC complex? What's the thought process and how are caustic players aligned to this huge PVC and also the PVC market itself? Your thought on the same , sir.

Amit Agarwal: Your question is on caustic or PVC?

Saket Kapoor : Both sir.

Am

Amit Agarwal: On caustic, the way we understand is that Reliance as well as Adani both are coming up with their caustic project largely to feed chlorine into their PVC.

Now both of these projects will be in the coastal regions and looking at the global demand, which is about 106 million tons and growing at about 2%, we expect that the caustic that they are going to manufacture will largely be for the export market. So, that is point number one on caustic. It may cause some interim disruption domestically , but it is the intent what looks like. As far as PVC is concerned, see the total domestic market size in PVC is about 4 million tons. And today what we manufacture is only about 1.4 million tons. So, there is a huge gap. And they, I think, if I am not wrong, are coming up with about 225,000 kilo tons as a capacity , which is only a partial capacity. So, we do not see any stress coming on PVC. In any case, we are based out of North and these two plants are coming up in the Western region. So, we do not see any challenges as far PVC is concerned .

Saket Kapoor : As for caustic as a whole, there are issues with demand globally also.

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Amit Agarwal: I do not see any issues with demand. PVC in India itself, as I mentioned, there is a big gap on demand and supply and on top of that it is growing at about 10 %-11%.

Saket Kapoor : And for caustic? Caustic soda globally we find demand restrictions especially for the European economy where in big players also mothballed their capacities. That was my thought. Am I correct in that thought process ?

Amit Agarwal: There are two things happening here. One, Europe is closing down capacities because of their overall cost structure and they are probably looking at more value add. That's an opportunity for India to export. And other thing is globally demand is increasing. One example is new paper capacity, pulping capacity coming up in South America. In India itself, the aluminum capacity is increasing from about 4.1 million tons to about 6 million tons. So, I think demand is getting created. But yes, it is only a matter of time when this new capacity in India gets absorbed .

Saket Kapoor : And lastly, on the P & L part, I find that the power and fuel cost on the quarter is up significantly to Rs. 428 crore if we take the Q oQ increase from Rs. 373 crore to Rs. 428 crore , if you could just explain the key reason and I think we have also taken a maintenance shutdown . What is the cost that we have incurred and what is the update on the realignment of the capacity post shutdown ?

Amit Agarwal: Now we have taken a maintenance shutdown in vinyl business. So, all that is back on track. We are operating at nearly 100% capacity. And the increase in cost of power and fuel is primarily led by volumes.

Saket Kapoor : And sir, on the new power plant in Kota, are we now accruing the benefit of the same completely?

Amit Agarwal: The new power plant is at Bharuch and yes , we have started accruing the benefits .

Saket Kapoor : And what was the annual saving we envisage from the same?

Amit Agarwal: I think it's reasonable. I do not have the number right away, but it is something which we are happy and it's closer to what we had targeted as a benefit.

Saket Kapoor : And what is the thought process of the outlook for the sugar bioethanol story from us? How are we going to pursue the opportunities? If you could just throw some more light on this, sir ?

Amit Agarwal: On sugar, sugar bioethanol is very futuristic right now. We are also evaluating where these technologies are because the technologies itself are not very matured. The market is not very mature and therefore the impact, you know, they are very expensive fuels. So, we will keep a watch. But yes, we are looking at how best we can make sugar as an ecosystem, right, where there are multiple products. But they all will depend on how the

technology is matured.

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Moderator : Thank you. The next question comes from the line of Falguni Dutta from Mansarovar Financials. Please go ahead.

Falguni Dutta : I just had one question that's on sugar. What is the cost of sugar production for the season that just ended in September?

Amit Agarwal: So, our cost of production was close to about 3,600, a dash lower than that , ballpark.

Falguni Dutta : Does this include interest and depreciation also?

Amit Agarwal: Yes.

Falguni Dutta : And is it possible to tell me the number before interest , after depreciation but before interest if it's readily available ?

Amit Agarwal: Falguni, I don't have that number right away.

Moderator : Thank you. The next question is from the line of Surabhi from NV alpha. Please go ahead.

Surabhi : I wanted to know more about Shriram Farm Solution. I have been seeing that we have consistently been doing 17%-19% margins in the last couple of years. What exactly is the hero product? Is it the crop protection or is it the soluble fertilizers? And also , what is the capital employed in this business? Should we take the bioseed plus the fertilizers as the real capital employed?

Ajay Shriram : No, I think the Shriram Farm solution actually has three verticals. One is the business of seeds, where they have hybrid seeds, and they have got research wheat and other products. Second, they have got crop care chemicals, which is a sub vertical within SFS. And third is where they have plant nutrients, which is the third vertical. So, they're focusing on all three. And there is a focus research going on in all these areas to try to get products which are unique products which are effective with the crops, products which the farmers want to buy. So , the focus is very strong over

there. The manufacturing we have is for specialty nutrients etc. at Kota, which is not that large. So, I do not know, Amit may be having how much money is involved there. But the working capital requirement in the business is not too much. It's quite small. It's not really large at all. And SFS is a separate vertical in our group. Bio seed is a separate vertical in our group. And they both have their own management teams. They both have their independent CEOs. And they manage the business independently and manage their own cash flows independently.

Surabhi: What kind of ROCEs do we make in the SFS business? And also, would like to know if Q3 is seasonally the best quarter for SFS correct?

Amit Agarwal: So, one, yes Q3 will be the best quarter for this business because of research wheat that's the most profitable business in the Farm Solutions. So, I think that is one reason. And on your point of the ROCE, given that their
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capital employed is negligible and their EBIT will be in excess of Rs. 200 crore, so it's like abnormal number, it's very high.

Surabhi: And just last question, within like seeds and nutrients, what is the top selling product within the SFS segment?

Amit Agarwal: Research wheat in the seed segment, but I think your question is also on the plant nutrition, is it?

Surabhi: No, so like overall, because I see that in the footnote it's written plant nutrients, water solubles and seeds. So, which of that is the higher contributor amongst the three?

Amit Agarwal: Seeds.

Moderator: Thank you. We have a follow up question from the line of Nirav Jimudia from Anvil Corporation. Please go ahead.

Nirav Jimudia: One question on the urea side. So, when I see the numbers I think our EBITDA per ton is close to around Rs. 2,000-Rs. 2100. Just wanted to understand from you like are the numbers lower just because the fixed cost absorption or the compensation from the government has not been revised from last so many years and because of that there is some under recovery so far as the fixed cost compensation is concerned or our energy consumption

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Gcal per metric ton is higher and because of that we will not be able to materially improve our EBITDA per metric ton in the urea side.

Amit Agarwal: One, Nirav, we need to understand that our focus businesses are Chemicals, Sugar, Farm Solutions and Fenesta. Farm Solution and Fenesta are the consumer facing businesses. And these are the four businesses that define the future of the organization. Now in terms of Fertilizer, I think it's performing reasonably well. Last year, if you see the EBIT was about Rs. 53 crore, almost capital employed was not very high given the subsidy situation resolved. So, we feel it has a ROCE of close to about 60 %-70%. Now that's very reasonable. Yes, our fixed costs are a little higher given their size, but our efficiencies are reasonably good. So, I think overall Fertilizer and we manufacture urea, so it's in pretty good shape.

Nirav Jimudia: The second question is on the chemicals that given the production of close to 1,920 TPD of caustic soda this quarter. If you can share the mix of power between renewable s-captive, how is the mix and let's say when we ramp up our production how this mix would look like?

Amit Agarwal: One our production I think at Bharuch it was close to about 1,400 tons per day and at Kota, it was close to about 500 tons per day. So, that's about 1,900 tons per day ballpark for the quarter. Now coming to renewable, see out of the total power requirement currently, our total power requirement is close to about anywhere between 125 to 150 megawatt at Bharuch. So, out of that, about 25 megawatt on an average basis is coming from renewable energy.

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Nirav Jimudia: And is rest from captive?

Amit Agarwal: Rest is from captive, yes, because my contract, peak is about 44 -45 MW, average is 25 MW, so that will remain. We are just adding another 6.6 MW which will start coming from next quarter. So, peak, in Bharuch we will have about 50 MW. And Kota, in another 1-1.5 years we will add another 68-megawatt peak.

Nirav Jimudia: So, currently Kota is entirely on coal-based captive plant?

Amit Agarwal: Yes. So, the only thing is we are also using almost 15 %-20% biomass there. To that extent, we are using green fuel.

Nirav Jimudia : And how the things would look like when we will keep on ramping up our volumes of caustic soda?

Amit Agarwal: So, we are quite focused on seeing that how do we improve our green footprint. As of now, we do not plan to increase our capacity. There will be ramp up happening at Bharuch from, let's say, currently we are at about 1,400-1,500 tons, and we will go up to about 2,200 tons. So, that will largely be met by captive sources. And there also what we are looking at is the options of increasing our biomass. So, our boilers are capable of taking 30 %-40% biomass, especially the new boiler. So, to that extent, we would like to reduce the carbon footprint .

Nirav Jimudia : So, last two clarifications, so one on the Flaker plant of 600 TPD, has it started operating?

Amit Agarwal: Out of the total planned expansion of 600 tons per day, 300 tons per day has started operating.

Nirav Jimudia : So, that would help our exports possibly in order to improve our utilizations, right?

Amit Agarwal: Yes. That's what Chairman mentioned in his opening remarks .

Nirav Jimudia : And the last clarification is on is on the PVC plant at Kota. So, there possibly we may be converting chlorine to HCL for our PVC or does the chlorine directly go to the PVC plant?

Amit Agarwal: Chlorine goes into HCL. And then HCL goes into PVC.

Moderator : Thank you. The next question is from the line of Vignesh Iyer from Sequent Investments. Please go ahead.

Vignesh Iyer : Just one clarity that I needed, again on the power side of it, so, if I understand it right, you are spending Rs. 76 crore to increase your peak capacity from 44 megawatt to 68 megawatt. That

is the addition of 24 megawatt, right?

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Amit Agarwal: We are investing close to about Rs. 73 crore to Rs. 74 crore. That is, we are doing a new tie-up for our Kota facility where we are tying up 68 megawatts.

Vignesh Iyer : That is over and above the 44 megawatts , that you already have ?

Amit Agarwal: Exactly, that is over and above. See, 44 megawatts is at our Bharuch facility which is in Gujarat.

Vignesh Iyer : So if I understand the average, you have done around 25 megawatts in your Bharuch facility, what would be like the average utilization possible out of the 68 megawatts?

Amit Agarwal: So, just to add here, one in Bharuch we are currently at 25 MW, we will go up by about 2 to 3 megawatts because we have tied up another 6.6 megawatts in Bharuch . So, there we are spending close to about Rs. 3 crore as our equity participation. Now out of this 68 megawatt, I think it is about 32-33-megawatt average.

Moderator : Thank you. Ladies and gentlemen, that was the last question. I would now like to hand the conference over to the management for closing comments.

Over to you, sir.

Ajay Shriram : Thank you. Ladies and gentlemen, thank you very much for your participation in our earnings conference call. Our growth strategy reflects our commitment to adopting and thriving in a complex global market while strengthening our core business capabilities and the value chain. Sustainability remains the cornerstone of our business philosophy, reflecting our unwavering commitment to environmental stewardship and social responsibility. Thank you very much once again. Goodbye.

Moderator : Thank you. On behalf of DCM Shriram Limited, that concludes this conference. Thank you all for joining us. You may now disconnect your lines.

Disclaimer : This is a transcription and may contain transcription errors. The transcript has been edited for clarity. The Company takes no responsibility of such errors, although an effort has been made to ensure high level of accuracy.

Call: Jan 2025

BSE Limited
Phiroze JeeJeeBhoy Towers,
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National Stock Exchange of India Ltd.,
"Exchange Plaza"
5th Floor, Plot No. C-1, G Block,
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Mumbai – 400051

SCRIP CODE : 523367 SCRIP CODE : DCM SHRIRAM

Kind Attn : Department of Corporate Communications/Head – Listing Department

Sub : Transcript of Investors' Earnings Call under SEBI (Listing Obligations and Disclosure Requirements) Regulations, 2015
Dear Sir(s)
Pursuant to Regulation 30 read with Schedule III of the SEBI (Listing Obligations and Disclosure Requirements) Regulations, 2015, please find attached the Transcript of the Investors' Earning Call on Unaudited Financial Results (Standalone and Consolidated) of the Company for the quarter and nine months ended December 31, 2024, held on January 21, 2025.

Kindly take the above information on record.
The above said Transcript will also be available on the Company's website i.e. www.dcmshriram.com.

Thanking you,

Your faithfully,
For DCM Shriram Ltd.

(Deepak Gupta)
Company Secretary & Compliance Officer

Dated: January 27, 2025
Encl.: as above

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DCM Shriram Limited
Q3FY'25 Earnings Conference Call
January 21, 2025

Moderator: Ladies and gentlemen, good day and welcome to DCM Shriram Limited's Q3FY'25 Earnings Conference Call.

As a reminder, all participant lines will be in the listen-only mode and there will be an opportunity for you to ask questions after the presentation concludes. Should you need assistance during this conference call, please signal an operator by pressing "*" then "0" on your touchtone phone. Please note that this conference is being recorded.

I now hand the conference over to Ms. Shruti Joshi from CDR India. Thank you and over to you, Ms. Joshi.

Shruti Joshi: Thank you, Neera. Good afternoon and welcome to DCM Shriram Limited's Q3FY'25 Earnings Conference Call.

Today, we have with us Mr. Ajay Shriram – Chairman and Senior Managing Director, Mr. Ajit Shriram – Joint Managing Director, Mr. Aditya Shriram – Deputy Managing Director and Mr. Amit Agarwal – Group CFO of the Company. We shall commence with the remarks from Mr. Ajay Shriram and Mr. Ajit Shriram. Members of the audience will get an opportunity to post their queries to the management following these comments during the interactive question-and-answer session.

Before we begin, please note that some of the statements made on today's call could be forward-looking in nature and a note to that effect has been included in the conference call invitation that has been circulated earlier and is also

available on the stock exchange websites.

I would now like to invite Mr. Ajay Shriram to give us a brief overview. Over to you, sir.

Ajay Shriram: Thank you, Shruti. Good afternoon, ladies and gentlemen and a very warm welcome to all of you. We would like to wish all of you and your families a very Happy and Prosperous New Year.

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To start with, I shall share my thoughts on the industry and business dynamics, following which Ajit will share the views on the financial performance, post that, we would like to hear your viewpoints as well.

The geopolitical environment is leading to economic uncertainties on various fronts. This is impacting international trade, investment and consumption pattern. We expect global growth to moderate and monetary policies to become more accommodative. While we expect growth trends to be led by Asia with India playing a pivotal role, there may be challenges on account of trade policies and inflation. We as an organization must navigate this challenging landscape and our endeavor is to build an agile business to handle these evolving dynamics along with seeking opportunities for growth.

Our business has seen a series of well-planned initiatives to strengthen capacities in core segments towards value creation and integration, both downstream and upstream. This remains a focal point for our growth strategy. Healthy balance sheet and cash flows continue to give us the confidence to pursue these growth initiatives.

We are focused on strengthening sustainability across the organization with continuous reduction in carbon footprint and water conservation. Over next 15 months, we shall be adding about 74 MW installed capacity of renewable energy for captive use. Our efforts have led to recognition among "Top 7%" of the 523 Global Chemical Companies for ESG performance in the S&P Global Corporate Sustainability Assessment 2024.

I will now turn the discussion on various industry dynamics across our various businesses:

First, I will take up Chemicals:

At the beginning of the quarter, there were apprehensions of supply constraints due to a cyclone in the US and increased demand in China led by fiscal stimulus. This led to an increase in international prices. However, now the prices have started correcting, with demand-supply adequately balanced. Caustic Soda capacities in India are currently operating at a rate of around 80% and this is resulting in oversupply of chlorine in the market, and therefore sub-optimal ECUs. However, they have improved during the quarter. India continues to be a net exporter of Caustic, which is a positive.

Our newly commissioned projects are meeting performance norms and ramping up further steadily. As on date, Hydrogen Peroxide is operating at above 80% capacity utilization and Caustic Soda post expansion is operating at above 70%. There is an oversupply of Hydrogen Peroxide in the market. However, the Caustic Soda players are at a distinct cost advantage.

ECH plant commissioning has taken more than anticipated time due to a technical issue. We are confident of starting the trial runs in Q4 financial year '25.

The project work on adding Aluminum Chloride capacity and the new Calcium Chloride plant at Bharuch that we announced in the last quarter has taken off and our team is working to commission these as per the stated timelines.

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Our efforts towards cost efficiencies continue and we are working towards further optimizing our power costs. We have tied up another 6.6 MW Green Power and are expecting its inflow from the end of this financial year. We are also working towards further optimizing energy cost in our existing power plants.

Vinyl:

Global demand for PVC continues to be sluggish. US prices of PVC remained weak owing to slower demand in downstream usage, shorter working schedules in December and higher interest rates, that continue to impact construction. PVC pricing in Asia stayed soft on the back of surplus production and higher inventories during the quarter.

Domestic PVC demand has picked up on account of increase in agriculture and construction activities. This demand is estimated to have grown at approximately 10% during the 9-month period. Major

rity share of this demand

was fulfilled by imports. China has continued dumping material into India. In this context, the notification from finance ministry on imposition of anti-dumping duties on several countries including China, Korea and US is awaited.

Sugar and Ethanol :

Global sugar balance for Sugar Season '24-25 has shifted to a deficit of 0.7 million metric tons due to a downward revision in global production. The Indian Sugar Season '24-25 is expected to end with the stock of 7.3 million metric tons. The production estimate is 29.3 million metric tons after diversion of 4 million metric tons for ethanol production. Consumption is estimated at 29 million metric tons.

Exports of 1 million metric tons have been permitted by the government, which is a positive step for the industry. Simultaneously, industry is also pushing to increase in the MSP of sugar. The current prices are at Rs. 4,000 per quintal of refined sugar. However, this should increase by another Rs. 2-3 per Kg to enable reasonable margins in the business.

On the Ethanol front, for the current season, OMCs have floated tender for supply of 916 crore liters of ethanol targeting a blending of 18%. As of December 15, 2024, ethanol blending in petrol reached 15.4%. Margins for producers are sub-optimal given higher feedstock prices. Recently, the government has allowed the FCI for sale of rice to produce Ethanol. This is positive for this segment.

The Sugar expansion at Lonni unit got operationalized in this quarter, and the Compressed Bio Gas project will be commissioned by Q4 financial year '25.

Fenesta Building Systems:

The business continues to make efforts towards increasing penetration of current range of products and enhancing the product portfolio by setting up newer revenue platforms. By strategically aligning our efforts with market demands, we aim to optimize customer experience along with business growth. In line with this thought, the board has given approval to invest up to Rs. 65 crore in the fast-growing Hardware Business which will enable

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backward integration, better customer experience, as well as develop into a new revenue platform.

Our project to establish a new aluminum extrusion facility is progressing as per schedule. As a result of these initiatives, the business will be better positioned towards becoming a more holistic player in building material space and drive sustained growth.

Moving on, the Agri Inputs business portfolio, comprises of Shriram Farm Solutions, Fertilizers and Bioseed Business.

Shriram Farm Solutions:

The business has once again achieved double-digit growth and continues to contribute significantly to the topline and bottom line of the company. The growth is driven by volumes across the business verticals in general and research wheat in particular, where SFS continues to consolidate its leadership position.

Looking ahead, we remain optimistic about continued growth in the coming quarters, buoyed by robust demand for Rabi crops, increasing farmer adoption of our innovative solutions and ongoing advances in our product pipeline based on the principle of 'Better Science'.

Fertilizer :

The Urea industry continues to be stable, with gas prices inching lower. By focusing on the areas of energy efficiency, maximizing production capacity and controlling fixed expenses, the company aims to enhance operational and financial performance.

Bioseed :

The business is on a promising turnaround journey bolstered by new and better hybrid seeds across product categories and a robust pipeline of products for future growth. There was increased acreage of Corn across key states due to higher crop price driven by maize ethanol push. This, along with Paddy, has driven the growth for the first nine months of this year.

I will now request, Ajit, to provide the financial perspective. Ajit, over to you.

Ajit Shriram: Thank you. Good evening, everyone and wishing you a very Happy New Year.

I will take you through the financial highlights of Q3 FY'25:

The net revenues, net of excise duty for Q3 FY'25 were at Rs. 3,367 crore versus Rs. 3,035 crore in Q3 FY'24, an increase of 11% year-on-year, driven

by growth across Chloro -Vinyl, SFS and Bioseed businesses. PBDIT for Q3 FY'25 was at Rs. 537 crore versus Rs. 480 crore last year, an increase of 12% year-on-year.

Coming to the businesses :

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Chemicals :

The business saw an increase in revenue of 35% year -on-year led by Caustic Soda volumes that were up 21% on account of the new 850 TPD facility and ECUs that were up by 12%. PBDIT increased by 9 0%, owing to lower input prices, particularly energy prices and efficiencies from the new 120 MW power plant. Despite steady growth in downstream consuming industries like alumina, textile, pulp and paper , soaps and detergent, excess capacity in India is creating a pressure on product prices , especially Chlorine . We have our plans in place to enhance the Chlorine downstream in terms of ECH, Aluminum Chloride, Calcium Chloride and a few more ideas.

Vinyl:

The Vinyl business reported a growth in revenue by 26% year -on-year on account of higher volumes of PVC as well as carbide which has, grown by 27% and 38% respectively. Last year , there was a maintenance shutdown in the same period. PBDIT for the segment improved to Rs. 29 crore as against a negative Rs. 3 crore last year , led by lower power and carbon material costs. Commissioning of the 68 MW Green Energy by the end of next year will reduce carbon footprint along with better cost structure going forward.

Sugar and Ethanol :

Sugar and Ethanol businesses revenue , net of excise duty , was flat at Rs. 889 crore and the domestic volumes were lower by 6% due to lower releases in the quarter and prices of sugar were also lower by 3%. Ethanol volumes as well as prices were higher by 6% and 12% respectively. PBDIT for the segment was lower at Rs. 113 crore as against Rs. 188 crore last year due to the higher cost of production led by a higher SAP and lower recovery.

Fenesta Building Systems :

Fenesta Building Systems revenue increased 4% year -on-year, led by an increase in volumes across segments. PBDIT for the quarter at Rs. 43 crore , was similar to last year due to higher fixed expenses. These expenses are expected to remain elevated given the need to grow the existing businesses and invest in new verticals. The order book continues to be healthy.

We are also excited to announce our foray in to the Hardware business which will be through an acquisition to give us a head start into the segment.

Shriram Farm Solutions :

Shriram Farm Solutions revenues increased by 19% year -on-year, supported by volume growth across all verticals . SFS has further strengthened its leadership position in research wheat segment. PBDIT for the quarter was higher by 18% at Rs. 212 crore.

Fertilizer :

Fertilizer revenue was lower by 8% year -on-year, which is mainly attributed to the lower gas prices in the current quarter. PBDIT was at Rs. 29 crore as

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against Rs. 26 crore last year. Outstanding fertilizer subsidy was at Rs. 111 crore as against negative Rs. 21 crore last year.

Bioseed :

The Bioseed segment saw a revenue increase of 22% year -on-year and a PBDIT increase of 76%. The improvement is led by better volume and prices in corn, wheat, paddy and vegetable seeds . Both domestic as well as international operations contributed to the growth.

The Company's net debt stood at Rs. 867 crore as of December 31, 2024 as against Rs. 314 crore last year and Rs. 1,434 crore as of 31st March 2024.

The year -on-year increase was because of capital expenditure over last one year and a higher Sugar inventory. Over March '24, the decline is primarily because of reduction in Sugar

inventory.

Return on capital employed for December '24 came in slightly lower at 14% as compared to 16% for December '23, since CAPEX incurred on projects will start yielding the returns in the forthcoming quarters.

The Board has announced an interim dividend of 180% amounting to Rs. 56.14 crore. This takes the total dividend announced for the year to 280% amounting to Rs. 87.33 crore.

As this round of CAPEX is nearing completion, we are in advanced stages of finalizing our foray in advanced materials as well as in value chain around our core businesses .

That concludes my opening remarks, and I request the moderator to please open the forum for the Q&A session. Thank you.

Moderator: We will now begin with the question -and-answer session. The first question is from the line of Nirav Jimudia from Anvil Wealth Management . Please go ahead.

Nirav Jimudia : Sir, I have a few questions to ask on the chemical side. Sir, when we analyze our ECU numbers for Q3FY '25 vis-à-vis Q2 FY'25, our ECU was up by around Rs. 3.50. And if I just multiply with our volumes of 1,80,000 tons, what we have reported in Q3, it gives us a positive impact of close to Rs. 62 crore . But however, when we see our PBDIT numbers on a QoQ basis, the net impact is only Rs. 27 crore. If you can just help us explain why the difference between both the numbers is varying and is there any specific one-time loss or increase in depreciation because of which this number is not tallying?

Amit Agarwal: I think there are two reasons for difference. One, because they have earlier been capitalized and now they are being charged to P&L , and second reason is that as we move into operations the overall expenses do go up with the higher manpower cost, repayment and things like that. So, I think that also inched up. but that should even out over the period as the volume increase , then probably you will see the higher impact coming in.

Nirav Jimudia: So, if you can just share what was the impact of depreciation in Q3 FY '25 because of which numbers are lower ?

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Amit Agarwal: I would not have it right away . Maybe you can connect with our investor relations team after the call . We'll provide that to you.

Nirav Jimudia: So, secondly, when we interacted last time during Q2 FY '25 concall, you mentioned that chlorine was like negative Rs. 6.50 in Q2 FY'25 which in Q3 FY'25 the trend was around Rs. 9 negative . So, if you can just help us explain what was the chlorine negative in Q3 FY'25 and what's the current trend in terms of the chlorine negative in Q4 of FY '25?

Amit Agarwal: So, Q3 the trend was close to again the range around Rs. 9,000 to Rs. 10,000 and the similar trend continues as we speak.

Nirav Jimudia: Sir, you mentioned in your opening remarks that the prices have started correcting for caustic soda in January, but of late what we have seen also is that in China, the prices of caustic soda has again started trending and also when we see November and December , ECU trend for us I think it is close to around Rs. 30.50 for DCM . So, is it fair to assume that even for Q4 , our ECU trend looks positive in terms of the higher numbers, or it would be on the similar lines what we have reported in Q3 of FY '25?

Aditya Shriram : So, as you know , ECU is a combination of caustic and chlorine price. We have seen that the caustic price has been stable and has gone up, but of course the pressure on chlorine continues due to the capacity and the demand /supply balance in the country . So, the current ECU s are in the range of Rs. 29,000 - Rs. 30,000 per ton and we do expect it to remain at these levels or improve overtime.

Nirav Jimudia: Sir, also, if you can share the production breakup of 1,997 TPD in Q3 of FY '25 between the Kota and Bharuch plant ?

Aditya Shriram : broadly of course the details, the investor relations team can share with you

later as well , but broadly, our Kota plant runs steadily at close to 550 tons per day for caustic , and the Bharuch plant therefore is the remaining , which we are ramping up now with the new additional capacity.

Nirav Jimudia: When we see our revenue of Rs. 721 crore in Q3 '25, what number I could arrive based on the ECU realization multiplied by the volumes , our contribution from the value-added products was close to 27% in Q3 of FY' 25. Correct me if I'm wrong. So, if you can share what would be the contribution of the value-added product in the PBIT of Rs. 66 crore what we have reported in Q3 of FY'25?

Amit Agarwal: I would suggest this detailing and the arithmetic we can do it offline, right? I think broadly we gave you the trend . The details you can check with our investor relations team, Himanshu Borkaria and we will respond to all your queries in terms of aligning these numbers, right?

Moderator : The next question is from the line of Riya Mehta from Aequitas Investment Consultancy. Please go ahead.

Riya Mehta: My first question is in regard to the caustic plant. So, the new plant, what would be the capacity utilizations like?

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Ajay Shriram: As I mentioned in my opening remarks, the capacity utilization in the complex at Bharuch is in the range of about 70%.

Riya Mehta: This will be the overall, right?

Ajay Shriram: Yes.

Riya Mehta: And just particularly for the newer plant, what would be the utilization level like?

Amit Agarwal: So, see, we don't look at it that way because the newer plant has its own set of efficiencies. So, we might operate newer plant at 80%-90% and the older plant at lower capacity. So, I think one should look at it as overall thing.

Riya Mehta: And over the next one-year, what kind of utilization levels do we look at here given we are in an oversupply situation?

Aditya Shriram: So, we are looking to see how we can ramp up our capacity utilization and in line with that as you are aware we are close to commissioning our Epichlorohydrin plant that will help us, also, the board has approved aluminum chloride further expansion and entry into calcium chloride. So, again, both these will help us in improving our utilization. So, we do expect it to take a little time, but we expect that in the next 12 to 18 months we will reach full capacity utilization.

Riya Mehta: So, it is fair to say that maybe by FY'27, we would reach by around 80% or 90% capacity utilization, which is our peak capacity utilization?

Aditya Shriram: Right.

Riya Mehta: In terms of power, basically we have commissioned our power plant and it's been running for a while. What kind of savings and costs are we seeing in the last say this one quarter with the new power plant?

Amit Agarwal: So, I think we are getting good savings. So, we have invested close to about Rs. 500 crore in the power plant, and we are getting ballpark; we are running in terms of about 20%, 25% on the power plant.

Riya Mehta: The incremental 6 MW which we are buying that would be also yielding similar returns?

Amit Agarwal: That might be a little lower, but yes, that's more from our endeavor to reduce the carbon footprint. So, wherever we have an opportunity, we add that.

Riya Mehta: So, will that not reduce our cost in a significant way which earlier was 120 MW?

Amit Agarwal: Yes.

Riya Mehta: Where would we see cost saving coming in the chemicals division as such?

Amit Agarwal: That's what we have done. Whatever investment we have done over last three years, whether it is the capacity expansion, the 850 TPD, which has more

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efficient electrolyzers, second is the P120 power plant or the green energy that we took 44 MW, the first tranche we did, will definitely add to lot of savings and then we also, if you remember, I think in the last board meeting we had approved a project

for another extraction turbine, that will further improve the cost structure. That's the constant endeavor to keep working on cost.

Aditya Shriram: And in addition to that, we can also add that the other major raw material for us is salt. So, we are seeing what steps can we take to further optimize our cost on that side. And also there's a huge focus on digitalization. And leveraging data and analytics to further enhance our efficiency and competitiveness. So, with this holistic focus areas, we expect to remain cost-competitive.

Riya Mehta: In terms of ECH, when do we see this commissioning because I think we have seen a lot of delays? Is this because of late approval or after you commission there will be an entire one year which will take for approvals and all?

Aditya Shriram: So, I think as mentioned earlier in the opening remarks, we have faced a technical issue with the commissioning of the ECH plant. The teams are working very actively on it. And as we shared, we expect to start the trial runs and commission the plant towards the end of this quarter, which is Q4 FY'25.

Riya Mehta: And post that, we will see approval processes across all the clients, right?

Aditya Shriram: Yes, approval is with the customer. That's part of the process. So, we expect that to happen and then we expect to ramp up the capacity.

Riya Mehta: And aluminum chloride would come by when for us?

Aditya Shriram: I think that has been approved by the board. The timeline for commissioning for that is Q1 FY'27.

Riya Mehta: In terms of PVC, we are seeing that anti-dumping duty was recommended. So,

where in this stage of regulatory approval are we there and how much time we can for esee if everything goes s moothly ?

Ajay Shriram: Well, this is actually with the ministry right now , the commerce ministry is also aware of it. We made our application. There are a couple of court cases which are delaying this . Hearings are going on. The results so far in the court cases are positive . So, there is an expectation that after the budget ... we hope i t's not too late after that, but we expect that after the budget it should come fairly soon.

Moderator : The next question is from the line of Nisar g Vakharia from NV Alpha Fund Management LLP . Please go ahead.

Nisarg Vakharia: My first question is for Fenesta. S ir, we have a n order book growth of 33% , last quarter also we had order book growth, but it's not translating into revenue growth. And secondly, our capital employed is only Rs. 45 crore for about Rs. 120 crore of P BT per annum that we do. Could you just explain both these points ?

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Amit Agarwal: So, one on the capital employ ed first, that is also because we get customer advances and whether it is project customers or retail customers. So, we work largely on advances , that lead to lower capital employed. And in any case, this is a business which has the capital output ratio is high in any case. So, I think those are the reasons why the capital employed is low. Coming to the bookings , you are right. The bookings are good ; however , the execution is slow in the market . We have seen that something wh ich we are seeing across the building materials space, that the growth levels are slow, implementation is slow. And there are various reasons, I mean, liquidity issues and things like that. But yes, we are seeing execution being slow.

Nisarg Vakharia: Sir, can you explain this Rs. 65 crore that we are deciding to invest for hardware manufacturing , I think I'd also read few quarters or 1-2 quarters back where you said you want to invest Rs. 150 crore in aluminum. Both of these are separate projects if you can explain in detail on how you see this business ramping up over the next 2 to 5 years in India.

Amit Agarwal: See, the aluminum extrusion project, the purpose of that and that's where that was for about Rs. 150 cro

re. So, that project was to bolste r our aluminum window s business. So, currently we are importing aluminum extrusions and the profiles. And then they go for coating separately. So, there is a lot of inefficiency involved in terms of transportation , logistics and delays in execution, which is not a very good consumer experience. So, our idea was that we should have our own extrusion facility where we can control the quality as well as customer service. So, that was one objective and aluminum windows are actually doing very well. They are growing faster than UPVC today as a n industry , as well as for us. We see good scope there. And obviously, once we get into aluminum extrusion , it will open a door for other products within the aluminum space which we can diversify into. So, that's a little longish plan, maybe 2 years after commissioning. Coming to hardware, again here, we procure hardware. As we speak, we procure hardware of almost Rs. 90 crore in Fenesta . Almost 50 -60% is imported, rest is indigenous. And the idea is once we are able to get into the hardware business, it will help us again on the logistics front because the imported suppliers are unreliable given the logistical constraints at times what we ha ve seen , and that again delays our service to the customer. So, one, I think we can do that with our own , we can indigenize more once we have our own facility , that is one. Second, upgrading o ur innovative products is something what we are looking at. So, our research and development can be at a much faster pace. So, these two things are more from the customer experience perspective. The last is again, once we get more hands -on experience, we will be able to build that as a revenue platform as well.

Nisarg Vakharia: Sir, now my second question is regarding Shriram Farm Solutions. Can you tell me what sort of volumes we have done in research wheat this year? And do you think that we have captured enough market share or do we still have potential to grow these volumes for next year also?

Amit Agarwal : You see, last year we had done about 76,000 tons of research wheat seed. This season we have done close to about 96,000 tons. These are ballpark numbers. I may be off by about 1 ,000 tons here and there. So, about 96,000 tons of research wheat is what we have done this year. Our market share is close to about 65 %-70%. But the market itself is growing by about 15%, the

research wheat market, in the overall market. So, I think there is scope for growth.

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Ajay Shriram: I will just add to that that ultimately in any of the research products, agricultural products or seeds, one has to have a strong research setup to come out with new products which are better than the past one and continuously going through the trials and developments etc. because everyone is in the business. So, how do we stay competitively ahead? So, we have a strong R&D setup also, so they're also coming up with new products. So, we are fairly well positioned on the research wheat front.

Nisarg Vakharia: Sir, one thing is that in India we have not seen a company get such dominant market share in research wheat. We have seen companies come and go in cotton and the market shares change every 3-4 years. Can you please explain the research wheat segment slightly better for us as to how sustainable is this and what is the reason that DCM has sort of got this dominant market share in this segment?

Amit Agarwal: So, I would say as CMD mentioned, it is primarily because of our strong research on research wheat. We have been introducing products almost every year except this year. Last year also we launched about 2 to 3 varieties and the year before that also there was one variety which was launched which ensures that we are doing the right life cycle management. It's not that other companies are not there in this segment. There are companies in t

his segment,

but I would say because they are not able to grow the way and we also had the early mover advantage. So, one is the early mover advantage, feeding the market with newer products and there is competition as well. So, that just continues. And that's why we need to continue to feed products into the market.

Moderator: Thank you. Next question is from the line of Jainam Ghelani from Svan Investments. Please go ahead.

Jainam Ghelani: My first question is that what would be our current captive chlorine consumption and post our expansion of all the derivatives, where do we see it going forward?

Amit Agarwal: You see post expansion, our overall as a chemical, both Kota and Bharuch put together, our captive chlorine consumption will be close to about 32% captive and on top of that we have pipeline supplies which again will be in the range of around 35%-40%. So, if you add these, we are almost 70% captive. So, one is what is consumed captive and that is virtually captive with what we supply to pipeline.

Jainam Ghelani: And so, since we will announce a fundraise, are there any other derivatives that we wish to expand into as of now?

Aditya Shriram: So, we are continuously evaluating new opportunities and adjacencies for the chemicals business and all our businesses. So, at a suitable time if we do decide and the board has approved then we will announce those as well.

Moderator: Thank you. Next question is from the line of Rohit Nagraj from B & K Securities. Please go ahead.

Rohit Nagraj: First question is on ECH. We have seen that the project has got delayed. Any material challenges from the initial on the delay front? And secondly, even during operations, do we expect that there will be teething problems because

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the technical issue has got elongated? And another adjacent question to this, given that the domestic market is now completely supplied, what is the strategy from the management in terms of placing the product, maybe partially in the domestic market or how to tap the exports market?

Aditya Shriram: You are right. I think this was shared partly in our opening remarks as well. There has been a technical issue in the ECH project. But as we discussed earlier, the team is working very actively and there has been a solution that has been found. So, we expect the commissioning of the plant to happen and trial runs to begin in this quarter itself, Q4 FY25. And once that is done any plant might have some small teething issues to begin with, but we don't foresee any material issues going forward after that. In terms of the market, there are some capacities which are already there in the market, but we feel that this additional capacity will be absorbed in the market. There is a growing market domestically with a number of epoxy players, expanding their capacities. So, domestically itself, there will be a significant demand. And also, we are already in touch with customers globally as well. So, we do expect that we'll be able to commission and then ramp up the capacity as planned now.

Rohit Nagraj: Second question is on the PVC front. In terms of current market trends, how are we expecting that the utilization levels will move up on the PVC front? And particularly, the margins, what are we expecting that the last couple of years, significant decline in margin because of the China overcapacity and supplies. Will that continue in the foreseeable future? And another allied question that we have carbide capacity, and we heard probably during pre-COVID that China's carbide capacities are also likely to get toned down. So, any view from that side? Is this happening in China from your connects or your contacts in China? Are we seeing any kind of such move?

Amit Agarwal: So, to answer your question on the margins, this quarter our margins were around 19%. So, I would say these are reasonable margins at a price

realization for PVC at about Rs. 76,000-77,000 and carbide also was in the range of around Rs. 64,000-65,000. So, I would say prices have been suboptimal. However, on cost front there has been significant improvement, both because the raw material prices went down as well as our efficiency is improved. So, I would say that, one, I don't see prices coming below Rs. 76,000. Unless something happens on the cost front, the margin of 19% are quite reasonable. So, that was one. What was the next question you had?

Rohit Nagraj: On the carbide capacity, any cues from China that the capacities have been contained or there is a move from the government to contain those capacities. Because I think earlier, pre-COVID, there was an expectation that due to pollution issues from coal, the government was taking steps to curb those capacities which are already in place?

Amit Agarwal: I agree there was a phase of 1-2 quarters where they did curb capacities but after that all the capacities have come back and most of their capacities are carbide based and they are dumping their product globally. So, at least I am not aware of any further action they are going to take.

Moderator: Thank you. Next question is from the line of Ahmed Madha from Unifi Capital. Please go ahead.

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Ahmed Madha: My question is, we have seen the profitability margins being low in the sugar business in Q3, right? So, now this weakness because of the lower sugar prices will continue for the entire season or do you have any levers which can help you offset the margin loss?

Ajit Shriram: I think essentially there are two reasons. One is there was an increase of the state advised price of sugarcane last year by the UP government, number one. Number two, there was a very good variety of sugarcane called 238, which was roughly 80% of the cane being crushed by most sugar mills. And that has got infected by a disease called red rot. And that has now decreased, and that was a very high yielding and a high recovery variety, which had come up in the last 4-5 years. And that has now decreased dramatically. And that's one of the primary reasons why our cost of manufacturing has gone up, because of lower yield, lower recovery, and also because of higher SAP.

Ahmed Madha: What is the ethanol mix between B-Heavy, C-Heavy, and grain based?

Amit Agarwal: So, we are doing primarily C-Heavy.

Ahmed Madha: And the decline in the rise cost from FCI, will that help us meaningfully?

Amit Agarwal: Probably in the next financial year, not in the current financial year.

Ajit Shriram: Yes, because we already covered as far as feedstock is concerned, besides the molasses or C-Heavy, we have already covered till mid-April, as far as other feedstocks are concerned.

Ahmed Madha: For the financial year at FY25, what will be our molasses-based ethanol and what will be grain-based ethanol? Percentage, roughly?

Amit Agarwal: Roughly, I think we will manufacture close to about 16.5 crore liters. Out of that, about 45% should be grain based.

Ahmed Madha: And last question on the hydrogen peroxide and aluminum chloride. In the presentation you have written that your utilization currently is 80%. What was the utilization for the full quarter, Q3 for these two products?

Amit Agarwal: For Hydrogen Peroxide, average for Q3 was 40%.

Ahmed Madha: Just one more thing, on the caustic side, this quarter the volumes have gone up sequentially. So, do you see the utilizations further moving up in Q4 as well for caustic soda?

Aditya Shriram: Yes, that is a continuous focus area for us, to utilize the capacity and we do see it ramping up quarter-on-quarter.

Moderator: Thank you. Next question is from the line of Raj Vyas from TM Investment Technologies. Please go ahead.

Raj Vyas: I just wanted to know like with a 12% Y-o-Y increase in EBIT and a 9% increase

in net p

rofit, so like any ballpark number that we are looking for, like going ahead, like what will be the run rate moving ahead?

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Amit Agarwal: Given that our volumes are increasing and the capital expenditure plans are coming to an end, the first round or let's say whatever we had announced last three to four years, we do expect volumes to increase. Our cost structures are better than what they were in the past. So, we do feel our numbers should continue to get better. However, it is all a function of cost as well on the raw material cost as well as the product prices, which are not in our control. So, it's difficult to say, but we are taking steps to improve our profitability.

Raj Vyas: Any reason for the fall in ROCE? It went from 16.1% to directly 13.7%?

Amit Agarwal: That has been explained during the message by our JMD. That's because the new capital expenditure which got commissioned in this financial year in H1, that is part of capital employed with returns are yet to, because the capacity utilization is low right now. So, they will come up over next one year and that's when we will see the optimum return on capital employed.

Raj Vyas: What is the peak capacity that you are looking for?

Amit Agarwal: As it was mentioned by Mr. Aditya Shriram that we will look to ramp up over next 12 to 18 months to about 90 % to 100 %.

Moderator: Thank you. Next follow-up question is from the line of Nirav Jimudi from Anvil Wealth. Please go ahead.

Nirav Jimudia: Sir, you mentioned that our hydrogen peroxide plant operated around 40% in Q2. So, even at 40% utilization, did it have a positive contribution at the PBIT in Q2 or the breakeven point for hydrogen peroxide plant is slightly higher than 40% if you can just share your views here?

Amit Agarwal: It has been positive on the contribution, definitely.

Nirav Jimudia: And that should further improve in Q4 given the kind of utilization rates pick up we have seen in the current quarter, right?

Amit Agarwal: Yes.

Nirav Jimudia: Just a follow up to this is like our hydrogen production is ought to go up with the increase in the caustic production, right?

Amit Agarwal: Yes.

Nirav Jimudia: So, some of the increased caustic soda production help us for the excess hydrogen which could be utilized here. But I think we also had commissioned a flaker plant. So, there is also probably we would require some amount of hydrogen for conversion of it to from lye to flakes. At any point of time, our sales of hydrogen to the outside customers won't be curtailed on, is this right assumption to make here, sir?

Aditya Shriram: So, we have actually done the mapping and the planning for our hydrogen production and demands, whether it is captive demand or it is catering to our customers' requirements. So, we very consciously evaluate where to prioritize, obviously we really value our customer relationships. So, that always gets the highest priority while we are ramping up our own capacity and internal

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utilization as well. So, as it is ramping up, we are continuously optimizing and at full loads we expect to have adequate hydrogen to cater to all the requirements.

Amit Agarwal: Just to add, I think the gas that we have started with natural gas as well in our Flaker plant.

Aditya Shriram: So, our Flaker plant has a dual feed fuel capability, which is one is natural gas and the other is hydrogen. So, that gives us flexibility as well to balance out the hydrogen requirement.

Nirav Jimudia: Entirely 600 TPD is now commissioned or only 300 TPD is currently running on flaker?

Aditya Shriram: So, in the flaking so far 300 TPD has been commissioned and the remaining 300 TPD also is being worked on and we expect that to be commissioned soon as well.

Nirav Jimudia: Sir, last bit from my side. In the hydrogen peroxide side, are our hydrogen peroxide catering to some specialized

applications or it is safe to assume that

it is similar to what it is available in the market? So, is there any differentiation factor in our hydrogen peroxide which is getting sold in the market?

Aditya Shriram: So, we are working on the special grades of hydrogen peroxide as well. We have an innovation center which is also exploring how to create differentiated

hydrogen peroxide. So, over time we do expect a healthy percentage of our H₂O₂ to be specialty grade hydrogen peroxide.

Nirav Jimudia: But that would take some time before it is getting operationalized, right?

Aditya Shriram: Yes, it will take some time, but the teams are working very actively on this. So, we are very optimistic.

Moderator: Thank you. Next question is from the line of Pratik Tholiya from Systematix. Please go ahead.

Pratik Tholiya: Sir, what is the CAPEX guidance for FY26?

Amit Agarwal: CAPEX should be in the range of around, as of now, whatever has been announced, it should be in the range of around Rs. 700 crore.

Pratik Tholiya: And sir, this could be projects, this includes your aluminum chloride, aluminum extrusion, right? What else is there?

Amit Agarwal: There is a luminum chloride and calcium chloride, extrusion. And then like the Rs. 65 crore which has been announced very recently. Then we have this 74 megawatt of green energy that will also happen in FY26. And there will be some CAPEX happening on the infrastructure front at Bharuch, like water reservoir and things like that. And there is a turbine investment as well of about Rs. 50 crore -Rs. 60 crore. Which is a cost improvement which I was talking about.

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Pratik Tholiya: And sir, what is your guidance on this epoxy resins? Where are we on that? Because we had announced this quite some time back, this Rs. 1,000 crore project, but any further development over there?

Aditya Shriram: Yes, so that is something which is very much on the agenda for us as a group. You rightly said, we have taken a board approval and the board has approved a Rs. 1000 crore investment in advanced materials, largely epoxy space. And so there are active discussions going on internally. And as we get final approval to go ahead from the board, we will announce.

Amit Agarwal: And just to add here, we have already acquired land for that and we are in discussions with technical suppliers and all that. So, the movement is happening. Hopefully we should close things soon and start implementing.

Pratik Tholiya: And sir, ballpark, what sort of capacity are we looking at?

Amit Agarwal: It will depend on the technical discussions. But overall, for Rs. 1000 crore, that we were talking about, we were looking at about 80,000 tons per annum.

Pratik Tholiya: So, how much of our ECH will be absorbed captively for epoxy?

Aditya Shriram: So, it will actually depend as we ramp up the capacities. But as Amit has said, at 80,000 tons per annum, that would translate to roughly 50,000 tons per annum of ECH consumption. But over time, we will look to ramp up this entire vertical. So, therefore there will be continuous capacity additions in this space.

Pratik Tholiya: And lastly, on Fenesta, because we have seen margins coming off from 18% odd to 15% odd. Of course, you did mention that there are additional fixed costs due to marketing activities and growing the business. So, when can we then expect the margins to crawl back to 18% or do you think that a couple of years, since you are in the expansion phase, it will remain in this 15%-16% range?

Amit Agarwal: See, last year same period and I'm looking at the EBITDA margin, right? Now EBITDA margin was about 19% and the same period last year were about 21% so there is a 2% dip and I've always said that this is a business which is a 16%-17% EBITDA margin business, right? Given that as we increase the portfolio of products each product will have a different set

of margin. Currently the major reason why it's down is fixed cost and as was mentioned in the opening remarks that fixed costs are expected to be elevated because we will have to invest more on marketing, brand building and things like that, as well as more on people as we are growing platforms and even otherwise on existing people. My competition also adds to the cost pressure.

Moderator: Thank you. Next follow-up question is from the line of Rohit Nagraj from B & K Securities. Please go ahead.

Rohit Nagraj: Just a couple of questions. One is on the ECU, given that the market is well supplied from the domestic point of view, do you see that the ECU should be in the similar range for the time being till again the demand supply mismatch comes in or probably on the demand side there is a new uptick from the domestic side?

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Aditya Shriram: As you know, caustic ECU is made up of caustic and of chlorine. Caustic of course is highly dependent on the global demand supply situation and chlorine

is more dependent on the local demand supply situation. So, the ECU is currently in the range of about Rs. 30,000 per ton and we do expect it to remain balanced in the times to come. And hopefully over time it will inch up further as well.

Rohit N agraj: Second question, on the CBG project front, given that it will be commissioned sometimes during this quarter, what is the arrangement in terms of off take in terms of supplies to customers pricing for the same? And pardon me if I have not done my homework earlier, just to get more clarity on the same. Thank you.

Amit Agarwal : So, this will be to OMCs , the oil marketing companies , we will be supplying to them.

Rohit Nagraj: And in terms of infrastructure network to transport the gas as well as from the pricing perspective, how will it be priced?

Amit Agarwal: So, you see, there is a pricing formula which is based on the natural gas prices, and that makes it pretty viable as a business. Transportation infrastructure is there, further pipeline is being looked at. And also, to add that, we will definitely look at doing maybe some bit of supply to retail as well as we grow the business.

Rohit Nagraj: And just last bit on this, when we have worked out the project, what is the threshold IRR or ROC E that we had looked, I mean, is it in line with other businesses or probably slightly higher for this business?

Amit Agarwal: If I remember correctly, this was about 18% return on capital employed business.

Moderator: Thank you very much. Ladies and gentlemen, that will be the last question. And now I will hand the conference over to the management for closing comments.

Ajay Shriram : Ladies and gentlemen, thank you very much for your participation in our earning conference call.

We are dedicated to achieving long-term success by implementing strategic initiatives aimed at investing in scale, value creation, and boosting operational efficiencies. We ensure that our values of integrity, agility, customer centricity, teamwork, openness, and newness are reflected in our ways of working . Our priorities are of creating a more engaged workforce that is equipped to thrive in an ever -evolving business landscape. To this effect, we ensured effective team building and collaboration by encouraging open communication .

Investing in people development through conducting skill -gap analysis, upgrading skills, and encouraging continuous learning is another focus area that is vital for organization al growth and employee satisfaction.

The integration of digital technology into management practices is transforming how organizations operate. Embracing digital transformation and addressing cybersecurity concerns has become imperative to improve customer experiences and maintain competitiveness. Central to our strategy is a focus on sustainability which underpins our unwavering commitment to

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environmental stewardship and social impact. Thank you very much once again, goodbye.

Moderator: Thank you very much. On behalf of DCM Shriram Limited that concludes this conference . Thank you for joining us and you may now disconnect your lines. Thank you.

Disclaimer: This is a transcription and may contain transcription errors. The transcript has been edited for clarity. The Company takes no responsibility of such errors, although an effort has been made to ensure high level of accuracy.

Call: May 2025

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SCRIP CODE : 523367 SCRIP CODE : DCM SHRIRAM

Kind Attn : Department of Corporate Communications/Head – Listing Department

Sub : Transcript of Investors' Earnings Call under SEBI (Listing Obligations and Disclosure Requirements) Regulations, 2015
Dear Sir(s)
Pursuant to Regulation 30 read with Schedule III of SEBI (Listing Obligations and Disclosure Requirements) Regulations, 2015, please find attached the Transcript of the Investors Earning Call on Audited Financial Results (Standalone and Consolidated) of the Company for the quarter and year ended March 31, 2025, held on May 8, 2025.

Kindly take the above information on record.
The above said Transcript will also be available on the Company's website i.e. www.dcmshriram.com .
Thanking you,
Your faithfully,
For DCM Shriram Limited

(Deepak Gupta)
Company Secretary & Compliance Officer

Dated: May 14, 2025
Encl.: as above

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DCM Shriram Limited
Q4 & FY'25 Earnings Conference Call
May 08, 2025

Moderator : Ladies and gentlemen, good day and welcome to the Q4 & FY'25 earnings conference call of DCM Shriram Limited.

As a reminder, all participant lines will be in listen -only mode and there will be an opportunity for you to ask questions after the presentation concludes. Should you need assistance during the conference call, please signal an operator by pressing '*' then '0' on your touchtone phone. Please note that this conference is being recorded.

I now hand the conference over to Mr. Siddharth Rangnekar from CDR India. Thank you and over to you, sir.

Siddharth Rangnekar: Thank you, Sejal. Good afternoon and welcome to DCM Shriram Limited's Quarter 4 & FY'25 Earnings Conference Call.

Today we have with us Mr. Ajay Shriram – Chairman & Senior Managing Director ; Mr. Vikram Shriram – Vice Chairman & Managing Director ; Mr. Aditya Shriram – Deputy Managing Director ; and Mr. Amit Agarwal – Group CFO of the Company .

We shall commence with remarks from Mr. Ajay Shriram and Mr. Vikram Shriram. Members of the audience will get an opportunity to pose their queries to the management following these comments , during the interactive question - and-answer session.

Before we commence, please note that some of the statements made on today's call are forward -looking in nature, and a note to this effect has been

included in the conference call invitation, which has been uploaded on the Stock Exchange website.

I would now like to invite Mr. Ajay Shriram to give us a brief overview. Over to you, sir.

Ajay Shriram: Thank you, Siddharth. Good evening, ladies and gentlemen and a very warm welcome to all of you.

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To begin, I will present my perspectives on the external landscape and business dynamics. After that, Vikram will provide an overview of our financial performance. Once we have shared our insights, we would like to hear your view points as well.

The global economic growth is expected to be tempered due to complex geopolitical and economic environment, notably the ongoing tariff risks between U.S. and the rest of the world, especially China. The imposition of reciprocal tariffs by the U.S. and the subsequent retaliatory measures by China and other countries can have far-reaching consequences, disrupting the international trade and financial markets. This has heightened uncertainty for businesses and policymakers worldwide.

The recent standoff between India and Pakistan has the potential to escalate, adding to regional uncertainties both in trade and geopolitics.

Amid external headwinds, India's growth forecast for Financial Year 2026 has been revised down to 6.5 % by the Reserve Bank of India in the month of April. However, the impact remains moderate owing to strong domestic consumption. Further, to support growth, RBI has cut interest rates and implemented liquidity boosting measures.

In this dynamic landscape, our Company is further anchoring its strategic integration both forward and backward, to secure value chains, optimize costs, and enhance competitiveness while simultaneously increasing scale. We are embedding advanced digital technologies in our ways of working to improve our efficiencies as well as serve our customers better. Sustainability is core to our operations and we are reducing our carbon footprint to renewable energy adoption, circular economy and energy efficiencies.

Backed by completion of our CAPEX programs, a healthy balance sheet and strong cash flows, we remain confident in our ability to pursue these strategic priorities while maintaining financial discipline and operational excellence.

I will now turn to the discussion on key industry dynamics across our variable businesses.

First, I will take up Chemicals:

Global and domestic caustic soda prices experienced volatility over the past financial year. However, the prices were better supported versus Financial Year '24, led by higher demand from consuming sectors.

Impact of reciprocal tariffs on India may be moderate due to the comparatively high tariffs imposed on other countries. However, the disruption in supply chain will lead to uncertainty in product prices. In terms of volume, it may be positive for India.

India's caustic soda industry has reached a capacity of approximately 6.3 million metric tons operating at about 80 % utilization, which is a positive. This has resulted in an oversupply of chlorine, putting pressure on chlorine prices. However, some relief was observed this quarter in chlorine prices, primarily due to maintenance-related shutdowns of a few production facilities.

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India continues to be a net exporter of caustic soda.

Our newly commissioned projects are meeting performance norms and ramping up steadily, leading to volume-driven growth.

Hydrogen peroxide markets in India continue to be oversupplied on account of ramping up of domestic capacities coupled with cheap imports from Bangladesh. We have also commissioned our second flexi-feed flaker plant in this quarter, and this has further enhanced our flexibility to operate on multiple fuels and thereby optimize costs and increase exports.

Our ECH project is under commissioning and the glycerin refining facility is operational. The commissioning of the ECH plant has been delayed due to an issue in one of the equipment. This issue is currently being addressed by our technology suppliers, and we are going to start trial runs by the end of May 2025, that is this month.

The project work in other chlorine downstream projects of aluminum chloride and calcium

chloride at Baruch are progressing well.

Our efforts towards cost efficiencies continue. The 120 megawatt power plant is one step in this direction. 68 megawatt renewable power at Kota through group captive structure is progressing as per schedule. We have tied up the balance 6.6-megawatt green power at Baruch and are expecting its injection in the next quarter and are also working towards further optimizing energy costs in the existing power plants.

As this round of CAPEX is nearing completion, we are actively working towards epoxy and advanced material projects, including other growth options.

Vinyl :

Global demand for PVC remains subdued, leading to lower prices and high level of inventory on the back of surplus production in China during the quarter. Reciprocal tariffs by the US have led to China driving export prices further lower to clear excess capacity. In this context, imposition of anti-dumping duties on several countries, including China, has been delayed due to an irrational order in our judgment by the Gujarat High Court, excluding certain grades of PVC from ADD investigation. We have already filed petitions against the same in the Supreme Court and hoping for a favorable response. Once the duty is imposed, this will bring some relief from the low-cost Chinese imports. Domestic PVC demand has grown by 7 % during the financial year. The cost structure for our Vinyl business has improved. We will continue with our strategy of utilizing the swing between PVC and carbide to maximize our margins.

Sugar and Ethanol :

Global sugar demand is expected to be higher than supply, leading to a reduction in the inventory level by around 3.3 million metric tons due to lower production in India. The Indian sugar season '24-25 is expected to end with a

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stock of around 5 million metric tons. The production estimate is 26 million metric tons after diversion of approximately 3.75 million metric tons for ethanol production. Consumption is estimated at 28 million metric tons and exports of about 1 million metric tons. Current prices are around Rs. 4,180 per quintal and given the demand-supply scenario, the prices are expected to remain supported for the next financial year.

Central Government has increased the FRP by Rs. 15 per quintal of sugarcane for the next sugar season. This increase is likely to put pressure on the margins and hence there is a need to increase the minimum selling price of sugar and ethanol to support industry sustainability. Government of India continues to be aggressive in ethanol blending and is planning to set a new target of 30 % ethanol blending by 2030 after successfully reaching 20 % mark in March 2025. Sugar season '24-'25 has ended for most of the mills with reduced crushing and recovery across Uttar Pradesh and Maharashtra, the key sugarcane growing states. This decline is attributed to adverse weather conditions, crop diseases such as top borer and red rot affecting sugarcane yield and recovery. Our units concluded this season with a lower crush of 535 lakh quintals and a reduced recovery rate of 10.5 % on final molasses. To address these challenges, our business team is actively working on optimizing varietal selection and agronomy practices to support increased sugarcane availability and crush in the upcoming season.

The recent uptick in sugar prices has helped in improving the margins of the business. However, the increase in sugar and ethanol prices has not fully compensated for the increase in sugarcane prices and reduction in sugar recovery and production. There is a need for a fundamental shift in sugar policy framework in order to make it remunerative in the long run for the farmers as well as the manufacturers.

Our compressed biogas project at Ajbapur Sugar Unit has been commissioned in the current quarter

Fenesta Building Systems :

The Company continues to focus on strengthening

ing its market presence by

driving deeper penetration of existing products and expanding its portfolio through the creation of new revenue platforms. Our strategic alignment is designed to enhance the overall customer experience while supporting sustainable business growth.

Further, we have completed the acquisition of 53 % stake in DNV Global Private Limited, a Company present in the hardware space. This backward integration will unlock operational synergies in the supply chain, enhance customer

experience by providing superior quality product range, and has the potential to create a new revenue stream for future growth.

Our aluminum extrusion facility project remains on track and is progressing as per schedule. Collectively, these strategic initiatives are expected to enhance our position as a comprehensive solution provider in the building material space and lay the groundwork for sustained long-term value creation.

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Moving on, the Agri-Input Businesses portfolio comprises of Shriram Farm Solutions, Fertilizers, and the Bio seed businesses.

Shriram Farm Solutions :

The business continues to register double-digit growth in the topline as well as the bottom-line. The Company's growth trajectory was led by robust volume expansion across business verticals, most notably in the Research wheat segment where SFS continues to fortify its position as the market leader. The business effectively navigated the climate volatility by ensuring placement of the relevant products as per farmer requirements and providing research-driven nutrition products which build stress tolerance in the crops.

Notably, in the current financial year, SFS has launched nine new products in crop protection and specialty plant nutrition verticals, including four new products from our own R&D center.

Shriram Farm Solutions continues to be at the forefront of technology adoption, leveraging digital platforms to expand farmer engagement, optimize logistics, and improving cost efficiency.

Fertilizer :

The urea industry continues to be stable. Our business is continuously improving energy efficiency and optimizing performance. The budgetary allocation towards urea subsidy has been stable for the last couple of years, leading to reasonable subsidy arrears, which is a positive for the sector.

Bioseed :

While the business is on a strong trajectory of turnaround fueled by an enhanced range of hybrid seeds across various product categories, which shall also drive future growth. The expansion of corn acreage in key states driven by higher crop prices and the push for maize-based ethanol has contributed significantly to its growth alongside strong performance in paddy. We expect cotton to perform better in the coming season.

I will now request Vikram to provide the financial perspective.

Vikram Shriram: Thank you. Good evening, everyone. I will now take you through the financial performance for quarter ended Quarter 4 Financial Year '25.

Net revenues, net of excise duty for Q4 FY '25 were at Rs. 2,877 crore versus Rs. 2,399 crore in Q4 '24, an increase of 20 % year-on-year, driven by growth across all the businesses. PB DIT for Q4 '25 was at Rs. 426 crore versus Rs. 289 crore last year, an increase of 47 % year-on-year.

Chemicals:

The business saw an increase in revenue of 52 % year-on-year led by caustic soda volumes that were up 29 % on account of better capacity utilization and the new 850 T PD facility commissioning.

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ECUs were also up by 13%. PBDIT increased by 223 % owing to the volumes, prices and lower input cost, particularly energy prices and efficiencies from the new 120 megawatt power plant. As mentioned earlier, new caustic soda capacities in India over the last few years are increasingly getting absorbed. However, chlorine surplus has increased, thereby putting pressure on chlorine prices. Our projects of Epichlorohydrin, aluminum chloride and calcium

chloride will increase the captive chlorine consumption. We are exploring several other alternatives to enhance chlorine utilization and value additions.

Vinyl:

The vinyl business revenue increased by 2 % year-on-year. PBDIT for the segment improved to Rs. 24 crore as against Rs. 16 crore last year, led by lower power and carbon material costs. Once the 68 megawatts of green energy comes online, it will help reduce our carbon footprint and enhance our cost efficiencies supporting both financial environment and financial goals.

Sugar and Ethanol :

Sugar and business net of excise duty increased by 16 % to Rs. 1,022 crore. Domestic sugar volumes were higher by 19 % due to higher releases in the quarter. For the year, the volumes were in line with last year.

Domestic sugar prices increased by 5 % to Rs. 4,046 per quintal. Ethanol volumes were lower by 16 % on account of change in feedstock. PBDIT for the segment was higher at Rs.252 crore as against Rs.236 crore last year, going to better margins led by sugar. Sugar inventory was lower at 39.9 lakh quintals as against 43.5 lakh quintals last year.

Fenesta Building System:

The Fenesta Building System reported a growth in revenue of 4 % year-on-year, led by retail vertical. PB DIT for the quarter came in at Rs. 36 crore as against Rs. 44 crore last year due to higher fixed expenses for enhancing capabilities and capacities along with higher sales and promotion expenses. Elevated expenditure levels anticipated to continue driven by the strategic need to scale up our existing operations and add to the product portfolio and expansion into new business areas. The order book continues to be healthy. Shriram Farm Solutions :

This quarter is an off season for the business. Revenues increased by 17 % year-on-year, supported by volume growth across all verticals.

Fertilizers :

Fertilizer revenues were higher by 3 % year-on-year, which is mainly attributed to the higher volumes. Last year, in the same period, there was a maintenance shutdown. The prices were lower due to lower gas prices, which are passthrough. PB DIT was Rs. 10 crore as against negative Rs. 2 crore last year. Outstanding fertilizer subsidy was Rs. 161 crore as against Rs. 90 crore last year.

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Bioseed:.

The quarter is an off season for the Bio seed business. Revenues are up at Rs. 103 crore as compared to Rs. 73 crore last year contributed by both domestic as well as international operations. PBDIT was marginally positive against negative Rs. 8 crore last year.

Coming to the highlights for the full year of Financial Year '25:

Financial Year '25 revenues net of excise duty was up 11 % year-on-year at Rs. 12,077 crore . All the key businesses, specially chemicals, Shriram Farm Solutions, Sugar and Bioseed contributed to the topline growth. Similarly, PBDIT was up 35 % at Rs. 1,472 crore . Chemicals, vinyl, SFS and bioseed were key contributors to the growth.

With healthy cash flows across all our businesses and post -completion of large part of our CAPEX , our net debt remained at comfortable levels of Rs. 1,395 crore as on 31st March '25 versus Rs. 1,430 crore as on 31st March '24. Return on capital employed for March '25 has seen an improvement that came in at 14% as against 13.6 % in last year due to reasons explained above. Further, CAPEX incurred will start yielding returns going forward and that is further expected to improve topline and ROCE . The Board has recommended a final dividend of 170 % amounting to Rs. 53.02 crore in the board meeting . The total dividend for the year is at 450% amounting to Rs. 140.35 crore .

Our financial discipline, ensuring a robust balance sheet, enabling agility to invest in R&D and scaling up businesses and adjacencies and cost side initiatives. That concludes my opening remarks, and I request the moderator to please open

the forum for the question -and-answer session. Thank you.

Moderator: Thank you very much. We will now begin the question -and-answer session. The first question is from the line of Nirav Jimudia from Anvil Wealth . Please go ahead.

Nirav Jimudia : Sir, when we see our Q4 numbers, our PBIT in chemicals have improved by close to around Rs. 42 crore on a Q -on-Q basis, while the ECU is more or less flat. One reason you mentioned that we have seen an increase in the production volumes on a sequential basis. If you can share your thoughts here, like was power cost has come down sequentially or was it because of higher hydrogen sales in the outside market because of our higher caustic production or was it because we have ramped up the volumes and fixed cost were distributed over a larger part of the volumes? If you can share your thoughts here?

Amit Agarwal: Yes, I think it's a combination of largely I would say two factors, three factors actually. One is volume increase definitely was the significant part. Product prices also if you see versus I'm doing same period last year, the product prices were better and even the variable costs have come down.

Nirav Jimudia : I was talking more on a sequential basis.

Amit Agarwal: Yes, so even on sequential, if you look at large part will be coming from volumes. That is one. And on the variable cost, because in this quarter, the

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maximum benefit of the P120, significant part because of higher volumes, we use more of power from P120.

Nirav Jimudia : Sir, what could be the utilization levels of the newly commissioned 120 megawatt power plant?

Amit Agarwal: So, if I talk of Q4, the way to look at it is that, our capacity was 1,350 tons per day before expansion. Post expansion, it is 2,225 tons per day at B haruch. And our utilization is close to about 1,700 tons per day, which was in Q4. It is inched up a little bit, but yes, it is in the range of 1,700 to 1,800 tons per day.

Nirav Jimudia : So close to 170 mega watt of power, which was required this quarter in total.

Amit Agarwal: Yes.

Nirav Jimudia : Correct. Sir, adding to it, last quarter you mentioned that our chlorine negative was close to around Rs. 9 and quarter prior to that was close to around Rs. 6.50. So how was the situation in Q4 and if you can highlight a bit about the current chlorine prices that would help.

Aditya Shriram : The current chlorine prices are also in the range of Rs. (-6,000).

Nirav Jimudia : Okay. And was similar chlorine prices or realizations in Q4 also minus Rs. 6 a kg or was it bit higher?

Aditya Shriram : Yes, in the same range.

Nirav Jimudia : Got it. Sir, the last question from my side is, when we see our chemical business sales of around Rs. 2,800 crore for this financial year, if you can share how much could be coming from the value-added products like the chlorine derivatives as well as the other value-added products what we manufacture. If you can share some ballpark figures, that would also help.

Amit Agarwal: See majority of the revenue I would have some numbers but majority of the revenue still comes from caustic soda but let's say if you talk of, you want for the quarter for the full year?

Nirav Jimudia : No, sir full year would also help, because my calculation shows it could be anywhere between Rs. 700 crore to Rs. 800 crore, so if you can just verify that number that would be helpful.

Amit Agarwal: Ballpark I would say it is close to about Rs. 550 crore to Rs. 600 crore, which includes hydrogen as well.

Nirav Jimudia : Got it. And sir, is it possible to share similar percentage numbers for PBIT? What could be the contribution to the PBIT for FY '25 from these value-added products?

Amit Agarwal: I would not have it right away product wise. So maybe we can share with you separately.

Aditya Shriram : And directionally just to add to that, we run a completely integrated complex.

So we continuously optimize for profitability at a complex level. And with our

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new capacity having commissioned or getting commissioned the absolute number and percentage of the value-added product will increase in the current coming year and in the years to come.

Nirav Jimudia : I have few more questions, but I will join back in the queue. Thank you so much and wish you all the best.

Ajay Shriram : Thank you.

Moderator: Thank you. The next question is from the line of Punjan Shah from Molecule Ventures. Please go ahead.

Punjan Shah: So on the PVC side, so just wanted to understand on a brief part that we know there is subdued demand, as well as dumping from Chinese guys out there.

There is a delay in the implementation of ADD as well. So just wanted to know on a broader case if there would be an uptick in, let's suppose if we see demand uptick and inventory restocking, so then how the prices will evolve? It will go back to Rs. 70-Rs. 75 per kg or it will remain in the same range because of the dumping from Chinese guys?

Ajay Shriram: So I think, two things. One is good to see that the demand in India is consistently growing at 6%-7%-8% a year. So that's a stable position because of our domestic demand itself. And secondly, I think the anti-dumping duty issue has been in court for a long time now. The next hearing actually in Supreme Court is on the 9th, that's tomorrow. So the industry is taking that very actively to see that there is a rational view taken on bringing anti-dumping duty against China because they are dumping at very low prices because of their problems in the tariff wars across the world. So we are hoping to get some

benefits soon.

Punjan Shah: Then that benefit would be around Rs. 5 to Rs. 7 per kg if ADD gets implemented, right?

Ajay Shriram: I think it is difficult to say because we don't know what the government is. The industry has made the request based on the market prices, etc. And we will have to, I think wait and watch to see what the government agrees to.

Pujan Shah: Right. And sir, we have seen uptick in for Caustic Soda in November, December, there was some bit of a price realization in Jan and Feb and then again, it was seen an uptick. So do you think that this price which is prevailing right now and I am talking about the current price which is Rs. 38 - Rs. 40 which will prevail for the year because there is no addition of the capacity coming in FY '26 and additionally, there is some shutdown due to surplus capacity. So do you feel that this price will remain sustainable going forward and this ECU of Rs. 30 can be inch ed up due to impact of Chlorine, will be bit of a neutral?

Aditya Shriram: So, you are absolutely right that the prices have moved up and then have come down slightly, more recently. As we all know, there are many factors that go into determining the price. So it will be hard to predict the prices going forward. And as you rightly mentioned, there are new capacities, but large capacities are coming 1 year and 2 years from now. So there is still some time for that. But we do expect prices to remain healthy and remain firm.

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Moderator: Thank you. Ladies and gentlemen, you may press * and 1 to ask a question.

The next question is from the line of Surbhi from NV Alpha. Please go ahead.

Surbhi: Hi, thanks for the opportunity. The first question is regarding Fenesta. So you mentioned in your opening remarks that there were some higher fixed costs and higher sales expenses. So if you could quantify that and what kind of ad expenses are we going to do in FY '26, so some more color on that? And secondly, once our ECH plant commissions this year, hopefully what kind of utilization level do you see in the first year?

Amit Agarwal: See, on the fixed expenses for Fenesta, if we look at the full year as a whole, there has been i

ncrease, I think giving exact number at this stage may not be possible, but what is important to understand is that given the increased competition in this space and also the verticals that we are entering into, it will require us to spend more on sales and marketing and we will see, as we mentioned in the opening remarks as well, that we will continue to see elevated levels of expenditure on this account as well as on the people account as well. So that is point number one. Second, you mentioned about ECH. So ECH, we will be commissioning in phases. So the 1st Phase of commissioning will happen in June, early June, we should be commissioning. So for the year as a whole because it takes time for approvals and things like that, so we do see from the date of commissioning, we should be at an average utilization of around 40 %-45%, average for the year, but by the year end, we should be touching about 60 %-65% capacity utilization.

Surbhi: Got it. Just a follow up on Fenesta, if I understand correctly, ad expenditure was not as high, say same time last year or even few years back. So even as a percentage of sales, just to see what kind of push are we doing in that segment?

Vikram Shriram: Basically, the effort is to increase demand creation for especially for the new product lines of aluminum windows and also facades, and that is advertising on one side and fixed costs on the other because we put up the facades factory. The revenue is inching up slowly or picking up slowly, but it will take off in due course and the same is with the aluminum windows. uPVC has been a traditional product and that continues. From the cost side, there will be benefits of the backward integration of DNV and in due course benefits of the backward integration of extrusion that will help our cost competitiveness also and our supply chains will be much smoother, which have been giving trouble for the last year. And once the supply chains are in our own control, the supply chains will also, bottlenecks will also be out of the way.

Surbhi: Got it. Thank you so much. Thank you.

Ajay Shriram: Thank you.

Moderator: Thank you. The next question is from the line of Ahmed Madha from Unifi Capital. Please go ahead.

Ahmed Madha: Sir, good afternoon. As you know, we have been long-term investors. And specifically, my question is about the announcement you have made in March to evaluate reorganizing of the businesses into agri, building materials and the

chemical businesses , so it seems like a brilliant thing to do and we would like to congratulate you on the direction you are going. For us , it is still unclear. So
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if you can help subject of course to approvals that you all will seek, how is management thinking about people , capital , technology, what is the purpose of this? I know the purpose it says shareholder value creation. I was saying that the shareholder value creation objective has to be achieved through management action. So we would like to understand the actions that you have in mind in relation to people, technology, capital , go to market. How will separation of these businesses empower these businesses to compete better and make a meaningful impact and then eventually achieve shareholder returns ?

Amit Agarwal: Yes. Ahmed, see, the key objective of , so if you see what we had mentioned in the release also that what we are looking at is separating out the consumer facing business , right because currently , we have 2-3 consumer facing businesses on the Agri side and Fenesta. The objective is to separate them because they require very different mindset within the management as well rather than looking at it together . That is point number one. Second is having a different board for these companies and then these businesses which are, I would say , evolving and have grown over the last couple of years, they get adequate attention

and adequate expertise and third party, when I say third party, I mean more of experts to look at the businesses and provide inputs , right. The idea is that if I put it very simply, the child has grown up , now, it needs to fly on its own , right and probably will grow better, both in terms of technology, both in terms of capital because then it is open to take partnerships , open to form joint venture , open to do larger acquisitions. So it is a much wider new world for these entities to grow, and I think that is the perspective with which we have thought about separating the entities.

Ahmed Madha: So the Agri businesses will contain seeds, farm solutions and fertilizer is our understanding correct?

Amit Agarwal: No, not fertilizer, because that is not a consumer facing business. So yes, what we are exploring is from Agri input side both Bioseed and farm solutions. And on this side, on building material space, it is only Fenesta.

Ahmed Madha: And on the capital employed for each of these three companies, should we take the capital employed as a broad indicative number that you disclose in your accounts?

Amit Agarwal: Yes. So the only difference is yes, what you are saying is right, that is the capital employed in these businesses. But if you look at Agri businesses, the only difference is that these are closing capital s, which are always at their peak in March, given the seasonality of the business . Their average capital employed is lower.

Vikram Shriram: And Fenesta is investing currently . They have acquired DN V after the close of the year and they are investing substantially in backward integration in aluminum extrusion and in capacity enhancement . So the capital employed would go up during the course of this year. But then it would be followed by an increase in topline and bottom -line in the following years.

Ahmed Madha: And on people , besides the people who are running these businesses, do you feel these businesses now that they will be free to fly on their own will need new leadership, is that possible? And do you see the ability to align incentives of these leaders who come in as an important part of the objective ?

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Ajay Shriram : I think as a top management team of all our SBU's and businesses , we have a very strong leadership position. As a group and as a culture, we have focused a lot on people because we do believe our job as top management is to get the right person for the right job at the right time. We had to build the bench strength below our CEO's and ED's, and we have to have an organization structure which does justice for their running, maintenance and growth of the business. So our objective is that the business heads who are running our businesses will very much be there . If we need to supplement somewhere , we will do that. Though frankly speaking, the supplement requirements would be fairly low in my opinion right now because we have strong leadership and strong business teams running each of these businesses.

Amit Agarwal: So Ahmed, just to add, actually these businesses have been actually running as virtual companies for many years and that is how we work in this organization, all the businesses work as virtual companies. So they have their

strong architecture.

Ajay Shriram : Thank you.

Ahmed Madha: Yes, that is helpful. Thank you.

Moderator: Thank you. A reminder to all the participants that you may press * and 1 to ask a question. The next question is from the line of Vivek Rama krishnan from DSP Mutual Fund. Please go ahead.

Vivek Ramakrishnan: Sir, congratulations on maintaining balance sheet strength to this growth phase. S ir, my questions are in terms of CAPEX , how do you see the CAPEX in terms of amount for this year and next year ? And if you are planning to split the businesses , now the business is provided on the other side countercyclical stability , how

would you view the balance sheets of each of the businesses going forward? Thank you.

Amit Agarwal: So see , each of the businesses have a strong balance sheet. Yes, there will be some businesses which are heavy on capital employed. And again the reasons for that are different. Sugar is heavy on capital employed , primarily because of sugar inventory. Chemical on the other hand is heavy on capital employed because whatever CAPEX we have under taken in these recent past . Other businesses are not very heavy on capital. Now, really, we don't see any challenge on any of the businesses whether currently or going forward, that is point number one . Other , for the CAPEX this year , the CAPEX that we have announced till date, which should be about Rs. 500-Rs. 600 crore of project CAPEX that will be incurring in this Financial Year f or the group as a whole which is not very large .

Vivek Ramakrishnan: That is right.

Vikram Shriram: And we are looking at other opportunities also , which would be pursued and announced as they are taken up by the board .

Vivek Ramakrishnan: But we expect that the kind of balance sheet maintenance would be one of the pivotal ways you look at growing your business ?

Vikram Shriram: Yes, we would like to maintain the balance between balance sheet strength and leverage and debt and EBITDA . So we don't like to stress ourselves for
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the sake of growth and we would like to, if needed, spread it out a little bit. But we have managed to manage our balance sheet , solid balance sheet through up cycles and down cycles as would have been seen over the last 4 -5 years.

Vivek Ramakrishnan: Indeed, sir. Is there any guidance you like to give on deb t to EBITDA since you mentioned the number?

Amit Agarwal: So we would like to maintain it at around 2.5 x debt to EBITDA on sustainable basis.

Vivek Ramakrishnan: Great. Thank you so much and wish you all the best.

Ajay Shriram : Thank you.

Moderator: Thank you. The next follow up question is from the line of Nirav Jimudia from Anvil Wealth. Please go ahead.

Nirav Jimudia: Yes, sir. Thanks for the opportunity again. S ir, if you can share like in terms of for the chemical business , how we are placed in terms of the renewable power currently and how the scenario could look like over next 1 or 2 years in terms of the mix between the captive and the renewables ?

Aditya Shriram : So we have tied up 50 plus megawatts of renewable power. And we are very much committed to this journey of sustainability and having a larger per cent age of our energy coming from renewable sources. This is in B haruch and also we have tied up 68 megawatts of renewable power in Kota, which will be spread across multiple of the consuming plants over there. In addition, we actually consume a significant percentage of bio -mass in our power plants, which is also green power. So I think we are well on that journey and we are continuously exploring new opportunities to further enhance our tie -up for renewable, which is wind, solar power .

Nirav Jimudia: Correct. So sir, like from currently and o ver next 2 years, could the mix be 20 %-25% of our power could be coming from renewables could be a good assumption to make?

Amit Agarwal: See, currently as a group, we are 36% of our energy is green. Going forward, we should be touching around 40%.

Nirav Jimudia: Got it. On the expanded capacity ?

Amit Agarwal: Yes.

Nirav Jimudia: Got it. And the second question is on the Chlorine side . Sir, last time , when we have interacted over a call, you mentioned that like 18% of our Chlorine is getting consumed for value added products and 35 %-40% is what we sell

through the pipeline network. Sir, given the kind of situation currently where most of the players in the industry wants to have downstream products of Chlorine and the newer players who are also expanding, their Chlorine would be consumed

and mostly for their own downstream products like PVC and otherwise, could there be a situation going forward over next 2-3 years that with the Chlorine demand in the industry growing, this negative prices of Chlorine could start moving on a positive side. Could there be a scenario building on, your thoughts here?

Aditya Shriram: Yes. Thank you. I think directionally, what we are doing is we are trying to become more and more integrated and that helps us build more robustness into the entire business and Company and group. So with that perspective, we have been adding Chlorine downstream capacity and after our expansions are completed between our own captive consumption and our pipeline customers in Bharuch, we will be close to 55% Chlorine integrated along with our pipeline customers and they have also grown along with us as we have grown and we really value that relationship. So I think in terms of predicting the price, it is always hard to predict how the price will emerge in the years to come. But we do expect, we do hope actually that the Chlorine price overtime comes into the positive range, but we will have to see how it evolves.

Nirav Jimudia: Got it. And sir, this 55% what you mentioned including the pipeline customers, out of this 55%, how much would be required internally once all these expansions are completed, let us say, by Q1 of FY '27, what could be the proportion of captive Chlorine consumption within DCM?

Amit Agarwal: So see one is captive also, there are two ways to look at captive, just adding to what Mr. Aditya Shriram mentioned. Out of this, 55 was the component which we are consuming captively. There is another component of Hydrochloric acid because once you convert Chlorine into Hydrochloric acid, the solubility improves, so that improves my production for Caustic. So if we add that, so that is another about from current 18% that adds to another 10%, so we will be at 28% captive. And if we add pipeline to it, then another 30%-40%, 30%-35% gets added. Now, going forward, we will be around 44% captive including the HCL and then another 35% will be through pipeline.

Nirav Jimudia: Got it. And sir, just a last clarification, the HCL what you mentioned goes for our PVC production, right internally?

Amit Agarwal: No, it is both PVC and what we sell externally.

Nirav Jimudia: Got it, sir. Thank you so much.

Ajay Shriram: Thank you.

Moderator: Thank you. The next question is from the line of Ahmed Madha from Unifi Capital. Please go ahead.

Ahmed Madha: Yes. On the Fenesta side, we had a weak year this year and we understand there are a couple of reasons, one is an increase in the fixed cost and second is increase in the advertisement and marketing cost. So could you please explain is the gross contribution margin is same compared to last year?

Amit Agarwal: No, even the gross contribution margin will reduce, Ahmed, given the product mix. We have uPVC windows, aluminum windows, the share of aluminum windows has been increasing and then there are doors, facades. So the product mix also is changing. So that also leads to some reduction, but that is not very significant right now. Going forward, that can also change, right? But I think what is important is also going forward as we see to look at the absolute amount of EBITDA because if the business is growing, it continues to grow at 20% EBITDA.

Ahmed Madha: Got it. And could you please comment on the competition, we understand this space is very competitive and we have two divisions, Retail and Project and in Project business, there could be high competition. So is that the case we have been witnessing over last year or so?

Vikram Shriram: The competition has been always there and yes, it will increase, but our countermeasures by backward integration of aluminum extrusion and of hardware is going to make

us have a better cost position and better margins and better pricing power. So it is going to result in a higher topline also.

Amit Agarwal: And just to add Ahmed that we are now focusing a lot on more innovative products in the same category. Our focus would be to keep introducing newer

products, let us say the same uPVC, aluminum so which will also be a way to keep us ahead.

Ahmed Madha: And what would be your broad market share, if you can comment on that? And secondly, what will be the current business mix between the Retail business and the Project business?

Amit Agarwal: That mix would be close to about 50 -50.

Ahmed Madha: And on market share?

Amit Agarwal: Market share , in the whole window segment , we will be about 25 %-30%.

Ahmed Madha: Got it.

Amit Agarwal: Industry leader by far.

Ahmed Madha: Yes, sure. Another question on the Chlorovinyl segment, the way we segment the Chemical business and Vinyl business, we see there is slight change in the composition. So if you look at Vinyl business topline as reported last year is different for FY '24 compared to this year. So if you can explain a bit how are we classifying a few products in the chemical and vinyl business and secondly , on the same question , in terms of margins, if you could give some sort of a range , so that we can understand what will be the margin for Caustic , PVC business and for the balance derivatives and chemicals business?

Amit Agarwal: See the reason for the change in numbers, vis-a-vis last year for Vinyl, which you would have taken from our investor release, is what I am assuming is because earlier , we were reporting one of our subsidiaries which was into derivatives of PVC , which is the compounding business under our 100% subsidiary, Shriram Polytech Limited because for derivative of PVC, we thought it best to show it as part of vinyl segment. The turnover of that business is close to about Rs. 150-Rs. 200 crore actually . So that is the change. And there EBITDA margin would be in the range of around, I think around 10%.

Ahmed Madha: And for the other derivative business including hydrogen peroxide, aluminum chloride, that bucket, what will be the margin range currently?

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Amit Agarwal: See, as we mentioned, it is a Verbund there, it is complete integration right and there are transfer pricing mechanisms. So it is giving a margin may not be the individual margin may not be the right barometer. I think it is best to look at how the overall chemical business is fairing because there are these transfer pricing mechanisms for each of the products.

Ahmed Madha: Sure and on the Sugar business , say current sugar price is Rs. 41-Rs. 42 a KG, is it fair to assume that for the full year FY '26, our margins should be better than FY '25 ? Obviously this subject to other cane prices moves and the recovery is moved for next season , but your preliminary assumption will be the margins will improve in the current Financial Year?

Amit Agarwal: Assumptions, yes. What happens actually, we don't know. Ahmed, what you are saying is right . That is how it should be. But these markets don't work on fundamentals always.

Ahmed Madha: Yes, fair. We will see how it moves. And last on the CAPEX side from the balance projects which we have, what will be the CAPEX amount roughly for FY '26? And secondly, are there any timelines you have decided to enter the new business, Epoxy and Advanced Material business ?

Amit Agarwal: So for the total CAPEX , because we have completed a large part of the CAPEX last year and the expenditure also has happened. So I think for next year , it should be in the range of around Rs. 500-Rs. 600 crore what is committed and as we mentioned with the call that we are looking at more opportunities and therefore this number may go up within this year itself, but that is what we have right now, which is approved by

the Board.

Ahmed Madha: And Epoxy and Advanced Material?

Amit Agarwal: Yes, I am coming to that . On Epoxy and Advanced Materials , we have completed the land acquisition. So one part is there where we have completed land acquisition , we are in talks with technology suppliers for the technology, so we should have some developments in the next 1-2 months.

Ahmed Madha: And will the land parcel will be very adjacent to our new Caustic project like the new plant which we put last year and what will be the cost of land acquisition?

Amit Agarwal: Epoxy does not need a significant amount of land, but it is close to our current complex.

Aditya Shriram : And we have the environment clearances and everything in place. So we are ready to move as soon as we get final approval from the Board.

Ahmed Madha: Got it. And what will be your guesstimate for the CAPEX for the Epoxy business?

Amit Agarwal: What the Board is approved is around Rs. 1,000 crore for 80 kilotons per annum capacity , up to Rs. 1,000 crore.

Ahmed Madha: That is it. Up to Rs. 1,000 crore. Got it. Perfect. Yes, that is it from my side. Thank you so much.

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Ajay Shriram : Thank you.

Moderator: Thank you. I now hand the conference over to the management for closing comments.

Ajay Shriram : Thank you. Ladies and gentlemen, thank you very much for your participation in our Earnings Conference Call. Recognizing the ever evolving and increasingly complex global economic landscape, organizations today must embrace agility, innovation, customer centricity and sustainability at their core, to sustain growth and competitiveness . At DCM Shriram, we believe long -term success starts with our people and our values which are integrity, agility, customer centricity, teamwork, openness and newness. These principles shape our culture where we foster and engage collaborative workforce ready to innovate, adapt and thrive. We actively invest in our teams through continuous learning and skill enhancement. We are leveraging digital advancements to improve our ways of working to better serve our customers . This approach ensures we remain adaptive and forward -looking, creating value and optimizing operations. Thank you very much once again. Goodbye.

Moderator: Thank you. On behalf of DCM Shriram Limited, that concludes this conference. Thank you for joining us and you may now disconnect your lines.

Call: Jul 2025

29th July 2025

BSE Limited

Phiroze JeeJeeBhoy Towers,

Dalal Street,

Mumbai - 400 001 National Stock Exchange of India Ltd.

"Exchange Plaza",

5th Floor, Plot No. C -1, G Block,

Bandra -Kurla Complex, Bandra (E)

Mumbai - 400 051

SCRIP CODE: 523367 SCRIP CODE: DCM SHRIRAM

Kind Attn.: Department of Corporate Communications/Head - Listing Department

Sub. : Transcript of Investors' Earnings Call

Dear Sir /Madam ,

Pursuant to Regulation 30 read with Schedule III of SEBI (Listing Obligations and Disclosure Requirements) Regulations, 2015, please find attached Transcript of Investors ' Earning Call on the Unaudited Financial Results (both Standalone and Consolidated) for the quarter ended 30th June 2025 held on 23rd July 2025 .

Kindly take the above information on record.

The said Transcript is also available on the Company's webs ite i.e. , www.dcmshriram.com .

Thanking you,

Yours faithfully,

For DCM Shriram L imited

(Deepak Gupta)

Company Secretary & Compliance Officer

Encl.: As above

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DCM Shriram Limited

Q1 & FY '26 Earnings Conference Call

July 23, 2025

Moderator : Ladies and gentlemen, good day and welcome to the DCM S hriram Limited

Q1 FY '26 Earnings Conference Call .

As a reminder, all participant lines will remain in the listen -only mode and there will be an opportunity for you to ask questions after the presentation concludes.

Should you need assistance during the conference call, please signal the operator by pressing '*' then '0' on your touchtone phone. Please note that this conference is being recorded.

I will now hand the conference over to Mr. Siddharth Rangnekar from CDR India for opening remarks . Thank you , and over to you .

Siddharth Rangnekar : Thank you, Ryan . Good afternoon and welcome to DCM S hriram Limited's Quarter 1 FY '26 Earnings Conference Call.

Today we have with us Mr. Ajay S hriram – Chairman & Senior Managing Director ; Mr. Ajit Shriram – Joint Managing Director; Mr. Aditya Shriram – Deputy Managing Director; and Mr. Amit Agarwal – Group CFO of the Company .

We shall commence with remarks from Mr. Ajay Shriram and Mr. Ajit Shriram. Members of the audience will get an opportunity to ask their ques tions to the management following these comments during the interactive question -and-answer session.

Before we begin , please note that some of the statements made on today's call could be forward -looking in nature, and a note to th at effect has been included in the conference call invitation that has been circulated earlier and is also available on the Stock Exchange website s.

I would now like to invite Mr. Ajay S hriram to give us a brief overview. Over to you, sir.

Ajay Shriram : Thank you , Siddharth. Good evening , ladies and gentlemen , and a very warm welcome to all of you. Thank you for taking ou t time and joining us today to discuss the Company 's performance around 1st Quarter of Financial Year '26 Results .

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I shall commence with views on industry dynamics and our strategic direction , following which Ajit will share the financial perspective s.

The global economic growth projections continue to be lower. While headline inflation is soft across most regions, tariff-driven cost pressures and geopolitical rifts continue to challenge policymakers with significant risks to market disruptions. Many emerging and developing economies faced headwinds from reduced exports, lower commodity prices, tighter financial conditions and elevated debt burdens, putting the growth perspectives and development goals at risk.

While India is impacted by these global developments, there is higher resilience given the domestic demand, policy fundamentals and strategic fiscal interventions. The RBI's rate cuts and the government's continued support for infrastructure creation and manufacturing have created economic momentum. Our Company is well-positioned to benefit from India's growth and has over the years taken steps to fortify presence across its businesses. Our investments have been aimed at augmenting capacities and adjacencies through integration, optimizing costs and being competitive across business cycles.

We continue to leverage digital platforms to enhance customer experience, streamline operations and deliver more efficient services across all touch points. We remain committed to follow sustainability as a guiding principle in all our existing and proposed investments.

I will now share with you the industry dynamics across our businesses.

First, I will take up Chemicals:

With uncertainties on U.S. tariffs and deepening geopolitical conflicts, global caustic soda market was impacted with demand reducing from key end-use industries such as aluminum, textiles and paper.

China continued to participate aggressively in the international market, leading to oversupply. The prices of caustic soda that had reached about US\$500 per metric ton FOB last year have retracted to US\$450 per metric ton, signaling softness in prices.

India's caustic soda market continued to be oversupplied with current capacity of approximately 6.5 million metric tons operating at 80% capacity utilization.

Chlorine prices also have been under pressure owing to oversupply, coupled with subdued demand of chlorine derivatives. Our capacity utilization is 80% and is ramping up gradually.

We are also witnessing benefits in our cost-saving initiatives, especially in power. Hydrogen peroxide which goes in the existing caustic use segments like pulp and paper, textiles and water treatment is growing at a healthy rate.

We are focusing on building our market share. The plant is operating at about 65% capacity utilization. Our target this year is to reach over 80% capacity utilization.

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The trial runs of the ECH plant have started and the utilities like Glycerine purification et cetera are fully operational. We will be commissioning within this quarter and the capacity ramp up will happen within the next few quarters.

Our acquisition of Hindustan Specialty Chemicals Limited marks our foray into advanced materials and epoxy resin segments. The transaction is in line with our policy of growing into adjacencies through backward and forward integration. This acquisition shall help in giving us a jump start into this business and provide us a platform for faster growth.

Work on aluminum chloride and calcium chloride capacities at Bharuch continues as per timeline. In line with our objectives, our green initiatives and cost efficiency programs continue to underscore growth initiatives. The additional injection of 6.6 Megawatts of green power at Bharuch has started in this quarter, taking the total peak renewable power availability at Bharuch to 50 Megawatts. The 68-Megawatt renewable power project for Kota is progressing as per schedule.

The benefits

of the CAPEX programs in our chemical businesses have started showing results by providing volume-driven growth. Successful completion of the plans under implementation, along with capacity utilization reaching optimum levels shall further aid in this growth.

Vinyl:

Global PVC demand has remained subdued and global trends continue to indicate softer prices of PVC. While India remains a spot of confidence, supported by construction and agricultural activities, China continues to redirect surplus PVC to global markets, impacting domestic Indian PVC prices

negatively.

The Supreme Court's interim order has cleared the way for a comprehensive anti-dumping investigation into imports of PVC by DGTR, the Director General of Trade and Remedies, overruling the Gujarat High Court's stay. Once imposed, it will bring some respite to the low -cost import prices.

The cost structure in our vinyl business has improved. We will continue to optimize production between PVC and Carbide in order to derive optimal margins from this business.

Sugar and Ethanol :

Global sugar demand for sugar season '24-'25 is expected to be higher than the supply, leading to a reduction of 4 million metric tons in the inventory levels for the current year. This was mainly due to lower production in India over the previous year by 5.8 million metric tons.

The Indian sugar season '24-'25 is expected to end with a stock of 5.2 million metric tons with production estimate of 26.3 million metric tons after diversion of approximately 3.3 million metric tons for ethanol production , consumption of 28 million metric tons and export of about 1 million metric tons.

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Current prices are around Rs. 4 ,020 per quintal and are expected to remain range bound . The demand in Q1 was subdued and is expected to pick up in the coming quarter.

On the ethanol front, the Government of India is planning to increase the target of ethanol blending in petrol and start its mixing with diesel. As of 31st May 2025, ethanol blending in petrol has reached 19%. This bodes well for the ethanol industry.

However, in a regressive move, the UP government has recently leveled export fees on ethanol exported outside the state of Uttar Pradesh, retrospectively from 2018, in view of a judgment from the Supreme Court.

Further, the increase in sugar and ethanol prices has not fully compensated for the increase in sugarcane and grains ' prices for ethanol. These steps are regressive in nature and stall the growth of the industry.

In this back drop, it is important to review and over haul the sugar policy framework in order to make it remunerative in the long run for the farmers as well as manufacturers.

Our compressed biogas plant commissioned in March '25 is operating at about 90% capacity utilization.

Fenesta Building Systems :

The Company remains committed to expanding its market footprint by deepening the reach of its current offerings and broadening its portfolio through the development of new platforms. Our sales strategy is focused around enriching the customer journey through ensuring long -term sustainable growth. Meanwhile, our aluminum extrusion project is advancing as per schedule. We have successfully acquired 53% equity stake in DNV Global Private Limited, a Company operating in the hardware space. These strategic actions are said to reinforce our position as an integrated solutions provider in the building materials domain and support the creation of enduring stakeholder value.

Moving on, the Agri-Input Businesses portfolio comprises of Shriram Farm Solutions, Fertilizers, and the Bioseed business.

Shriram Farm Solutions :

This is a consumer -facing business, and it continues its growth momentum.

The Company 's growth trajectory was led by both robust volume expansion as well as better pricing . Demonstrating agility amid climatic fluctuations , the Company ensured timely d

employment of need -based solutions and introduced scientifically developed crop nutrition products that strengthened the crop tolerance to stress conditions.

Notably, in the current quarter, SFS has launched 8 new products in crop protection and specialty plant nutrient verticals, including 2 new products from our own R&D . The business continues to focus on its own R&D collaborations

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and exclusive arrangements to bring the new age products and global technologies to Indian farmers.

Fertilizer :

On the backdrop of early onset of monsoon, higher rain expectations and lower imports, the urea demand is expected to be healthy. As the stability in the urea industry persists , we are committed to energy efficiency and boosting

operational effectiveness. India has seen stable allocation to subsidies , translating into smoother transfers to producers.

Bioseed:

The Bioseed turnaround is gaining momentum, underpinned by a broader hybrid seed range, that is fueling growth across core sectors. The expansion in corn cultivation driven by attractive crop economies and rising ethanol demand, along with strong paddy performance has boosted overall results. However, cotton acreage is likely to drop for third consecutive year with organized sector in cotton seeds taking a deeper cut in volume.

I will now request Ajit to provide the financial perspectives . Ajit, over to you.

Ajit Shriram : Thank you. Good evening everyone. I will now take you through the financial highlights for the quarter.

Net revenues for Q1 FY '26 were at Rs. 3,262 crore versus Rs. 2,876 crore last year, an increase of 13% year -on-year. PBDIT for Q1 FY '26 was at Rs. 326 crore versus Rs. 274 crore in Q1 FY '25, an increase of 19% year -on-year.

Chemicals :

The business reported an increase in revenue of 43% year -on-year led by Caustic soda volumes that were up 20% on account of the new 850 tons per day facility that was made operational in May 2024. PBDIT increased by 68%, owing to lower input prices, particularly energy prices, and efficiencies from the 120-Megawatt power plant.

The excess capacities in India is creating pressure on product prices, especially chlorine . However, the downstream projects such as hydrogen peroxide and aluminum chloride, commissioned last year, has also supported the revenue growth. We expect volume -driven growth to continue with operationalization of our projects under implementation and capacity ramp -up.

Vinyl :

The vinyl business had flat revenue at Rs. 209 crore in the quarter versus Rs. 211 crore in the quarter last year. The volumes of both PVC and Carbide were higher. However, prices were down by 17% for PVC. Last year, there was a one-time positive impact of Rs. 16 crore each because of reversal of electricity duty on auxiliary consumption in vinyl as well as chemicals.

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Sugar and Ethanol :

Sugar and Ethanol business revenue, net of excise duty, was lower by 14% in the quarter. Domestic sugar volumes were lower by 23% due to lower offtake. Volumes of ethanol were in line. Prices for both ethanol and sugar were slightly better.

PBDIT for the segment was lower at negative Rs. 7 crore versus a positive Rs. 37 crore in last year as the increase in prices did not compensate for the increase in cost of production.

There was also a one -time negative impact of roughly Rs. 36 crore on account of provision for levy of duty on ethanol exported outside the state of UP effective 2018. The industry is exploring legal recourse against this levy.

Fenesta Building Systems :

Fenesta Building Systems' revenue increased 21% year -on-year, led by volumes across the project and the retail segment. The growth was better than the same period last year.

PBDIT for the quarter was similar to last year due to higher fixed expenses for setting up new adjacent businesses , higher marketing expenses and acquisition

related costs. We anticipate continued higher levels of expenditure to support the strategic scaling of our operations and our expansion into newer adjacencies. The order book continues to be healthy.

Shriram Farm Solutions :

Shriram Farm Solutions' revenue increased by 29% year -on-year supported by volumes across verticals, especially crop protection. The prices were also better across the verticals except slight moderation in crop protection vertical. PBDIT for the quarter was higher by 22% on account of better margins despite higher marketing expenses focused on strengthening of the Shriram brand and higher R&D expenditure.

Fertilizers :

The fertilizer revenue was higher by 19% year-on-year. PBDIT was also higher by 65% led by volumes and better energy efficiency as there was a maintenance shutdown in the last year.

In the current quarter, there is a one-time positive impact of roughly Rs. 24 crore on account of revision in the retention price of Financial Year 2023. Last year also, there was a one-time positive impact of roughly Rs. 20 crore on account of recovery of marketing margin. Outstanding fertilizer subsidy was at Rs. 236 crore as against 133 crore in the last year.

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Bioseed :

The segment saw a revenue increase of 30% year-on-year. Some of it, especially in Philippines, is a timing difference. PBDIT increased by 46%. The improvement is led by better margins across crop segments of corn and paddy. The Company's net debt at Rs. 1,481 crore as of June 30th, 2025 as against Rs. 1,459 crore as of June 30th, 2024.

Return on capital employed for June 2025 came in slightly lower at 13% as compared to 14% for June 2024, since CAPEX incurred on the projects will start yielding returns in the forthcoming quarters.

By maintaining rigorous financial discipline, we ensure a robust balance sheet that supports agile investments in strengthening existing and adjacent businesses, and cost-saving initiatives.

That concludes my opening remarks, and I request the moderator to please open the forum for the Q&A session. Thank you.

Moderator : Ladies and gentlemen, we will now begin the question-and-answer session.

The first question comes from the line of Nirav Jimudia from Anvil Wealth Management. Please go ahead.

Nirav Jimudia : Yes, good afternoon team, and congrats for the superb performance. I have few questions to ask on the Chemical side. Sir, when we see our Q1 performance for the Caustic Soda business, our PBDIT has improved by close to around Rs. 3.20 per kg as compared to Rs. 2.40 per kg in Q1 of FY '25. So, just wanted to understand like the PBDIT improvement of Rs. 3.20, was this eco-improvement of Rs. 2.40, the difference comes to around Rs. 80 paisa per kg. So, if you can just help us understand, was it all because of the savings in power or some fixed cost optimization also would have helped us in the improved performance?

Amit Agarwal : See the improvement in EBITDA is a function of 2 things essentially. One is the improvement in product prices, which as we mentioned have been better than last year.

Second is, the variable costs have been lower. The variable cost ballpark has been lower by about 10% to 12%. So, these are the 2 key reasons. And within variable cost, the major reason is the power cost. Power cost also had 2 components. One because the power rate was lower, given that the fuel rate was lower than same period last year. And the efficiencies, as was mentioned in the Chairman's message as well from the 120-megawatt power plant, that also acted. So, mix of quite a few factors.

Nirav Jimudia : Correct. And sir, when we have commissioned the plant for the expansion of 850 TPD caustic soda, and 120-megawatt power plant at Bharuch. Let's say before that our fixed cost was 100, how much our fixed cost would have gone up with the commissioning of these two ca

pacities?

Amit Agarwal : See, it's difficult to give you a number on by how much, pertaining to these 2 facilities. See, overall, the Chemical business is in a growth mode. Therefore, again it has to hire for newer capabilities, like for example, if we are looking at

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growing in Epoxy, the capabilities for Epoxy were hired almost about a year back, at least the critical capabilities. So, it's a mix of creating the entire infrastructure of capabilities, and as we are in growth mode, these expenses will go up overall.

Nirav Jimudia : Got it. Got it. And sir, just an add-on on this, like just we divide the production volumes, possibly we would have required 220 megawatts of power for our Caustic Soda business in Q1 of FY '26. So, what was the mix of power between the renewables and our captive power plant?

Amit Agarwal : So, our renewable average that we get in Q1 was about 24-25 megawatts against the total requirement. So, what we produced during the quarter averaged at about 2,200. Yes, you are right. So, therefore, that only about 25-26 megawatts came from renewables.

Nirav Jimudia : Correct. Sir, second question is on the Epoxy side, like the acquired asset has

a capacity of 17,000 tons. So, it is all predominantly the LER capacity or does it also include some downstream capacities as well?

Aditya Shriram : You are right. Yes, it does include some downstream capacity as well. But again, this would be the starting point for us , and we will use this acquisition for entry into the business and also for further growth. So, we expect to grow the capacities relatively soon.

Nirav Jimudia : Correct, correct. Sir, one of the interview statements you also mentioned that we intend to almost triple our capacities for the Epoxy business. So, given the kind of expansion what we are looking at, what could be the timeline one could expect on for this expansion , a), and b) What sort of CAPEX would be required if we decide to go ahead with the expansion?

Aditya Shriram : So, it will be hard to share some of those details at this point, but the team is evaluating various technologies , and various capacities , and once the Board approves these expansions, that will be announced.

Nirav Jimudia : Got it. Sir, last bit from my side, if you can share the market size of LER as well as the specialized Epoxy market in India, that would be very helpful.

Amit Agarwal : See, the total market size of the liquid Epoxy resin and its formulations put together, is about 200 kilotons per annum as on date , and expected to grow to about 300 in the next 3 years.

Nirav Jimudia : Got it, sir. Thank you so much, sir, and wish you all the best. I will join back in the queue for further questions.

Ajay Shriram : Thank you.

Moderator : Thank you. We take the next question from the line of Ahmed Mad ha from Unifi Capital. Please go ahead.

Ahmed Mad ha: Thanks for the opportunity, sir, and congratulations on a good set of numbers. I will carry the question of the Epoxy side. Can you give a little more explanation and detail regarding the business on few aspects? One is, you mentioned about the increase in capacity, but what we understand is there is enough

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supply in India to sort of cater the domestic market. So, how do you see the export side of the Epoxy and what countries, if you can give some sense, how you are pursuing the business in terms of increasing the capacity and utilizing it?

And secondly, how much of the ECH, which we have planned capacity, will be used internally? Yes, so that's my question on Epoxy .

Aditya Shriram : So, Epoxy , you are right, there is an adequate supply of Epoxy in the market right now. But what we are seeing is that there is a healthy growth in the market for Epoxy . So, as was mentioned already by our CFO, we expect the demand for Epoxy to go up from roughly 200 kt to 300 kt per annum in the next 3

to 4

years. So, I think that will help in absorbing the increased capacity, which we will also be coming up with.

Additionally, we will, of course, focus on domestic demand, but we will also focus on exports. So, we will cater to the global market. And I think with our cost structures being relatively competitive, and we will have to closely monitor the tariffs that are being levied across globally, I think it positions us well for growth in the years to come.

Amit Agarwal : Ahmed , just to add, lot of capacities in Europe, from players like Huntsman, Westlake, Olin, they are being proposed to be shut down, especially the liquid Epoxy resin facility. And they probably would like to focus more on formulation. So, that will also make liquid Epoxy resin from India , a global product.

And further, a lot of these wind manufacturers are coming to India to manufacture blades and things like that. So, I think there's a lot of growth which is expected to happen within the Indian market , and global market for India to be a key player.

Ahmed Mad ha: Got it. And can you answer on the epichlorohydrin part, what percentage we will be using internally , and roughly what kind of margin range you think is sustainable in Epoxy business?

Aditya Shriram : So, I think it will depend as our capacities grow. Currently, it will be a smaller percentage of our ECH , which will be consumed captively. But as we expand our capacities for Epoxy , then a larger percentage of the ECH will be consumed captively. And therefore, we will grow ECH as well in the times to come. So, this is a growth vertical for us. It will be a dynamic number. But the advantage of being across the value chain , helps position us reasonably well for this business.

Ahmed Mad ha: Got it. On the margin improvement part, you explained about the cost structure

in terms of reducing whole cost as well as variable cost. I had a question on the increase in the captive chlorine consumption. So, if I do the numbers, your caustic volumes are of 20%, but if I look at the value-added business in the caustic chlorine segment, it looks the number is up 70 %-80%, because we have commercialized new capacities for aluminium chloride, hydrogen peroxide, and so on. So, in terms of percentage terms, has our chlorine captive use increased materially in last 3 to 4 quarters? If you can quantify the percentage number or you can even give from the base of 100, how it has moved?

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Aditya Shriram : So, we actually look at it in 2 parts. One is the captive chlorine consumption directly, but secondly also is our pipeline customers. So, in the last 30 odd years, we have grown, and our pipeline customers have also grown. They are our valued customers, and we have a very strong relationship with them.

So, after the current expansions, we expect approximately 40% of our chlorine to be consumed captively in Jhagadia, in Bharuch, and approximately 30% will be with pipeline customers. So, roughly 70% across captive and pipeline customers will be consumed in the complex.

Ahmed Mad ha: This 70% includes the commercialization of ECH as well?

Aditya Shriram : Yes, that is right.

Ahmed Mad ha: Okay, got it. And in March, we had a Board meeting regarding the corporate restructuring, and we had some update in last call as well. Would you like to comment how the timelines are shaping up? How is the discussion going on with the Board level? If you can give some sense at what level we have reached, and when can we assume that it will be formalized?

Ajay Shriram : See, this is under discussion with the Board level as well as internally our own Management, on this entire exercise. It is a major exercise, where our finance team and other teams are working with consultants and others. What is the best way? What is the best time? How can we take it forward as rapidly as possible? So, we are hoping in the next few months, we

will take it up to the

Board for their approval and then apply to the government for various permissions and clearances, which is a fairly lengthy and complicated process. But we hope in a couple of months to take it to the Board.

Ahmed Mad ha: Okay, got it. Last question on the epichlorohydrin part, we had the delay of nearly 2 years. If I go back to the original timelines, but is it fair to assume that all the process related, component related issues have been resolved, and it will be fully commercialized from Q3 or do you think still 1-2 pieces are yet to be done?

Aditya Shriram : Yes, so the timeline for completion of the project has been longer than what we had originally anticipated. But we are happy to note now that we have started trial runs of the plant, and we expect to announce commissioning in the next couple of weeks, and then ramp up in the next few quarters.

Moderator : The next question comes from the line of Pujan Shah from Molecule Ventures. Please go ahead.

Pujan Shah : Hello, thanks for the opportunity, sir. My first question pertains to the PVC side. So, in the industry perspective, we have seen there was a hike of Rs. 3.5 per kg in April and May. While in our PPT, we are mentioning there is a price correction of 17%. So, I am not able to gauge it. So, can you just please correct my understanding?

Amit Agarwal : So, see PVC prices have been soft. If you see in our presentation itself, we have mentioned that PVC prices from April onwards. Actually, if you look at even Q4 of last year, where they were very good in January, 76,000 and then 78,000, and they came down in April and May. May they came down to 66,000, 67,000. So, they are currently continuing at that level.

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Pujan Shah : Sir, just wanted to understand that if there was a price hike of Rs. 3.5 per kg, so can we just read out that price increase has again come back to the same level as there is a continuous dumping from the Chinese end?

Amit Agarwal : See, one, I am frankly not aware of this price hike, because these prices what we are giving you, we are also giving you the international prices as well and the Indian prices as well. But yes, you are right, the major reason for this is the continuous dumping from China, and the delay in imposition of anti-dumping duty in India.

Pujan Shah : And sir, today's outcome, we have seen there is a precursor has been announced from the DGTR for the ADD purpose, and soon might it get

converted into a final finding. So, just wanted to understand in a broader perspective that how much PVC prices from Chinese. And I understand the duty may be varied from country to country, but just wanted to understand as the dumping continues from China. So, if ADD comes, so what could be the industry pricing, like it would be around Rs. 73, Rs. 74 per kg. And if it happens, what margins which we will be able to pertain? So, it will be a break-even or flattish around 1% to 2% EBIT level or how we should read on that part.

Ajay Shriram: Well, frankly on this issue of ADD, what you said is right. DGTR in fact has made out the report today. And they have actually now made it public today or they are going to make it public this evening or tomorrow, and waiting for I think maybe a week, 10 days to get feedback on that report.

Thereafter, it is expected this report will go to the finance ministry. And the finance ministry, we hope, will take action on it quickly. As you are aware, there is a court case also being filed by one of the users.

And there, the issue in that is that they are talking or they had talked about a couple of grades of PVC. So, the industry is saying that the decision on the grades of PVC has to be taken by the DGTR. They are the ones who are qualified and educated to understand the various grades and the uses of those grades.

So, that has now come to the DGTR. They are taking action on it. We

sincerely

hope that in the next couple of weeks' time, it goes to the finance ministry.

And from there, then they take action, so that we are protected. Our expectation is that the price increase should be in the range of at least Rs. 6 to Rs. 7 rupees a kilo to start with, once the ADD comes in. Which all countries they bring it in, we are not sure as yet. But I think China is the main concern right now for the industry, which we are working on with the government.

Moderator: Pujan, I will request you to please join the queue. Thank you.

We take the next question from the line of Raj Vyas from TM Investment Technologies Private Limited. Please go ahead.

Raj Vyas: Thanks for the opportunity, and congratulations on a good set of numbers. So, I guess last time you had given a revenue guidance of around 10%-15%, right, and I guess margins were around 11%-14%. So, for FY '26, for the remaining

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quarters, do we see the numbers in line or we are making some bit of changes to the top line as well as in the margins?

Amit Agarwal: We do expect our numbers to be in this range for the rest of the year. Especially Q3 and Q4 should help us make up, because there is seasonality in our business. So, Q3 and Q4 should help us make up the deficit.

Ajay Shriram: But I just want to add, ladies and gentlemen, that you are seeing the geopolitics of the world. You are seeing the way the U.S. is moving on their trades, on their tariffs, and they make 1 level today and another 1 tomorrow. So, we are hoping that India can come to some agreement with the U.S. on at least some fundamental trade terms. So, we have some stability in policy. Otherwise, the uncertainty is very high.

Raj Vyas: Okay. So, coming to the tariff point, like how we are looking at the Chemical business, because in the press release, we have mentioned that the global caustic soda supply chain is disrupted because of the tariff. So, how we are looking things presently, currently, how it is shaping, because it will shape up for next quarter's performance as well.

Aditya Shriram: So, as we have shared, there is unpredictability going forward for all types of businesses, including for caustic soda. India was not exporting any caustic soda directly to the US, neither was China exporting any caustic soda directly to the US. So, there is no direct impact, but there will be second-order and third-order effects in terms of the demand from the consuming industries, including aluminum, or if China exports more to other countries, which it has started doing, so that impacts the global flow of caustic soda. So, we will have to see how this all plays out, but fundamentally, if the demand supply remains balanced, then we expect it to be a reasonable situation for the coming quarters and years.

Raj Vyas: Okay. So, lastly, my question is with respect to the acquisition that we have made in Hindustan Speciality Chemicals. So, though it was a loss-making company, so why we have picked up a loss-making company? And the second question with respect to same is, when do we see the company break even, coming to profitability in numbers?

Aditya Shriram : So, for us actually, this is a strategic decision and a strategic acquisition. The board had approved previously that we will be investing a thousand crore into the advanced materials, which is the epoxy business. So, this is the first major step in that direction. You are right that today some of the cost structures of this organization are not optimal. Luckily for us, with all the backward integration that we have, we will have our own ECH, which will move by pipeline ; we have our own caustic, which will move by pipeline ; utilities, which are at optimal cost. So, these initiatives or these advantages will help us improve the cost structure for the company. And as we grow, so we will look to grow, so with growth, we will get benefits of scale,

we will cater to new markets, which are higher value-added markets. So, we expect this to become an important starting point for our advanced materials business.

Raj Vyas : Understood. So, that's it from my side. Thank you for answering my questions.

Ajay Shriram: Thank you.

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Moderator : Thank you. We take the next question from the line of Vignesh Iyer from Sequent Investments. Please go ahead.

Vignesh Iyer : Thank you for the opportunity. My two questions are from the Shriram Farm Solutions Vertical. So, firstly, sir, if I am not wrong, we had launched around 7 to 8 products last financial year under this segment. I wanted to understand how much percentage of our total revenue has come from, I mean, especially this growth part of 29% volume has come from our new product launches.

Amit Agarwal : Yes. So, the way to look at the new product launches is, as you rightly said, we have launched about 17 products in Crop Protection and Crop Nutrition Vertical. In Seeds Vertical, within that business, we keep launching new products to maintain the life cycle of seeds and to add to the revenue. Now, within Crop Protection and Crop Nutrition, these new products that are launched, they obviously take time to gather momentum, which is about, let's say, it takes about one to two years to gather momentum. So, the way we assess and benchmark our success of new products is how they performed over the products which have been introduced in the last two, three years, what has been the revenue of that. Now, that is, if I see in FY '25, for the full year basis, that was about 20% of the products that were launched in last two years. Now, that's a very good benchmark. So, generally, industries put that benchmark at about 20 % to 30% of the revenue. So, we are pretty much there. And we are getting more aggressive on that. So, out of those 17 products, 8 products were launched in Q1. So, yes, we have got a good pipeline. So, we look forward.

Vignesh Iyer : Also, sir, wanted to understand our capital employed base has almost doubled when it comes to Shriram Farm Solutions. So, I wanted to understand, is it primarily because of any new capital expenditure that we have done or is it because some part of R&D expenses are getting capitalized?

Amit Agarwal : So, it is neither of the two. It is essentially all working capital. And it depends on the seasonality and various factors of the business. So, they will all be, on an average basis, we will be more or less at the same level as last year. But the point is, since we are growing the business, let's say, we are expecting higher volumes in research, So, overall, higher volumes in the business and therefore, the working capital also is higher, along with some bit of timing differences.

Vignesh Iyer : Okay. I am considering that Q2 is the strongest quarter among all quarters. And do we have enough idea of how the business would be in Q2? Primarily because of that, any inventory, stocking, etc. Is it the right way to read it?

Amit Agarwal : If I understood you correctly, you mentioned Q2 is the strongest quarter for SFS, right?

Vignesh Iyer : Right.

Amit Agarwal : But actually it is Q3 which is the strongest quarter because some of its major products get sold in Q3, Rabi season.

Vignesh Iyer : Okay, got it. That is all from me.

Aditya Shriram: Thank you.

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Moderator : Thank you. We take follow-up questions from the line of Nirav Jimudia from Anvil Wealth Management. Please go ahead.

Nirav Jimudia : Sir, thanks for the opportunity again. Sir, two clarifications. One on the value-added products for the caustic chlorine business. So, what does it all include? If you can just correct me here. My assumption shows that it also includes our

flaker plant, hydrogen peroxide, the hydrogen what we sell in the outside market, and chlorine derivatives. So, is it the right assumption

on to work with?

Aditya Shriram: Yes, that is right. Absolutely that is right. So, the chlorine downstream would be epichlorohydrin, aluminum chloride, calcium chloride.

Nirav Jimudia: Correct. And, sir, what would be a rough contribution from these value-added products in Q1 of FY '26?

Amit Agarwal: See, I don't have the numbers right away, but just to mention that caustic and flakes, they continue to be the major contributors, and hydrogen; these three products continue to be the major contributors. Others that we recently introduced, so they are going through their life cycle of market development and capacity ramp-up.

Nirav Jimudia: Sir, second question is on the chlorine realizations for Q1 of FY '26, because last quarter you mentioned that it was close to around Rs. 6.50 negative. So, if you can share the similar figures for this quarter as well?

Amit Agarwal: So, that's about a similar level. On average, if you put both our Kota and Bharuch units together, it's in the same range of around Rs. 6.50 -Rs. 7.00 as for Q1.

Nirav Jimudia: Correct. And, sir, last bit is on the ECH plant. So, what I could make out from the annual report is that we are also having our own refined glycerin plant. So, we would be importing the crude glycerin, converting it into refined and then possibly to ECH. So, I just wanted to understand from you, what sort of benefits it could accrue to us if we hadn't put up this plant and would have bought directly the refined glycerin without converting crude to the refined one. If you can share your thought process here, it would be very helpful.

Aditya Shriram: Sure. So, there is a margin which comes in when you convert from crude glycerin to refined glycerin. So, in a way that is like a backward integration for us. So, we hope to capture that margin as well and then do further value addition to ECH and to epoxy and beyond. So, we will actually be across this value chain.

Nirav Jimudia: Sir, is it safe to assume that it accrues close to around anywhere between Rs. 5-10 depending upon the prices of both the products put together. On a run rate basis, the benefit of Rs. 5 to Rs. 10 per kg is a benefit which could accrue to us if we keep on converting crude to refined glycerin. Is it the right assumption to make?

Aditya Shriram: I think it will be hard to share an exact range of numbers at this point. But yes, it enables the business to be much more robust and allows us to optimize our purchase decisions.

Nirav Jimudia: Got it. Thank you so much, sir and wish you all the best.

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Aditya Shriram: Thank you.

Moderator: Thank you. We take the next question from the line of Rohit Nagaraj from B&K Securities. Please go ahead.

Rohit Nagaraj: Thanks for the opportunity and congrats on a good set of numbers. Sir, first question is in terms of the capital allocation. Now, we have also gone ahead with downstream integration in terms of the inorganic initiative. How are we looking at it from an individual business perspective where the incremental capital will likely be deployed? And in regards to that, are we building up any capabilities in-house to get into maybe further or making inroads into certain other streams or other areas? Thank you.

Amit Agarwal: See, the capital allocation, for us the capital-intensive businesses are essentially chemicals and sugar and ethanol. So, these are the two capital-intensive businesses. The other two businesses which are more focused in terms of growth are Farm Solutions and Fenesta. There, the capital requirement is lower. So, that is point number one. The second is the capital allocation can be for organic or inorganic route. And it will all be a function of need of the business or growth agenda and the return. So, we have particular financial principles or the hurdle rates before we make an investment. So, the capital allocation, so there is fundamental wh

ich is chemicals, sugar and the

other two businesses. But then each of the businesses can have the capital requirement depending on the opportunity and that becomes the basis to decide. But we want to grow all these four businesses very aggressively.

Rohit Nagaraj: Got that. The second question, historically, we have been only focused from the domestic market perspective given all business segments have been

catering to the domestic market. Is there any change in terms of thought process that we are also looking at the exports market? And what gives us confidence that we will be able to make our mark in the exports market in any of the product streams? Thank you.

Amit Agarwal : So, see again, that is again based on the opportunity like what we mentioned in Epoxy, we do see export market picking up. And therefore, we have invested in Epoxy and we feel that some part of our production will get into exports. But yes, we will still continue to be largely a domestic player whatever product we have right now. But we are open to opportunities for exports. Like in Fenesta, we are growing our exports market in a small way. In Seeds, we are growing our export market. So, we are looking at those opportunities. But yes, majority still continues to be domestic.

Rohit Nagaraj : Thanks for answering all the questions and all the best, sir.

Moderator : Thank you. The next question comes from the line of Sneha from SKS Capital. Please go ahead.

Sneha : Hello, sir. Thank you for the opportunity. I just wanted to ask a very specific question regarding the UP tax on sugar that you talked about. Could you elaborate on that a bit more and how much impact did we see? And was it for like the companies who are based out of UP? What is the thing that I wanted to understand that?

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Amit Agarwal : So, there was a nine (9) bench Supreme Court judgment in a particular case wherein the Supreme Court decided that the denatured alcohol, which is ethanol is kind of denatured alcohol, is at par with the potable alcohol, which is fit for human consumption. So, they have put in the same list, which empowered the state to levy charges on or regulate the denatured alcohol as well. Earlier, the denatured alcohol was in control of the center. So, as soon as the judgment came, which also reversed a judgment which came in 1990. So, the UP State Government, they came out with a notification to levy 1% export duty on any ethanol, which is exported out of the State of Uttar Pradesh with a retrospective from 2018. So, that's where it stands. Now, we are looking at the legal recourse if available. So, we will take it accordingly as an industry.

Sneha : So, this was the first quarter we were impacted by that?

Amit Agarwal : Yes, because we made a provision on a conservative basis because the demand also was raised by the state. Also, we have not paid the demands. But on a conservative basis, we thought we will account for it from 2018. So, this entire amount that we have mentioned in our results, about 36-37 crore, pertains to amount from 2018 onwards till date.

Sneha : That's it from my side. Thank you so much.

Moderator : Thank you. We take the follow-up questions from the line of Ahmed Madha from Unifi Capital. Please go ahead.

Ahmed Madha : Thanks for the opportunity again. The Farm Solution business, I had a question. What I understand as our portfolio today is still majority wheat and rabi focused. Is there any thinking on building a Kharif crop portfolio and any views on the same please?

Ajay Shriram: Our entire range of products of seeds, we are expanding it continuously. So, at the moment, wheat is, of course, the major crop. Research wheat, which is the major crop which we are selling, but we are also getting into vegetables in a stronger way. We are also getting into other crops in a stronger way. So, our plan is to have a range of products which will be

able to be sold throughout the course of the year, depending on the seasonal requirements based on the planting season. So, we are going to expand our range. We are moving ahead with that. And that's part of our growth plan.

Amit Agarwal : And if I may just add, it is also that there are two other verticals which we want to grow little more aggressively than what they are right now. So, even plant nutrition, where we set up our own manufacturing about a year back and crop protection. There also we started our own formulation unit on a lease basis. So, I think we will focus on them as well to grow a little more aggressively. So, I think that will balance out the revenue quarter on quarter.

Ahmed Madha : And for the CAPEX part, obviously we made two good acquisitions for Hindustan Specialty and DNV Global. On the organic side with the renewable power plant, aluminum chloride capacity and Fenesta, what will be the broad organic CAPEX expected in FY '26?

Amit Agarwal : So, you are saying in terms of the cash outflow on organic CAPEX?

Ahmed Madha : Yes, cash outflow.

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Amit Agarwal : Yes, so that should be in the range of around Rs. 600 crore to Rs. 700 crore.

Ahmed Madha : Can you give the break-up of the same, if possible?

Amit Agarwal : See, about Rs. 300 odd crore is on aluminum chloride and calcium chloride.

And I think about Rs. 100 crore should be on aluminum extrusion and then there will be few others.

Ahmed Madha : Okay, got it. That's it from my side. Thank you so much.

Ajay Shriram: Thank you.

Moderator : Thank you. We take the next question from the line of Pujan Shah from Molecule Ventures. Please go ahead.

Pujan Shah : Sir, just continuation with the previous question. So, let's suppose I understand the carbide. We manufacture PVC from the carbide route and let's suppose the RM prices remain the same. And let's suppose the ADD comes through the place and let's suppose the hypothetical example that the price of what we have assumed of Rs. 6 - Rs. 7 per kg becomes a realization for us. So, do you think that we can make an EBITDA margin of 5 %-7% on a blended basis assuming capacity utilization remains 100%?

Amit Agarwal : Yes. So, see, even today, even in Q1, my EBITDA margin was about 7%. So, I think it should only increase from here by about 4 %-5% if the prices grow by Rs. 6 – Rs. 7.

Pujan Shah : Okay. So, there won't be any hike in the RM for the PVC, right? Right now, because for the enough capacity has been available for RM purposes. So, that makes better sense so that at least our EBITDA margin would reach around 10%-11% once ADD comes into place.

Amit Agarwal : See, in our business, both input prices are largely the carbon prices. It's anybody's guess that what they should be. We would always expect them to be stable. So, it's very difficult to say whether RM prices will remain at these levels or not. We do work on improving efficiencies and improving our cost structures. But input rates can vary.

Pujan Shah : Right, got it. And my last question on the caustic soda part. So, we have seen a price increase. So, could you state a reason? So, do you think it's a structural and that this price would be stable from here on or it might impact because the industry is already running at 80% capacity utilization and we are also operating at 80%. Now, the industry does not have more room to at least grow i.e. increase in the capacity because that will give more chlorine and that will impact the margins ultimately. So, do you feel that the price will remain stable from here on and might inch -up in the coming quarters?

Aditya Shriram: So, it's of course hard to predict how prices will evolve for commodities including caustic soda . There are many factors including domestic and global factors at play. But we do expect prices again in the medium term to be range bound or to move up in the medium term.

Pujan Shah : Okay, tha

nk you so much. That is all my side.

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Moderator : As there are no further questions, I would now hand the conference over to the management for their closing comments.

Ajay Shriram: Thank you. Ladies and gentlemen, thank you very much for your participation in our earnings conference call. In a world marked by economic fragmentation, shifting trade flows and geopolitical instability, businesses must remain agile and forward -looking.

Our company is well positioned to capitalize on these strengths. We have consistently invested to expand capacities, improve integration and enhance competitiveness across sectors. We harness digital platforms and embedding sustainability across operations . Our recently concluded CAPEX program sets the stage for the next chapter of volume -driven profitable growth , anchored in operational excellence and a strong balance sheet. Thank you very much once again.

Moderator : Thank you. On behalf of DCM Shriram Limited, that concludes this conference. Thank you for joining us and you may now disconnect your lines.

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Mumbai - 400 051

SCRIP CODE: 523367 SCRIP CODE: DCMSHRIRAM

Dear Sir /Madam ,

Pursuant to Regulation 30 read with Schedule III of SEBI (Listing Obligations and Disclosure Requirements) Regulations, 2015, please find attached Transcript of Investors' Earning Call on the Unaudited Financial Results (both Standalone and Consolidated) for the quarter and half year ended 30th September 2025 held on 30th October 2025 .

Kindly take the same on record.

The said Transcript is also available on the Company's website i.e.,

<https://www.dcmshriram.com/>

Yours faithfully,

For DCM Shriram Limited

(Deepak Gupta)

Company Secretary & Compliance Officer

Encl: As Above Sub : Transcript of Investors' Earnings Call

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DCM Shriram Limited

Q2 FY '26 Earnings Conference Call

October 30 , 2025

Moderator: Ladies and gentlemen, good day , and welcome to DCM Shriram Limited Q2 F Y '26 Earnings Conference Call. As a reminder, all participant lines will be in the listen - only mode, and there will be an opportunity for you to ask questions after the presentation concludes. Should you need assistance during the conference call, please signal an operator by pressing star then zero on your touch -tone phone. Please note that this conference is being recorded.

I now hand the conference over to Mr. Siddharth Rangnekar . Thank you , and over to you, Mr. Rangnekar .

Siddharth Rangnekar: Thank you, Renju. Good evening and welcome to DCM Shriram Limited's quarter 2 and first half FY '26 earnings conference call . Today , we have with us Mr. Ajay Shriram, Chairman and Senior Managing Director; Mr. Ajit Shriram, Joint Managing Director; Mr. Aditya Shriram, Deputy Managing Director; and Mr. Amit Agarwal, Group CFO of the company.

We shall commence with remarks from Mr. Ajay Shriram and Mr. Ajit Shriram.

Members of the audience will get an opportunity to ask their queries to the management following these comments during the interactive question -and-answer session. Before we begin, please note that some of the statements made on today's call could be forward -looking in nature, and a note to that effect has been included in the conference call invitation that has been circulated earlier and is available on the stock exchange websites.

I would now like to invite Mr. Ajay Shriram to give us a brief overview. Over to you, sir.

Ajay Shriram: Thank you, Siddharth . Good evening, ladies and gentlemen, and a very warm welcome to all of you. I hope you all had a great festive season. I will commence with perspectives on the business environment and the strategic updates, post which Ajit will share views on the financial performance.

The global economy continues to demonstrate resilience amidst persistent volatility and evolving policy landscapes. While recent quarters saw growth holding above recessionary thresholds, headline risks such as higher tariffs, renewed policy

Page 2 of 17 uncertainty, and ongoing geopolitical disruptions remain critical factors, continuously reshaping the outlook.

Although inflationary pressures are set to moderate further, downside risks from the trade frictions, supply chain disruptions, shifting alliances, and fluctuating financial markets persist. India has stood out, given strong anchors of domestic consumption and structural reforms. The GST 2.0, constituted in late September,

brings down tax burden on an array of goods, thereby enhancing affordability and stimulating consumption.

RBI too is taking adequate steps to complement the government to spur growth.

The growing confidence in the country's economic and growth trajectory, improved financial metrics, and modest external vulnerabilities is underlined by succe

ssive

foreign rating upgrades. While U.S. tariff presents immediate headwinds, the crisis also gives an opportunity to driving supply chain upgrades, the push for value - added manufacturing, and a greater alignment with alternate global partners.

DCM Shriram remains well set to gain advantage in this environment, given our augmented product mix in key business segments, and attention to efficiencies and cost optimization. In today's fast -paced business world, we are focused on making our businesses more agile. We plan to grow our core and existing businesses by integrating our operations, both by securing our supply chains and getting closer to our customers.

This is making our business stronger, reduce risks, and give us a competitive advantage in a tough market. With a view on underlining long -term growth, we continue to support sustainability as a core principle across our initiatives, processes, and endeavo urs. I shall now invite your attention to industry dynamics across our businesses.

First is Chemicals .

Globally, caustic soda continues to experience growth driven by demand from industries like alumina, textiles, and chemicals. The industry is, however, facing challenges like fluctuating prices due to economic factors, geopolitical uncertainty, and increased energy costs in regions like Europe.

While demand remains strong in Asia Pacific, supply chain disruptions and regulatory impacts are creating a mixed global outlook. Indian caustic soda market continues to be oversupplied, with current capacity of ~6.5 million metric tons

Page 3 of 17 operating at about 75%. Chlorine prices also have been under pressure, with impacted demand of chlorine derivatives.

U.S. tariffs are not likely to have a direct impact on caustic. However, an indirect impact cannot be ruled out due to chlorine down streams and consuming industries like alumina, textiles, dyes, and agrochemicals. Overall, prices are expected to remain range -bound.

Domestic hydrogen peroxide demand is presently at 220,000 tons per annum and growing at a steady rate of 5 % to 6%. Domestic market remained oversupplied, with ramp -up and commissioning of new capacities coupled with cheap imports from Bangladesh of around 25 ,000-30,000 tons per annum. Our hydrogen peroxide plant has stabilized and we have now started working towards capacity ramp -up and value additions in our products.

We have commissioned 35,000 tons per annum Epichlorohydrin facility at Bharuch in the current month. Further, we are confident of operationalizing balance 17,000 tons per annum capacity shortly and ramp -up will happen in the next few quarters. ECH market is looking strong with good domestic demand and a strong sizeable global trade across the geographies.

We are working to expand our sales network to competitive markets like the U .S. and EU. We have taken full control of Hindusthan Speciality Chemicals Limited in August '25. HSCL acquisition will accelerate our growth into advanced material segments while also supporting caustic capacity utilization.

The Board has approved a proposed acquisition of Salt w orks with an installed capacity of 2.1 lakh metric tons per annum in the state of Gujarat, closer to our Bharuch plant, at an investment of approximately INR175 crore. This will also involve certain regulatory approvals. The acquisition presents a strategic opportunity to backward integrate one of the key raw materials for the business and it will meet around 13% of our total salt demand.

We will continue with our endeavo ur to explore more such opportunities. These acquisitions and projects exemplify our strategy of integrating our business operations with the objective to capture larger value chain through forward and backward integration. Work on aluminium chloride , calcium chloride capacities at Bharuch and the 68 megawatt green power project at Kota continue as per Board approval.

nyl

Global demand for PVC remains sluggish, driven by limited growth in residential construction and infrastructure requirements and pricing stays soft. You saw soft demand in line with summer holidays with largely stable prices. Chinese sentiment also stayed soft given weaker downstream requirements.

India demand was lower by 8% in the quarter versus last year, owing to the wettest monsoon in over a decade. The imports during the quarter were impacted in view of impending anti-dumping duty announcement. The DGTR has released PVC anti-dumping duty final findings in the month of August proposing varying duties on PVC resin imports, with the duty ranging from \$122 to \$177 per metric ton.

The implementation may take about a month or two to get notified by the Ministry of Finance. With the end of the monsoon season, domestic demand for PVC and carbide is expected to improve with the resumption of construction activities and agricultural demand.

Sugar and Ethanol

Global sugar supply over demand for sugar season 2025-'26 is expected to be a surplus of approximately 4 million metric tons mainly due to expected surplus production in India by about 3 million metric tons.

The Indian sugar season '25-'26 is expected to end with a stock of 8.5 million metric tons with production estimates of 31.5 million metric tons after diversion of ~3.5 million metric tons for ethanol production and consumption of 28.4 million metric tons. Current prices are around INR4,070 per quintal and expected to be range-bound.

The government of Uttar Pradesh has announced an SAP increase of INR30 per quintal of sugarcane for the next season. This will support sugarcane farmers and improve crop economics. Given the inventory levels and increase in costs in the next season, there is a need to support sugar prices with incentivized exports, as well as minimum selling price of sugar along with reducing the country liquor obligation.

On the ethanol front, as of 30th September 2025, ethanol blending in petrol has reached 19.17% and is on course to achieve target at 20%. The industry continues to contest the export levies on ethanol which is exported outside Uttar Pradesh with the matter being heard in the courts. Further, the industry is taking up matter of

Page 5 of 17 lower allocation of ethanol by OMCs for sugarcane based ethanol at 28% vis-à-vis 34% in the last season along with increase in prices and ethanol blending.

Fenesta Building Systems

We are strategically increasing market presence by enhancing our portfolio in the building material space and increasing our reach to ensure everlasting experience for our customers. Fenesta continues to deliver volume growth while the margins are seeing a realignment on the back of change in the product portfolio. Our recent acquisition of DNV Global allows us to expand our range placing us as an integrated solution provider within building material space. Meanwhile, our aluminum extrusion plant project at Kota is advancing as per schedule.

Moving on, the agri-input business portfolio comprises of Shriram Farm Solutions, fertilizers and the Bioseed businesses.

Shriram Farm Solutions

Shriram Farm Solutions first. The SFS business continues to deliver double-digit top-line growth with healthy margins. The growth is driven by volumes across the crop protection and seeds vertical with our research wheat seed further strengthening its leadership position.

Our continued focus is on innovation led by the launch of three new products in Q2, including two developed through our in-house R&D under the speciality plant nutrition segment. With improved soil moisture owing to heavy rainfall towards the quarter end supporting Rabi sowing, farmer sentiment remains positive. We continue to maintain focus on R&D collaborations and exclusive partnerships to bring global new age products to farmers in India.

Fertilizer

Urea business continues to be

stable, and the company continues to make efforts towards improvements in energy consumption, maximizing urea production, as well as control on fixed costs. Subsidy payouts are regular as per budget allocation by the Government of India.

Bioseed

Bioseed business has taken a strategic domestic channel shift by reducing focus on low margin institutional businesses. We continue to focus on research driven portfolio of hybrid seeds. This year, with excessive rains, Kharif corn volumes were

Page 6 of 17 impacted. Cotton was also significantly impacted due to low prices, as well as another unregulated variety in the market. The business is positive towards Rabi crops owing to healthy rainfall in the current monsoon. I will now request Ajit to provide the financial perspectives. Ajit, over to you.

Ajit Shriram: Thank You. Good evening everyone. I will now take you through the financial highlights of Q2 and H1 FY '26. Net revenues, net of excise duty for Q2 FY '26 were at INR3,272 crore versus INR2,957 crore in Q2 FY '25, an increase of 11% year-on-year driven by the Chemicals, Fenesta and Shriram Farm Solutions businesses. PBDIT for Q2 FY '26 was at INR408 crore versus INR235 crore in Q2 FY '25, an increase of 74% year -on-year.

Chemicals

The business reported an increase in revenue of 50% year -on-year led by caustic soda volumes that were up 22% on account of the new 850 tons per day and flaker plant capacity utilization and also better prices. New projects commissioned in the recent years that is hydrogen peroxide, aluminum chloride and refined glycerine also supported the growth. PBDIT increased by 195% owing to lower input prices coupled with operating efficiencies that led to the improvement in cost structure. The segment continues to see good demand of caustic, however excess capacity in India is creating pressure on products especially chlorine. There was a significant positive impact of INR76 crore on account of subsidy from Government of Gujarat in relation to projects that were commissioned in FY 2017.

Vinyl

The revenues increased by 15% year -on-year on account of higher volumes despite subdued prices in the current period. PBDIT was lower at INR12 crore , as compared to INR16 crore last year due to lower prices despite better operating efficiencies due to power and carbon material.

Sugar and Ethanol

Sugar and Ethanol businesses revenue net of excise duty was lower by 6% year -on-year. Volumes of both Sugar and Ethanol were down by 9% and 13%, respectively. In both the cases it is a timing difference. Prices of sugar were up 5%. PBDIT for the segment came in at INR33 crore as against INR14 crore last year. In Q2 FY '26 there was a significant positive impact of INR15.5 crore on upward revision of power tariff by UPPCL with effect from April 1, 2024.

Page 7 of 17 Fenesta Building Systems

Fenesta Building Systems revenues increased by 28% year -on-year with project verticals leading the growth. PBDIT for the quarter was slightly up by 2% and margins were lower. This was due to product mix and higher fixed expenses for setting up of new revenue platforms, higher marketing expenses and enhancing capacities.

Shriram Farm Solutions

Shriram Farm Solutions revenues increased by 27% year -on-year supported by volumes in research wheat and crop production verticals. Prices were also better across the verticals. PBDIT for the quarter was higher by 47% on account of better margins in research wheat despite higher marketing expenses focused on strengthening of the Shriram brand and higher research and development expenditure. There was an early start to the research wheat sales hence this has an element of timing difference.

Fertilizer

Fertilizer revenues were down 8% year -on-year. Volumes were up 2% while realizations were low by 10%. Gas prices were down at \$13.3 MMBTU in Q2 FY '26 versus \$15.3 MMBTU last year. Consequently, PBDIT was a

Iso down 18% in

the quarter. Outstanding fertilizer subsidy was at INR187 crore on 30th September 2025 as against INR12 crore last year.

Bioseed

Bioseed revenues for the quarter was at INR86 crore as against INR159 crore last year. Being a seasonal business, it should be analyzed on a half yearly basis wherein the revenue stood at INR370 crore versus INR377 crore in H1 '25. PBDIT for H1 '26 stood at INR35 crore versus INR47 crore last year . The decline in PBDIT is partially a timing difference, as well as lower volumes of cotton and corn.

Coming to the highlights of H1 FY '26, for the half year ended 30th September, 2025, revenue net of excise duty was at INR6,534 crore , an increase of 12% year -on-year, contributed by all the businesses with slight moderation in Sugar and Ethanol and Bioseed businesses. PBDIT came in at INR734 crore , an increase of

44% year -on-year, led by Chemicals and Shriram Farm Solutions businesses. The company's net debt at INR773 crore as on September 30, 2025 as against INR302 crore as on September 30, 2024 and INR1,395 crore as on March 31,

Page 8 of 17 2025. The year -on-year increase was because of capital expenditure over the last one year, acquisitions made during the period and increase in urea subsidy. Over March 25, the decline is primarily because of reduction in sugar inventory. Return on capital employed for September 2025 came in at 15%, similar to the levels last year. The Board announced an interim dividend of 180%, amounting to INR 56.14 crore . As our key investments in the chemical segment approach completion, our strong balance sheet, robust cash flows position, as well as to pursue value chain opportunities aligned with our core businesses. We are optimistic about maintaining healthy and stable growth in the future. That concludes my opening remarks and I request the moderator to please open the forum for Q&A. Thank you.

Moderator: Thank you. The first question comes on the line of Ahmed Madha with Unifi Capital. Please go ahead.

Ahmed Madha: Yes, thanks for the opportunity. I have a few questions. To start with the Farm Solutions business, the Q2 was very strong. Is it fair to assume there is some pre -buying or channel inventory filling for the next quarter's performance in Q2? Is there any pre -buying that sort of a trend has been playing out, or is this organic for Q2 and the season is ahead of us?

Ajay Shriram: Well, in Shriram Farm Solutions actually on our wheat seeds, every year we do have a pre -sale. That is part of the strategy we adopt. Because we have to give an advance even for the purchase of seeds from the farmers who source and grow it for us, as well as from the entire dealership network whom we sell the seeds to. So we do have a pre -sale, which is part of our business strategy.

Ahmed Madha: Okay. Understood. Regarding to the Hindusthan Chemicals acquisition, can you give some sense of the contribution? I know there has been just 1 month of consolidation. But what was the contribution in Q2 from the business in terms of revenue as well as I am assuming there will be some losses? So, that contribution will help. And secondly, how do you see the ramp -up happening for the epoxy plant in the near future and even probably next year or so?

Amit Agarwal : So, Ahmed, the acquisition was completed on the 26th of August, 2025. So the company was with us for only about a month. And as informed earlier, the company was making losses under the previous management. So it will take us some time to turn it around. We do expect that by this year -end, we should turn it around and we should be breaking even by the year -end.

Page 9 of 17 Ahmed Madha: Understood. But what will be the run rate of losses one should assume for the next two quarters, roughly?

Amit Agarwal : Marginal, not very significant, Ahmed.

Ahmed Madha: Okay. And in terms of utilization levels, we should be opera

ting at 40 -50%

utilization or higher, lower, any range, that would be helpful.

Aditya Shriram: The capacity itself is currently not a very large capacity. So, with the strong leadership team that we have in place, we expect it to reach close to full capacity utilization of its current capacity. And then we are working on internal plans and once the Board approves, we will then look at expanding the plant.

Ahmed Madha: Okay, in terms of salt fields we have acquired, can you give some sense of what kind of cost benefits can we achieve from this? And also, what can be the peak production of salt for us? And unit economics in terms of advantage you get per ton, something of that sort can help?

Amit Agarwal : Well, Ahmed, what is most important to understand in this salt acquisition is that given that we foresee that in future salt will be scarce, the objective is to protect ourselves from the price volatility and as well as to secure the supplies. So that's the fundamental thing. Now coming to margin, see, one, it is still a very small salt acquisition because as we mentioned, it is covering only 13% of our total requirement.

But still answering your question, the ballpark margins as we saw, because we are new to this business, but the ballpark margins as we saw, if I remember correctly, the margins that they earn are in the range of around 30% types, 30% -40%. But we still have to see what the actual is. I mean, we have not even acquired, we have just signed the definitive agreements. But we should get the cost advantage definitely.

Ahmed Madha: Okay. And for us, the current cost of acquisition from salt will be what? Realization

it will be somewhere around 2,000 per ton, something of that sort?

Amit Agarwal : Yes, so the current prices of salt, if we go take it from the market, are in the range of 2,300 per ton. Yes.

Ahmed Madha: 2300 per ton, okay. Got it. Lastly, on sugar business, I mean, if we consider everything around, probably economics will be better for next season, but again, the sugarcane prices have gone up. Would you like to give some sense how you are looking at sugar business as a whole?

Page 10 of 17 And in terms of exports, you have mentioned in the call, in the press release, but considering the prices in the exports market, do you think exports will be remunerative? Just broad things on your views on the sugar business as a whole will be helpful. Thank you so much.

Ajit Shriram: See, given the additional production or surplus production this year, we do expect government to allow an export of about 2 million tons. So that is one, which will, you know, also give support to prices. But our request to the government is that they need to incentivize exports as well.

Given that the export prices are, you know, exports today, they would be around INR38 -INR39. So therefore, I mean, they are lower than domestic prices. That also needs to be incentivized. You see, these developments are new. SAP came in only day before yesterday. Things will evolve. So we'll get to know how things will pan out in the business. But yes, we will have to look at more policy advocacy to help the business.

Moderator: Thank you. Mr. Madha, please rejoin the queue for more questions. Next question comes from the line of Nirav Jimudia with Anvil Wealth. Please go ahead.

Nirav Jimudia : Yes, sir. Good afternoon and thanks for the opportunity.

Ajay Shriram : Good afternoon.

Nirav Jimudia : I just wanted to understand from you, like, since we have recently commissioned 800 TPD caustic soda plant, I believe they would be all comprising of newer electrolyzers. So I just wanted to understand, like, how frequently we need to change the electrolyzers for the older ones because as they become old, they start consuming the higher amount of power.

So, A, on that, and B, let's say, if we change those electrolyzers whenever they are coming up for the change, what sor

t of advantage we get in terms of savings in

power cost and also the fixed cost once our caustic soda capacities are ramped up, if you can share your thoughts here.

Aditya Shriram : So, the electrolyzers have a critical part called the membrane. These membranes are replaced every 4 years. So that is standard practice across the industry. And the rest of the electrolyzer components, which is known as the cathode and anode, is replaced every 8 years. Again, this is standard practice for the industry.

And typically when we do, you're absolutely right that there is some increase in power consumption as time goes by. So whenever we do this replacement, it has a

Page 11 of 17 good return of its own in doing that replacement. And in any case, the team, you know, is technically working on how to optimize and ensure that the power efficiencies are optimal even over the course of 5 years.

Nirav Jimudia : Got it. And, sir, generally, because we have a total capacity of, let's say, close to around 2,750 TPD of caustic soda spread across both the locations. When can we see, let's say, out of that, because 850 has been recently commissioned. So, let's say, for the balance capacity when are those old membranes or let's say cathodes and anodes are coming up for replacement and normally when we do such exercise, what sort of capex we need to incur to replace them?

Amit Agarwal : Yes, so see these are very operational aspects. Frankly, I don't have the number right a way.

Ajay Shriram : Membranes are changed periodically. We've got at the moment between both the plants, you would have almost 30, 35 electrolyzers. So the changeover happens periodically depending on the aging of each electrolyzer. So it's an ongoing process. And this is a cost which is like a replacement cost, which one has to do to maintain the plant efficiency. And one doesn't do it based on return. One does it based on the efficiency one is getting. When you reach a particular level, you just have to change it. So these are ongoing activities which is there across the board in any caustic soda plant.

Nirav Jimudia : Got it, sir. Fair point. Sir, secondly, let's say, out of our current requirement of 225 megawatts for our caustic soda current utilization, last time you mentioned that we were around 25 megawatts so far as the renewables is concerned. So how do we see this share of renewable power moving in FY27 and 28? And generally, what is

the difference between, let's say, the grid power or the captive power generation through coal and what we source through a renewable power? If you can share your thoughts here?

Aditya Shriram : So just very fundamentally, sustainability is a very key part of our thought process. So in all our efforts and businesses, we are always seeing how to be more and more sustainable. So the direction of increasing renewable energy, whether it is through wind, solar, whether it is through use of biomass in existing power plants, we are continuously focusing on that, whether it is at our Bharuch site or at our Kota site.

We are actively exploring further tie -up. We have already tied up approximately 68 megawatts of power which is due to come into our Kota site. And we are actively

Page 12 of 17 exploring further opportunities. So as and when that is approved by the board, we will be able to share that.

Nirav Jimudia : Got it. And what difference if you can share in terms of per unit cost between, let's say, the grid as well as coal and the renewables?

Amit Agarwal : Yes, I'll give you the order of priority. Obviously, the grid is most expensive followed by coal and then renewable. Renewable is the cheapest, but one has to remember that when we take renewable, we also need to take grid power. So the average has to be looked at. So that's the flow of cost.

Nirav Jimudia : Got it. Sir, one of the statements in your opening remarks, you mentioned that we have seen a strong ECH demand

d in India, more possibly because of maybe the commissioning of, let's say, the recently commissioned Kukdo chemical epoxy plant, as well as by the existing two players who also expanded their epoxy capacities.

So I just wanted to understand from you, like with the filing of anti -dumping duty request with DGTR, can you share your thoughts in terms of the demand for epoxy in India as well as how much of the cheaper imports are coming to India, which is actually pursuing us to file that anti -dumping duty?

Ajay Shriram: I think there's a clarity here. The anti -dumping duty is for PVC and ECH.

Nirav Jimudia : I think for liquid epoxy also we have filed an anti -dumping duty. Industry has initiated. So I was just trying to understand from epoxy point of view, because ECH ultimately depends upon the utilization levels of epoxy. So I just wanted to have your thoughts on the epoxy part?

Aditya Shriram : Yes. So the current domestic demand for LER, liquid epoxy resin is in the range of 200 KTPA and we expect it to reach 300 KTPA by FY28. So we see a healthy demand growth in the epoxy, in the advanced materials business. So what we have done with an ECH plant and an acquisition in the epoxy space is we are getting more and more vertically integrated.

And we expect that with the demand increase, as you rightly mentioned of existing epoxy players as well, that the demand for ECH will continue to be robust. So we will be completing our commissioning of the entire capacity. There might be other competitors who will continue to put up capacity of ECH as well, but we expect it to be absorbed in the market with this increase in the epoxy demand.

Page 13 of 17 Moderator: Thank you. Mr. Jimudia , please rejoin the queue for more questions. Next question comes from the line of Pujan Shah with Molecule Ventures. Please go ahead.

Pujan Shah: Thanks for the opportunity, sir. My question it is, so recently we have been hearing a lot about this anti -involution policy from Chinese.

Ajay Shriram: Can you kindly just repeat what you are saying? I'm sorry, we can't understand. If you are a speaker phone, can you just get on to a without the speaker handset or something? I'm sorry, we can't understand.

Pujan Shah: Am I clear now, sir?

Ajay Shriram: Please go ahead.

Pujan Shah: Yes, sir. Recently we have been hearing about this anti -involution policy by these Chinese. And we are also hearing off that they are also including PVC. So do you see a long -term structural change in terms of pricing stability going forward? Because we have been seeing a weakness in dumping from the Chinese guys. And I just want to understand the context that if it happens what percentage of capacity will get shut down, which will help to at least stabilization in terms of pricing?

Ajay Shriram: This you are referring to PVC?

Pujan Shah: Yes.

Ajay Shriram: Okay, well, actually speaking today India imports almost 60% of its PVC requirements. So our production and our local manufacturing is fairly low. And you

may have heard in the next three, four years, we expect Reliance as well as Adani Group also putting up PVC plants. So I think then the domestic production capacity will go up, but it will actually still not meet the total requirement, because the PVC requirement was going up 7%, 8% a year.

So with that sort of a growth, I think the efficiency of industry is most important. And you're right, what we are taking up also, as I mentioned earlier that there is dumping going on of PVC. That's where we have moved with the government very aggressively with anti-dumping duty, hopefully that will come shortly.

That will give the domestic industry some protection from dumping, vis-à-vis what they sell in their own markets. And I would say frankly with geopolitics of the world, it's very difficult to predict what's going to happen in a commodity business down the line. With the duty structures, taxes

and each country looking at what's best for

Page 14 of 17 them. So that's where I think the government of India is fully aware also. That's how the anti-dumping duty issue has come up for PVC and we expect that to come into force, hopefully in the near future.

Pujan Shah: Okay, got it. And can you just quantify what is the chlorine negative pricing currently per kg?

Aditya Shriram: So the current chlorine price is in the range of minus 7,000, minus 8,000.

Pujan Shah: Okay, minus 7,000, minus 8,000. Okay. And should we expect to remain range-bound because ultimately as we have been flooded with the capacity and we are operating at 75%, if we ultimately go to 80%, we will ultimately, we have a challenge to dispose the chlorine. So do you feel this 7,000, 8,000 would remain range-bound or do we expect much more negative to go once the capacity gets ramped up by other players?

Ajit Shriram: We actually expect that over time the demand for chlorine downstream products is increasing broadly linked to the GDP growth rate. So we expect the demand for chlorine to increase. So over time, we actually expect the prices to improve. They might still remain in the negative range for some time, but it will be a lower negative number that we expect going forward.

Pujan Shah: Okay, sir. Thank you so much. That's all my questions.

Ajay Shriram: Thank you.

Moderator: Thank you. Next question comes from the line of Rohit Nagraj with B&K Securities. Please go ahead.

Rohit Nagraj: Sir, the first question is on PVC. So in our presentation, we have mentioned that the imports were impacted during the quarter because of the impending ADD. But normally what we see that before the ADD comes into force, there is incremental dumping, and that usually keeps the inventory buildup in the system. So what is your understanding of the current inventories in the domestic market and why particularly these imports have been impacted during this quarter? Thank you.

Amit Agarwal: See, I would not have the inventory in the system right now. However, the key reason why the imports got impacted, one was that there was shrinkage of demand, as was mentioned in the CMD's message as well, because of the rains. Second also was because ADD was supposed to be imposed, and if they enter the country and it is imposed, then there is a challenge.

Page 15 of 17 So it was largely from that perspective that it was very close to the date of the imposing of ADD is when people were apprehensive to import. So it is more about, not about people supplying from China, it is more about people importing in India who were apprehensive and therefore they were not placing orders.

Rohit Nagraj: Sure, sure. That's helpful. And the second question on ECH, given that domestic there is an overcapacity and probably all the players will have to find some exports market. Which in all are the geographies where we are looking at in terms of the exports for some of our quantities? Thank you.

Aditya Shriram: So currently ECH is not in oversupply in the domestic market. There is adequate demand in the domestic market. So we expect demand for ECH to continue to grow, as you mentioned earlier, due to the epoxy growth rate as well. So I think it is in a favorable position for the times to come. However, we are still exploring all markets and there will be some export opportunities as well. And we are exploring across globally and wherever we are able to get the right kind of pricing, we will look at that.

Rohit Nagraj: Sure. Thanks a lot and all the best, sir.

Moderator: Thank you. Next question comes on the line of Vignesh Iyer with Sequent Investments. Please go ahead.

Vignesh Iyer: Hello. Thank you for the opportunity. So my question is on the chlorine utilization. If

you could share what our chlorine utilization was for Q2, our pipeline utilization plus our downstream.

Aditya Shriram: So actually chlorine

utilization or chlorine integration is a very core part of our strategy because that often becomes a constraint across the industry. And we are focusing very actively on that. For that purpose, we have already commissioned aluminum chloride plant. We have commissioned our ECH plant. In Kota, of course, we have PVC and SBP. And further, we are expanding aluminum chloride and we are also putting up calcium chloride capacity. And the ECH capacity will also become fully operational.

So in the coming two quarters, we actually expect our chlorine integration to reach a level of about 45% across both our Bharuch and Kota sites. And in addition to that, actually, we have grown over the last many decades along with our pipeline customers, along with their growth as well and it's a very strong strategic partnership that we have.

Page 16 of 17 And our pipeline consumption, therefore, is also approximately 30% in our Bharuch site. So overall, about three -fourths of our chlorine will be integrated in the form of either captive use or pipeline use or strategic contracts.

Vignesh Iyer: Okay. Got it. So 75% utilization is more or less what is the levels as of now, right? Combined.

Aditya Shriram: Yes. We will reach that level in a couple of quarters.

Vignesh Iyer: Right. A couple of quarters. Got it. Sir, my second question is on Shriram Farm Solutions. I wanted to understand, I mean, there is a 27% growth in this quarter on the revenue part of it. So for the H1 part of it, I just wanted to understand can we share the data on what is the contribution coming from the new products versus contributions from the other products? I mean, if you could share the mix.

Amit Agarwal : So see, the new products which we have launched in the last two to three years, almost 20 products is what we have launched across categories, whether seeds, plant nutrition, and crop care. Out of that, the good part is that eight products have been from our own research in our plant nutrition business. So that's the kind of launches that we have made in the last two to three years. And the revenue from these new products is in the range of around 20% of our total revenue. And as we understand from the industry, that's a good benchmark to be at 20%, 25% of the new products introduced.

Vignesh Iyer: Got it. That's all for my side. Thank you.

Moderator: Ladies and gentlemen, as there are no further questions, we have reached the end of question and answer session. I would now like to hand the conference over to the management for closing comments.

Ajay Shriram: Thank you. Ladies and gentlemen, thank you very much for your participation in our earnings conference call. As protectionist policies rise across developed economies, Indian corporates must respond, not with resistance, but with reinvention. The long -term answer lies in building strength from within through digital transformation, innovation, self -reliance and global adaptability.

We as a company continue to evaluate investment opportunities in adjacent businesses, areas that support innovation and which enable us to capture a larger value chain while keeping sustainability as the core principle of investment. Thank you very much once again.

Page 17 of 17 Moderator: Thank you. On behalf of DCM Shriram Limited, that concludes this conference. Thank you for joining us. You may now disconnect your lines.

Call: Jan 2026

29th January 2026
BSE Limited
Phiroze JeeJeeBhoy Towers,
Dalal Street,
Mumbai - 400 001 National Stock Exchange of India Ltd.
Exchange Plaza,
5th Floor, Plot No. C-1, G Block,
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SCRIP CODE: 523367 SCRIP CODE: DCMSHRIRAM

Dear Sir /Madam ,

Pursuant to Regulation 30 read with Schedule III of SEBI (Listing Obligations and Disclosure Requirements) Regulations, 2015, please find attached Transcript of Investors' Earning Call on the Unaudited Financial Results (both Standalone and Consolidated) for the quarter and nine months ended 31st December 2025 held on 23rd January 2026 .

Kindly take the same on record.

The said Transcript is also available on the Company's website i.e.,
<https://www.dcmshriram.com/>

Yours faithfully,

For DCM Shriram Limited

(Deepak Gupta)
Company Secretary & Compliance Officer

Encl: As Above Sub : Transcript of Investors' Earnings Call

Page 1 of 16
DCM Shriram Limited
Q3 FY '26 Earnings Conference Call
January 23 , 2026

Moderator: Ladies and gentlemen, good day, and welcome to the DCM Shriram Limited Q3 FY '26 Earnings Conference Call. As a reminder, all participant lines will remain in the listen -only mode, and there will be an opportunity for you to ask questions after the presentation concludes. Should you need assistance during the conference call, please signal the operator by pressing star then zero on your touch -tone phone. Please note that this conference is being recorded.

I will now hand the conference over to Mr. Siddharth Rangnekar from CDR India for opening remarks. Thank you, and over to you, Siddharth.

Siddharth Rangnekar : Thank you, Ryan. Good evening and welcome to DCM Shriram Limited's Q3 & 9M FY26 earnings conference call.

Today we have with us Mr. Ajay Shriram, Chairman and Senior Managing Director, Mr. Vikram Shriram, Vice Chairman & Managing Director, Mr. Aditya Shriram, Deputy Managing Director and Mr. Amit Agarwal, Group CFO of the Company.

We shall commence with remarks from Mr. Ajay Shriram and Mr. Vikram Shriram. Members of the audience will get an opportunity to ask their queries to the management following these comments during the interactive question and answer session.

Before we begin, please note that some of the statements made on today's call could be forward -looking in nature and a note to this effect has been included in the conference call invitation that has been circulated earlier and is available on the Stock Exchange website.

I would now like to invite Mr. Ajay Shriram to give us a brief overview. Over to you, sir.

Ajay Shriram: Thank you, Siddharth.

Good evening, ladies and gentlemen and a very warm welcome to all of you. Wishing all of you a very happy new year.

I will begin with perspectives on the business dynamics and the strategic imperatives, following

which Vikram will share views on the financial perspectives.

The global landscape is currently defined by what can be called a 'Great Realignment', where we are witnessing a transition from globalization to regional resilience as well as new global trade re-alignments. Extreme geopolitical shifts, tightening financial liquidity, rapid technological disruption and the weaponization of trade through selective tariffs have created a volatile supply chain for industries.

Page 2 of 16 Amid this turbulence, India is not unaffected but is resilient. Our nation's trajectory —powered by a massive infrastructure build-up and a demographic dividend that is actively converting into consumption and entrepreneurial energy—provides us with a robust foundation to navigate external headwinds with strategic poise. Recent reforms under the labour codes align us better as a country with global standards on social inclusion, health and safety of the workforce while driving scale and formalisation of the economy.

The RBI conti

nues to actively complement the government's growth agenda through calibrated monetary easing, liquidity support, and a strong focus on financial stability.

In a period marked by fluid market dynamics, DCM Shriram remains firmly positioned to navigate the operating environment ahead with confidence. This strength is anchored in a diversified and strengthened product portfolio across our core businesses and a sustained emphasis on efficiency and cost discipline. As the business landscape continues to change, we are thoughtfully enhancing the agility of our operations to build resilience, manage risk, and reinforce our competitive position. Guided by a long-term perspective, sustainability remains the bedrock of our decision-making; it is the lens through which we evaluate every investment, ensuring that we generate not just immediate returns, but enduring, multi-generational value for all our stakeholders.

I shall now invite your attention to industry dynamics across our businesses.

First is the Chemicals Business

Globally, caustic soda market is operating at around 80% utilization, with world-wide annual installed capacity of approximately 106 million tonnes. While demand is strong in regions like Asia-Pacific, the industry is also facing challenges like fluctuating prices due to economic factors, geopolitical uncertainty, and unsustainable energy costs in regions like Europe.

Domestic caustic market fundamentals remain stable. Looking ahead, we see a two-faced outlook: -growing structural demand from industrial end-markets versus short-term volatility from global supply chain disruptions. However, chlorine prices have been under pressure. Caustic soda and chlorine downstream customers have been impacted by geopolitical factors, including tariffs.

Hydrogen peroxide demand was broadly stable, underpinned by strong offtake from pulp and paper, textiles, and water treatment. However, the domestic market remained oversupplied with new facilities being commissioned and dumping from Bangladesh. Prices continue to be under pressure and industry is working to ensure that cheap imports do not disrupt domestic prices. Hydrogen Peroxide plant performance has been good with improving utilisation levels.

Epichlorohydrin demand stood firm, supported by structurally strong consumption as well as increase in capacity of epoxy resins. Our ECH plant was commissioned in October '25 and the product has been well accepted in the market. We are in the process of commissioning the balance capacity and plant should stabilize in the current quarter. We have started expanding our sales network including exports.

Page 3 of 16 Our operations in Hindusthan Speciality Chemicals are stabilising well. The Government of India also levied Anti-dumping duties on Liquid Epoxy Resin in November '25 which should start having impact in the coming quarters.

Our projects in aluminium chloride, calcium Chloride at Bharuch and the 68-megawatt green power project for Kota, continue to progress as planned.

Vinyl

Global as well as Indian PVC demand was muted in the key geographies & prices remained soft in the period. PVC pricing continued to witness downward pressure given abundant imports and global oversupply.

Despite DGTR finding justification for anti-dumping duty on PVC resin imports due to significant dumping and predatory pricing, the Ministry of Finance chose not to impose ADD, resulting in a sharp fall in domestic PVC prices.

Sugar & Ethanol

Global sugar supply for sugar season 2025-26 is expected to be in surplus of 3.2 million metric tonnes mainly due to expected surplus production in India by about 2.2 million metric tonnes.

The Indian Sugar season 2025-26 is expected to end with a stock of 6.2 million metric tonnes with production estimate of 30.6 million metric tonnes after diversion of around 3.5 million metric tonnes for ethanol production, consumption of 28.4 million

metric tonnes and export allowance of 1.5

million metric tonnes. Current price is around Rs. 4,050 per quintal.

On the ethanol front, OMCs received 1,777 crore litre of ethanol offers for the 2025 -26 season, which is 1.70 times of the total requirement tendered by OMCs. Allocation is led by grain -based feedstocks i.e. 72% and balance 28% from sugarcane, which has reduced significantly as against 34% last year. Industry is urging government for support through increase in sugar MSP & higher blending targets of ethanol as well as sufficient allocation of sugarcane feedstock to ensure mills viability amid increasing costs of production.

The industry continues to contest the export levies on ethanol sent outside Uttar Pradesh, with the matter being heard in the courts.

Fenesta Building Systems

Our consumer -facing arm, Fenesta Building Systems, is evolving from a product provider to a comprehensive 'lifestyle partner,' expanding its footprint in the building materials category to capture a larger share of the customer wallet.

Fenesta continues to report healthy volume growth, with margins undergoing a normalisation driven by ongoing shifts in the product mix.

Page 4 of 16 The aluminium extrusion project at Kota is running as per schedule and phase one is slated to be commissioned by the end of next quarter.

Moving on, the Agri -Inputs business portfolio comprises of Shriram Farm Solutions, Fertilizer and the Bioseed businesses.

Shriram Farm Solutions

The SFS business sustained momentum, delivering healthy revenue growth. Performance was underpinned by growth in research wheat seed where we have strengthened our market leadership by registering highest ever sales.

The crop protection & speciality plant nutrition verticals continue to be benefited due to strong farmer acceptance of new molecules & products launched earlier.

Innovation remains central to our strategy and we remain committed on deepening R&D collaborations and exclusive product partnerships to introduce differentiated, next -generation global products to the Indian farmers.

Fertilizer

The urea business remains stable, with continued emphasis on improving energy efficiency, optimising production levels, and maintaining tight control over fixed costs. Subsidy disbursements have been timely.

Bioseed

Due to extended monsoon and heavy rainfall at the beginning of Q3, farmer's profitability in the Kharif season reduced , which ultimately led to reduced spending in Rabi season and farmers going for saved seeds in wheat and mustard, while good growth was witnessed in corn and paddy.

I will now request Vikram to provide the financial perspective. Vikram, over to you. .

Vikram Shriram: Thank you. Good evening, everyone.

I will now take you through the financial highlights of Q3 and 9M FY26.

Net revenues, net of excise duty, for Q3 FY26 were at Rs 3,811 crores versus Rs 3,367 crores in Q3 FY25, an increase of 13% year -on-year driven by the Chemicals, Sugar & Ethanol, Fenesta and Shriram Farm Solutions businesses. PBDIT for Q3 FY26 was at Rs 560 crores versus Rs 537 crores in Q3 FY25, an increase of 4% year -on-year. Profit after tax was Rs. 213 crores, after an exceptional item of Rs 55 crores, provided pursuant to the implementation of new labour codes.

Chemicals

Page 5 of 16 The Chemicals business reported an increase in revenue by 30% year -on-year, led by Caustic soda volumes that were up 6%, on account of better capacity utilization. New projects i.e. Hydrogen Peroxide, Aluminium Chloride, Refined Glycerine and Epoxy also supported the revenue growth.

ECUs were down by 4% as compared to last year. PBDIT was down by 8% due to higher fixed costs given business growth & stabilization costs of new plants, partly offset by lower input prices and better operating efficiencies.

Demand

Demand for caustic soda remains robust, although surplus capacity in the Indian market &

subdued demand

of chlorine derivatives continues to weigh on prices, especially chlorine.

Vinyl

The revenues were down by 13% year -on-year due to lower volumes of PVC and subdued prices of both PVC and Carbide. PBDIT was lower at Rs 19 crores as compared to Rs 29 crores last year, due to lower prices despite better operating costs due to power & carbon material.

Sugar & Ethanol

Sugar & Ethanol business revenue, net of excise duty, was higher by 15% year -on-year. Volumes of both domestic sugar & ethanol were up by 8% & 10% respectively; in both cases it is a timing difference. Prices of sugar were up by 7% while ethanol prices were down by 3% due to change in sales mix. PBDIT for the segment came in at Rs 204 crores as against Rs 112 crores last year. In Q3

FY26, there was significant positive impact of Rs 36 cr on account of reversal of provision provided in Q1 FY2

6 for retrospect

ive levy of duty on ethanol exported outside state of UP.

Fenesta Building Systems

Fenesta's revenues increased 28% year -on-year, with project vertical leading the growth. PBDIT for the quarter was down at Rs 35 cr as against Rs 43 cr last year. This was due to product mix and higher fixed costs owing to investments in growing newer revenue platforms, enhancing brand presence and acquisition related costs, partially offset by increase in volumes.

Shriram Farm Solutions

Shriram Farm Solutions' revenues increased by 7% year -on-year supported by high volumes of research wheat and speciality nutrients. PBDIT for the quarter was down by 11% mainly due to moderation in research wheat margins owing to poor kharif season leading to lower product prices. Fertilizer

Page 6 of 16 Fertilizer revenue was down by 2% year -on-year. Gas prices were down at \$13.2/mmbtu in Q3 FY26 vs \$14.5/mmbtu last year. Consequently, PBDIT was also down at Rs 20 crores vs Rs 29 crores last year. Outstanding fertilizer subsidy was Rs 116 crores on 31st December 2025 as against Rs 111 crores last year.

Bioseed

The Bioseed revenues for the quarter increased by 16% year on year led by better volumes of corn & paddy. Prices were also better across the products. Further, there was a positive impact of about Rs 10 crores due to sale of vegetables R&D germplasm and technology. Accordingly, PBDIT for the quarter was up by 73% year on year.

Coming to the highlights of 9M FY26

For the nine months ended 31st December 2025, revenues, net of excise duty was at INR 10,345 crores, an increase of 12% year -on-year contributed by all the businesses, especially Chemicals, with slight moderation in Sugar & Ethanol. PBDIT came in at Rs 1,294 crores, an increase of 24% year -on-year led by Chemicals, Sugar & Ethanol and Shriram Farm Solutions businesses.

The company's net debt is at Rs 1,084 crores as on 31st December, 2025 as against Rs 867 crores as on 31st December, 2024 and Rs 1,395 crore

s as on 31st March, 2025. The year -on-year increase was because of capital expenditure over the last year and acquisitions made during the period. Over March '25 the decline is primarily because of reduction in Sugar inventory.

Return on capital employed for December 2025 came at 14%, similar to the levels of last year.

Board announced an interim dividend of 180% amounting to Rs. 56.14 crores. This took the total dividend announced for the year to 360% amounting to Rs 112.28 crores.

As our major investments in the chemical segment are nearing completion, our strong balance sheet and healthy cash flows position us well to explore value -chain opportunities aligning with our core businesses. We remain optimistic about sustaining steady and responsible growth in the years ahead. That concludes my remarks, and I request the moderator to please open the forum for Q&A. Thank you.

Moderator: Thank you. Ladies and gentlemen , we will now begin the question -and-answer session. Anyone who wishes to ask a

question may press star and one on their touchtone telephone. If you wish to remove yourself from the question queue, you may press star and two. Participants are requested to use handsets while asking a question. Ladies and gentlemen, we will wait for a moment while the question queue assembles. Ladies and gentlemen, if you wish to ask a question, please press star and one.

We take the first question from the line of Pujan Shah from Molecule Ventures. Please go ahead.

Page 7 of 16 Pujan Shah: Yes. My first question pertains to the PVC side. So right now, if you look the government has now decided that they will not announce the ADD . So is there any possibility of MIP being implemented? Or is there any discussion going on because PVC industry is suffering a lot. So what are your views on this one?

Ajay Shriram : So we are actually working with the government on this year, right after the A DD was not done, which was, I think, around the end of November, we have actually been to the government and various ministries to look at MIP and have meetings with the Chemical Ministry, with the Commerce Ministry and in the Finance Ministry .

And we talked about looking at MIP because we fit in the last 5 years, the average import price was about \$800, \$820, but in the last 3, 4 months, it has come down by \$600, \$620. So, we have taken the issue MIP very actively with the government. Our own ministry, the Chemical, Petrochemical ministry, we have submitted a lot of data. They are also working on it, and we are really aggressively moving for the MIP coming in at a short period of time.

The second part, we are also working on QCOs because ultimately, a lot of the PVC is used for potable material like for filling water or soft drinks or others. And there is a need to balance out the

quantity of residual VCM in the PVC.

So we are working with the government on that also to have QCO implemented which will ensure that the right quality product is used for the potable products. So we have had a discussion with the Jal Shakti ministry industry also and working with them. So we hope that with our steps we are taking for the rational benefits to the PVC industry something will happen.

Pujan Shah: Got it, sir. So is there any timing you want to put in for the MIP or it is too far to understand this?

Ajay Shriram: Yes. I think timeframe is a little difficult when we are dealing with government ministries, but we are actively on the job.

Pujan Shah: Got it, sir. And you have been hearing the news about China revoking VAT benefits, that will help us in terms of inching up the realization because our benefit will be gone from 1st April and continuing with the same might be we see a Q4 dumping, a very severe dumping because inventory might get built up at a cheaper level. So, is that possibility happening on industry?

Ajay Shriram: Well, actually, when the government of China announced the removal of subsidy of 13% on PVC from 1st April, it straightaway had a positive impact on the industry. And the prices have gone up three - four rupees already. We are hoping that once it is implemented, it will benefit a little more. So that is something we are actually hoping will be an advantage. And if MIP comes along with it, it will be an advantage with the industry really needs.

Pujan Shah: Okay. Got it. Last question, pertains to the same that is PVC, we have been posted INR38 crore of PBIT and we have performed very well compared to the impact happening in the industry. So have you seen easing of pricing in RM that helps in the PBIT or it was more like the operational efficiency?

Page 8 of 16 Amit Agarwal : See, one, our power costs have come down. So as you know, power is the almost 60%, 70% cost of production. So we have seen reduction in our power cost and that is continuous, if you see last 1, 1.5 years, our power costs have been coming down. So that is one

key reason. Other than that, the other materials, carbon materials, which have been more or less stable. So, it is the power cost that has helped us.

Pujan Shah: Okay, got it. I will join back in the end. Thank you so much for answering my question.

Ajay Shriram : Thank you.

Moderator: Thank you. Ladies and gentlemen, if you wish to ask a question, please press star and one. We take the next question from the line of Raj Vyas from Bonanza Portfolio . Please go ahead.

Raj Vyas: So, I just wanted to have a brief update with respect to the demand scenario that we are having across the product and also any tariff impact that we are seeing, that has impacted the performance in certain verticals?

Ajay Shriram: So which product are you talking about?

Raj Vyas: Across the products?

Ajay Shriram: All our products.

Raj Vyas: Yes.

Ajay Shriram: So, all of them have different duties, different structures. So that is moving as -- with the government, as I just mentioned about PVC, what is already moving on PVC that you are aware of what we are looking at. I think on the other products really on caustic soda, there is some import duty, which is there at a very low level that is moving over there.

On epoxy resins, the government has implemented some anti-dumping duty in November 2025, which is advantage in that industry. So government is aware, but we need to -- government needs to actually take some more corrective action for some of the products, which will make a difference to not only us, but to many other factories or companies who are in similar businesses.

Raj Vyas : Right. And we have also seen this margin pressure continuing for the Fenesta vertical right and last quarter also you had mentioned that it was primarily because of the product mix and this time also it was because of product mix and higher fixed costs as well. So I mean ballpark number that we are looking at, for example, to see where the margins can stabilize? And also, what was the reason behind the order book going slightly down for the quarter?

Amit Agarwal : Yes. So see, one coming on the margin reduction. See margins, as was mentioned in the Chairman speech, when you ideally put it that this is product mix. But one another reason that has happened is that one our facade business is picking up. So there were larger volumes and revenue coming from facade. And currently that business is we are entering the market, right, and so we are not really wanting to earn any significant margins there. That is one. And then aluminum prices went up

Page 9 of 16 significantly. So that does impact, that has a lag impact because your older orders, which were taken especially in retail, they may not have the linkage to price. So therefore, that was one additional factor this quarter, which led to a reduction in margin. That is your answer to your first question. What was the second question, please?

Raj Vyas : So any -- where we are seeing the stability in the margins, right because earlier it was at double-digit margins. If I see on a yearly basis, right? And this quarter, it was -- it has come to single digit. So any stability in margins where we can see that going forward. Or, this is the ballpark number that we -- we

can look forward to?

Amit Agarwal : So see currently we are investing in growth, right . As I mentioned, facade is doing well, our aluminum extrusion plant will come online in next 3 to 4 months. So , there is -- this business is in the investment in the growth phase right now.

So margins -- I would not say they are under pressure, it is like building up for better margins going forward, which should be there, let us say, 6 months down the line we should see margins inching up. Once all these investments that we are doing, acquisition that we have done, looking at a few more. So all these things will add up, but then if we take one or two -- two quarters

at least for margins to add up and help grow.

Vikram Shriram : As the volume grows .

Amit Agarwal: As the volume grows, yes and the cost efficiencies come in.

Raj Vyas : Okay. Understood. And coming to a question with respect to the acquisition. So on Hindustan Specialty Chemicals that we have acquired, right? So we were expecting to break even the losses that we were having from that company by year -end. So are we sticking to that time line?

Amit Agarwal : So see, we said it will take about a year. We acquired this business in end of August, right.

Raj Vyas : Yes, yes.

Amit Agarwal: So yes, by within -- by end of the year we should be nearing by the end of these 12 months since acquisition, we should be nearing the break even or maybe better than that.

Raj Vyas : Okay. And lastly with respect to the demerger of our consumer facing products, any update that we can get?

Amit Agarwal : Yes. So we are in the advanced stages. See, it is a very old organization, over 100 years old organization. So there are a lot of inter linkages. And the idea is when we separate the companies, there should not be any inter linkages. So those having clarity on that takes a bit of time. We have large part of the clarity and we are moving in that direction. We have clarity internally. So we are moving in that direction.

Page 10 of 16 Raj Vyas : Okay. And any kind of guidance before I -- like I end my questions, any kind of guidance on the top line or bottom line for the next say 2 years down the line or 3 years down that we as a company are aspiring to reach that level?

Amit Agarwal : So we as an organization have been making investments. You have seen we invested close to about INR4,000 crore, INR5,000 crore in last 3 years , 4 years. And these should accrue to our cash profits going forward , once they stabilize. So let us say from FY '27 onwards we should see a profit better and we will continue to grow. So our endeavor is to grow each of these businesses, add to the value chain in each of the businesses . So we will continue to do that.

Raj Vyas : Okay. Thank you so much.

Ajay Shriram : Thank you.

Moderator: Thank you. Ladies and gentlemen, if you wish to ask a question please press star and one. We take the next question from the line of Ahmed Madha from Unifi Capital. Please go ahead.

Ahmed Madha : Thanks for the opportunity. Firstly, on taking the previous participant on the restructuring/demerger spin-off, can you give broad sense of timelines? I think we announced this Board meeting about I think 9 or 10 months ago. So there has been a bit of time. So any broad timelines you can give to finalize the structure?

Amit Agarwal : Ahmed our intention is to do it as early as possible, frankly. As I said when answering the last question, we have a lot of clarity now, right . Certain loose ends just have to be tied and we hope to do it as early as possible. If all goes well, maybe next 3 months , 4 months we should be there. But we are pretty much -- as I said, a lot of loose ends have been tied up, few -- are left, which we should complete in the next 3 months , 4 months, hopefully.

Ahmed Madha : Can you elaborate a bit on what all things are sort of leading to a sort of a delay. It helps us to appreciate what all, what are the moving factors ?

Amit Agarwal : Sure. So see it comes from the fact that there are like, for example, Fenesta business, it has its roots in Kota itself, right . Now Kota has particular kind of lease structure. So all those have to -- we need to have clarity even with the government we need to have clarity whether we can do that or not. So which means we need to speak to government channels and all that. So those are the kind of things which take time and have clarity. And at times, given that it is government it takes a little more time and a few such other things.

Ahmed Madha : Sure. Got it. And on the chemical business

we have been investing. We have invested a lot. On ECH business and epoxy business, specifically, if you can give some sense where are we in Epichlorohydrin as of now in terms of the product trials, approval, operating capacity what stage we have reached so far.

And in foreseeable future what kind of utilization are sort of fair to achieve or practical to achieve in next few quarters. And in the current quarter, what sort of losses or the incremental stabilization costs we incurred for Epichlorohydrin business, then I will come to epoxy second?

Page 11 of 16 Aditya Shriram : So as you will be aware the Epichlorohydrin plant was commissioned in Q3 FY '26. Two-thirds of the

capacity approximately has been commissioned. The plant is now under stabilization, ensuring the right efficiencies. And we expect that in the current quarter, we will be doing some further work to ensure that we are able to run the plant steadily. And by the end of this quarter, we expect to commission the remaining capacity. And therefore, after that run smoothly.

The effort on the market side has been ongoing continuously, whether it is domestic markets or export markets. Our quality has been approved and accepted by the key customers, largely the epoxy players themselves. So, we are very optimistic that by the end of this quarter, we will run the plant efficiently, and then ramp up the capacity soon after that.

Ahmed Madha : Okay. And will the balance capacity be commissioned by the end of this quarter or will take more time?

Aditya Shriram: Yes. By the end of this quarter, we expect the balance capacity to be commissioned.

Ahmed Madha : Got it. On epoxy business, sort of -- I am assuming you would have consolidated the entire company for the first time in this quarter. So in terms of changes to be made in terms of processes, vendors, where are we in the overall process? And what was the contribution from the Hindusthan Chemicals entity in terms of revenue and profits or other losses in Q3? And where do we see it going in the next financial year?

Aditya Shriram : So, the acquisition that we did in August 2025 has now been completed. We are in the process of integrating the operations, improving efficiencies, improving the safety practices standards, running the entire plant and the business along the lines that we expect. So that takes some time, some stabilization.

What we are doing also is actually focusing more on the higher value part, which is what is called formulated resin. So we have LER capacity, and we have FR, formulated resin capacity. So we are looking to grow that part of the business more aggressively. That of course takes time. You have to get approvals from customers, work on application development etc along with the R&D teams.

But we expect that with that, we will be able to grow the verticals, and we expect a healthy profitability start in the coming quarters. So in the next year, FY '27 onwards, we should see a good profitability from this vertical.

Ahmed Madha : And can you please spell out the revenue / losses number for epoxy business as well as ECH business. We can give a broad range, it help us to understand how the base caustic business has done considering the volumes have been better compared to last year. Prices have declined year-on-year, but sequentially, it has been okay. So just to understand the base business a little better, if you can give the numbers. Broad range will be okay.

Amit Agarwal : Yes, yes. So revenue was in the range of around INR90 crore to INR100 crore for the quarter from HSCL which is currently a subsidiary, and there were marginal losses at EBITDA level.

Ahmed Madha : Okay. And epoxy business? Sorry, ECH business? ECH plant?

Page 12 of 16 Amit Agarwal : ECH, I do not have the exact numbers. We see ECH, we started only in the month of October, right.

And in ECH, I think by now in the first week of January

you is when we reached almost 100 tons per day,

which is like two-third of the capacity which we commissioned. However, we are still working on the efficiencies because it takes time.

We are doing for the first time and stabilizing the technology takes time. So we are not very efficient right now. So, we are not making money in ECH right now. But we do expect that by Q4 end, we should have solved a large part of our efficiency issues. So yes, that is where we are.

Ahmed Madha : Okay. Got it. Moving to the sugar business, considering there has been meaningful increase in the SAP prices for the season and the sugar prices have gone up compared to last year, but not enough, and you have been very vocal about it in both in terms of making policy decisions as well as in investor calls.

Going by the current season, would you like to provide some comments on how do you see the season -- upcoming season in terms of both volume production yields as well as our profitability with higher cost?

Amit Agarwal : See, on volume and production, production as of now is good. It is a little better than last year also because the recoveries are better than last year. So that is encouraging. But what will be the total production, it is a little early. I think by February is when we get more clarity on how the overall production will pan out. So that is one.

In terms of cost, you are right, costs will be higher. I mean straight away INR 3 get passed on, although the recovery is better. Then it is a matter of what the product prices will be. But then yes, we are actively pursuing government to look at the minimum support price for sugar. If that comes up, it helps if something happens on sugar exports that can help and also on ethanol.

So we are working a lot of framework with the government, a lot of policy advocacy with the government. So we should support prices. But as of now, yes, margins will be lower than what they have been till now at current prices.

Ahmed Madha : Sure. Last question on Fenesta. You explained it should take a couple of quarters for margins to sort

of stabilize and again , improving with volumes. Based on whatever investments we have made, what should be the normalized margin which we assume for Fenesta business in terms of EBITDA ? Last year, it was 18, 19 . This year it was 12 -14. So will it be somewhere between the number or it will be like 13 %-14% kind of number with expanded capacities and products?

Amit Agarwal : I would say this business should be around 14% once we have the scale and cost advantage is coming from backward integration. I feel we should be at around 14%. That is what guidance I have been giving for last couple of quarters. That was never an 18 %-19% margin business given what we were planning to do. And now that planning is taking shape. So, we will continue to target around 14% margin.

Vikram Shriram : See, the scale will build up , compensate for the margin as a percentage.

Page 13 of 16 Ahmed Madha : Sure. I get it. Sure, sure. Sorry, last question I had on the Agri business. So assuming this season was

slightly average for Rabi, are we sort of carrying any major inventories for Farm Solutions business which sort of creates a problem later or next season, something of that sort? Is it fair to assume? Or the channel is clean and we do not have major inventories. Would you like to provide any comments on that?

Amit Agarwal : Yes. There are no channel inventories. See, our biggest business is wheat seed , research wheat. And we are glad to say that we -- last year, we did about 93,000 metric tons. This year, we have increased by about 20% in terms of our sales to the farmers, which is about 113,000 -114,000 tons. What is impacted is we had targeted about 125,000, 130,000 tons. So that product could not be sold. And in wheat, you can not store. So you have to sell it in the mandi , which goes below cost.

Ahmed Madha

: Okay.

Ajay Shriram: So that is what has hit the profitability. Otherwise, and , you know, some bit of the margins overall. But otherwise, I would say the segment has done well in terms of volumes. And just to answer your question , there is no pipeline of inventory.

Ahmed Madha : Okay . So, basically, whatever the incremental volumes have been cleared up and there is no baggage going into the next.

Amit Agarwal : Yes. Absolutely.

Ahmed Madha : Okay , sure. Perfect . Thank you so much .

Ajay Shriram : Thank you.

Moderator: Thank you. We take the next question from the line of Rajakumar Vaidyanathan from RK Invest. Please go ahead.

Rajakumar Vaidyanathan : Yes. Good evening. Can you hear me?

Ajay Shriram: Yes, we can hear you.

Rajakumar Vaidyanathan : Yes. Thank you. Thanks for the opportunity. So the first question is on the caustic soda segment. I just

want to know what is your outlook for this segment for the upcoming quarters ? This quarter, you have done very good on the volume side, but the margins have dipped . So, given th is tariff situation, are you seeing any softness in demand? Can you just give some color on the outlook?

Aditya Shriram : So, I think in the coming quarters, we do expect a fairly stable to positive outlook for the caustic soda and chlorine business. The demand fundamentally is robust for us in India, a large percentage of the demand is domestic itself. As an industry, we have moved from being net importers to net exporters, but bulk of the demand continues to be domestic demand. So we feel that while there are some large capacities coming up in the next 1 to 2 years, we expect stable to positive outlook in the coming quarters.

Page 14 of 16 Rajakumar Vaidyanathan : Okay. Thank you sir. And sir, second question is on the hydrogen peroxide segment. Can you give

some outlook, how is the pricing and the margins looking?

Aditya Shriram: So currently, our plant itself is running at close to capacity. As an industry in India, it is an oversupply scenario at this point. There are other players also who have commissioned capacity. So prices are under pressure. So we will have to see how it evolves in the coming quarters. But we are working on various avenues to help improve margins.

Rajakumar Vaidyanathan : Okay. And moving to the Sugar segment, I want to know what is the current recovery levels compared to last year? And do you expect the recoveries to be better in the upcoming quarter?

Amit Agarwal : Yes. So compared to last year, we are better by about 0.4%, 0.5%. Now if the trend continues, yes, we should be better in the coming quarters as well.

Rajakumar Vaidyanathan : So what is the absolute number?

Amit Agarwal : I would not have the number right away, but we are better by that number.

Rajakumar Vaidyanathan : Okay. And you expect this to improve further in the current quarter, right?

Amit Agarwal : Yes. If the trend continues, yes. See, these are climate driven. So we do expect it should continue.

Rajakumar Vaidyanathan : Okay. And the last question is, you recently signed a JV or an MOU with Bayer India. So I want to know what is the short - to medium -term benefits we will be getting in terms of sales and margins?

Amit Agarwal : So see, the MOU with Bayer is largely to explore what we can do together. So currently, like there are

one or two products. One product, we have already tied up in the crop protection space, which we will be launching for Bayer. So it is like those kind of things . it is more futuristic to see how both the parties can come together with their technical prowess, their product prowess and our distribution prowess we can work together and create value for the farmers.

Rajakumar Vaidyanathan : Okay. And are you looking at furthering this relationship or it will be only restricted to do whatever you have mentioned the press.

Amit Agarwal : Yes. As of now, it is more transaction based

. If something comes up, we are open to looking at working together as well.

Rajakumar Vaidyanathan : Yes. My question is , will there be any outsourcing opportunities with Bayer? Will you be supplying to their entities overseas?

Amit Agarwal : No. As of now, there is no such plan.

Rajakumar Vaidyanathan : Thank you so much.

Ajay Shriram : Thank you.

Page 15 of 16 Moderator: Ladies and gentlemen, if you wish to ask a question, please press star and one. We take the next question from the line of Pujan Shah from Molecule Ventures. Please go ahead.

Pujan Shah: Yes. So just wanted to understand caustic soda part. So in caustic soda, has the realization been cooled up or if the ECU has been cooled because of the impact of chlorine?

Amit Agarwal : See there is no significant reduction, I would say, in ECUs. They are marginal INR400 , INR 500 here and there. So I do not think I would attribute to any particular factor. In month -on-month, it keeps waiting whether chlorine goes down or caustic soda price goes down or the flakes prices are better. So there is no fundamental shift in where I am coming from.

Pujan Shah: Got it and so amplifying the question, in terms of China is implementing this VAT , so do we see the benefit in caustic as well?

Aditya Shriram : So to the best of our knowledge, China has not implemented this for caustic soda . It is for PVC and for other products. So there would not be a direct impact -- but the PVC and the caustic soda industries are closely linked. So we will have to see how it plays out, the impact of this on PVC and therefore, on caustic.

Pujan Shah: Okay, got it sir. Just want to understand the PVC. So let us suppose if you consider if ADD gets implemented, the China duty was ranged around \$122 to \$232 per ton. So now if MIP comes up -- so it is equivalent significance of the duty. So then we are not going to apply for ADD, right? Because MIP might be for a limited time. So until that time we might result for ADD or it would not be that case?

Ajay Shriram: I think the approach to -- MIP is the priority right now because ADDs already being rejected once by the government. And the ADD approval process is fairly long. It does not happen as fast as we, hopefully, the MIP well. So MIP is a focus right now. We will see what the market situation is like after that and then take up the ADD work also if necessary.

Pujan Shah: Okay. And if MIP gets implemented, it would be for 6 months?

Ajay Shriram: We do not know. We do not know. We have asked for a longer period. We do not know what the government will do.

Pujan Shah: Got it, sir. Thank you sir.

Ajay Shriram: Thank you.

Moderator: Thank you. Ladies and gentlemen, if you wish to ask a question, please press star and one. Ladies and gentlemen, we take that as the last question and conclude the question -and-answer session. I now hand the conference over to the management for their closing comments.

Ajay Shriram: Thank you . Ladies and gentlemen, thank you very much for your participation in our earnings conference call. As new trade barriers emerge across developed economies, the imperative for Indian corporates is towards realignment. True progress lies in building internal strength through sharper cost

Page 16 of 16 focus, operational efficiencies, continuous innovation and deeper technological adaptability. At DCM Shriram, we are building this resilience through number one, relentlessly optimizing our operational core to ensure we remain lean and agile.

By focusing on efficiencies , we are working towards ensuring that our margins remain healthy.

Number two, strengthen the value chain in our businesses; and number three, digital transformation as technology is the backbone of our evolution, and we are leveraging data -driven insights and automation to enhance our adaptability efficiencies and to sharpen our decision -making. And environment

ent stewardship is no longer a peripheral goal , it is a firmly embedded in our investment philosophy. We are making our businesses greener that deliver long -term value to all our stakeholders. Thank you very much once again.

Moderator: Thank you. On behalf of DCM Shriram Limited, that concludes this conference call. Thank you for joining us, and you may now disconnect your lines.

Call: May 2026

21st May 2026
BSE Limited
Phiroze JeeJeeBhoy Towers,
Dalal Street,
Mumbai - 400 001 National Stock Exchange of India Ltd.
Exchange Plaza,
5th Floor, Plot No. C-1, G Block,
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SCRIP CODE: 523367 SCRIP CODE: DCMSHRIRAM

Dear Sir/Madam,

Pursuant to Regulation 30 read with Schedule III of SEBI (Listing Obligations and Disclosure Requirements) Regulations, 2015, please find attached Transcript of Investors' Earning Call on the Audited Financial Results (both Standalone and Consolidated) for the quarter and year ended 31st March 2026 held on 15th May 2026.

Kindly take the same on record.

The said Transcript is also available on the Company's website i.e.,
<https://www.dcmshriram.com/>

Yours faithfully,

For DCM Shriram Limited

(Deepak Gupta)
Company Secretary & Compliance Officer
Encl: As Above Sub.: Transcript of Investors' Earnings Call

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DCM Shriram Limited
Q4 FY26 Earnings Conference Call
May 15, 2026

Moderator: Ladies and gentlemen, good day and welcome to the Q4 FY26 Earnings Conference Call of DCM Shriram Limited. As a reminder, all participant lines will be in the listen-only mode and there will be an opportunity for you to ask questions after the presentation concludes. Should you need assistance during this conference call, please signal an operator by pressing star then zero on your touchtone phone. Please note that this conference is being recorded.

I now hand the conference over to Ms. Shruti Joshi from CDR India. Thank you and over to you, ma'am.

Shruti Joshi: Thank you, Swapnali. Good afternoon and welcome to DCM Shriram Limited's Q4 and FY26 earnings conference call. Today we have with us Mr. Ajay Shriram, Chairman and Senior Managing Director; Mr. Ajit Shriram, Joint Managing Director; Mr. Aditya Shriram, Deputy Managing Director; and Mr. Amit Agarwal, Group CFO of the company.

We shall commence with remarks from Mr. Ajay Shriram and Mr. Ajit Shriram. Members of the audience will get an opportunity to ask their queries to the management following these comments during the interactive question and answer session.

Before we begin, please note that some of the statements made on today's call could be forward-looking in nature and a note to that effect has been included in the conference call invitation that has been circulated earlier and is available on the Stock Exchange website. I would now like to invite Mr. Ajay Shriram to give us a brief overview. Over to you, sir.

Ajay Shriram: Thank you, Shruti. Good afternoon, ladies and gentlemen, and a very warm welcome to all of you. I will begin with perspectives on the business dynamics and the strategic imperative, following which Ajit will share views on the financial perspectives. Financial year '25-'26 was characterized by high-impact events from tariff-wage wars by US to the war between Israel and Palestine and then the Start of the West Asia conflict.

The escalation of conflict in West Asia emerged as a material external risk. Although India is geographically insulated from the conflict, its economic ecosystem is closely intertwined with the region through energy, fertilizer supply chains, shipping routes, and export markets. These developments have reinforced the importance of supply chain agility, operational resilience, and strong balance sheets.

The Indian economy demonstrated better resilience amidst these global headwinds. While elevated energy prices exerted inflationary pressures and tested currency stability, macroeconomic fundamentals remained robust. They were supported by healthy foreign exchange reserves, proactive monetary policy, and sustained domestic consumption.

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Continued government capital expenditure along with gradual revival of private capex supported growth in the manufacturing sector. Although India remains well-positioned, the nature of

of continuing

geopolitical conflicts will present new macroeconomic challenges to navigate going forward.

Our focus on value chain integration, operational efficiency, cost discipline, and digital enablement helped us navigate a dynamic environment. We are exploring to grow our businesses through strategic partnerships where there is a need for high-end technology. Financial prudence remains a key advantage.

A strong balance sheet and disciplined working capital management supported continuity amid commodity volatility. Healthy operating cash flows guided growth while preserving agility to capture opportunities. Sustainability remains integral to both our future readiness and long-term value creation. Our daily operations and strategy are committed to minimizing our environmental footprint, optimizing resource utilization, and uplifting the communities we serve. To solidify our role as environmental stewards, we have institutionalized a bold pledge to achieve a 40% reduction in our Scope 1 and Scope 2 emissions by 2040. We are actively executing this transition by pivoting our energy mix towards renewable power and agri-based fuels, alongside rigorous energy efficiency mandates across all our facilities.

Further, in March 2026, we have raised funds through the sustainability-linked non-convertible debentures from the International Finance Corporation, IFC. This partnership is more than a financial transaction. It is a global validation of our ESG roadmap. This transaction marks a significant step for DCM Shriram in integrating sustainability into our capital structure and aligning with the company's financial outcomes with measurable sustainability targets.

I will now invite your attention to industry dynamics across our businesses.

First is chemicals.

Globally, caustic soda market is operating at about 80% capacity with annual installed capacity of around 109 million metric tons. Caustic will experience growth driven by demand from industries like alumina, textiles, pulp and paper, soap and detergents, pharmaceuticals, etc.

The industry continues to witness volatility in prices due to economic factors, geopolitical uncertainty, and increased energy costs. The supply chains of chlorine downstream industries have also been impacted, thereby putting pressure on demand. The supply chain disruptions are creating a mixed global outlook.

Over the past year, India's caustic soda market operated at reasonable levels of about 85% capacity utilization. Domestic demand grew at about 5% driven by capacity expansions among major alumina players alongside sustained consumption from paper and detergent industries. Hydrogen peroxide continues to be structurally oversupplied in the domestic market and low-cost imports from Bangladesh add to this situation.

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On the back of shortage of natural gas supplies, the industry witnessed a shortage in supplies in March '26 leading to a surge in realizations. We continue to operate the plant at full utilization and the plant performance has been good. The advanced materials value chain comprising of glycerine to ECH to epoxy, including formulations, continues to grow driven by strong demand and supported by anti-dumping duty on ECH and epoxy. Further, our ECH plant got fully commissioned in the month of April 2026 and the product is well accepted in the market.

Our projects in aluminium chloride and calcium chloride at Bharuch are running as per schedule. The 68 megawatt green power project with average supply of 34 megawatt at Kota has started average injection of 15 megawatts from May 2026 onwards. Our Board has approved capital expenditure of INR 217 crore towards obtaining approximately INR 48 crore of additional renewable power supply for our Bharuch plant and related infrastructure development, thereby taking the total RE power provision for Bharuch plant from the present peak of 50.4 megawatts to 98.4

megawatts. The indicated

timeline for completion of the above project will be around Q1 financial year '28.

The Board has further approved INR101 crore for the expansion of epoxy -led formulated resins capacity by 36 kilotons per year, increasing the total formulated resins capacity to 50 KTPA. The same is expected to be commissioned by Q2 financial year '28.

Vinyl

The demand in both global and domestic market remained flat, yet the market experienced pronounced price volatility driven by a complex interplay of macroeconomic and geopolitical factors. Initially, realizations came under severe downward pressure due to aggressive export dumping from China. This trend abruptly reversed as prices surged in response to supply chain anxieties stemming from the Middle East conflict, a situation further compounded by currency headwinds from a depreciating rupee.

Ultimately, prices softened once again following regulatory intervention by the government of India, which waived import duties through to the end of June 2026. Amid decline in domestic PVC prices and damage to the Indian PVC industry, mainly driven by dumping of Chinese PVC resin, the domestic industry filed an application requesting introduction of minimum import price, MIP, for PVC imports. Further, the domestic PVC industry continues to pursue its efforts on the QCO front.

In alignment with our strategy to scale businesses through technology -driven partnerships, we have announced a joint venture with Teknor Apex B.V. , a global leader in plastic material science solutions, by selling 50% stake in our subsidiary Shriram Polytech Limited , which is a leading plastic compounding player in India. By integrating global innovation with local execution capabilities, the partnership is well positioned to accelerate growth and deepen consumer engagement.

Sugar and ethanol

Global sugar supply over demand for sugar season '25-'26 is expected to be in surplus of 2.9 million metric tons, mainly due to India's 2.3 million metric tons year -on-year production increase.

Domestically, this season is expected to close with an inventory of 4.3 million metric tons, accounting

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for 28 .3 million metric tons in production after diversion of 3.1 million metric tons to ethanol, 28.1 million metric tons in consumption, and a little less than 1 million metric tons in exports.

Operationally, adverse weather, crop economics, and varietal challenges in the state of Uttar Pradesh curtailed industry -wide crushing. Consequently, our units concluded the season with a lower crush of 473 lakh quintals of sugarcane, albeit with improved recovery of 10.8%. To counter the lower crush, our agronomy teams are aggressively optimizing varietal selection to boost future yields and using digital tools to enable cane development. Despite these efforts, profitability remains under pressure as realizations from sugar and ethanol have not offset rising sugarcane costs.

The Ethanol segment faced critical bottlenecks. Against a national capacity of ~1900 crore litres , OMC allocations stand at just about 1100 crore litres , with share of sugarcane -based feedstocks restricted to a mere 28%. This penalizes integrated players who invested in distillation capacities based on stable blending assumptions. Ensuring the sector's long -term viability requires calibrated policy interventions, specifically aligning sugar and ethanol selling prices with sugarcane costs, prioritizing sugarcane -based ethanol allocation and expanding targets beyond E20 blending.

Fenesta Building Systems.

Fenesta Building Systems continues to progress along its strategic trajectory of evolving from a product -centric offering to a comprehensive building material solution partner. The business has delivered healthy volume growth through the year with expanding brand reach and deeper market penetration.

Margin reduction reflecting increased scale and shifts in the product m

ix towards newer categories is

as planned. The aluminium extrusion project at Kota is progressing on schedule. This facility will meaningfully enhance our capabilities in the rapidly growing aluminium fenestration and building material segment.

Moving on, the Agri -Inputs business portfolio comprising of Shriram Farm Solutions, fertilizers, and bioseed businesses is next.

Shriram Farm Solutions

The SFS business sustained its robust growth trajectory, delivering double -digit growth this financial year. This performance was anchored by a research wheat segment which achieved a record sales and a 22% growth despite headwinds from extended monsoon.

Concurrently, our crop protection and specialty plant nutrition vertical continued to gain market traction, supported by strong farmer adoption of our R&D -driven products in specialty plant nutrition and recently launched crop protection molecules.

Notably, in the current financial year, SFS has launched 13 new products in crop protection and specialty plant nutrition verticals, including four new products from our own R&D. To sustain this momentum, we are deepening our R&D and exclusive partnerships with global technology leaders to deliver differentiated, high -efficiency solutions.

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Furthermore, our targeted shift towards new -age digital marketing and influencer -led campaigns has significantly amplified brand visibility, translating into higher product inquiries and stronger brand equity across all geographies.

Fertilizer.

The Urea business remains largely stable. We continue our efforts towards improvement in energy consumption, maximizing urea production, as well as control on fixed expenses. In view of the ongoing West Asia war, there may be a reduced availability of natural gas due to disruptions in LNG supplies and increase in subsidy outstandings.

Bioseed

This year the industry faced a challenging scenario for cotton seeds for a variety of reasons. Going forward, Bioseed is well positioned to navigate growth with a strong pipeline of new product launches across key crops. New introductions are witnessing increasing acceptance from farmers, supported by improved genetics, yield stability, and consistent field performance.

The business remains focused on portfolio premiumization, disciplined execution, and strengthening farmer and trade engagement. I will now request Ajit to provide the financial perspectives. Ajit, over to you.

Ajit Shriram: Thank you. Good afternoon, everyone. I will now take you through the financial performance for Q4 FY '26. Net revenues, net of excise duty, for Q4 FY '26 were at INR3,193 crore versus INR2,877 crore in Q4 FY '25, an increase of 11% year -on-year. PBDIT for Q4 FY '26 was at INR400 crore versus INR426 crore last year.

Chemicals

The business saw an increase in revenue of 32% year -on-year. The caustic soda volumes were up 2%, while ECUs were down by 4%. Advanced materials, which include glycerine to ECH to epoxy value chain, has also contributed positively to the top line. PBDIT for the quarter was flat at INR163 crore due to elevated fixed costs associated with business expansion and stabilization. There was a one -time positive impact of INR19 crore due to incentive received from the government of Gujarat relating to the projects commissioned in previous years in Bharuch.

Vinyl

The Vinyl business revenues increased by 19% year -on-year driven by volumes of both PVC and carbide, up by 23% and 5% respectively. PBDIT for the segment improved by 68% to INR39 crore led by higher prices and further supported by lower energy costs and better operating efficiencies.

Sugar and ethanol

Sugar and ethanol business revenue, net of excise duty, was down by 3% to INR991 crore. Domestic sugar volumes and prices were largely in line with the same period last year. Ethanol volumes were flat

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in the quarter, while prices were down 1

5% on account of change of sales mix. PBDIT for the segment came in at 18% lower at INR207 crore owing to the higher cost of production of sugar due to the increased cane price by 8%. Sugar inventory was lower at 32.2 lakh quintals as against 39.9 lakh quintals last year. The inventory is valued at INR3,876 per quintal.

Fenesta Building Systems

Fenesta Building Systems reached a milestone of crossing the revenue of INR1,000 crore during the year by clocking a revenue of INR1,112 crore, a growth of 28%. For the quarter, the business reported a growth in revenues by 34% year -on-year led by higher prices across the segments and better volumes in the project segment. PBDIT for the quarter was up 6% at INR37 crore led by volumes, partially offset by increased fixed costs towards enhancing capacities, higher sales promotion, setting up of new business platforms like facade, wooden doors, and acquisition -related costs. The order book is up by 15%.

Shriram Farm Solutions

This quarter is an off -season for the business. Revenues increased by 32% year -on-year supported by volume growth across all verticals.

Fertilizer

Fertilizer revenue was down by 11% mainly due to a maintenance shutdown taken during the quarter to coincide with lower gas supply. PBDIT was INR28 crore as against INR9 crore last year. There was a one -time gain of INR33 crore on account of revision of retention price of the previous years.

Outstanding fertilizer subsidy was INR189 crore as against INR161 crore last year.

Bioseed

This quarter is an off -season for the business. Revenues were down by 1% , while PBDIT was at a negative INR8 crore as against INR2 crore last year.

Coming to the highlights of FY26.

FY26 net revenues, net of excise duty, was up 12% year -on-year at INR13,538 crore. All the key businesses, especially Chemicals, Fenesta Building Systems, and Shriram Farm Solutions, except Sugar, have contributed towards the top line growth supported by volumes. Similarly, PBDIT was up 15% at INR1,694 crore. Chemicals, Sugar, SFS, and Fertilizers was the key contributor to growth.

Our net debt remains at a comfortable level of INR1,767 crore as on 31st March '26 versus INR1,395 crore on 31st March '25. Return on capital employed for March '26 has come in at 13% as against 14% last year. Further, investments made in prior periods that were commissioned over the last one or two years are scaling up and will further strengthen the businesses and enhance the ROCE. The Board has recommended a final dividend of 200% , amounting to INR62.38 crore in this Board meeting. The total dividend for the year is 560% amounting to INR17 4.66 crore. As we successfully

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conclude our major capex cycle within our chemicals business, our fortified balance sheet and strong cash generation open a new chapter of strategic capital deployment.

We are now exceptionally well positioned to explore synergistic value chain integrations across our broader manufacturing portfolio. I remain deeply confident in our ability to leverage these financial strengths to deliver sustained and responsible growth for all our stakeholders. That concludes my opening remarks and I request the moderator to please open the forum for the Q&A. Thank you.

Moderator: Thank you very much. We will now begin the question and answer session. Anyone who wishes to ask a question may press star and one on their touchtone telephone. If you wish to remove yourself from the question queue, you may press star then two. Participants are requested to use kindly handsets while asking a question. Ladies and gentlemen, we will wait for a moment while the question queue assembles. A reminder to all, you may press star and one to ask a question.

We will take the first question from the line of Pujan Shah from Molecule Ventures. Please go ahead.

Pujan Shah: Thanks for the opportunity. My first question pertains to the vinyl segment. So just

I want to understand

the broad aspects on the pricing what we should expect going forward. So we have seen the real estate prices of China is at 20 -year low and how do we see this situation impacting PVC business in general, versus we are also hearing out that inefficient plants of PVC are being shutting down in China. So how to read that in terms of considering the positive news flow of anti -involution versus the negative news flow of real estate not picking up?

Ajay Shriram: Okay, thanks for this question. I think the pricing as I mentioned a little earlier has been very volatile in the last 3 - 4 months. Its actually led by China dumping earlier, then the import duties in India were reduced and thereafter because of the shortage of availability , the prices went up again, but now they have come down again.

So I think it is very difficult to give an indication of what will be the prices going forward. I think because of the West Asia crisis, it is very difficult. We sincerely hope one small advantage is the devaluation of the rupee, that is giving the imported prices a little higher position, so that helps the domestic industry also.

But I think the prices of PVC are very volatile and if the West Asia crisis is sorted out in the next few weeks, it will still take some months before there will be any stability. We are hoping that from 1st July the import duty of 11% which was removed earlier, we hope that comes back. That will give us the advantage of our pricing for the domestic market because considering the energy costs, industry today is under a lot of stress.

So we are hoping that the government will look at it positively and bring back this import duty. And we hope the West Asia war is sorted out soon so there is stability in the world geopolitical business environment. So impact one does not know. China plants closing, frankly China's capacity is so large that we do not know what is closed, what is running, what is not and they have been dumping for a long time not only PVC, but many other products. So we really do not know what their policy is going to be.

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Pujan Shah: Got it. And, just to understand a broader aspect, we have been discussing about the MIP and versus the industry has also initiated ADD, but it did not succeed in November, right? So are we going for because MIP is a short -term phenomenon where we are able to protect our margins or our industry structure, but on a longer term are we still going for ADD to get a longer -term protection from the government side?

Ajay Shriram: Yes, the industry has taken it up ; CPMA has had multiple meetings in the government over the last couple of months including one which was held last week with the new Secretary Chemicals who has come in now. And we have mentioned that look, we gave the data for the imported prices for the last 5 years.

In the last 4 months since the dumping started, the prices have fallen dramatically by almost USD150 to USD 200. So we have suggested that you please revisit . The ADD application which will go again because it got rejected just some months back. MIP also is very much on the agenda. They have recommended a price, but that is pretty low. So we are actually talking to the government saying that please look at the MIP in a realistic manner and then recommend to the Finance Ministry. So dialogue is on with the government.

Pujan Shah: But just to understand a broad aspects considering the crude price has already been up, I understand we have been a carbide base, but just to understand as crude has already been up by a significant percentage

while considering the other ethylene-based route PVC manufacturers might not get their RM and that is why they will always keep the inching up the prices?

Again the only the negative side would be the China keep dumping because they have that carbide capacity. Other than that it seems like – it seems

that price should sustain around 85 -90 in PVC per kg

or it would be difficult situation to call right now because all the scenarios are not been under a one conclusion?

Ajay Shriram: No, you are right, it is a little difficult. Our prices are ranging between 81 -82 in that range right now. But you know China dumping can come in at any time. We do not know at what price and what is their policy behind it. So it is very uncertain. I think and energy prices have gone up not only gas but even coal. So all these are impacting the cost of production. So I think there is a lot of uncertainty in this market.

Pujan Shah: Sure. Thank you.

Ajay Shriram: Thank you.

Moderator: Thank you. We will take the next question from the line of Rohit Nagraj from 360 ONE Capital . Please go ahead.

Rohit Nagraj: Thanks for the opportunity. Sorry for harping on the PVC front. So one is that when do we expect the MIP to come in place because it has been since a while that the PVC ADD is now out of question? And just second question in terms of the anticipated increase in import duties again post June, is there accelerated dumping which is happening from China or probably some kind of inventory build-up by the domestic producers at the lower prices? Thank you.

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Ajay Shriram: So the MIP actually we are in dialogue with the government to look at a reasonable MIP. That is the conversation going on right now. The industry is representing again giving the cost of production, giving all the data to the government of what is the reasonable MIP based on the past prices, based on what is the China prices, etc .

So that dialogue is going on. I think that is one thing. Secondly, the price stability no one can say because you know the uncertainty in terms of availability of the movement of material, goods, etc etc that is open and China can dump and I mean they are actually exporting to India quite a bit. In the last year, 50% of India's imports were from China.

So the quantity was very large. So we are in fact in dialogue with the government if this import duty is removed at the end of June and we get the 11% back, that will be a saving grace and a real breath of life for the PVC industry. So let us hope that happens. But the pricing mechanism is very open-ended. No one can give any commitment of any time.

Rohit Nagraj: Sure. Thanks. Sir, second question is again on the caustic front. Given that there is a sizeable amount of alumina capacity in Middle East which is gone off-stream, how do you foresee the caustic balance in the global market? Is there a possibility of again that particular material which was supposed to go to Middle East can be routed to Asia and that will have again some kind of implications on the domestic pricing? So just your thoughts on this? Thank you.

Aditya Shriram: Yes. So as we mentioned earlier in the call as well, the global caustic capacity is close to 109 million metric tons and of course the demand is spread across globally. So there are always regional balances and regional dynamics that come into play. So you are right that some particular utilization in the Middle East has reduced, but we have to see how it all plays out.

The unpredictability remains very high and there are always many factors in determining the price of any commodity really, including caustic. So we can not correlate it very directly, the impact of one demand area going down. But we do expect in the long term, we expect the Indian situation to be quite robust, while there might be some short-term volatility.

Rohit Nagraj : Sure. Just if I can squeeze one more small question. What is the current ECU?

Aditya Shriram: The current ECU is in the range of INR32,000 to INR33,000 per metric ton.

Amit Agarwal: And just to add, this is ECU without including the flakes element because some of the peers include flakes element as well. So this is for lye.

Rohi

t Nagraj : Sure, sure. Thanks a lot and all the best, sir.

Ajay Shriram: Thank you.

Moderator: Thank you. We will take the next question from the line of Ahmed Madha from Unifi Capital. Please go ahead.

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Ahmed Madha: Yes, thanks for the opportunity. First on caustic, is the export volume steady or has there been any impact because of logistics?

Aditya Shriram: So as a country, our exports have been increasing steadily over the year. In fact, India was a net importer a few years back. Last year as a country, we exported over 600,000 metric tons of caustic. For us as

well, if we look at the financial year, well in the last quarter you are absolutely right, there is some implication which is there, but if we look at the last financial year our exports have gone up significantly and we are now exporting approximately 12% of our capacity.

Ahmed Madha: And is there any caustic production constraint you see because of chlorine disposal issue and is there more room to improve volumes for caustic soda as a whole for FY '27?

Aditya Shriram: So the unpredictability of course with the war in the Middle East is very high and while not directly an implication for us, but a lot of our customers do consume products that come from the Petrochem value chain. So there can be an impact of that. But we do see that between domestic demand and global dynamics, we do expect at least our capacity utilization to stay robust in the coming year.

Ahmed Madha: Sure, got it. On the ECH, you have mentioned that the plant got fully commissioned from April. What will be the current utilization as of Q1 if you can say and what utilization you are expecting for full year FY '27? And also in terms of margin profile at current prices with the full value chain, glycerine and so on, what sort of margin profile one should consider for ECH?

Aditya Shriram: Yes, so the ECH plant, as you rightly mentioned, was fully commissioned in April 2026. Now actually the plant is running at close to 60% to 70% capacity utilization and we are ramping up the capacity.

The product approval from customers has been coming in regularly and so we expect a steady ramp-up in the coming next quarter or two.

In terms of the margins, it is not always so easy to say. For instance, crude glycerine price has gone up significantly and while we do have refining capacity, so we refine our glycerine and then of course convert that into ECH. So the margins will depend again on how the raw material prices and how the finished good prices move. But overall, there has been an increase in the raw material cost and an increase in the ECH selling price. So we do expect again a healthy margin to continue in the ECH plant.

Ahmed Madha: Sure. And for epoxy, in terms of volumes how is it currently and in terms of break-even for the acquired entity as a whole, what sort of timeline one should assume?

Aditya Shriram: So epoxy as you would know, we acquired Hindustan Specialty Chemicals Limited in August, we completed the process in August 2025. So it has been a couple of quarters now. We are in the process of doing, smaller de-bottlenecks, some improvements, safety focus areas, etc. So it is now I think running well. We are running at capacity. Of course we want to increase the capacity of the unit.

The Board, as you would know, has approved a capex of INR101 crore in its Board meeting 2 days ago to enhance the formulated resin capacity from what was earlier 14,000 tons per annum to 50,000 tons per annum. So this is a material expansion in the formulated resin capacity which we expect to complete by Q2 FY '28. And with the ramp-up of this, we are very confident that the profitability of the advanced materials vertical will move up.

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Ahmed Madha: If possible give a sort of a timeline based on the efficiencies you are trying to achieve and volumes you are trying to achieve, whether the break-even

will be achieved in probably this year itself or you see it to be extending?

Aditya Shriram: Yes, we expect to achieve break-even this year.

Amit Agarwal: Ahmed, the way it will work is that first 6-8 months we utilized to stabilize the operation. It was loss-making unit. I believe this year we should be a little better than break-even because we have just expanded our formulated resins from 7,000 to 14,000 which Aditya was mentioning. So that would also improve our margin profile. So this year should be good and then, you know, we will keep adding the formulated resin capacity which are high margin and high returns. So that will, you know, change the face of this business that we have got into.

Ahmed Madha: Okay, sure. And for ECH, coming back again, could you quantify margin? I think a couple of quarters ago in the con-call you had given 20%, 25% range. Is that sort of a range one should assume for our Epichlorohydrin plant?

Amit Agarwal: So I feel, Ahmed, the way we look at, you know, because Bharuch where we have multiple businesses now, and each of these businesses are linked to each other in terms of their some or the other feedstock.

Caustic going into it, chlorine going into it, hydrogen going into hydrogen peroxide.

So it is best to look at what is the profitability of the entire setup, the entire chemical complex. And also because it is a complete value chain, something is down, something is high. So that is only, you know, it is best to look at how the overall complex is performing. And if at all it is not performing well, what is pulling it down?

So I believe currently the way it is happening, if you see the last full year numbers, our revenue went up by about 38%, EBITDA went up by about 50%. So that shows that one, the volumes that are getting added are helping the overall profitability of the complex. The other good thing that has happened is that before the start of this last financial year, the new products were contributing about 14% to the total revenue. Now the new products contribute about 34% or 35% and going forward this will increase. So that will also strengthen the whole complex. Like today we just talk about caustic soda and what really happened in caustic. I think it will be beyond that. So gradually it is gaining strength. There have been some technology issues and X, Y, Z, what we are now, we have got over it largely, right. Some bit is yet to be resolved, but then we are almost there and we should progressively see more stability and

better earnings.

Ahmed Madha: Sure, I get it. This helps. I was coming from the standpoint that for caustic we generally take per ton margins and then in this it is very hard to segregate. But considering you report as a whole chemical business, margins which were 20% for at EBITDA level for FY '26, do you expect as a whole that number to improve materially considering all the new products you have added or this sort of range will be a number to take going forward?

Aditya Shriram: You know, it will be hard to give a number on this because it is a forward-looking situation and the unpredictability with the global geopolitical situation etc is very high. But at least what we can say is

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we always look to run our operations and run our businesses in a very efficient manner. So we do expect that, you know, in case the raw materials and the finished good prices are reasonable, that we will make reasonable margins.

Ahmed Madha: Sure. Question on the sugar side of the business. You have been very vocal about the industry support and obviously there are a lot of challenges. Now ethanol thing is probably become very critical. So is it fair to assume that considering current prices of sugar, ethanol and your cost of inventory, it will be very tough to make a reasonable margin in this business and it is likely that we make some money but it will not be material?

Amit

Agarwal : So see, yes you are right, the margins are currently they are definitely lower than what they were last year. But you know, again, given that the inventory levels are very low now, right, they are all-time historical low of about 4 million tons in the country, expectation is that prices should be a little better than where they are right now.

This export ban announcement really does not make any impact except for some sentimental piece for a very short tenor. So I feel prices should improve a little bit. Margins may not be the same what they were last year. So there will be some shrinkage in profitability, but that, but you know, it is not very significant shrinkage is what our estimate is.

Moderator: Sorry to interrupt, Ahmed, I would request you to please rejoin the queue again for more questions.

Thank you. We will take the next question from the line of Manish Bhadane from 360 One Capital.

Please go ahead.

Manish Bhadane: Hi, thank you for the opportunity. I just want to understand like we are into the ECH, so how much ECH do we captively consume to manufacture the epoxy resin? Like currently what it is and in future what it will be?

Aditya Shriram: So, our ECH capacity is 150 TPD, so that is roughly 52,000 tons per annum. Our LER capacity which consumes ECH is a smaller capacity. So, we do expect to sell a large percentage, close to 70-75% of our ECH in the market. That is the current situation.

Manish Poddar: Okay, thank you so much. That is all from my side.

Aditya Shriram: Thank you.

Moderator: Thank you. Before we take the next question, a reminder to all, you may press star and one to ask a question. We have the next question from the line of Riya Mehta from Aequis. Please go ahead.

Riya Mehta: Hi, thank you so much for giving me the opportunity. So, my first question is in regards to the Shriram Farm Solutions business. In the last couple of years, we have made it really big and I think our R&D efforts have put in place. I just wanted you to elaborate on what kind of efforts we are taking and what business potential we see out of this business in the next two-three years.

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Ajay Shriram: Well, as I mentioned earlier, Shriram Farm Solutions has three verticals. One is the seeds business, the other is the crop protection business, and the third is the specialty nutrients business. So, we have research going on in all three of these verticals quite actively and aggressively.

As you rightly said, the seeds business, wheat has been a touch wood, a good success for the business and is doing well even this year in spite of the earlier rains and the heat etc etc, the off-take has been pretty good. We are focusing on the crop protection also where we have a tie-up with a couple of international companies to get molecules in which we are doing in our outsourced processing plants and we are making the product and selling that in the market for the farmers, which is also doing well. And we are continuously working on that of getting more tie-ups as well as our own R&D on the crop protection. In the specialty nutrients business, as you may be aware, we have a factory in Kota called Shriram AgSmart where we manufacture specialty nutrients. That is there plus we get some more products from outside plus we have an R&D and as I mentioned in my opening remarks, we have made a couple of new products in crop protection and in specialty nutrients from our own R&D plus from outside which have got a good response in the market. So, our plan is to grow in all three.

Riya Mehta: Got it. And my next question is in terms of Fenesta. So Fenesta we have been doing excellently in the last couple of years and currently with the metal prices going up, aluminium also reaching all-time high, how are we passing on the cost and how do we see the margin going forward? And also, one question is in terms of margin a

nd second is in terms of demand. Are we seeing any demand fall back since the cost has increased so much?

Amit Agarwal : So, one is on passing on the cost to the customer. So , there are two types of customers, one is the retail customer, the other is the institutional customer. In retail customer it becomes a little difficult to pass on the cost if, you know, although the contracts also are of a shorter value and of shorter ten or, but then it is difficult to pass on the cost there. However, in institutional clients , a lot of our contracts are made in such a way that there is a tolerance level post which the cost is passed on, you know, to the builder. However, till the tolerance level it does impact our margins.

Now in terms of your second question on demand, I think we are seeing good demand even now. If you see our Q4 numbers also, they were pretty good. So, we have had record order book. So, demand is pretty good right now.

Riya Mehta: Got it, got it. Now my third question is in regards to the PVC business . Considering that currently China has been dumping, etc etera. I n the current scenario do you think prices will fall down to as like similar to 60 -65 level which were there in say November -December? Or what kind of , because I am assuming that China will also be under energy cost pressures and they would also likely increase the prices?

Ajay Shriram: Well, what you are saying we sincerely hope not. I mean that is the thing. And also, one is seeing because freight, international freight and movement of goods is also not so easy now because of the disruptions happening across the board. So, I think the price of 80 -81-82 which is prevailing now, we do hope that it stays.

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It might go down a little bit. This is also like a situation where if suddenly, excess material comes in, it affects the market price straight away. But then after a couple of weeks, it can go up a little bit again. But it is very difficult to predict on any of these commodities what the price will be, but we hope it stays somewhat stable.

Riya Mehta: Got it. Thank you so much. That it from my side.

Ajay Shriram: Thank you.

Moderator: Thank you. A reminder to all, you may press star and one to ask a question. We have the next follow - up question from the line of Ahmad Madha from Unif i Capital. Please go ahead.

Ahmad Madha: On the Fenesta margins, is there any impact on margins because of the acquisition of DNV, if you can quantify the number?

Amit Agarwal : No, there is no significant impact right now because that is a separate entity , and we are still buying on the same arm 's length basis as we were doing earlier. So, there is no impact on the margins. The reason for that acquisition was more in terms of indigenization and therefore our lead times improve. It is also about doing more R&D in -house to come out with newer products on the windows hardware. So, I think we are we are progressing that well.

Ahmad Madha: Sure. And for overall capex, what sort of number one should consider for FY27 for the overall company as a whole?

Amit Agarwal: So that should be in the range of around INR1,000-INR1,200 crore including the normal capex as of now, which has been let us say approved by the board, but we have few projects in the pipeline as well. So let us see how that pans out. Currently committed is to that range.

Ahmad Madha: Okay, got it. Last question on the Bioseeds. Obviously kharif placement should have started by now or something of that sort. So, can you give some sense , just not company specific, but in general what trends you are seeing across crops, cotton, paddy, maize, in terms of channel inventory, pricing discipline, off -take, if you can give some broad sense based on the trend you are seeing in the market?

Amit Agarwal : See, as of now placements are good, although there are apprehensions because of expected El Nino. So, the placem

ents are happening. The only place where we are seeing some apprehensions beyond El Nino is on cotton because every producer in the country has huge inventory of cotton. And therefore, how the discounts will be passed and all that has to be looked at. Ye s, but otherwise it is reasonable start to the season.

Ahmad Madha: Okay, sure. Thank you.

Ajay Shriram: Thank you.

Moderator: Thank you very much. Ladies and gentlemen, we will take that as the last question. I now hand the conference back to the management for the closing comments. Thank you and over to you, sir.

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Ajay Shriram: Thank you. Ladies and gentlemen, thank you very much for your participation in our earnings conference call. As we navigate an evolving global landscape, we are actively fortifying our resilience and growth by one, driving operational excellence. We remain hyper -focused on optimizing our core manufacturing base, ensuring our operations are lean, agile, and capable of sustaining healthy margins across our portfolio.

Two, deepening our value chains. We are strategically strengthening integrations across our business verticals to invest and unlock synergies and enhance our competitive edge. And three, accelerating digital transformation. Technology is the backbone of ou r evolution. We are embedding data -driven

insights and automation into our daily operations to drive efficiency and sharpen our strategic decision - making.

Furthermore, environmental stewardship is no longer a peripheral objective. It is the cornerstone of our capital allocation. By building greener, future -ready operations, we are securing sustainable long -term value for our shareholders. Thank you once again for your continued trust. Goodbye.

Moderator: Thank you members of the management. On behalf of DCM Shriram Limited, we conclude this conference. Thank you all for joining with us today and you may now disconnect your lines. Thank you.

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